Great Eastern Shipping Co. Ltd. (GESHIP)

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BSE Scrip code: 500620 Trading Symbol – GESHIP

Sub: Transcripts of Earnings call conducted on May 12, 2023

Dear Sir/Madam,

Further to our letter dated May 12, 2023, please find enclosed transcript of the earnings call held on May 12, 2023.

We request you to take the same on record.

Thanking You,
Yours faithfully,
For The Great Eastern Shipping Company Limited

Jayesh M. Trivedi
President (Secl. & Legal) & Company Secretary

"The Great Eastern Shipping Company Limited Q4 & FY'23
Earnings Conference Call"

May 12, 2023

MANAGEMENT : MR. SHIVAKUMAR G. – GROUP CHIEF FINANCIAL
OFFICER
MS. ANJALI KUMAR – HEAD, CORPORATE
COMMUNICATIONS

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Moderator: Good evening, ladies and gentlemen thank you for standing by. Welcome to GE Shipping Earnings Call on Declaration of its Financial Results for the Quarter and Year-Ended March 31, 2023.
At this moment, all participants are in listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please click on the 'raise hand button' on the tool bar at the bottom of your screen.
I now hand the conference over to Mr. Shivakumar G, – Group CFO at GE Shipping to start the proceedings. Thank you. And over to you, sir.
Shivakumar G.: Thank you, Tanvi. Good afternoon, everyone, and thank you for joining us for this Conference Call to discuss the Results for Q4-FY23. We will do a quick run through our Results and after that we will look what has been happening in the markets.
Highlights:
So, the highest ever net profit of Rs. 2575 crores beating our earlier record which was in 2008-09 which was under Rs. 1400 crores beating that by a huge margin. Also, our consolidated net asset value has moved up by almost 70% in FY23. And we'll look at the components of that also.
Thanks to these results, we have also announced our highest ever dividends, 4 interim dividends totaling Rs. 28.8 per share. Today, the Board declared both interim dividend of Rs. 9, so including that we have announced dividends of Rs. 28.8 per share.
Going through the results:
We have declared standalone net profit for the quarter of Rs. 632 crores. On a consolidated basis, we have had declared a profit of Rs. 722 crores. Cash flows have been strong. We've gone into a net cash situation.
Let's go through the numbers in detail:
We normally look at what we call normalized financials, which removes the effect of currency on revaluations and the derivatives that we have.
So, let's look at that:
It's not very different on a standalone basis, our net profit is higher to the extent of Rs. 30 crores so we are at Rs. 662 crores. On a consolidated basis, we are at Rs. 699 crores for the quarter.

We've mentioned here what's happened to the net asset value. The standalone net asset value, which was Rs. 618 per share in March. '22 is now at Rs. 962 per share, so that's gone up more than 50%.
The consolidated NAV has also gone up very significantly. We were at a mid-point of about Rs. 678 per share, now we are at about Rs.1160 per share, which is almost a 70% increase.
I won't go into the ratios here. These are things that you can work out yourself and we spend our time on more value-adding things.
Market Commentary:
We continued our strong performance. Tankers continued to be very strong as they have been through most of the financial year. As we had expected and in keeping with seasonality, Dry-Bulk markets were quite weak in the Jan-March Quarter and they recovered towards the end of March.
Tanker asset prices are now at their highest level since 2009. Even bulker values, despite having a low spot market, have gone up during the quarter and this is probably due to the optimism caused by the low level of the order book and we will look at the order book later.
The consolidated NAV as I've mentioned before has reached 1164 per share at the midpoint of the asset values and this rise is due to both an increase in asset values and very strong cash profits.
The offshore market hass also strengthened during the year and recent contract pricings have been at significantly higher levels than the previous contracts. We are waiting for vessels to come up for repricing and these tenders don't come up very frequently. It's not like you have daily pricing like you have in shipping, but recent pricing points, there is a significant increase in pricing. And of course, at the end while we continue to enjoy the strong rates in the market, we must keep in

mind that recessionary pressures may be building up in some advanced economies. You can see it in gas oil demand specifically diesel seems to be suffering a little bit and you can see it in the refining margins as well.
Just looking at the performance and look at the table at the bottom which shows you the difference between the Earnings in FY22 and FY23:
Crude carriers earned about $35,000 per day more than in the previous year. Product tanker earned about $23,000- $24,000 a day more on average.

LPG shifts, which are typically on Time Charter were about the same and Dry-Bulk ships were a little lower because the market was weaker. This just shows you how much impact. So, just to give you an idea this increase in the crude tanker rates and we're talking about 25 ship tankers

as of date and with $25,000 per day on average increase means more than $200 million in a year. These 25 ships constitute somewhere between 8500 to 9000 operating days in a year and that has huge leverage in terms of the results. And as you all know, the cost basis remains the same, it's just operating expenses because we are measuring this after fuel expenses. So, that shows you the power of the operating leverage in changing the P&L.

Now let's look at how the standalone net asset value has changed:

We started at 618, ended at 962, Rs. 200 of net change was from cash profits. So, that's actual cash, which has come into our bank. It is not a mark-to-market increase in value of the assets that's Rs.168 per share, that's a fleet value increase. So, Rs. 200 has actually come into the bank, of course, which has helped us to become net cash from net debt in the beginning of last year. And of course, we have (-25), which is the dividends which have been paid out during the last financial year, which then takes us to Rs.962 per share of net asset.

The CAGR over the last 5 years has been 22% in the net asset value. We started at Rs. 357 per share and this is now Rs. 960.

Similarly, in consolidated net asset value, our cash profit was about again between the cash profit and fleet value, each of them about Rs.250 per share and minus the dividend which takes us from Rs. 692 to Rs. 1164.

Let's look at the shipping markets and see what they've been doing:

So, the left graph is the Suezmax crude tanker. Obviously the FY23 graph is much stronger than the FY22 graph and FY24 started off stronger than FY23 started. So, this is where we are, and these are the market averages and not our averages. The market, which averaged less than $10,000 a day last year for a Suezmax tanker, this year that same measure averaged $57,000 a day. For an MR Tanker, it went up from $7500 a day to $36,000 a day. Again, what led to this?

Specifically, let's look at the quarter:

Crude and product tankers spot earnings continue to be elevated in Q4 year-on-year, the crude trade which is in ton miles grew by about 11% and product trade grew by about 9% year-on-year. That's Q4-FY23 versus Q4-FY22.

On the other end, on the supply side, the crude supply growth was only 4% and the product supply growth was only 2%. The EU embargo on Russian imports, for crude it kicked in from December 5th, 2022, and for products it kicked in from Feb 2023, further boosted ton miles growth.

Asset prices, we've already mentioned that we are now at the strongest level in the last 14-15 years.

The critical thing is that the order book for crude tankers is now at 2.5% of the existing fleet which is a big positive because the future supply is very constrained and therefore you need only a very small increase in demand in order to keep the market tight.

In product tankers, this also was at a low number, probably around 5% when we last met. It's been building up recently. So, it's now currently at about 8% of the feet.

On Dry-Bul

k, we had a softer market in Q4, which again is a typical seasonal pattern which picked up towards the end of March and is at reasonable levels. So, for these sizes, we are at around the same levels we were last year.

For the smaller ships and last year, remember the smaller ships outperformed the larger ships for the large part of the year. The smaller ships are doing much worse, so the Supramax, which you can see on the right-side graph, which were at almost $30,000 a day in April last year are somewhere in the $10,000 to $15,000 this year.

Basically, the COVID related congestion which unwounded released a significant part of the fleet into the market. The demand side was quite strong, so Chinese steel production, iron ore imports were all up during the quarter. Coal imports into India and China both continued to increase. So, the main factor was the release of capacity from congestion which weigh down the supply-demand balance.

LPG continued to be strong. We had a very strong 4th Quarter of 2022 calendar and it came off from those highs but still at pretty strong levels at about $70,000/day. Again, our ships are all on-time charter. So, we are not exposed to this spot market currently but the markets have been strong. US LPG exports are up 20% year-on-year, which is a spectacular number. In this sector,

this is the only one of ships in all the ships types that we have and the VLGC order book is the only order book which is really at high level in the historical context in excess of 20% order book.
We look at fleet supply and I mentioned these numbers earlier in the Orange you have the crude tanker order book. The blue is the product tanker orderbook and green is the Dry-Bulk order book.
Looking at asset prices, all asset prices have gone up. I mentioned that even Dry-Bulk went up in value despite earnings being low. So, there is a lot of optimism around shipping markets. Asset prices are looking quite elevated.
In scrapping, there hasn't been much scrapping because markets have been quite strong. So, you see calendar ‘22, there's very minimal scrapping there.
All of this is building up at some point these ships have to go.

Looking at the offshore business and this is almost a repeat of what we had said the last time:
The Middle East is a big driver of incremental demand and it's expected that Saudi Aramco will have 85 to 90 units on term contracts of Jack-Up Rig fleet on term contracts and that's a big number and a lot of those contracts have already been awarded. They're just waiting to go into the contracts.
So, the utilization of rigs which went down to low 60s in 2016-17, is probably close to 90% now on an effective utilization basis.
This you have seen reflecting in the pricing, we had a very significant increase in the pricing in the last tender that we priced in India. So, let's see how the next tender prices from now. And of course, supply side nobody has been ordering rigs or supply vessels for the last 6-7 years ever since the price of oil dropped from around 100 to around the 30s in 2015.
A lot of the yards have gone out of business and so it's unlikely that there will be significant capacity coming into the market.
Looking at just the fleet supply:
The current fleet is just under 500 of Jack-up Rigs. So, of these rigs basically, about 430 rigs are actively marketed. The fleet under contract is 344.. The others are more or less stacked or are unlikely to be marketed. Out of the rig fleets which is existing, 344 are already on contract and about 40 to 45 have contracts and are due to go into contract. So, that means that you have 385 to 390 rigs working, out of an effective total of 430 rigs, which means about 90% utilization of the rig fleet.
In the vessels it's not as tight, but a lot of the vessels have been stacked for a significant amount of time and are unlikely to come back into opera

tions .
This is our utilization and utilization has been pretty strong and has been strengthening over the past couple of years.
We have repricing coming up and which is good because all the repricing are happening at higher levels than their previous contracts. The previous contracts were fixed in 2017 to 2019, which was at low point of the market. So, in the first half of this year we have 5 vessels to be repriced, in the second half of this financial year we have 4 vessels to be repriced. Then in the first half of FY25, we have 6 vessels to be repriced and we have one rig which comes off contract around this time next year. And then in H2 of FY25, we have one more vessel and we have one rig which needs to be repriced.

We had bought a vessel, an 80-ton anchor handler in the month of February and we took delivery in March. That vessel has already been delivered to us and is already working and has also got a 3-year contract in India.
Looking at broad financials again, we levered up in between 2016 and 2019 and then strong cash flows enabled us to reduce our leverage, in fact, we are in net cash. The share price to consolidated NAV, we are at about 0.5x to 0.6x.
So, that brings me to the end of the presentation. We are happy to take any questions.
Moderator: Thank you very. Much, we will now begin the question-and-answer session to ask a question.
The first question is from the line of Abhishek Nigam from B&K Securities. Please go ahead.
Abhishek Nigam: So, just 2 questions for me. Number one, what is driving the sharp improvement in profitability in the 4th Quarter?
Shivakumar G.: So, are you referring to the shipping business or the offshore business?
Abhishek Nigam: The offshore business.
Shivakumar G.: So, the offshore business basically had a tax write-back. We won a case and appeal and so there

was a tax write-back for the for the offshore business. So, that's one of the largest factors there
was Rs. 45 crores of write-back of tax.
Abhishek Nigam: But that impact comes before the operating profit line, is it?
Shivakumar G.: So, you're talking about PBIT level?
Abhishek Nigam: Yes.
Shivakumar G.: So, the increase in profitability will be just the repricing because we were off-contract and then we went on to the contract we had rig off hire days which has now got removed. The rig was working through the quarter. We had all our 4 rigs working through the quarter where we had a rig which was not working up to October-November. In the international market, we've had improvements in pricing as well, but that's 3 or 4 vessels. So, it will not really move the needle much.
Abhishek Nigam: So, this kind of EBIT run rate for offshore, this is kind of sustainable over the next few quarters, right?
Shivakumar G.: I don't want to make a forecast, but yes, we should be in a position to maintain whatever we are doing on an operating level.

Abhishek Nigam: And on the OSV fleet, is it possible to give us a sense of where the day rates are. So, for example, if I look at tide water, then I think they are closer to $10,000 to $13,000 or so range in Asia Pacific. Is that where we are or are we at a slight discount or if you can just give us a sense, not an exact number?
Shivakumar G.: So, it's very difficult to compare these things because the operating expenses in different regions are so different. But recent pricings even in India are $10,000 and above for offshore vessels and again, I don't know what kind of vessels you're referring to for tidewater and whether it's just a blended of all their vessels because they also have some high spec vessels. But recent pricing for term contracts in India also have been around $10,000 or higher.
Abhishek Nigam: Last question for me, so there is an order book of 20 Jack-Up Rigs in your presentation for t

he
offshore segment. I'm just wondering if these are credible orders or are these really orders which you customers placed?
Shivakumar G.: These are all ancient orders. So, these are rigs which are half built, almost waiting for delivery. We don't know if they'll ever come into the market, but a lot of them got reactivated last year. Some people went and bought them and put them into the Saudi Aramco and ADNOC contracts.
Abhishek Nigam: Keppel has placed a couple of these with customers globally. These may or may not come in eventually.
Shivakumar G.: Correct. See, typically these from Chinese rigs. I think Keppel is more or less out of the rigs. But just on that segment results. I think it does include that tax write-back so you should not take this as the run rates going forward.
Moderator: Thank you. The next question is from the line of Amit Khetan from Laburnum Capital. Please go ahead.
Amit Khetan: I had a very industry related question. Just wanted your perspective on a tail event. So, there’s a very large and growing dark fleet which is transporting Russian oil. These are mostly very old tankers, which should ideally have been scrapped, right? Now the risk of a major oil spill, which would have been miniscule earlier has probably increased exponentially. How do you guys think about this risk, and based on historical experience, what’s your sense of how the industry might be impacted if there is a major oil spill in the high seas?
Shivakumar G>: So, typically, if there is a significant oil spill, by the way, there was an accident, luckily not on a laden tanker of Singapore, Malaysia, last week on a tanker which there was an explosion on it. But typically, if you have an oil spill, it leads to much more regulation. Now these ships are already outside regulation, the dark fleet. So, I don’t know how it will impact, but yes, there will be a lot more urgency with regard to the dark fleet and maybe there will be a clampdown on those ships going forward, it’s tough. To say what could happen if there is an incident. But yes,

certainly because an oil spill is such a public thing, and which really affects a lot of people, there will be a regulatory clampdown potentially if there is an oil spill from one of these ships.
Amit Khetan: So, it’s fair to assume there would be an acceleration in scrapping if that happens?
Shivakumar G.: If that happens, then there is clampdown on the dark fleet. There’s a lot of things that can happen then because it’s not going to happen by itself. If the dark fleet is removed then how does that Russian oil get transported. If that just removed from the market because then if that’s removed from the market, then what happens to the oil supply-demand balance for oil itself. So, there’s a lot of things that go into that equation that we have to consider.

Amit Khetan: Secondly again, I've asked this before as well. Are you seeing any opportunities for capital allocation right now?
Shivakumar G.: Unfortunately, in terms of ships, as I mentioned that the Dry-Bulk market was weak but asset prices did not come off, they went up a little bit. In fact, they've gone up a little bit even after March 31st a little further. So, the prices are not yet at attractive levels. And tankers, of course, are at 14-15 year highs. Not yet any opportunities for capital allocation, unfortunately.
Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.
Himanshu Upadhyay: Congrats on a great set of numbers. I have a question. Historically, our thought process has been that whenever we are around 50% or around NAV we would like to do a buyback or those things. The means around 500-550 used to be the NAV and the stock used to be around 300 we would do a buyback. Currently the NAV is around Rs.1200 and the stock is around 650-660. Do you think you will use th

e same metrics or you will say that no, the stock is expensive. So, how do you think about it because a lot of things have changed, but the discount rate remains similar. So, will it make sense to buy more shares?
Shivakumar G. : So, couple of. Things is one is if it is 650, the price is not 650, the price to us is 800 because of the tax. So, that changes the equation significantly on the buyback, which is 23%.
Himanshu Upadhyay: But that was at Rs. 300 also no, the last buyback when you did.
Shivakumar G.: That's right. So, yes, correct. So, it was there the last time that we did it, it was not there the previous time that we did a buyback which was in 2019. So, this is a factor to keep in mind. So, when we are looking at. 50%-55% which you mentioned you had 50%-55% without any additional cost and now you have a 23% transacting cost so that's one. The second is you'll have to see it versus what opportunities you have to deploy capital in ships, because that's the other opportunity that we have. If you think that you can get potentially opportunities to deploy capital and ships at reasonable prices, then we would like to do it again. See NAV by itself you need to look at NAV in the context of what are the ship values that have gone into it. So, we will look

at that also when we decide on when we have to think about whether to buy the paper or not. The 23% cost is a very significant factor here, I'd just like to emphasize that.
Himanshu Upadhyay: And secondly, my question would be we are seeing a lot of offshore companies or vessel companies also going for offshore wind farm type of servicing or contract and all those things, is it a viable business for us also and can our ships also go into that business or what is your thought because you keep on evaluating various other opportunities, how do you look at these type of services which are coming up globally?
Shivakumar G. : So, one of our M classes which is the two most advanced vessels in our fleet which are operated out of Singapore, one of those vessels actually operates during the wind farm support helping in a wind farm installation work. Again, it's not a wind turbine installation vessel, but it works supporting the wind farm. So, but the typical vessel for the wind farm work is very different from ours maybe you can do some modifications, I'll check with our people what the situation is on that. I know that there are purpose-built vessels which are for servicing wind pump, but I do not think you can use the standard the AHTSV or PSV in that kind of work.
Himanshu Upadhyay : And is there something which hinders us from entering that business over a period of time means can we just buy an asset and start servicing in that market or there is some qualification required for that business and what would be the IRR you will get in that?
Shivakumar G.: We have not looked at those numbers at all Himanshu. So, I just would not be able to reply, but on the qualifications, I think that the fact that we have a track record operating internationally with different kind of vessels including some advanced vessels, we even operate well stimulation, diving support vessels, they are pretty advanced vessels. I do not think we have a problem qualifying necessarily, but I do not know what kind of IRR can be made on these because I just do not know what that market is.
Himanshu Upadhyay : Just one thing the crude tanker what we sold so the prices have gone up, but the proportion of our assets on the crude side is pretty low and means currently I think only 7 ships are now remaining, so how are we thinking on that side because the order book the lowest seems to be on the crude side that effectively means the oversupply in that space will take further time or it may take much longer and hence the segment can do well for much longer period of time and we have the lowest percent

age while we sold one of the ships, so just some thoughts on that or how are we evaluating the market?
Shivakumar G.: It is possible and not 7 is what we have today. It is going to go down to 6 after we deliver the ship because we sold the Jag Lavanya it is due for delivery by June. So, we will be down to 6 which obviously we are not very happy with that situation. We would like to rebuild actually,

but we wait for an opportunity yes we would have liked to have more. I think five years ago we probably had 12 crude tankers. Now we are down to 6, but yes we would like to rebuild that fleet at an opportune time and we are hoping we get that opportunity.

Himanshu Upadhyay : And last question on cash on balance sheet means earlier when our balance sheet had debt, so we used to keep some cash means principal and interest payment in all those things also go cash for that, but with net cash on balance sheet do we really require some amount of?

Shivakumar G.: Yes you need to do it because the net cash you still have debt repayments every year. So, you still have to keep the risk capital to ensure that you keep that, you are able to make those repayments even in a bad market.

Himanshu Upadhyay : If we repay the debt so there will be a net cash means 1,100 crores?

Shivakumar G.: But we are not repaying the debt let us say there is $370 million of debt as of March 31 and then $510 of cash, but the debt exists and it is due to be repaid next year or the year after that and the year after that and so on and so forth. So, you need to keep the reserves out of your cash it is only carving out a part of your cash notionally as risk capital. So, out of the 510 part of it is carved out as risk capital.

Himanshu Upadhyay : But will we be still raising debt in the market?

Shivakumar G.: No, we are not raising debt currently, there is no reason to raise debt, but we have repayments next year and if there could be a shortfall in cash flows in a risk case, if there could be a shortfall in cash flows that amount of cash will have to be kept in the bank without investing it, without being available for investment. So, it is just a notional thing it is just that you cannot invest that money in any case we are not investing currently and it is out of your 500 you will carve out say $100 million and say this is for risk capital. It does not change our actions.

Himanshu Upadhyay : And are we doing any in-chartering activity from our gulf subsidiary?

Shivakumar G.: Currently nothing we did that one transaction last year, but currently nothing there are no opportunities currently.

Moderator : Thank you. The next question is from the line of Chris Noronha, Shareholder . Please go ahead.

Chris Noronha : I just like to get your thoughts on the capital allocation process I am talking to you in the perspective as a shareholder, is this a good time to think I would like to get your thoughts on issuing bonus shares because after looking at I know the 28%, 29% dividend, but after tax and inflation and currency where I am talking from the yield is pretty low, so is this not a good time to think about and perhaps I will ask you to give your thoughts on issuing bonus shares where the shareholders could acquire paper instead of steel?

Shivakumar G.: I do not get the logic of that because bonus share is simply an accounting entry which splits shares into one share into more than one share. So, how does it really add value dividend adds real value by putting cash in the shareholders hands or you are just talking of the tax arbitrage of capital loss.

Chris Noronha: I am assuming that the company is going to develop over the next five years. So, those bonus shares will also grow in value.

Shivakumar G.: But it is just an accounting entry we have 14.3 crore shares today and let us say hypothetically we will double it to 28.6 crore shares. It is the same amount of cash, it is the same number of ships how does it really help I have not understood how it helps and it is not even a capital allocation that Rs. 28 per share which we are paying out is real cash which has gone out which is almost 400 crores which is part of the shareholders. So, I know that a lot of companies like to issue bonus shares, but I do not know how it adds real value and maybe it trades better liquidity et cetera, but it is not a capital allocation thing as such.

Chris Noronha: Well, I am talking about what your options are right now in terms of capital allocation. The cost of as we have been discussing over the past few minutes the cost of acquiring new ships is fairly high. So, your capital allocation is not efficient. The shareholders whilst we accept the 29% dividend after tax and inflation it does not work out in terms of to a very great yield. So, we are working on the basis that these additional shares which you give to shareholders will overtime create additional value.

Shivakumar G.: But it is just an accounting entry if I come back to it, it is just an accounting entry of splitting shares

Moderator : Thank you. The next question is from the line of Arjun Pathak from Central Advisors. Please go ahead.

Arjun Pathak : I just wanted to know would it be possible for you to share the selling price of Jag Lavanya?

Shivakumar G.: No, we do not share as in sale and purchase transaction prices, these are generally bound by

confidentiality clauses.
Arjun Pathak : Second one would be as we are witnessing the higher TCY for the product and the crude carriers because of the change in macro factors in the crude industry, going forward can you just throw some lights on the crude demand and how do we see that panning out in the next one year or so because I read somewhere the refinery are experiencing a downtrend on the margin so that could lead to a subdued demand for crude, so can you throw a light on that?
Shivakumar G.: So, what you have read is sort of correct and the conclusion is also correct. So, again, it is led by poor demand for the end product which in this case is gas, oil or diesel. So, there has been the demand for gas, oil and diesel has been quite poor the demand growth which is probably a reflection of industrial activity because diesel is more an industrial commodity unlike gasoline which is more a retail completely and because of that the refining margins are poor. If refining margins are poor as you have said refineries are less likely to increase their crude inputs which means less demand for crude tankers and if they are producing less refined products there is less demand for product tankers as well. Yes, that is the situation currently we are also in the middle

of a little bit of a refinery maintenance season and this in any case this period is traditionally the lull period for tankers typically Q4 and Q1 of the calendar years which is H2 of our financial year tend to be stronger for tankers. So, that is when you really see tankers strength. So, yes the fact that demand is not picking up is a little bit of a worry, it is a macro worry and you can see it in the oil prices with the crude oil prices. So, we hope that this will pick up. We have seen the high frequency data that you see coming out of places like China with regard to flights resumption, the data which you see coming out of OECD countries with regard to inventories which are quite low all of it seems to point in the direction that activity has to go up crude oil demand has to go up, refined products demand has to go up. However, it is not yet happened, but still tanker rates are pretty strong as we speak. So, let us see what happens and it is very difficult to call this because you do not know what is happening necessarily in some

of these
economies, but if their economies come back then you should have pretty strong growth in demand end user demand which means that you will definitely have movement by ship.
Moderator : Thank you. The next question is from the line of Roshan Nair from B&K Securities. Please go ahead.
Roshan Nair : Sir just wanted to understand when are the gas carriers coming off contract?
Shivakumar G.: We have one coming up towards the end of the year. We have a midsized gas carrier which is coming up for repricing in end of May to June within the next one month. So, we have bid for a contract in India and hopefully we will get that we are L1 is just going through the process. The other ships are going to come out between H2 of FY24 and early FY 25 so maybe after September the other VLGC 's will come out.
Roshan Nair : Does the buyer have the option to renew at the same rates?
Shivakumar G.: Does the charter you mean?
Roshan Nair : Yes.
Shivakumar G.: The charter of these vessels no this is after the exercise of call options.
Roshan Nair : And where are the time charter rates currently versus the contracted rates for gas carriers?
Shivakumar G.: So, time charter rates are a little higher than the current contracted rates $3,000 to $4000 maybe $5,000 again it depends on tender-to-tender. Some tenders it depends on how many people are bidding in a particular inquiry, but probably slightly higher than their current contract rates maybe $5,000 to $8,000 also on the VLGC I am referring to. In the MGC we are actually seeing improved pricing from the previous contract.

Roshan Nair : And for product tankers the order book-to-fleet ratio is currently 8% which is at very low levels, so at what level would you think that the outlook for the day rates will be negatively impacted by order book-to-fleet being high?
Shivakumar G.: Definitely not at 8% but remember that the day rate thing is a very short term thing while the order book is in the long term. So, the reason why we always keep looking at the order book is that that is the only thing that you really know, but the day rates are affected by what happens literally on a day-to-day basis. How many ships are available today to load a particular cargo and therefore what price can they demand. So, that is very short term and very position driven and does not get affected by the order book and you have been following us for some time, you know that from the last three years we have been talking about the low order book and it has been around 10% for quite some time for tankers, but nothing happened for one and half years between middle of 2020 till early 2022. Though the order book was really low. It only happened

because something happened and trade the market strengthened because some event happened and trade took off or the demand for tankers took off. So, the order book in the long term it is a comfort factor, but in the short term not really it does not make a difference really to what our ships earn this month or 6 months down the road. It does not make a difference unless there is a big delivery. So, for instance, in VLGC you have a 10% fleet delivery within the next 12 months, but otherwise it does not really make a difference.

Moderator : Thank you. The next question is from the line of Devesh Jhawar Individual investor. Please go ahead.

Devesh Jhawar : Sir, I just want to ask that we have a lot of cash on the books are we planning to foray into the different business verticals like if we are interested in entering the dredging business?

Shivakumar G.: No, we are not. We are contained with the businesses that we do which is the shipping business and the oil field services business within the shipping business itself there is a lot that we can do and we will stick to those places where we think we can. We have some competitive advantage, we have some knowledge

that helps us to do well. So, that is what we focus on.

Moderator : Sir, we have one text from Ashish Gautam Individual Investor.

Ashish Gautam : The question is can you tell us about the outlook on the shipping cycle for the financial year ahead and what are you going to do with the cash proceeds from the sale of this ship in this quarter?

Shivakumar G.: First the outlook is really difficult because we do not know and that is the honest answer we do not know what the market is going to do. The tanker market happens to be reasonably strong now continues to be strong, dry bulk markets are okay, gas carrier markets are also very strong. We do not know if that will stay true for next month or next quarters. All we say is that it depends on what happens to oil demand or whether the world economy is going to a recession or are we going to see a quick recovery in the economies which then will have a corresponding recovery

in commodity demand. The one thing is that the supply side is not a worry. So, all we need is for demand to do its job and then we can have a strong markets. Coming to the second question on what we are doing with the sale proceeds of Jag Lavanya, it will come into the treasury and it will be invested in safe instruments as always or it will just sit in the bank otherwise waiting to be invested in the business.

Moderator : Thank you sir. There is one more text question from Subahu Sanghvi from Winshine Financial Services.

Subahu Sanghvi : Can we prepay debt to reduce interest burden as we are cash surplus?

Shivakumar G.: We did do that last year. We prepaid almost $72 million in debt in the last financial year to reduce our interest burden. We saved a couple of million dollars by doing that wherever possible we will look to do it. There are regulations with regard to this. So, wherever possible under the regulations we will look to prepaid debt. It is a good idea and we will look to do that where we can.

Moderator : As there are no further questions, I now have the conference over to Ms, Anjali Kumar for closing comments.

Anjali Kumar : Thank you everybody for joining in today and all those interesting questions. As usual the transcript of the call will be on the website. The audio transcript will be there by tonight and the written transcript will be there in a couple of days. Also please feel free to reach out for any queries our team is always there to help you. Thank you so much.

Moderator : Thank you. On behalf of Great Eastern shipping, we conclude this conference. Thank you for joining us and you may now exit the meeting.

Call: Aug 2023

THE GREAT EASTERN
SHIPPING COMPANY LIMITED
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Our Ref.: S/2023/JMT August 08, 2023

BSE Limited National Stock Exchange of India Limited
1st Floor, Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, Bandra Kurla Complex, Bandra (East),
MUMBAI – 400 001 Mumbai – 400 051

BSE Scrip code: 500620 Trading Symbol – GESHIP

Sub: Transcripts of Earnings call conducted on August 03, 2023

Dear Sir/Madam,

Further to our letter dated August 03, 2023, please find enclosed transcript of the earnings call held on August 03, 2023.

We request you to take the same on record.

Thanking You,
Yours faithfully,
For The Great Eastern Shipping Company Limited

Anand Punde
Company Secretary

The Great Eastern
Shipping Co. Ltd.

"The Great Eastern Shipping Company Limited's
Quarter End ed June 30th, 2023, Earnings Conference
Call"

August 0 3, 202 3

MANAGEMENT : MR. G. SHIVAKUMAR – CHIEF FINANCIAL OFFICER ,
THE GREAT EASTERN SHIPPING COMPANY LIMITED .

Moderator : Good evening, ladies and gentlemen. Welcome to GE Shipping Earnings Call on Declaration of its Financial Results for the Quarter -ended June 30th, 202 3.
At this moment all participants are in the listen -only mode . Later, we will conduct a question -and-answer session at that time, if you have a question click on the raise hand button on the toolbar at the bottom of your screen.
I now hand over the conference to Mr. G. Shivaku mar - Chief Financial Officer at The Great Eastern Shipping Company Limited to start the proceeding . Over to you, sir.
G. Shivakumar: Good afternoon, everyone, thank you for joining us for this quarterly conference call, to discuss the Q1 FY'24 Results.
I will now take you through a quick presentation on the results and what's being happening in the markets. First standard disclaimers applied.
The highlights are that we once again had a very profitable quarter and most of the profit came from the shipping business. Our NAV moved up in line with the profit , there was not much change overall in the fleet value in shipping. Our crude tankers went up a little bit and so did gas carriers . Bulkers and product tankers came down a little bit. So, overall the fleet value stayed the same so the NAV went up to the extent of the earnings .
The dividend that we paid up , we have declared an interim dividend of Rs. 12.90 per share which includes Rs. 7. 50 per share to commemorate the 7 5th Anniversary of the Company which falls today.
I won't go through the P&L. You would have gone through the P&L, I am sure. So, I won't take you through the P&L in detail. And we have the normalized financial s as well an d you would be familiar with the difference between the normalize d financials and the reported financials and the adjustments that we do to arrive at the normalize d financials.
On the net asset value, one thing to note is the net asset value I mentioned so between March and June is up by little over Rs. 30 per share again reflecting the earnings which have come in as for standalone . And for consolidated as well it's up about Rs. 40 per share. And at consolidated at the midpoint we are at about Rs. 1,200 per share. Again, I won't go through the key ratios, these are the earnings etc.
Let's see what happened to the markets :
These were the TCYs. So, we saw from the very high levels of Q4 we have come off a little bit for the tankers, the LPG carriers of cour se continu e to be on time charter, and dry bulk were at very weak levels in Q4 FY '23. They have gone up from there versus a year ago, the story is very different, dry bulk was quite strong last year. And last year you would remember that in Q1 all

the sec tors were doing very well, you can see the averages across all the sectors were between $25,000 and $29,000 a day. Dry bulk was much weaker this year versus the previous year. And crude tankers specially were much stronger and of course product tankers als o had been strong. And they sort of cancelled each other out in the P&L when you look at it on a Q1 versus Q1 basis.
So, this is how our standalone NAV moved over the last one year. So, we went up by about Rs. 260 per share of which Rs. 200 per share is co ntributed by cash profits , Rs. 88 is contributed by fleet value. And this question comes up often that what happens if your fleet value drops? Yes the NAV might drop, will drop if the fleet value drops , but remember that there is cash coming in all the tim e which helps to improve the NAV. So, it's not just the paper improvement in the net asset value. And of course, last year we paid out Rs. 28.80 in dividend over the last 12 months. So, that's also reduced the net asset

value. And this is the movement over the last five years. This is from March 2018. So, some Rs. 360 per share to just under a Rs. 1,000 per share. This is standalone.
On a consolidated basis the story is sort of similar except that on the offshore side th ere is a most significant contribution coming in from the change in the mark et value of the offshore assets , because that market is picking up , we have seen repricing of assets and asset contracts which

result ed in significant increase in the market value of offshore rigs and vessels.
Looking at what's happened to the shipping market , we have seen that in April to June we had lower levels than we had in January and March for Suezmax earnings. We also had further lower levels in July. Last time we had mention ed that typically the summer months tend to be a little weaker for the tankers sectors that is both product tankers and crude tankers and that's what panned out. However even at these levels the ships are at ver y profitable levels, f or instance that $40,000 a day which is the Suezmax average for July. It is still extremely profitable at more than $20,000 a day, which you can see for the MR, it is a still a very profitable level.
And again, you will find th at even within stro ng cycles you will find individual months, quarters where earnings are not very, not as high as they used to be, but these are normal, seasonal things and these are ups and downs to the cycle. And the market is pretty volatile so we have seen pricings ranging from $10,000 a day for voyages to $40,000 a day for voyages cost for MR for instance .
So, what l ed to th ese to the slight weakness, so it's again relative compare d to what we have seen earlier in the year. We had OPEX plus crude production cuts and we had refinery maintenance, which normally happens during Q1 and Q2 of the financial year. So, overall , the trade grew but that growth slowed down a little bit and therefore the earnings levels were slightly lower as compare d to the previous quarter. Trade disruptions led by the European conflict continue to boost tanker tonne miles and we have seen crude and product supply growth at about 3.5% and 2.5% year -on-year.

Asset prices remain strong . They are at the ir strongest since 2008. Order book is building up a little bit now. Crude tankers is building up to 3% and product tankers about 9.5%. So, we are seeing orders coming in for crude and product tankers, but still at pretty low levels.
Looking at dry bulk, dry bulk obviously has been significantly weaker than the same quarter of last year as I mentioned earlier. But it's been for at l east for capsizes slightly better than it was in Jan and Feb. So, you see in Feb that we were down to around OPEX was slightly lower than that in the orange line in February of '23. But it's recovered from there but still nowhere close to the levels that w e saw last year. And for the smaller size vessels like the Supramax for instance, which you see on the right, rates are much weaker than they were last year.
Now what's led to this, we have seen increase d tonne miles demand, we have seen Chinese coal imports increasing by 90% that 's for the quarter over the same quarter in the previous years, basically because hydropower generation has been poor. They are having El Niño like condition, so less water means less hydropower generation and which have been substituted by coal, which has been imported. So, Chinese iron -ore imports, coal imports were quite good at the end of last quarter though their iron -ore seems to be coming off at the end of the quarter.
Last year one of the things which boosted the dry bulk market was the COVID related congestion which absorbed 3% to 4% extra of the dry bulk fleet. Now that has been completely reversed. And that's added to

the effective tonnage in the market and that's also contributed to the
weakness. The negative is that the grain exports from Ukraine don't seem to be happening because the deal with Russia seems to have fallen through. And therefore, that grain is lost from the market which is less cargo for the market.
Order book here c ontinues to be close to all time low. There are orders going in all the time for dry bulk also, however still the order book has not built up to any significant level. I must mention, if you go into order a tanker today you will probably have to go middle to end of '26 a t the larger yards. In dry bulk it will also be sometime in 2026. You will have to be very lucky to get a slot before 2026 for building a new bulk carrier.
LPG in the markets continue to be strong. Our ships are on time charter, but th e spot earnings continued to be strong and much higher year -on-year. This is again resulting from very strong exports from the U.S . and drought in the Panama Canal, which is led to water levels falling, and which means that there is more con gestion at the Panama Canal which also then leads to ships taking the long way around which is the Cape of Good Hope. So, they do, it comes the long way around which means that you need more ships. And all of you would un derstand that's more tonne mile, which is good for the business because it makes the market tighter. The order book is still elevated in a historical context. So, we are in excess of 20% order book for the gas carrier fleet. So, this is where we are in the order book currently for the different sector s I have already mentioned earlier.

So, what's happening to asset prices, crude tanker seems to show that there has been a smal l drop-off in prices , this is very marginal, they are at very elevated levels and these are based on assessments of the market. So, prices are still very high. And you could have a million here and there on the margin depending on the specific condition of that ship. But prices are extremely high and you can make out because what was 100 to 110 a year ago or a half ago is now at about 160 for crude carriers and 140 to 150 for product tankers as well.
Dry bulk has come off by about 10% to 15% over the last t hree months , they are still above the levels that we saw in January . In LPG prices continue to rise, these are I think the highest prices that we have ever seen for LPG ships. So, those prices continue to rise beca use the markets have been so very strong.
Scrapping has been non -existent because the market has been so strong. There is no reason for anybody to scrap a crude or product tanker in this market, even dry bulk has seen very minimal scrapping.
Looking at the offshore business, there is no change really in the fleet supply. So, there are a lot of rigs and vessels which are over age and they continued to be there and we have had some cold stacked vessels and rigs as well. There hasn't been any new excitement in the market , there has been no higher pricing, it's about a sideways market marginally higher in rates maybe, but we haven't seen any recent pricing in our local market.
There is a gradual increase in utilization but not a huge amount. So, as I said market is at firm levels, the rates are good. But there has been no further tightening since in the last three to six months. We have re -pricings coming up ; we have fi ve vessels which need to be repriced in the course of the couple of months. And then we have four further vessels which need to be repriced.
In the rigs we have one rig to be repriced in the first half of next FY. And we have one rig to be repriced in the second half of FY '25.
Just a summary, the strong cashflows ha ve basically led to our, we had $360 million of net debt at peak in less than five years ago, wh

ich is now net cash of $200 million plus, this is standalone.
And this is what the business do es in good years. It enables you; it produces such strong cashflows and remember this is after paying out a lot of dividends over the last couple of years.
The share price to consolidated net asset value - we have the consolidated NAV is about Rs. 1,200 p er share at the midpoint of the NAV. So, we trade at about 33% discount which is a consolidated net asset value. And again, these are our CSR partners. That brings me to the end of the presentation. We are very happy to take questions.
Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from Abhishek Nigam from B&K Securities. Please go ahead.

Abhishek Nigam : So, my first question is that if I look at shipping revenue days this quarter I thi nk we are down about 4% Q -on-Q. So, just if you could give us some clarity on what happened there and what should we expect for the second quarter?
G. Shivakumar : Yes so the revenue days is a function of the ship s that we sold , basically we sold two ships last year. We sold one crude tanker Aframax to Jag Lyall and we sold one MGC t he Jag Vijaya and so the capacity itself has dropped off to that extent.
Abhishek Nigam : And crude and product carriers day rates now will be at this point of time like say the e nd of July and early August where will they be versus what you booked in the first quarter and also for dry bulk.
G. Shivakumar : So, spot markets you will have to take this with a lot of caveats. And this may be the market as of yesterday and it is not what the market might be that we would be earning, this is what the spot market is basically. And is what the spot market was yesterday it is not necessarily what it is going to be tomorrow morning. And it all depe nds on when you are going to fix your ship.
So, crude tanker markets continued to be strong at least for the Suezmax es, the Aframax es currently are a little weaker than they were in the first quarter , however as I said these things turn very quickly. The m arket you can see is quite tight. And when there is that level of tightness in the market, it doesn't take much to push the market, the TCYs by $20,000 a day within a couple of days on voyages.
So, while it is currently a little bit lower than it was in th e last quarter, it is not a reflection of what it can be, because it has been quite volatile over the last three to four months. We have seen $5,000 a day and $40,000 a day within the phase of a week, both being done on the same route.
So, it is really cho ppy and therefore not an indication of what it could be. But in general, as it

stood yesterday, a little bit weaker than it was in the last quarter , but again seasonality also plays
a role in this.
Abhishek Nigam : What I am trying to do is all form a view on that segment, the issue is on one hand OPE C has been cutting production and on the other hand seasonalit ies of more refineries coming out of maintenance now which should sort of increase , lead to increase in trade. So, it's kind of very tough to form a clear view right now.
G. Shivakumar : So, if you look at how the oil market is shaping up, so OPE C, so Saudi Arabia states a separate cut, right there is a separate c ut of a million barrels a day, for July and August, right. So, that cut is for trying to balance the market. And that was when oil was in the 70s. Now the question is what is their action when oil is in the 80s so it's currently 80 to 83 what is their action, is it going to come back, is that million dollars a barrels a day going to come back into the market. The second is of course, refineries are coming out of maintenance so th e demand will be there. So, either you have drawing down from inven

tories in which case then the price keeps climbing
higher because the spot supply is not meeting demand. Or you have spot suppl y picking up in

order to meet demand. So, in which case then you have got more crude cargo es starting to move again which then tightens the mark et once again. So, the question is, how does the price of oil, which is at 80 to 83, now which is different from where it was when the cut was done, again we have an OPEC meeting coming up and we will know soon enough.
Abhishek Nigam : And when you look at your offshore NAV on a quarterly basis, so what I wanted to check was, where are the jack -up rigs price levels now versus the high s of the previous cycle . So, if I just choose a very ballpark number, I think on average a jack -up would cost about a new j ack-up will be about $180 million say in the last cycle. So, are prices approaching those levels or are we still way below that?
G. Shivakumar : So, when you say new jack -up, are you talking of a new building contract?
Abhishek Nigam : I am talking abou t a new , yes new build contract.
G. Shivakumar : A very modern jack -up in the water which is already operating . So, valuations for those have been, we have got valuations , let's say 10 years ago before the market went down, valuations have been under $210 -$230 million range. That was a high point of the jack -up value cycle, so excess of $200 million. Today those rigs would be valued at maybe a little lower of $100 million.
Abhishek Nigam : So, the ja ck-up rigs up cycle asset price up cycle has sort of just began we are still very far from this?
G. Shivakumar : So, again, we are far in the sense that it is lower in absolute terms. However, the earnings at that time were also different. So, the earnings were at least, so based on the pricing in the same market the earnings were $40,000 per day more in that market versus the most recent pricing in India. So, that is also a factor -- that additional $14 million of cashflow that you could get versus today's rates.
Abhishek Nigam : But I mean those day rates are of course also climbing so I guess it's fair to assume that asset prices will go up further.
G. Shivakumar : Yes, we will hope so that.
Abhishek Nigam : Last question from me, asset prices for containerships and dry bulk have they really co rrected to a level where you would be comfortable to acquire some?
G. Shivakumar : Containerships actually not yet, so I don't think they have corrected that much because there has been sort of a floor put under that , the market seems to be okay with buying them at higher levels also. Dry bulk also have dropped off significantly, they ar e getting closer but maybe not yet there, maybe the next transaction we say in the market, and the dry bulk market and to answer your previous question, the dry bulk market currently is a little weak. And its weaker than it was in the previous quarter, at least for the smaller sizes of vessel, the sub-cape are weaker than they

were in the previous quarter. So, yes maybe with some more weakness the dry bulk market is probably holding out for a China stimulus because of hope for a China stimulus. And may be if that doesn't come through you will have some more weakness in dry bulk rates which gives you an opportunity but not necessarily yet. But it's going in that direction.
Moderator : Thank you. We have a question from Roshan Nair from B&K Securities. Plea se go ahead.
Roshan Nair : So, as the gain on sale of Jag Lavanya so that has been booked in this quarter?

G. Shivakumar : So, the Jag Lavanya was delivered in July so that the gain will be recorded in Q2 in the September quarter.
Moderator : Thank you. We have a

question from Abhishek Nigam from B&K Securities. Please go ahead.
Abhishek Nigam : So, offshore is now EBIT positive again in this quarter and EBIT positive last quarter more or less it has been in the positive territory the last three, four quarter s. So, is it fair to assume that this is very we can broken even and turnaround and it will at least stay in the positive territory for the foreseeable future.
G. Shivakumar : We don't know about the foreseeable future but yes, the worst it seems is behind us. And yes with the repricings which are happening it appears that we will be back in positive territory , at least break even.
Abhishek Nigam : And we already know we have some data points around the jack -up rig market, on the offshore vessel side what kin d of repricings are happening like how much premium are you able to sort of command now versus the previous --?
G. Shivakumar : So, in India we are seeing repricing happening at $2,000 to $3,000 a day higher than last done on the contract, sometimes more th an that also. But on average let's call it $3,000 a day. In international markets it's much more so the international markets are quicker to react to these things and these are shorter -term contracts when there are specific requirement. So, you could even have a $5,000 to $7,000 improvement intake for a short -term contracts . So, yes every single repricing I think would be higher than the previous contract, that we have done have been higher than the previous contract.
Abhishek Nigam : And just on the ONGC jack -up rig tenders is it possible to give us some details around the dates and what is happening over there?
G. Shivakumar : So, there is a tender out currently which is five rigs tender, which is jack -ups of course . We may not qualify for that particular tender , because of the time, our rigs are getting free from the earlier contracts a little later. So, yes there are tenders which keep coming out all the time . We haven't seen a repricing since our Great drill Chaaru got reprice d where we got the contract, we have not yet gone on to the new contract , that will happen by end of this year. But we haven't seen a

price point after that. But there will be tender s, there are tenders coming all the time, in fact they seem to have quite a lot of requirements.
Abhishek Nigam : And besides ONGC, I mean who will be the other sort of customer s who are sort of putting out tenders over here.
G. Shivakumar : The long-term contracts are basically from ONGC, other players are looking for two -three well contracts for which you need rig immediately we are not really there to do those contracts and those are, don't keep your rigs really occupied for enough time. So, we prefer to do slightly longer -term contracts. But basically, the Indian market for jack -up is ONGC. The others are not really relevant here.
Abhishek Nigam : My understanding is one of the jack -up rigs is coming off contract in I think October this year, if I am not wrong. And is there a risk it could remain ideal for a while because --
G. Shivakumar : So, first rig coming off contract is the Great drill Chaaru which is in September /October this year. She already has received the next three -year contract a t a much higher pricing. So, she will come of f this contract , and do the work require d to be done between the two contacts. And then hopefully go on higher for the next contract by the end of calendar 2023.
So, that's the first rig coming off contract. The next rig comes off contract in May /June next year so that's the next rig coming off contract so there will be tenders for employment. We will bid into those tenders and if we win those tenders then hopefully we will not have idling between contracts, except for the standard where you have to do some work for

the contracts.
Abhishek Nigam : So, in the last cycle there were really four yards, maybe five yards at max which were really credible offshore yards so the two in Singapore Lamprell and one or two in China. This time what we have seen is Lamprell I think they declared bankruptcy . So, how many credible shipyards are out there which are actively building rigs and have you seen any contracts of f late for a new build contract.
G. Shivakumar : So, we haven't seen any contracts. We are told that there are some rigs which are being built in Saudi Arabia for Saudi Aramco where I think Lamprell set up a yard there, they were going to setup a yard I don't know how that's going because that's not really announced too much publicly. But it's a function of what the pricing is and one estimate we heard for say reactivation of a Singaporean yard to build jack -up rigs , so not reactivation of the yard but reactivation of the rig building activity the yards that are working and doing other things.

One estimate we heard is that if somebody said to build a jack -up at $225 million plus, and this was during an Analyst report , it said that it will take prices in excess of $225 million for a new building jack -up rig for the Singaporean yards to be interested in building again. And China of course one never knows because they are not necessarily operating fully on commercial

considerations. They may just decide that they want to get back into rig building and capture the market. But we haven't see n any orders placed for many years.

Moderator : Thank you. We have our next question from the line of Vikram Suryavanshi from PhillipCapital. Please go ahead.

Vikram Suryavanshi : Just on gas side of business we typically tend to have long term contracts but how is the renewa le coming on gas side and how are the rates there, if you can give some idea on that?

G. Shivakumar : We haven't seen so many renewals recently the rates are very high. We think that pricing will be significantly higher than our last cont acts than our current earning contracts because the market is much stronger than it was there year or so ago when we last did a pricing of our VLGC . So, the MGC or the midsize gas carrier went onto a new contract which was priced about 20%, 25% higher than she was price d in 2021.

So, yes, the rates are trending upwards because the spot rates are so high, spot rates are $80,000 a day. So, and that's going to pull the time chart er rates up. The broker assessment of time charter rigs is also much higher than it was a year ago, and maybe even higher than it was six months ago. So, we haven't necessarily seen a pricing recently in this market, in the Indian market. But we suspect that it will be much higher than last year case. We have a vessel coming up for pricing in the end of this year.

Vikram Suryavanshi : And on this cost structure side are we seeing cost structure getting any material change particular ly the way we are seeing improvement in offshore side, so on OPE X side how is he cost structure, is there any material change?

G. Shivakumar : The material change specially in offshore but also in shipping is availability of manpower on ships, there is an issue with trained manpower much more on the offshore vessels side, because of all the vessels and activity which is happening, reactivation of vessels etc. and therefore cost are going up. These are not going up in a huge way because OPE X expenses anyway were not a very large component, but yes there is cost inflation hap pening due to crewing cost. To a slightly lesser extent on the overall OPE X there are cost increases happening in shipping as well. So, this is a common theme across. It's the other c ost like dry docking cost also a little bit higher across the board .. So, I guess cost s are increasing but

not to a very significant extent. So, I would say less than 10% increase in OPEX over the last two to three years.

Vikram Suryavanshi : And i n offshore side do we have increase d the exposure outside India or having that mix between India and outside broadly in terms of revenue?

G. Shivakumar : We have four vessels operating outside India currently. We might send out a couple more vessels to operate outside India. As I mentioned, the outside markets are quicker to catch up to market movements. And if we don't get rates which we believe are fair a nd reflect the market in India

then we will move the vessels outside India. So, currently we have four, we could look at taking out a couple more vessels at least if we get decent contracts.

Moderator : Thank you. We have our next question from Nikhil Jain from Zontro. Please go ahead.

Nikhil Jain : I have a question on the cash allocation strategy, if the asset prices continue to hold strong sales for the next four to six quarters what possible cash allocation strategies could be considered such as increase d dividends or buybacks.

G. Shivakumar : Yes if the rates remain strong we could look at all of these options. We have paid out more much more dividends in the last year or so, we paid six consecutive quarterly dividends as of this quarter going bac k till Jan last year. So, we are open to paying out more dividends and we have paid out more dividends.

Buyback again depends on the price , depends on the circumstances and whether it makes sense from a capital allocation point of view. We are not there to just as we are not there to invest in ships at any price , we are not there to buy back the stock at any price, it will always be if we can see value in it, in the long term. When considering a buyback, we have to keep in mind always that there is a 23% le akage which is on account of the buyback t ax which was imposed in 2019.

And which makes it very inefficient to do a buyback. So, that's one factor which is always there when you are thinking about a buyback as a capital allocation option.
So, at current value just as an example at current values let's say it's around 800, that would add a Rs. 180 plus to the price per share that you pay. So, that's really disincentivize s the buyback, because nobody is getting that, the shareholders are not gett ing it and the company has to pay it up. So, that's something that we have to keep in mind otherwise we will be patient and wait for the right opportunity. So, we have seen in the past that it p ays to be patient really .
Moderator : Thank you. We have our ne xt question from Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.
Vaibhav Badjatya : So, my question is on the suppl y side, so I understand that shipyards are full and as you said that all delivery will be in 2026, but some of the assets which are already are ordered might get delivered in 2025 . So, my question is historically have you seen any kind of rescheduling of delivery timeline because obviously the shipyard s have a lot of containership orders and the market has completely changed , if some of the order cancellations happen can the slot which we get freight by calculation of containerships o rder be replace d by a tanker order have you seen that story happening or is it not happening ?
G. Shivakumar : We have heard rumors of one of those happenings , a containership getting , orders getting converted into tankers. However, I remember that these are large containerships which can be converted into, which are taking up a crude tanker lot. Typically, these large containership get ordered with a contract and employment contract at the time of placing the order, typically, either

that or the orders are placed by a container line itself, which has no interest in operating a tanker. So, they will tend to take delivery if they have a contract attached or if they are being ordered actually by a container line. It's only if it is an owner like us who has different sectors, who operates in diff erent sectors that you have a possibility of the order being restructured to a different type of ship, because it is a containership company it will be, if they take delivery, they will want only a containership, they don't want to convert it to a crude ta nker for instance. So far we have not seen it, in theory it can happen , but practically its slightly lower probability, we have seen this happen also in the past where tanker orders got converted to bulkers and vice versa .
Vaibhav Badjatya : On the shipyard side are capacity generally fungible, I mean or for shipyards also it becomes difficult to kind of….
G. Shivakumar : So, let's say take one of the large Korean yards, the capacity in fungible the dry dock in which they are building a large containership ca n also build a large crude carrier . So, that space can be used to build different types of ships, it can be LNG carrier as well. But if they started building a containership and they have placed orders for the equipment for a containership, then you can't change midway to a crude tanker or to an LNG ship, that's very difficult, the space is fungible and the yards generally has the capability. So, the large Korean yards ha ve the capability to build any one of those three which I mentioned. But again subject to practical consideration, how far along are you in the process of building that right.
Moderator : Thank you. We have our next question from Rajesh Agarwal from Money ore . Please go ahead.
Rajesh Agarwal : When all our LPG business are coming for repricing?
G. Shivakumar : It starts in end of this year November /December this year and go on till middle of '24 so within that six to eight months period.
Rajesh Agarwal : Starting December '23?
G. Shivakumar : That's correct.
Rajesh Agarwal : And what is th e outlook on the dry bulk market now when China reopening and all?
G. Shivakumar : China reopened quite a few months ago, Chinese imports as I mentioned earlier in the presentation have been quite strong. So, iron ore imports are up, coal imports are up a l ot because of other reasons not just because of reopening because hydropower generation was poor. So, China reopening has happened in some ways. The question then is of a China stimulus, is there a China stimulus coming which is a next possible boost for d ry bulk, yes dry bulk players are waiting for that stimulus for the market to go up, but let's see who knows i t's anybody's guess, if that happen, when it happens.

Rajesh Agarwal : Dry b ulk prices are still very low?
G. Shivakumar : Low, you mean ship prices .
Rajesh Agarwal : No, dry bulk freight.
G. Shivakumar : You mean freight rates, yes freight rates are pretty low especially for the smaller size vessels, but they are quite low. And they are much lower than they were a year ago.
Rajesh Agarwal : How has been the movement in the last one month?
G. Shivakumar : Last one month they have been moving around lowish levels. So, probably --
Rajesh Agarwal : On operating parameters are we breaking even in this dry bulk?
G. Shivakumar : We are earning on average much abov e OPEX close to breakeven on the dry bulk portfolio. But some ships are earning quite poorly but overall it 's close to breakeven or at breakeven I would say.
Rajesh Agarwal : So, maximum dry bulk are spot?
G. Shivakumar : Yes that's correct.
Moderator : Thank you. There are no further questions.
G. Shivakumar : Thank you everyone for your active participation in thi

s con -call and as always a transcript and the recording will be uploaded in a few days. We are happy to take any further questions t hat you have, you can reach out to us, you know our contact details and you can find them on our website and you can reach out to our Investor Relations team anytime. Thank you.
Moderator : Thank you sir. On behalf of Great Eastern Shipping, we conclude thi s conference. Thank you for joining us and you may now exit the meeting.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

www.greatship.com
Our Ref.: S/2024/JMT February 05, 2024
BSE Limited National Stock Exchange of India Limited
1st Floor, Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, Bandra Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051
BSE Scrip code: 500620 Trading Symbol – GESHIP
Sub: Transcripts of Earnings call conducted on January 31, 2024
Dear Sir/Madam,
Further to our letters dated January 24, 2024 and January 31, 2024, please find enclosed transcripts of the earnings call held on January 31, 2024.
We request you to take the same on record.
Thanking You,
Yours faithfully,
For The Great Eastern Shipping Company Limited
Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

"The Great Eastern Shipping Company Limited Q3 FY-24 Earnings Conference Call"

January 31, 2024

MANAGEMENT : MR. G. SHIV KUMAR – EXECUTIVE DIRECTOR AND CFO , THE GREAT EASTERN SHIPPING COMPANY LIMITED

Moderator : Good evening, ladies and gentlemen. Welcome to the GE Shipping Earnings Call on declaration of its Financial Results for the quarter ended December 31st, 2023.
At this moment, all participants are in the listen only mode. Later we will conduct a question -and-answer session.
I now hand over the conference to Mr. G. Shiv akumar – Executive Director and CFO at the Great Eastern Shipping Company Limited to start the proceedings. Thank you and over to you, sir.
G. Shiv akumar : Thank you. Good evening , everyone and welcome to the conference call to discuss the results for the quarter and nine months ended 31st December 2023. Thank you for joining us today.
We'll run through the presentation quickly and then we'll throw the floor open for questions and as always, we'll be happy to discuss any questions you may have on our business. Custom ary disclaimers apply , we don't know what the market is going to do. We are not giving earnings guidance. So please keep that in mind.

Highlights :
We had a net profit of 538 crores on a consolidated basis. Our consolidated N AV has moved up past Rs. 1,300 per share as of 31st December , 2023 . We declared the third interim dividend of Rs. 6. 30 paisa per share for Q 3, therefore taking the total dividend for nine months to Rs. 25.5 per share. This is the 8th consecutive quarter of dividend payments that we are doing .
Looking at the Results and let's go to the normalized numbers and you know what the normalized means, where we strip out the effect of derivatives and currency. So , we had a standalone net profit of 514 crores in the quarter as opposed to 605 crores in the corresponding quarter of the previous year. Tanker markets were significantly weaker than in the previous year and therefore the results were a little bit worse. This was o ffset by higher treasury income et c. But the main story is that tanker markets were not as strong as they were in the previous year October to December , that's October to December 2022 .
Coming to Consolidated :
Again, the same thing is translated more or less into the consolidated numbers as well. We have a drop from 640 crores of last year to 552 crores of this year. And you can see for the nine months as well that we are a little bit weaker than in the previous year. Again, we've seen , I mentioned the net asset value on a consolidated basis , on a standalone basis net asset value was assessed at Rs. 1,068 per share. These are the key ratios. I won't dwell too much on them. This is what I was mentioning.

So, we had $60,000 a day average earnings TC Ys for the crude carriers, which came down to just about $45,000 a day in October to December 2023. Product tankers also were much weaker from $36,000 a day to $28,000 a day. LPG carriers , we had one repricing which took the average rate up slightly. All of our LPG carriers are engaged in time charters. Dry bulk , we had slightly weaker earnings than in the previous corresponding quarter. However, in relation to the immediately preceding quarter, earnings were a little bit better. Crude tankers $45,000 versus $40,000, product tankers marginal improvement by about $1,000 a day. Dry bulk a significant improvement because we had a very strong December. I think late November to mid-December was a very strong period, especially for the Cape sizes.
Coming to what contributed to our net asset value :
And lest you think that this is only coming about by the change in the values of the ships, that's a very small contributor. So , in the last 12 months between December ‘22 and December ‘23, we've had an increase from 892 to 1068. And the (-35) is a dividend paid out so, 1068 is despite paying out Rs. 35 of dividend . A large contributor is Rs. 188 of cash profit. So that's ac

tual cash
accrual to the company. A small part is from the fleet value increase which is 24. So that's something to keep in mind that a large part of the improvement in the value has come from cashflows. This is the 5-year movement . In March ‘18 we were at Rs. 357 a share. Now we are just about 3X of that which is Rs. 1068 per share. This is not taking into account the dividends which have been paid in the interim. Similarly, for the consolidated N AV, we moved from just under Rs. 1,050 per share to 1 ,300 per share where Rs. 88 per share has come from the appreciation in the value of the assets. This is because the offshore assets have moved up significantly in value during this period. But Rs. 220 has come from actual cash profits .
Coming to what happened in the shipping market :
First, let's look at the tankers, both crude and product tankers. On a nine-month basis the crude tankers have been more or less the same as they were in the nine months of FY23. So about $51,000-$52,000 a day. This is just a Suez max that I'm talking about. They took some time to pick up after the war started. So , you can see the orange line actually went down in May -June. It wasn't very high and then it picked up and was very strong as the winter started. However, this year started stronger. So , you can see the black line even in April and May was at very strong numbers, excess of $50,000 a day.
The M R product tanker s on the other hand, had a very strong FY23 first nine months which came down a little bit in FY24 and you can see the change in the averages. A gain, these are the market averages I'm talking about. These are not necessarily our earnings. So , what drove this , just for the Quarter , tanker earnings were lower year -on-year. I mentioned that $60,000 came down to $45,000 due to a drop in Middle eastern exports. However, we also saw counterbalancing impact of increased exports from north and South America. Product tanker earnings were also lower year -on-year.

Again, refining turnaround. So , refinery turnarounds in the east reduce d the amount of product,

which was available for export, which led to lesser cargoes for product tankers. Similarly, the Chinese exports came down significantly . Last year December, that is December ‘22 saw very high exports from China. This time it was more normalized and therefore there was less demand for product tankers in the east. However, west of Suez earnings were reasonably strong , also because of the Panama Canal disruption and good product exports out of the United States . Fleet supply has not been very strong. It was only about 2% year-on-year. Asset prices continue to remain firm because even at slightly lower earnings, these are very strong earnings and therefore asset prices continue to remain firm at their highest levels since 2008.
The order book for crude and product tank er; for crude tankers remains exceptionally low at below 5% , product tanker s is a little higher at about 12.5%. H owever, it is still quite low considering the fleet profile. Also, some of the product tankers which have been ordered are Aframax sized product tankers which can switch between dirty, which is crude carriage and product carriage . And therefore, some of it might actually swing to carrying crude cargoes eventually, depending on which market is stronger. Dry bulk again, last year was not a very strong year. Capesizes improved during the year in the nine months versus last year nine months and thanks mainly to the end of the year being exceptionally strong. So , December averaged something like $30,000 a day which pulled up the average . Therefore, Capesizes have done better than they did in FY23 first nine months.
On the other hand , you can see the Supramax index on the right . The smaller vessels had outperformed. So , this is unusual. You can see FY23,

nine months, 16,711 average for the capes
while the smaller size, the Supramax, averaged 21,100. That's a very unusual situation and that reversed in this year. So , it came down to 12,000 while Capesizes went up to $20,000 a day , on average for the nine-month period. So , we had significant increase in ton mile demand. The fleet supply growth has been only 3%. Chinese imports have been p retty strong, especially in December. The reason ascribed for the strength in December was big iron ore and bauxite imports into China, both of which were long haul trades. So , bauxite typically coming from Guinea which is in West Africa and iron ore coming from Brazil which is again a very long-haul trade. Coal imports also and we've been saying this for the last couple of quarters, coal imports into China have been at their all-time highs. This was because they had an issue with hydropower generation, so they were running their coal fired plants more.
The order book continues to be quite low at below 9% of the existing fleet. So going to LPG while our ships are on time charter, the spot market does affect us when we reprice the ships and it's not necessary that we stay on time charter only.
But let's look at what the spot markets did. So , the nine months of FY24 were fantastic for the spot markets averaging $100,000 a day. Again , driven by high US exports, especially the US - Asia trade. Now this US -Asia trade typically goes through the Panama Canal. The Panama Canal was suffering from low water levels because of a weak monsoon and therefore they reduced the

number of transits. When they reduced the number of transits, quite a few gas carriers took the long route for coming to Asia from the US Gulf, resulting in a requirement for more ships and the market became tighter. So that's what happened and that's why the markets were very strong.
The order book is in excess of 20%. In a historical context, it's a pretty high number. Now, I mentioned already what the order books are. So , you have less than 5% order book for crude tankers, y ou have under 9% for bulk carr iers and (+12%) for product tanke rs. Even 12% is a pretty low order book.
Asset price movements, as you can imagine , asset prices have been strong across the board. Dry bulk had a short period where prices dropped a bit from end of December ‘22 to the middle of ‘23. However, they have now recovered and are still pretty strong. All other tanker sectors all of them, the prices are very strong indeed. In fact , for LPG, the prices are at all-time highs.
Scrapping has been very minimal, as you would imagine because the markets have been strong. Even though dry bulk was not very strong in Cal ‘23, still we had very minimal scrapping. And remember, this is 0.5 million deadweights on a fleet which is about a billion deadweight. So , we are talking about 0.5% scrapping even in the market, which was not very strong , that is dry bulk.
Coming to the oil field services business :
Greatship India Limited , fleet supply again continues to be restricted. There are the usual stor ies, there are a lot of assets which are more than 30 years old in the rigs and there are a lot of cold - stacked assets. The order book is very low because there are hardly any assets ordered for the last 7 or 8 years ever since the market dropped in 2015 . Our utilization has been improving very gradually. So , we saw a flurry of fixing happening in the Middle East, that was in ‘21-22 and they are still absorbing all the new rigs which were going into contract there. After that we have been seeing a little bit of a lull. Pricing, however, continues to improve . With every pricing which happens for a tender for term business is done at a higher level than before. So typically ,

these are done when you are coming off a 3-year contract. Typically, these assets in India are getti

ng priced between 50 % and 100% higher than their previous contracts. This is across the board. Whether we are tal king of vessels or jack -up rigs.
Looking at broad financials :
We have mentioned this before. We had levered up to buy ships and then now we've levered down because we've had very strong cashflows. We now have $250 million o f net cash that's just standalone. If you go to consolidated that's even higher.
Now coming to the share price to N AV:
While the stock price has gone up quite a bit, you will see that it still trades at a significant discount to N AV. So, we are still at 0.75 of the consolidated N AV at today's price, while the price has gone up 3x in the last 2 years. So apart from doing the shipping and oil field services

business, we are also a socially responsible company. You can find details of all the good causes that we support on our website, and these are some of those names. Thank you. That brings me to the end of the presentation, and we are happy to take your questions now.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from Amit Khetan from Lab urnum Capital.
Amit Khetan: My first question is on capital allocation. Are you seeing better opportunities for capital allocation than what you have been seeing in the last three or four quarters? And secondly, for the recent ships that we've purchased, are we still underwriting , earlier we were sort of underwriting to a 10% unleveraged dollar IRR. Is that the same underwriting criteria we are following, or have we sort of relaxed this a bit?
G. Shivkumar: Your first question was, are we seeing better opportunities for purchasing , not really . In terms of we are not seeing cheaper prices and cheaper entry points for our purchases. As you can see in the asset price chart, it's not getting cheaper and therefore it's not as attractive to buy as we would like. We don't know the returns that can be ma de and this 10%, we would have had a much higher degree of confidence at lower prices. These investments are getting subsidized by the sales of older ass ets. You may notice we bought one bulk carrier, and we bought one product tanker , an MR Tanker and we sold one of each. We sold a smaller bulk carrier, and we sold one of our older product tanker as well. What we are doing is capturing the premium again . Even the older assets have a significant premium. So , we are capturing the premium on the older assets and using it to subsidize in our minds the new assets that we are buying. So , if you look at the new asset by itself, it may or may not provide that return. However, we know that we have derisked to some extent by selling off the old assets also in the same market. So that's what we are doing. Again, this is part of modernizing. We had some old assets. We need to get out of them at some point. So , we said, let's modernize, move towards modernizing our fleet a little bit. That's the whole idea. But your point is valid. It's tough to put a number or with great confidence as to what we can earn on these projects s tandalone.
Amit Khetan: But for any new purchases which are not sort of replacement, are we going to still follow the same criteria as earlier?
G. Shivkumar: We'll be a little slow to make new purchases. These purchases have been done as replacements more than anything. So , we'll be slow to make new investments, that is to do growth investments in this market.
Amit Khetan: Second question was on the offshore segment. So , this quarter's EBITDA seems to be a little bit off compared to what we've seen last two -three quarters. Has there been some one-off element here?

G. Shivkumar: That's right, ye s, that's wel l noticed. So , we had one of our rigs, the “Gr

eatdrill Ch aaru”, came
off her old contract, which was at a cheaper price, obviously. She came off her contract. She was off hired on 1st of November and for two months, little over two months, she was undergoing the work required for her next contract. She had, of course, got her next contract at a much higher level. So , for two months she was off hi re and not just off hir e. So that's no earnings for those two months. She also had expenses towards getting her ready for the next contract. So , both of which sort of was a double whammy to the results. So last quarter's results are not an indicator of what the market is . As you call ed it, it's a one off. This will happen from time to time , typically you'll have rigs coming off contract , doing work for about 60 days before they go on to the next contract . In which time you will not have revenue and you will have expenditure. So that will

happen from time to time. Typically , once in 3 years that will happen to every rig.
Amit Khetan: And this rig is now , when does the new contract start?
G. Shivkumar: The new contract has started. We went on hire in middle of January. So , she's now on contract at the higher rate, which was a rate higher by about 75% or so.
Amit Khetan: And we have two rigs coming up for repricing in FY25. ONGC has recently floated a tender for four rigs. Are we eligible to participate in those?
G. Shivkumar: Yes, we are. In fact, for one of the rigs we have already bid, and the price bids have also opened. The usual procedure is going on. So , we haven't got an award yet, but we are in a reasonably good position to get that award. And for the second tender which has already come out, we are eligible to bid for that contract.
Moderator: Our next question is from the line of V aibhav Ba djatya from Honesty and Integrity Investment .
Vaibhav Badjatya: I just have one question. As you said during your presentation that the utilization and rates were for the rigs market and for basically oil and gas assets market improved in last few years because of increased activity in Middle East . Now we have also seen the recent announcement by Aramco , under which they are going to stop spending on increasing their capacity. I just wanted to have your thoughts on how this can impact this market and on an overall basis this can be a huge impact.
G. Shivkumar: So, this question has occurred to us also and I think there are quite a few analysts who are speculating on it. We don't know how it's going to play out. They've already taken a lot of assets on hi re, a lot of rates on hi re as I mentioned since 2021, they've been in the market. So presumably those will go on hi re. So, they've already absorbed a lot of capacities. So even without additional investment, the market is tight. So, so long as they don't reduce the number and there's no reason for th em to reduce. If they're saying that, okay, we are going to go to a certain level. We don't know what their announcement implies in terms of the number of Jackups they require. So , it's too early to tell what impact it can have. But they've already taken a lot of

assets and presumably those will start working , have already started , some have started working, others will start working soon. We'll see. It'll play out over the next few months, I suppose. But the market is tight enough. We don't need them to take more assets, really for the market to get tight.
Vaibhav Badjatya: But in terms of, can they return the asset , I don't know how the contractual terms work in this scenario ?
G. Shivkumar: Yes, I don't know. I don't know what the provisions are in the contracts? I won't comment on it because we don't know what the provisions are in their contracts.
Moderator: The next question is from the line of A ashish Upganl awar from InvesQ Investment Managers LLP.
Aashish

Upganl awar: On the rigs part you mentioned that the repricing of one of the rigs is at about 75% higher than what it used to be. I think we have a couple of rigs coming up for contract renewals. You mentioned one is undergoing a bidding process again. What would be the kind of benchmark or maybe just a feeler as to how it would be repriced? I mean, how's the market like now? What should we expect?
G. Shivkumar: The last pricing which happened and we were not in that tender. The last pricing which happened which was awarded also was 10% to 15% higher than the 175% price that I told you. That was 100% it went to 175 % when we priced. So, the last pricing was 10% to 15% higher than that price. The market has only got stronger since then. The effect of the repricing should be seen in your subsidy numbers in terms of much better profitability over the coming 12 months kind of horizon.
G. Shivkumar: Not so much in the 12 months . The one rig will have the impact and it's already having an impact because she's gone on hir e. But the other two rigs which are due for repricing in FY25 will get repriced very late in FY25. It will be only for a small part of the year. We are looking at more like FY26 for the impact of three rigs repriced at stronger rates to get fully filtered through the P&L account.
Aashish Upganlawar: And just wanted some feeler on how the standalone operations in terms of what you mentioned on the rates that on a Y OY basis for Q 3 on an average, the rates were lower. What is it looking like for maybe in January and going into February -March ?
G. Shivkumar: Rates across the board are stronger than they were in December. So that's the headline news for tankers the rates are stronger. That's the headline news.
Aashish Upganlawar: But if I recollect, last year the rates were pretty strong. On a YOY basis, we'll still have a negative impact in Q 4.

G. Shivkumar: No, I think they are probably at or higher than those levels, especially for the product tankers.
Moderator: The next question is from the line of Yash Jain from Ambit Capital.
Yash Jain: I have a data related question. What I wanted to know is since in a presentation we give the amount of change due to rise in fleet value, but can we get a data point where we can see how the fleet value or the percent of NAV has moved over the last 3 years?
G. Shivkumar: So, Yash, let me tell you what I gathered. What you want to know is, over the last 3 years how much of the NAV growth is due to increase in fleet value ?
Yash Jain: Right .
G. Shivkumar: We'll need to work that . Maybe we can connect on that. I think we have mentioned this for the last couple of years, we have been mentioning putting this slide in. I think this is just a summation of all those. But ye s, we can look at it.
Moderator: Our next question is from the line of Shreyans Gat hani from SG securities.
Shreyans Gat hani: My question was actually on scrapping. The last year or two, we've just seen very low scrapping levels. At some point, shipowners will be forced to scrap as the ships age. So just wanted to get your outlook on when we expect some scrapping levels to go up it.
G. Shivkumar: So just one thing I'd like to correct you. You're never forced to scrap because of age. You are only forced to scrap when your vessel becomes too expensive to operate or your vessel is not acceptable to a large number of customers and therefore, you're not able to earn enough revenue to keep the vessel going. There is no statutory drop-dead date for vessels. Now people are starting to put in. So , I'll caveat this a little bit. Now, individual flags are starting to put in restrictions on the ag e of ships but that is quite a liberal. For instance, you can operate a crude tanker till 25 years of age. Typically , beyond 20 it becomes a little diffic

ult to operate, little less acceptable in the market . But you can still run it till 25 years of age. So only at 25, you may be forced to scrap or sell it to somebody whose flag permits them to operate beyond the age of 25 also. Scrapping is typically a function of, as I said, when it becomes too expensive to continue to operate and you are not able to recover the continued cost of operation from the revenues that you are likely to earn. Currently, the scenario is that you are making enough money to even run very old ships. You can continue to run the ships so long as the market remains like this and it doesn't have to be very strong. This is a very strong market. Dry bulk market was not very strong and you saw last year's averages they're not huge . But with those numbers, you can make a living and you can continue to run your ships. What you need for scrapping is a weak market or if a large proportion of customers do not accept vesse ls beyond a certain age or for whatever reason , not well maintained ships . That's the only trigger you can have for scrapping. If you're looking at age, there are already a lot of ships which are above the age at which you would say, this ship

needs to be scrapped. For instance, we take 20 as the age as the useful life of a cr ude tanker. But a significant proportion of the fleet of cr ude tankers is beyond the age of 20. So , they are still operating. It's not an issue so long as you are able to get employment for the ship and you're able to run the ship at a reasonable cost.
Shreyans Gathani: So just a follow up , what would be for example, crude product and dry bulk, like certain breakeven levels where for example, you mentioned 20 years for crude ? So, what would be prices that would force people to increase their scrapping level?
G. Shivkumar: The other thing here and again, I may have oversimplified it a little bit. We had a very weak market, and you may remember it in calendar ’21, post-COVID from second half of 2020 and through calendar ’21, the tanker markets were exceptionally weak. In fact, we had the weakest tanker market of the previous 30 years. It was weaker than we had seen for the previous 30 years and still scrapping was very minimal in calendar ‘21 as well. It's tough to put a number on that. But if you have very weak market earnings just about O PEX or you have a very large expenditure coming up on your ship, you may think of scrapping it. There are also some environmental regulations which have kicked in from this year which is with regard to the fuel efficiency of the ship, which may push some ship s into being forced to scrap . Again, if the market is strong nobody will be forced to scrap because the customer will take the ship. If you need the ship, if the customer needs the ship, they will take the ship. Otherwise , there's going to be a shortage of ships. If ships get scrapped irrespective of a strong market. So , there is no number. But if you have a repeat of calendar ‘21 in terms of earnings, which was just marginally above operating expenses, then you could have some scrapping. But even that is not a given. You need at least that in order to kick scrapping off in a big way. And last 8 years, I've seen minimal scrapping in tankers.
Shreyans Gathani: That's why my question came in. So that is the basis of my question. That's very helpful.
Moderator: The next question is from the line of Devesh J hawar, who's an investor.
Devesh J hawar : My question was regarding the issue at Red Sea. The current tanker rates are inching close to —

in some of the routes they are inching close to —$100,000 a day. You were also mentioning earlier in this call that the tanker rates are strong, and they are close to where they were in Q 3 FY23, if I'm not wrong. So , do you think this is just a temporary blip that can reverse back in a

quarter's time, or this can stay for longer? Just n ot a permanent statement but what's your view on it?

G. Shivkumar: This is geopolitics. Nobody knows what's going to happen tomorrow or even this evening. So , we just don't have a comment on it. It was unexpected when it started and who knows what will bring it to a stop.

Devesh Jhawar: For now, the ton miles are going off and they are not coming back as of now.

G. Shivkumar: Yes, as of now transits have dropped significantly through the Suez Canal .

Moderator: The next question is from the line of V aibhav Ba djatya from Honesty and Integrity Investment .

Vaibhav Ba djatya : When we are showing that different value of our asset. I'm sure all of our asset will be of different vintage , some will be 11-year, 12 year, 13 years old. So is the valuation of these assets based on exactly the same vintage or it is like we take like for 10 to 15 years of age , we take the 15-year-old asset value and then include it in our asset value. How does it exactly work?

G. Shivkumar: The valuation of the ship is for the specific —not just the same vintage, it is for that specific — ship taking into account all the conditions around that ship. So , this is not our assessment. This is an assessment by two brokers, ship brokers, who give us the assessment, their assessment of the value of the ship and we take the average of the brokers. Sometimes we do three brokers also. So, this is their assessment of the value. This is not our estimate or assessment of the value.

Vaibhav Badjaty a: I understand. So, it is exactly for this specific ship.

G. Shivakumar : That is right.

Moderator: Our next question is from the line of Himanshu Upadhyay from O3 PMS .

Himanshu Upadhyay: My question is regarding what we stated about replacement. The first question here on call also and in the last one also, one of the observations was, in last five year, whatever ships we have acquired have been generally ten -year-old from 2018 onwards. And generally, we want to mean crude carrier product and we are outside India or operating most of our ships outside India. Generally, clients don't want to be in ships beyond 16 -17 years. And then we need to replace them or find some other opportunities for them. And again, if we are buying ten years, so what we are having is only five to six years of ability to charter those ships. That is one point. And the second is generally, let's say, thi s market …

Moderator: We have lost the connection for Mr. Himanshu . We move to the next question. Our next question is from the line of Roshan Nair from B &K Securities.

Roshan Nair: I just wanted to understand that, is it fair to assume that the day rates that we have for Q 3 doesn't capture the rising day rates because of the S uez Canal issue? Is it fair to assume that this quarter hasn't captured any of those impacts?

G. Shivakumar : That's right, because that happened only late in December. And. Yes, more like January, actually, where the serious rerouting started.

Roshan Nair: Another question that I had is on the offshore support vessels. So close to nine vessels were about to be repriced this quarter. So, has it been done and is it at the higher rates versus the previously contracted day rates?

G. Shivakumar : In India, the rates have been between 50 % and 90% higher. These are typically three -year contracts. So, between their last three -year contract and the current three -year contract. Few of the vessels are operating overseas, which had already got an improved pricing. But even there, the pricing bet ween beginning of last year , that's beginning of one year ago , and say three months ago when they repriced is up by at least 20% to 25%. Every repricing is happening at a higher lev

el than the previou s. So that's the broad message.

Moderator: We have a text question from Ashish Gotham , who's an investor. I will read out the question to you. Could you throw a light on the current pricing scenario, especially in the product tankers market, and also, what percentage of fleet will take advantage of the sharp rise in the prices? Do we expect Q 4 to be the best quarter of the year? Congratulations on the consistent performance.

G. Shivakumar : The current pricing is at very strong levels. I mentioned that earlier. Again, it's sometimes location dependent. In December, the M R product tanker in the west was much higher than the product tanker market in the east. So, when I talk about what the current pricing scenario is, it is across all regions, sort of an average. It is very high, they're very strong rates. So , if you had to put a number, you'd be talking of $35 ,000 to $40,000 for a product tanker , an MR tanker. And larger product tankers are doing much better than that. Typically, 75% to 80% of our tanker fleet operates on the spot market and is therefore in a position to take advantage of the rise in freight rates in the tanker market. Again, there may be leads and lags, because if you're already on a voyage, you can only reprice after a certain amount of time when the next voyage is to be fixed. As to whether we expect Q 4 to be the best quarter, we don't give guidance. We don't know also whether it's going to be the best quarter of the year, because we don't know what rates could be tomorrow when we go to fix our ship the next. And thank you for the question.

Moderator: The next text question is from Yash Jain. How has the fleet value as a percentage of N AV moved over the last three years?

G. Shivakumar : I think Yash asked that question in person when he spoke also, so that we will look at and it'll be there in the previous presentations .

Moderator: We have a text question from Shivan Sarvaiya from Humiviction Investment Advisers LLP .

G. Shivakumar : I can see the question. The question was on the repricing schedule of the three VLGCs , one of them has already got repriced. She's just gone onto a new contract at a significantly higher rate than the previous one. The other two will be repriced somewhere between March and June of this year.

Moderator: Next text question is from Rajesh Khater , who's an investor. Why has Mr. Bharat Sheth not been joining the recent calls? Earlier he used to join every call . Going forward over the next two to three years, how much percentage will your offshore business contribute to your pa t?

G. Shivakumar : On the first question, it's a matter of choice that he has decided not to join the calls. He is busy with other things and therefore he is not joining the calls. I hope we are able to answer your questions sufficiently though, because we have the team available to answer your questions. And going forward, we don't know this number because we don't know what our PAT will be in the first place with 75% to 80% of our fleet in the spot market. So, we don't even know what the PAT will be. We don't know what the re -pricings will be. So, I won't be able to answer the question how much . But the contribution should increase because till a year ago there was no contribution coming from offshore business. They were going through a very bad market. Now that the market is improving so progressively it should improve. That's a broad takeaway we can have.

Moderator: The next question is from Pritesh Chheda from Lucky Investment . In segment finance, the offshore assets has insignificant ROIC. With all the repricing of assets in OSV plus rigs, will the ROIC rise 15%?

G. Shivakumar : Again, this is a forecast. We are not going to make a forecast because again, we don't know what these numbers could be , the next repricing could

be . A lot of it is tender driven business. It depends on the competition and specific tenders. When the market was strong and the strongest year we had was 2015 -2016, the ROIC was well in excess of 15%. And that's all I can say that it can be above 15%. The rates might be different from what they were at that time. Cost structures can be different, but that's all we can say because we don't know what next year's profits can be because we don't know the pricing that we can have.

Moderator: We have an audio question from the line of Archan Pathak from Centra Insights LLP .

Archan Pathak: My question is regarding our offshore segment. When I was trying to find the offshore revenue for this quarter, which is the difference between the consol and standalone, it comes around 200 - 250 crores, right? So, on a yearly basis, if I assume it to be 1000 crore revenue, and now with large part of our fleet getting repriced in the next year at 50% to 60% higher prices, would it be fair to assume that the hike in the top line will be equally passed in the bottom line , so we can say that an additional cash f low of 400 -500 crores by repricing can come in our cash , in our balance sheet ?

G. Shivakumar : When all the assets are repriced , so again, it's important to understand that the assets don't get repriced all at the same time. I mentioned the repricing schedule. Two rigs are getting repriced late FY25. So, we will have three rigs repriced into the new rate in FY26. But yes, your broad question on repricing and the impact on the bottom line. Because the cost base is reasonably fixed except for normal cost inflation. So, it should translate into bottom line impact net of tax. There is tax payable on the drilling business. So, you have to take out tax and then it should translate. But broadly, yes, it should translate to a reasonable contribution.

Moderator: The next question is from the line of Forum Makim from JHP Securities .

Forum Makim: Just wanted to know if the current situation at Red Sea affects our fleet utilization at the moment .

G. Shivakumar : It doesn't affect the utilization of the fleet. In a sense , the global fleet utilization has gone up because ships are rerouting around Africa to go from east to west. But it's not affecting our fleet utilization .

Forum Makim: And we would be able to take advantage of the higher prices, right?

G. Shivakumar : Yes. Because the next time we fix for a vo yage , we will get the benefit of higher price s.

Forum Makim: Are the rates higher than the FY23 rates that we saw last year.

G. Shivakumar : You mean current rates, are they higher than the year ago rates ?

Forum Makim: Yes.

G. Shivakumar : For product tankers , yes. In fact, they are at the highest levels since that one month, which was when COVID hit and there was a huge storage demand . For product tankers , rates are higher than that . For crude tankers, they are still very high and probably getting close to the rates of last year.

Moderator: Our next question is from the line of Himanshu Upadhyay from O3 PMS .

Himanshu Upadhyay: The question is, on the fleet renewable. One of the observations which …

G. Shivakumar : You mentioned that ships become less marketable after 16 or so, and therefore we don't get much time if you buy ten -year-old ships, that broadly was your question, if I remember right.

Himanshu Upadhyay: And again, the price of the older ships falls much sharper. Let's say three, four years down the line, when the cycle goes down, if we let us say, do the back testing that in 2005 , 2006, 2007, 2008 if we would have replaced our 20-year ships not with new, but let's say this ten year old ships, how would it have done, let’s say at 2015, post eight, nine years, then what strategy we followed in the last cycle? And some thoughts on that and the working of IRRs.

G. Shivakumar : First on the marketability and tradability of ships, it's not just on the age, it's on how well you maintain your ship. We have found that our ships, and we are running our MR t ankers, we have quite a few ships which are (+) 18 years of age. We are able to trade them worldwide. These ships are trading worldwide, so there is not much restriction in their tradability, because we ensure that they are maintained to the standards required. So, it's not just that at certain age vessel gets knocked off. So that's one . Some customers will say beyond 20, I can't take it, some terminals will not accept, et c., but that is at 20, not at 16 or 17.

Second, coming to the past. So, in back testing, and it's interesting that you should mention back testing, because that is exactly what we looked at. So, in back testing, you will find that a ten -year-old ship will give you a better return than a more modern shi p. And in these old ships, typically, what you're doing is you're earning in a hot market , so in a strong market, the differential in earnings between, let's say a 17 -year-old ship, which is worth, and let's say for an MR t anker, may be worth $18-20 million, and a twelve -year-old ship, which may be worth $32 million. Just giving numbers as an example, the differential in earnings is not much, unless one of them is Eco, in which case then you have to pay a premium for that Eco also. The differential in earnings in a strong market is not much between these ships. We saw this actually in the boom where we had bought single hull tankers and we got tremendous ban k for the buck for buying those ships, because you could buy two for the price of one five -year-old ship. And so, you made twice the earnings on buying those cheaper ships. Obviously, those were 15 -year-old ships, and that was more extreme. So, in back testing, you do best if you buy older ships, even 15 -year-old ships , obviously, we'll not buy too many 15 -year-old ships. But ten -year-old ships work perfectly fine. They are acceptable for at least eight years after you buy them for a tanker. And they give you very good cash flows, which enables you also to reinvest in the business because they are producing such significant cash flows as a proportion of the capital employed in that ship. Again, we are not going to only go with t en-year-olds. Don't get me wrong. We may buy even younger ships. And last time actually crude tankers we bought ; we bought five cr ude tankers in 2016 -2017. Of those five, four were between five and seven years of age. Only one was an older ship, which was actually a 17 -year-old ship, which was available very cheap, but we actually bought between five and seven years of age. So, while in an excel sheet, it looks great to buy a ten -year-old ship, but we'll not be restricting ourselves. If we get a good ship which is seven years old or six years old, we'll buy that also at a good price.

Moderator: Next question is from the line of Roshan Nair from B &K Securities.

Roshan Nair: I just wanted to understand, how are situations panning out at Panama Canal? It still continues to be a key driver for higher day rates across the globe.

G. Shivakumar : Actually, the Panama Canal situation has got eased a little bit. I think maybe the fact that Suez Canal transits were reduced, maybe some pressure was there on them. They have not dropped. They were going to drop to, I think, 20 transits or something like that, but they are still at 2 2 to 24 transits per day. So currently the LPG market, and again, also because LPG trade has not been very strong , so LPG market has dropped off, but that's not because of Panama Canal. But Panama Canal transits have picked up slightly in the last month or so. They announced that they're going to relax and have more transits. But, Yes, the water levels have not

increased.
Ideally, the water level should be 85 plus, but now it's still at 81 or 82. It's recovered a little bit from 81 to 82, but they are permit ting more transits currently.
Moderator: Our next question is from the line of Anuj Sharma from M3 Investment .

Anuj Sharma: Sorry, my connectivity was intermittent, so pardon me if I'm repeating the question . I was just trying to understand how the capacity is evolving at the shipyards.
G. Shivakumar : Capacity at shipyards , there's not much capacity available to produce ships in the short term. So, I think we are 2024 and 2025 fully booked. I don't think you can find a slot there. Basically, all of this has been booked building LNG ships and container ships. So, it's not really available for conventional tankers and bulk carriers. In fact, there was a report which said that there are hardly any slots available even in 2026 for building large cr ude tankers. So capacity is still quite restricted for ordering new ships. In the foreseeable future, there is unlikely to be a significant amount of new supply of ships into the market , at least the dry bulk and tanker sectors. It's not that any large amount of capacity is being added, if that is a question you're asking.
Anuj Sharma: Just a corollary, we see some order book rise in the product tanker market. Anything to read into that?
G. Shivakumar : In fact, even the crude tankers have seen quite significant ordering in December, but it's still a pretty low order book. It's been building up. But 12% order book for product tankers is not that much , and if you just take tankers as a whole . And as I mentioned earlier that a lot of the product tanker orders are Aframax size ships which are called LR2s. Y ou build them with the coating so that they're able to carry products, but that can actually swing between the cr ude trade and the product trade. If you take the entire tanker order book as a whole, divided by the tanker fleet, we are still talking about 6% to 7% order book really . So not a huge number.
Moderator: We have a text question from the line of Gaurav Chopra from Lemon International. How do you see the freight rates trajectory in the next year?
G. Shivakumar : We don't give outlook because the main reason is that we don't know what these rates can be. We don't give an outlook on the freight rates.
Moderator: The next question is from Abhishek Nigam . What is the amount of the one -off expenses booked in offshore in this quarter?
G. Shivakumar : The amount was a little above 40 crores, about $5 million.
Moderator: The next question is from Anil Thakkar from Jalansh Advisors . What is the bifurcation of contracted ships versus spot ships in your fleet?
G. Shivakumar : Typically, about 80% of our fleet is running on spot or spot related rates. Contracted is 20% or less of the fleet.
Moderator: The next question is from Forum Makim . Does the rescue situation …

G. Shivakumar : This question was already taken on the voice call . And I think the next one also was taken from a gentleman .
Moderator: Sir, t he next question is from Rajesh Khater , who's an investor. Rephrasing my question. If the average freight across all ship categories by …
G. Shivakumar : This one is too much of a hypothetical because all of these rates, we don't know . When we are talking about rigs and vessels, how much the repricing could give a bump up in the results , we don't know those rates so it's impossible to give an answer to that. We don't know what the number could be.
Moderator: The next question is from Vikram Suryavanshi from PhillipCapital India Pvt Ltd . What is dry docking schedule in fourth quarter FY24?
G. Shivakumar : I think we have two or three vessels being dry docked and some of these can

spill one month
here and there. So, two to three ships being dry docked in this quarter.
Moderator: The next question is from Himanshu Upadhyay . Are we looking for opportunities for offshore support vessels outside of India as generally the rates are high there and we are seeing two -year contracts being signed. How many offshore support vessels will be outside India?
G. Shivakumar : Out of our 19 , we have five vessels currently outside India, if I'm not mistaken. And yes, we always look for opportunities. Whenever vessels come up for pricing, we look for opportunities. Some of the vessels are more suitable for some regions, so there are some limitatio ns there. But we do actively look . We have a marketing team which is capable of marketing internationally and which has relationships with customers overseas. In the last year and a half, we have taken two vessels out of India. So Yes, we are always lookin g for opportunities . But it's rare to get two-year contracts outside India.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference

over to Ms. Anjali Kumar, Head of Corporate Communications and Finance, for closing
comments.
Anjali Kumar: Thank you very much everyone for that really engaging session. And I do realize that we had a lot of forward -looking questions which as you should understand in our business is very difficult for us to make any calls beyond the very -very near term. However, please do keep engaging with us and r each out to our team with whatever other queries you may have, and we will be very happy to meet with you. The transcript of this call will, of course, be uploaded very shortly. Thank you everybody again for joining.
G. Shivakumar : Thank you everyone.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference call. Thank you for joining us and you may now exit the meeting.

Call: May 2024

THE GREAT EASTERN
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Dalal Street, Bandra Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051
BSE Scrip code: 500620 Trading Symbol – GESHIP
Sub: Transcripts of Earnings call conducted on May 10, 2024
Dear Sir/Madam,
Further to our letters dated May 06, 2024 and May 10, 2024, please find enclosed
transcripts of the earnings call held on May 10, 2024.
We request you to take the same on record.
Thanking You,
Yours faithfully,
For The Great Eastern Shipping Company Limited
Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com
The Great Eastern
Shipping Co. Ltd.
The Great Eastern
Shipping Co. Ltd.

“The Great Eastern Shipping Company Limited Earnings Call
on Declaration of its Financial Results for the Quarter and
Year -ended March 31st , 2024. ”

May 10, 202 4

MANAGEMENT : MR. G. SHIVAKUMAR – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER , THE GREAT EASTERN SHIPPING
COMPANY LIMITED
MR. RAHUL SHETH – THE GREAT EASTERN SHIPPING
COMPANY LIMITED
MS. ANJALI KUMAR – HEAD, CORPORATE
COMMUNICATIONS , THE GREAT EASTERN SHIPPING
COMPANY LIMITED

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Moderator: Good Evening, Ladies and Gentlemen. Welcome to GE Shipping Earnings Call on Declaration of its Financial Results for the Quarter and Year -ended March 31st, 2024.
At this moment, all participants are in the listen -only mode. Later we will conduct a question -and-answer session.
I now hand over the conference to Ms. Anjali Kumar, Head of Corporate Communications at The Great Eastern Shipping Company Limited, to start the proceedings. Over to you.
Anjali Kumar: Thank you, everybody for joining in today and welcome to the Earnings Call for our Q4 & FY'24 Results .
I would just like to take a minute to introduce our panel today. The Presentation will be made by our Executive Director and CFO – Mr. G. Shivakumar and followed by Questions and Answers from all of you.
To handle the questions, we have of course Mr. Shivakumar, and we also have from the Management Team Mr. Rahul Sheth, who will also take questions along with him. So, handing over to you, Mr. Shivakumar.
G. Shivakumar : Thank you, Anjali. Good evening, everyone and thank you for being here for our Conference Call for the Q4 and FY'24 Earnings Presentation.
First of all, a standard disclaimer:
We are not intending to forecast, and we don't intend to give guidance on future profitability. Please keep that in mind when we have our Q&A.
Highlights are that we had our highest ever reported net profits of 2,614 crores consolidated. Our consolidated NA V has moved up to about Rs.1,400 per share as of March'24. We have declared a fourth interim dividend of Rs.10.80 per share, taking the dividend for the year FY'24 to Rs.36.30 per share, which includes a special dividend of Rs.7.50 per share on the occasion of our 75th Anniversary.
You would have seen our P&L. I am not going to spend too much time on it. We are of course net cash on a standalone and a consolidated level. On a normalized basis, the last quarter was our highest ever quarter in terms of net profit. The previous highest quarter in our history was Q4 FY' 23 where we had a net profit of Rs.662 crores, this quarter we had a standalone net profit of Rs.701 crores. On a consolidated basis also, this is our best quarter at Rs.851 crores net profit.
Looking at the NA V per share, on a standalone basis, we have gone up from Rs.962 per share in March '23 to Rs.1,127 per share in March '24. This is after paying significant dividends during the year. On a consolidated basis, as I mentioned earlier, our NA V has moved up from around

Rs.1,160 per share, mid -point of the range to around Rs.1,400 per share. I will not go through the next slide s. This is just the trend of the quarterly EPS.
Looking at what happened during the quarter, just in terms of the rates and then we'll go into what went into those rates as well. Crude tankers, product tankers, even LPG did significantly better than they did in Q3 FY'24. In the case of crude and product tankers it was because of the spot markets being high. In the case of LPG, it's because w e went off contract at a certain rate and we repriced that contract at a significantly higher rate. All our LPG ships are on time charter. Dry bulk rates were a little lower than they were in the October -December quarter, but the tankers more than made up for it.
Looking at the year, you can see that crude tankers were marginally better in FY'24 than in FY'23. Product tankers were a little worse, though still at very profitable levels and LPG carriers because of the repricing of contracts to slightly higher level, did a little better than in FY'23, but dry bulk was significantly weaker in FY'24 versus FY'23.
Looking at the standalone NA V , I mentioned that 960 went up to 1127. Rs.1

90 came from cash
profit which is PAT plus depreciation. Fleet value change contribution to this was insignificant. So, a large part of the NA V accretion has come from cash flows and cash accruals. Out of this, we paid out Rs.35 in dividends during the year and therefore the NA V went up by about Rs.165 per share.
Five years movement in standalone NA V . So, we have a CAGR of 25% between March '19 and March '24. If you look at consolidated also it is a similar CAGR because we were at about Rs.450 per share in March '19 and we are at about Rs.1,400 per share in March '24. This does not take into account the dividends that have been paid in the interim.
Changes in consolidated NA V , again Rs.226 per share in cash profits. We had some fleet value improvements on the offshore side, so that contributed Rs.41 per share.
Let's take a quick look at what happened in the shipping markets. As I said, the spot markets were possibly slightly weaker than they were in the previous year. So, in Q4, we had a year -on-

year drop in earnings for crude tankers, basically because we had a very strong Q4 of last year. However, it was stronger than in the immediately preceding quarter.
Product tankers earnings were higher year -on-year. One of the factors which came into play was the tension in the Red Sea which led to significant rerouting of global tonnage around the Cape of Good Hope. Red Sea transits for tankers dropped by about 40% i n Jan -to-March quarter as compared to the previous quarter, which means more ton ne-miles for tankers. Overall, the trade declined slightly for crude tankers, however, made up by the ton ne-mile impact. Order book for crude and product tankers have built up but are still quite low and we will see that in perspective in a couple of slides.

Dry bulk, we saw the markets recovering a little bit for the larger sized ships. So, we saw the capesize going up from $15,000 on average in FY'23 to $21,000 on average in FY'24. You will recall that the previous year was the year of the sub -cape performing well because of the minor bulk commodities doing well. Now, it's large commodities which have done well and therefore the capes have outperformed. So, we saw the Sup ramax earnings drop from $18,000 a day to about $12,000 a day from FY'23 to FY'24. Again, I must reiterate, these are not our earnings, these are market earnings that I am talking about, these are market indices.
So, we had an unseasonally strong quarter in Jan -March, traditionally a very weak quarter. Typically, the Chinese New Year, Brazilian weather impacts tend to push rates down in Jan -to-March. However, this quarter was very strong and therefore cap esize spot earnings. You can see this number, 175% higher year -on-year. Even the sub-capes were much higher compared to the previous year. So, we had significant supply of iron ore coming from Brazil, which moved into China and Chinese iron ore imports continue to be strong. Coal imports into China also continue to grow strongly as a result of lower domestic coal production in China and greater c oal demand for electricity generation. So, the Red Sea disruption also impacted here where again you have between 40% and 50% of ships routing around the Cape of Good Hope.
Asset prices here firmed up, 10% to 15%, in line with the growth in earnings. The order book continues to be fairly low at less than 10% of the fleet.
In LPG, just to reiterate, our ships are not in the spot market, they are on time charters, but the market was strong, FY'24 was much stronger than FY'23 and the order book has built up quite significantly; we are at abo ve 20% order book for LPG. Asset prices are at all -time high levels for LPG carrier s.
One of the significant factors over the last six months has been the two canal disruptions and two very important maritime p

otential choke points. As I mentioned, Suez Canal trade dropped by 40% to 50% from a year earlier, while trade through the Panama Ca nal also has been affected. This happened since October. Drought at the Panama Canal has posed restrictions on the number of ships that can pass through the Panama Canal on a daily basis. So, that came down from about 32 to 34 transits per day, down to at its lowest point, 20 transits per day. Now it's coming back up because they've had some rains and the levels are improving, but you can see the graphs there, if you see the blue line on the right, you can see the increase in transits around the Cape of Goo d Hope, while the transits through the Suez Canal have dropped off significantly starting in January. On the other side, you can see the gray line, which is the Panama Canal, where you can see from October onwards, the transits have dropped significantly. This mainly affects exports from the US Gulf to the Far East which used to transit through the Panama Canal, especially LPG, which then had big ton ne-mile impact and we saw LPG spot rates going up to $100,000 a day in December, January.

Looking at fleet supply, we have shown this slide very often. As I mentioned, you can see the purple line, the current order book for gas carriers, it is at about 25%, while the order book for the other three kinds of ships are quite low in historical term s.
So, on the flip side, there are only two permanent things in shipping. One is new ships coming into the fleet and the other is ships being removed from the fleet due to scrapping. We've seen scrapping being at very low levels. The average scrapping percent age over the last 5 -6 years has been only about 1.5% and a lot of old ships are still around because the markets have been reasonably strong. All of this sort of gives a cushion in a weak market where a lot of these older

ships, which are only able to oper ate because of the strong market will have to go or will tend to go first in a very weak market. And we thought we'd put this in a graph. The Y -axis is the percentage of aging fleet, and here we've defined the aging fleet for bulkers and tankers as those above 20 -years of age, and for LPG carriers a s those above 25 -years of age. So, if you see for instance the crude tanker order book, which is at about 7.5%, but the fleet, which is old is 18%. For dry bulk carriers, the order book and the old fleet are about the same. In product tankers also, you will find that, while the order book i s 15%, the aging fleet is also a similar number. It's different for LPG. LPG is a commodity which has seen very strong trade growth and where we've actually seen the fleet going up 2.5x in the last 10 -years.

Looking at asset prices, we have mentioned that asset prices have been very high for quite some time now. So, they continue to go up and in recent months we've seen dry bulk asset prices also move up quite sharply.

Looking at Great ship, this is a little bit of background. FY'16 to '21 we had a very challenging period for Great ship and indeed the entire industry worldwide utilization levels across asset classes were very low, charter rates came down to levels which generated basically no EBITDA if you were lucky enough to get a charter and a very large part of the industry went t hrough financial restructuring or reorganization. In our case, we paid down a lot of debt. Thanks to our risk management and having a lot of contract coverage, we were able to come through it unscathed. We had minimal cash depletion. We paid down a lot of debt. And post FY'21 utilization levels have improved, the market bottomed out and E&P activities have started to increase, contracts are getting repriced, every contract gets priced at better than the previous employment contract of that asset. So, if you have a vessel

coming of f a charter, let's say a three -
year charter at X -dollars per day, typically the repricing would happen at $1.5 -2x per day. So, the business has now come back to profitability.

Utilization, there's been a gradual improvement. This is up to March. Now in the month of April, we've had a little bit of a setback for the global jack -up market. Saudi Aramco had announced earlier in January that they are scaling back on their target of reaching a 13 million barrels a day production capacity and they're going to take it back to 12 million barrels a day. This has been seen in action in the last month or so where they have either off hired or suspended contracts on

at last count about 22 jack -up rig s, and leading to a drop in utilization, so that market is in a bit of a state of flux now. It remains to be seen what happens now next to that market.

We will not go through fleet supply. Let's look at what assets we have up for pricing. We have 12 vessels up for pricing. All of them have been bid into tenders and businesses, whether in India or overseas and are in a reasonably good position to win business. The on e thing which has happened is that our rig Greatdrill, Chetna which is scheduled to come off contract in end of June, that's end of next month and where we had bid into a tender in India . We have just received news that the tender has been cancelled. So, we will look at what other options are there. Typically, rigs which are working in India during the southwest monsoon and which are due to complete their contracts during the monsoon period, typically get extended through to the monsoon period because they cannot move during that time. So, let's see what happens with the Chetna and we'll look at what other employment options there are as well.

Coming to financials, we've seen this graph before. We levered up to expand between FY'17 and FY'19 and then we reduced our debt just by shee r cash flows coming in from the business. So, we have about $350 million of net cash currently.

And share price to consolidated NA V , our consolidated NA V as I mentioned is about Rs.1,400 per share and our stock continues to trade at a significant discount to that net asset value.

Just touching on what we do on the CSR front, since 2015 when we started our foundation, we have partnered with 49 NGOs. We've helped reach good education outcomes for more than 1.5 lakh students, we have helped good health outcomes for almost 1,20,000 women and children, and we have provided for around 42,000 women especially providing entrepreneurship training and helping them to set up small business es. These are a list of our CSR partners. All details are available on our website, and we would invite you to go and check it out. We are very proud of what we have achieved on the CSR front.

The other thing is on our presentation you'll find the link to the coffee table book. We invite you to take a look at that as well. Thank you. And now we can go to Q&A where we'll be happy to take your questions.

Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. We have our first question from Rajesh Khater, an individual investor. Please go ahead.

Rajesh Khater: Sir, your maximum fleet is in product carriers and dry bulk carriers, almost 34 out of your 44 ships are in these two segments. So, I mean, what is the reason that you have positioned yourself more on product carriers and dry bulk carriers so disproportionately especially when you say that LPG trade has been growing significantly over the last many years?

G. Shivakumar : So, it is not a conscious strategy. We are quite agnostic to what sector we invest in. Actually we entered the VLGC sec

tor specifically and we have three (VLGCs), Very Large Gas Carriers for the first time in 2012. So, we made a st art there and yes, we have only four LPG vessels, but they've been very profitable, though it's not that the product tankers have been less profitable than the gas carriers. All I mentioned was that it's been a significantly growing market. And for us, the growing market really doesn't make that much of a difference because we are not that big that we need a much bigger market to grow. There's enough space to grow even when the market doesn’t, since we have very small proportion of the overall global fleet. Rahul , do you have anything to add to it ?

Rahul Sheth: So, we have seen historically that it's not that one segment has outperformed the other segment materially. At different points in time, different segments have done well. So, whenever we are looking to invest our capital, we are always weighing the decision between one sector or the other. So, it can be a situation where at one point in time you have more crude tankers than product tankers. We are not wedded to one particular sector.

Rajesh Khater: So, going forward also when you decide to invest your capital in buying new ships, will you have any affinity for a particular sector or there's no such thing in mind?

Rahul Sheth: No, we have no particular affinity to one sector over the other. We will always look at relative pricing between the sectors if the capital is limited and it also depends on where you are able to obtain the ships, because in the second -hand market you also have to have deals that you can transact. However, a broad goal which the company always tries to focus on is to be diversified across various sectors. Now, the level at which you're diversified between different sectors may vary from time -to-time, but we have seen that different markets may do well at different points in time and other markets may do poorly at different points in time, therefore, to be diversified is more important.

G. Shivakumar : To answer your question, if you have an opportunity to buy, say, a gas carrier, let's say the markets come to the levels at which we would like to buy. At any point, we will look at which is the ship to buy, which is most likely to give us the best possibl e return. It's again like a portfolio manager. You have to look at asset giving best possible re turn when you have scarce capital, you have to try to allocate it accordingly .

Rajesh Khater: Because I think you mentioned that LPG trade has grown about 2, 2.5 times over the last many years, whereas the crude trade has probably come down probably, right. So, -

G Shivakumar : It's not come down. So, again I will reiterate. It doesn't matter whether the trade has grown or not. What matters is the investment returns that you're making from that business. We are an international shipping company. The crude trade not growing does not mean we can't grow. We can be five times our size in crude tankers without being too big in the market. So, the growth of the actual trade is not really a factor here when we are thinking of purchasing. We are looking purely at what is the return that you can make from that asset. Also one more thing, just keep in

mind is that when you look at trade, trade is a factor of two things. One is the total amount of cargo that has moved and second is the distance that that cargo has moved. So, you can have a situation and if you see the tanker market before the war and post the war, the amount of oil on water has changed marginally higher. However, the ton ne-mile, which is the distance travels times amount of commodity carried , has increased substantially because of the war and the change in the trading pattern, and because of that you have much higher tanker rates. And also, you have to alwa

ys keep in mind the supply side. You can have higher growth in demand, but you can also have higher growth in the supply of ships, which means that net -net you may not be better off in a trade that just grows faster. So, you have to look at all the factors to determine whether or not the market would be higher or lower.

Rajesh Khater: And the 12 vessels that are coming up for repricing and you said that one of the tenders where you intended to participate has been cancelled. So, what are your plans now and how are their prospects looking end of June.

G. Shivakumar : The vessels that are coming up for repricing have all been bid into businesses and are likely to get their next contracts at higher than the previous contracts. These are the offshore vessels. They've all been bid into tenders and the market is fairly tig ht. The one which I referred to the tender being cancelled is on a rig where we have just received the news of that tender being cancelled and therefore we will now evaluate our options with regard to that rig.

Rajesh Khater: Sir, this other income of Rs.163 crores, what is it comprising of?

G. Shivakumar : A lot of it is treasury income. We have a very large amount of cash because we have generated so much cash. So, that's treasury income.

Rajesh Khater: You've mentioned in the slide the order book versus scrapping potential. As an individual investor, I mean just can you help me understand the significance of this, for example, let's say an LPG carrier which has a high order book and a low aging fleet versus a crude tanker, I mean, can you just help me und erstand the significance of this chart?

Rahul Sheth : So, let me just go on to the crude tankers and product tankers where the order book is relatively low as compared to the scrapping potential. So, when we say, it's potential, the point is that largely over the age of 20, tankers find it hard to trade in international markets because either charters or terminals have restriction. Having said that, it is not necessary that those vessels will be untrad eable. We often see that in tight markets, you can have a situation whereby the vessels trade longer than ag e 20. So, as of today you're seeing many vessels above the age of 20 but are not being forced to scrap because the rates are very high, owners are earning much above their costs on those assets and charters are also willing to accept those vessels because the market is very tight. However, if the market comes down and charter ers have a lot of choice and those owners with older vessels are unable to trade those vessels or they're unable to employ them sufficiently well, they may then be forced to scrap those ships and therefore there is a potential for the supply of vessels to co me down. On LPG, it's the reverse where the order book is high

enough and there isn't many vessels that are likely to be scrapped, because even if the market comes down and your vessels are relatively young, then you will tend to hold on for a longer period of time before you come up with the decision to scrap the vessel.

Rajesh Khater: By order book, what do you mean here, I mean, you're referring to the order for the supply of new carriers?

Rahul Sheth : That's right. So, if you see the order book of a crude tankers at 8%, it means you take the total fleet of crude tankers in the water and 8% of that is on order for delivery generally, over the next two to three years.

Moderator: We will take our next question from Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.

Vaibhav Badjatya: So, on this Saudi Aramco changes in the capacity and cancellation of rate, are you also seeing some impact on OSV market or it is largely restricted to ri gs?

Rahul Sheth : So, at the moment we are not seeing such an impact on the offshore vessels. On

e thing to note

is that the offshore , it's the number of vessels, the number of units are much larger. Also, the offshore vessels supply both the jack up market and the deep sea market and we are seeing sufficient demand in the deep sea market. So, the offshore vessels are well employed all across the globe. So, on that as of today, we are not seeing a major impact.

Vaibhav Badjatya: And in the context that get repriced in first half '25? If you can help us understand broadly what is the extent of repricing both on PS Vs and anchor handling supply vessels separately broadly, what is the current rate they're earning, which is coming into our financials and what is the last pricing which is indication of this?

G. Shivakumar : We don't give out the rates at which these vessels are earning. Suffice to say that the earning rates and the last contract which have happened are between 50% and 100% higher than the rates at which these vessels are currently earn ing. And the markets continue to be there at close to 2x what these contracts are running at current. So, there is enough business for offshore vessels. That is something I want to emphasize.

Moderator: We will take our next question from Pritesh Chheda from Lucky Investment. Please go ahead.

Pritesh Chheda: On the Great ship side, what will be the incremental EBITDA addition that Great ship would have seen, the subsidiary?

G. Shivakumar : Are you talking about in the coming year or you're talking about the past year?

Pritesh Chheda: No, just the quarter gone by.

G. Shivakumar : So, if a couple of contracts got repriced you would have had an impact of $8 million to $10 million additional EBITDA that is year -on-year Q4.
Pritesh Chheda: So, standalone minus consol is largely Great ship EBITDA?
G. Shivakumar : No, we will have the segment results there to see that. But we also have a trading subsidiary which does chartering and freight derivatives that also comes in the consolidated, it does not come in the standalone.
Pritesh Chheda: Is it fair to assume that when I was listening to your last call or let's say the last couple of presentation had talked about 7 vessels to be repriced in H2 FY'24. So, those would have flown into your EBITDA in the second half of FY'24?
G. Shivakumar : Yes, most of them would have flow ed through to the EBITDA again for short periods of time. Because all the vessels that were employed as of April.
Pritesh Chheda: Incrementally, we'll keep seeing build up on this EBITDA because there are another 15 vessels to be repriced in FY'25?
G. Shivakumar : That is correct where the market stands currently, yes.
Pritesh Chheda: At whatever the current market and the market stands in , these contracts are usually three years, right?
G. Shivakumar : Yes, These OSV contracts usually are for three years. The rig contracts are also three years.
Pritesh Chheda: My other question is, in the first two months of the current financial year on the commercial shipping side or the merchant shipping what are the rate increases, what are the Q4 averages?
G Shivakumar : Product tanker rates have stayed around the same level or they've marginally been stronger. The crude tanker rates may be marginally weaker, but not that much, maybe a little bit weaker than they were in the previous quarter, but again this is as of the last one week and this changes from day-to-day.
Pritesh Chheda: And the bulk?
G Shivakumar : Bulks have been getting much stronger in the last week to 10 days, especially the smaller vessels.
Pritesh Chheda: So, Saudi off-hiring 20 rigs means about 5% incremental supply. Do you see that's significant enough to change the mood in the rig market? Because what I heard was the ONGC were looking for rigs and ONGC had this 26 rig plan. So, does it change the dynamics of the

rig market, which is in such a short supply and there is no incremental rig getting added.

G Shivakumar : In practical terms, it does not necessarily change the supply scenario in the Indian market. We are not seeing any of those.
Pritesh Chheda: Let's say globally also 5%.
G Shivakumar : So, globally, these rigs obviously have to go somewhere else and we've seen I think one or two of the rigs, they've already announced the rig of the drilling operators announced that they've got contracts elsewhere. But they are unlikely to actually come into India to work because of the specifications required in India. But on the other hand, mood is, one never knows. It's difficult to quantify how sentiment will be.
Rahul Sheth : But before this news, the market and utilization of the jack -up rigs were above 90%. So, even when you see a 5% reduction, which you're right, it still is about maybe 85%, 87%. So, in the grand scheme of things, the jack up rig market is still quite tight. We've not seen any similar announcements from any of the other oil majors and there is still interest in other oil majors to still contract . So, we'll have to see how this development plays out over the next few quarters.
Pritesh Chheda: Our four rigs are on Indian shore to be deployed on Indian shore or outside India?
Rahul Sheth : As of now on the Indian shore, but I am not saying that it's restricted to India, they can operate in other places.
Pritesh Chheda: As of now, they are in Indian shores deployed?
Rahul Sheth : As of now, yes, all four.
Moderator: We will take our next question from Himanshu Upadhyay from Buglerock PMS. Please go ahead.
Himanshu Upadhyay: This question is a follow up from last quarter, okay, where we stated that the focus currently is on replacing of older vessels with new vessels on product tankers and we have done some deals. But just I had a question was this that we are selling old MR t ankers nearly around USD14, 15 million approximately and buying new ones for USD30 to USD35 million approximately. We have replaced two MR tankers recently. So, the sunk or invested capital is nearly $60 million. Why not directly buy one MR tanker, which w ill be again nearly for $30 million and the invested

capital will be similar to $60 million, which we are doing by replacing old with the newer one? The question is because the revenue days will be three for $60 million versus two revenue earning days on p roduct tankers what we are doing. Yes, the base assumption is the market will remain good for two, three years, but that is the assumption which we are making even for replacing old vessels with the new vessels, and hence why not directly the additional ca pital we are doing or adding, we directly buy one more ship for replacement of two ships, where am I wrong in my assumption or I am confused slightly here?

Rahul Sheth: One is the major assumption that the market will be good for the next two, three years. We don't know that. In the replacement, you're right, we are replacing our older vessels with newer vessels. So, some of the older product tankers which are hitting twenty in Cal'2024, they generally tend to come closer to the end of the economic life. Because the market is very strong and asset values are very high, we are able to capture a premium on those older vessels vis -à-vis what we would have normally gotten if the market was at a much lower level. When we buy a slightly more modern vessel , we buy more life and we are paying a higher price than we would normally like to pay. But the premium that we have captured during the sale is somewhat being recirculated back into the vessel, which is slightly younger. So, when you look at that math,

right, we believe we are being conservative in the way we are investing this capital. While we keep exploring the way to deploy our capital, at these price levels, we are a bit cautious in terms of investing and going net long into the business.

Himanshu Upadhyay: See, the question is the base capital investment remains $60 million in what we are doing and versus adding one more ship directly, okay. But my IRR will be much more front -ended if I have three ships versus two ships because my day rates or the carriers will be -

G. Shivakumar : Himanshu, sorry to interrupt, But yes, I have got your point. So, where we are adding on the one ship of capacity upfront and you're saying why don't you just add that one ship capacity instead of saying that you're going to move out of two old ships and move into two modern less old ships, let's say -

Himanshu Upadhyay: The IRRs, how does it impact? I found the IRRs are better.

G. Shivakumar : So, what you're saying is why don't you just buy outright a modern product tanker instead of doing these switches. The issue with doing an upright purchase is then you need a very strong market in order to justify it because you know where the asset prices, th e asset prices are at their highest level since 200 8. So, you need to price in a very strong market for the next three to four years in order to justify it. And what we are doing is simply saying that we don't know if that will happen and we can't bet on that happening and therefore, we are saying in this high part of the market, we are trying to limit the amount of capital that we put to work, we are maintaining our market position, we are ensuring that those couple of vessels which are getting towards being overaged and cannot be traded freely in the international market , we move out of those and maintain our position in the international market with some additional capital, but reducing the amount of capital which could potentially not meet our target. Let me just give an analogy in the market. In the stock market, you c an choose to say I am going to put new money to work in this market or you can say I am going to quit out of one of the stocks where I have made money and put it into another, I am just moving my money from one to the other. So, we are just trying to limit the amount of investment we make in the high part of the market .

Himanshu Upadhyay: See, I don't agree to the stock market analogy, because here you are getting three rent yielding assets, okay, stock market is not a rent yielding asset, okay. So, there is one point of difference

in that analogy, okay. And the second is if the base assumption we are not ready to invest incremental because the markets are high and that is the assumption we'll need to make, but then if that is the whole thought process, then why do we renew also the old ship to new because the base capital you are putting is $30 million from the older vessels what you sold and $30 million for the new vessel, what you put in which is $60 million, okay. So, I hope you are getting from where I am coming, okay. The three revenue days you get versus two. And if we are not ready to take the risk of for putting incremental money, but then I think there is some point of difference of opinion here.

Rahul Sheth : So, one of the things is just let's talk about the net long position, right, where you're just buying a ship outright. The thing is that we should not get overly carried away with the current yield, right? Because while today the markets could be very strong, they can be very weak in the future and then what looks good on paper today could eventually look very bad in the long -term, right, it is possible, not necessary, but it is possible. And we always play on probabilities. And today, with the way the markets are, the price levels w

hich they are, you need the market to be strong for a longer period of time to make this project justify. However, on the switching, right, yes, okay, that is a fair point that then why even do the switch. But like I mentioned earlier in the conversation, let us just take a very, very crude example. Let's say you're willing to pay a Rs.100 for a ship, right, and today because of the way the market is, it's at Rs.150, you are selling that asset and capturing that Rs.50 premium which you normally would not have gotten unless the market was this strong. And then you go buy a younger ship, right, which is let's say priced at Rs.200, that's also priced at a higher price of Rs.250. So, that also has a premium. So, you're recycling the premium from one ship to the other. So, you're being more conservative. What is your other next best option? Your next best option is to lose the capacity entirely. And then what happens is that, if the market does remain stronger for longer the n you don't have a ship to take advantage of that. Also another issue as a shipping company, you need to maintain a certain level of exposure in the market because you have charters, customers, employees, you have a whole system to keep running. So, you ma y not want to be a point shrink your capacity in your market presence. So, you have to balance between the two. It does not need to be a binary outcome where you say, okay, fine, if you're not willing to add additional ships, then why not lose all your current existing capacity?

Himanshu Upadhyay: See, there is a third option, okay, which you are not talking about. Let the older ships run in good and in these times when the capacity is scare, the ships can be run for another two or three years and the risk capital which I am saying remains 30, it d oes not go to 60.

G. Shivakumar : That assumption that you are working under is not correct. What you're describing was very true in 2004 to 2008. We ourselves ran 25-year-old ships in the international market. It is not valid today unfortunately or maybe fortunately. There are a lot of trades which are just not available to an older ship. So, your 20 -year-old MR or 21 -year-old MR tanker irrespective of the condition and we run very good ships. Irrespective of the condition, all they look at is what was the date of build of the ship. If it has crossed so and so age, it is not acceptable at this terminal or it is no t

acceptable to me to carry my cargo. That is one change. What you are saying was very true in 2004 to 2008. The market is different today and we will actually not be able to participate in a lot of trades with overage ships. I agree with you, in a hot marke t, the best ship to have is the oldest ship. You just take the MR rate for the last two years has been probably $33,000, $34,000 per day. And if you take your EBITDA, you produce $18 million of EBITDA. Nothing could have been better than having a 20 -year-old ship two years ago, which was worth maybe $10, $12 million. No investment could have been better than that. Unfortunately, those are the numbers on an excel sheet. They don't work because a lot of the customers and lot of the trades do not accept 20 -year plus ship.

Himanshu Upadhyay: And what would be the strategy on product tankers also for us, would we also like to replicate the MR strategy on product tankers where also the -?

Rahul Sheth : MR tankers are the other product tankers.

G. Shivakumar : Sorry, did you mean -?

Himanshu Upadhyay: Sorry, the crude carriers. Okay. I made a statement.

Rahul Sheth: So, we will look at that also because like one of the other analysts asked that we do have fewer crude tankers and product tankers and beyond a point, we wouldn't want to lose that capacity as well. So, we will explore switching those as well, but we still have some time be

fore we need to make the decision.

Himanshu Upadhyay: See, this Great Drill Chetna, the cancellation of order what has happened, is there any minimum payment or cancellation fee which you will -?

G. Shivakumar : Sorry. It's not a cancellation of a contract or an order. It was a tender which was under processing which has got cancelled and is not being awarded.

Rahul Sheth : She is currently ready for the next contract, that tender got cancelled.

Moderator: We will take our next question from Dhruv Aggarwal from Niveshaay. Please go ahead.

Dhruv Aggarwal: Sir, how do you see the demand outlook in the offshore segment on the logistics and the drilling side, sir?

G. Shivakumar : So, the demand outlook is fine for the vessels we mentioned earlier. Even for the drilling rigs except for this one event, which is happening because that is such a large global customer, not for us, but in the market they were in the process of having 90 jack -up rigs, which is a very large proportion of the market. Otherwise, the sentiment for the vessels continues to be very strong. The rigs, as somebody previously said, the moo d in the market might not be as positive as it was for the last year, year and a half. But again, that's something which change s, with these actions

that could turn around also. Sentiment continues to be strong because of what's happening with oil prices. Oil prices have remained pretty high and E&P activity also continues to be very strong .

Dhruv Aggarwal: On the logistics side, how is it?

G. Shivakumar : It's running perfectly fine. The businesses are getting awarded at much higher levels than they were running at previously. So, sentiment is strong in the offshore logistics business. The vessels are running well, are getting priced at very strong rates.

Moderator: We will take our next question from Abhishek Nigam from Motilal Oswal. Please go ahead.

Abhishek Nigam: So, just on the delivery schedule for product tankers, do you have any visibility because that order book number is 15% -odd. So, I mean, I am just wondering if that segment is running into some trouble.

G. Shivakumar : Just one thing there nuance, which you have to see in the product tanker order book, a very large part of the product tanker order book is LR2s and while we talk about aging fleet, etc., typically, LR2s beyond a certain age tend to move, and you know that LR2s are basically Aframax sized tankers which have ability to carry clean petroleum products. Typically, after a certain age, LR2s move into the Aframax freight. So, they switch from being product tankers to crude tankers. And a very large part of the order book is LR2s. Even the ships which are on order, typically, owners, the cost to creating that option to trade as an LR2 is not very high. So, $1.5-2 million, on an Aframax tanker which probably costs $70 million to bid. So, typically people will just put that option onto their ships and build their ships as LR2s, so they can even trade them in the crude tanker market. So, a significant part of the product tanker order book is LR2s and could easily move into the crude tanker market. So, that's something to keep in mind.

Abhishek Nigam: And offshore has a pretty good show this quarter. So, is this number sustainable or the other way to ask is, is there any one -off over there which may not get attributed?

G. Shivakumar : There's one one -off which was 12-13 crores, which was a reversal of an impairment which we had taken earlier on one of the vessels. But otherwise, the significant event is the repricing of the Greater Charu, where the headline rate went up by about $30,000 -odd a day. So, that was the one event. But yes, I think I mentioned earlier that the business is coming back to profitability with all the pricings that have happened in the last year

, year and a half.

Abhishek Nigam: So, on this issue of rig suspensions in the Middle East, my understanding was that on a lot of those contracts basically they were suspended for a year and mobilizing the rig out of Middle East really takes a while especially if you have to go to say North Ame rica or if you have to come to Asia. And so, practically speaking, the incentive is not very high for those guys to move out because there's a big mobilization cost involved and then one year later you would still end up getting employe d in the Middle East and everybody wants to be in the Middle East because

that is really the center of action in oil. So, are you seeing sort of like a rig moving out or is it more like people are sort of more in a wait and watch mode for now?

G. Shivakumar : So, I saw at least one rig if I recall, right, being fi xed into Egypt, which i 's still the Middle East. We haven't followed what's happening with the specific rigs. But what you say is correct that people will tend to stay here unless they land a contract, they're not going to move the rigs into another region of speculation. So, if they bid and they get a contract, they could move, but they're not going to move on speculation. That's not the way the business works. So, they will probably like to stay here for some time and keep their position in we could call it the queue, it's not really a queue, but to just say that we are still hanging around here waiting for the contract. So, if the point you're making is, it's not likely to result in a glut of rigs in other markets, you're right, it is unlikely to result in a shift of rigs.

Moderator: We will take our next question from Kunal Tokas from Fair Value Capital. Please go ahead.

Kunal Tokas: My question is about the LPG carriers especially the strong order book that we see here, so the strong order book coupled with the relatively young age of each vessel and given how prone the shipping industry is to the capital cycle, do you foresee any risk of the capital cycle turning especially in the VLGC business?

G. Shivakumar : Yes, it is a possibility. So, just to give you an update on our business itself, typically our LPG carriers have run on time charters. We have recently repriced two of our vessels on time charter itself on two -year time charters and the repricing has happened at a significantly higher rate than previously. So, they are at about 40% higher than the previous rate. So, these two vessels will come off contract in the coming two to three months and will go on to the higher rates. We're not express ing necessarily a view on what could happen to the market. What we are saying is that our pricing on the contracts has improved significantly. I think what you're hinting at is that there could be an overbuilding of LPG ships. It is possible, it could happen where we don't know what could happen and what could trigger a drop or a change in the demand/supply balance for LPG ships, but it is possible because that happens in shipping cycles, especially very strong shipping cycles.

Rahul Sheth : But we have also seen in the past, sometimes the order book for LPG has been strong, but the demand has been stronger, and the market has sustained longer than we expected. But at least from our own position, we have contracted our VLGC fleet.

Kunal Tokas: In response to one of the questions you mentioned that you can easily be 5x the size that you are without tempting the overall balance of the market. So, what stops us from doing that and is it fair to assume that you will grow much faster in terms of your capacity, not necessarily the revenues, but in terms of your capacity when the market is in a downturn because then the asset prices will be much more at tractive to you?

G. Shivakumar : Yes, a good question. The answer to your last question is yes, it is our intention, and we have the financial capacity and the balance sheet as well to grow significantly in the next downturn when the prices are right. So, yes, that is our intention. There is a lot of room to grow. And what I mentioned we have six crude tankers currently . Five years ago, we had 12 crude tankers, several of them were old and had to go. So, we were twice the size that we are currently just five years ago. As I said, we can easily grow to five times the size without really causing a dent or becoming too big. So, it can happen and as you rightly identify, it is our intention at the next opportune market, we will look to expand significantly.

Moderator: We will take some text questions. We have a text question from Shivan Sarvaiya from Humiviction Investment Advisers LLP. The first question is could you please provide the reasons for the increase in other income? What constitutes other income? And the second que stion is, as the markets tighten in the offshore segment, how has the cost of operating a rig or a vessel moved over the last 2 -3 years, could you please quantify?

G. Shivakumar : Thank you for the question, Shivan. Most of the other income is treasury income. As you know, we have very significant cash balances which have built up a lot in the last two years as the markets have been very strong. What has also happened is that a large part of our money is kept in dollars and you know what has happened to dollar interest rates over the last year and a half. Basically, what has happened is that we have more dollars and we have the equivalent of $650 million currently including the rupees and the dollar. So, all of that goes into other income.

Rahul Sheth : And on the second question, I think maybe costs have gone up by 20%, 30% over the past 2 -3 years. As the markets have tightened, the demand for the crew onboard the rigs and the offshore vessels has increased. Along with it, even general inflation in spare parts, stores, etc., for the vessels and the rigs have increased.

Moderator: The next question is from Narendra Khuthia from RoboCapital. What kind of revenue and margins are we looking at in the next two years?

G. Shivakumar : Yes. As I mentioned earlier, we do not forecast and we don't give guidance on revenue or margins or profits. A large part of our capacity is operating in the spot market, especially in shipping.

Moderator: The next text question is from Jinit Savla. Instead of paying out dividends, why can't we move towards share buybacks?

G. Shivakumar : We don't see the relationship really between dividends and share buybacks. Our buybacks are done as part of capital allocation. We look at buyback as the ability to buy into our business at a very cheap price, whenever those opportunities are available. I t is not a replacement for dividend. Dividends are part of our cash flows that we are returning to our shareholders. So, we don't look buyback as a replacement for a dividend.

Moderator: The next question is from Rajesh Agarwal from Moneyore. Ship bought and sold. Are we net long from previous year 2023 -2024 to curren t 2024 -2025 in terms of revenue and absolute EBITDA after normalization in Panama Canal and Suez Canal. Will the overall transit time increase?
G. Shivakumar : So, I think there are several questions here. Our capacity for FY ’24-25 as it stands today is more or less the same as it was in FY ’23-24. That ’s the first one. In terms of revenue and absolute EBITDA, we don ’t know. As I said, we don ’t forecast revenue and EBITDA because the rates are very volatile, and a large part of our capacity is in the spot market. But if you have normalization in Panama Cana

l and Suez Canal, the transit time will reduce and reduce tonne-mile demand for ships.
Rahul Sheth : Panama Canal mainly has an impact on the gas carriers, while the Suez Canal mainly has an impact on the product tankers. So, it depends on. And it also depends to the level at which it is reversed, because is it reversing because there's been a lot of disruption because of the changes in the movement through the canal.
Moderator: We have a question from Harsh Chandaliya, an individual investor. Could you please throw some light on shadow fleet in the crude tanker segment and impact of recent U.S. sanctions on crude tanker segment in FY'25? Is the 18% aged fleet in crude tanker segment inclusive of shadow fleet?
Rahul Sheth : Yes. So, the 18% includes the shadow fleet of tankers .
G. Shivakumar : The U.S. sanctions that we have seen are for I think some small operators. So, far we don't see what impact they have because some of these ships just moved from one operator to the other. I don't think they have been very widespread sanctions .
Rahul Sheth : Those are referring to those individual ships sanctions.
G. Shivakumar : That's right.
Rahul Sheth : But the US has also been tightening the checks because you can carry Russian crude if you're below the price cap. But some operators, especially in the shadow tanker fleet were carrying crude over the price cap. So, the US government has been trying to make it tougher. So, a lot of players who have been trying to carry the Russian crude, there has been some impact with reduced Russian loadings.
Moderator: I'll read the next text question from Rajesh Khater, an individual investor. Does the normalized financials exclude the profit from sale of ships? And second question is, please tell more about the subsidiary in GIFT City.

G. Shivakumar : Noormalized financials include profit from sale of ships. We believe that this is a part of our normal business. The subsidiary in GIFT City is in the process of being set up. It is not yet operational. The intention is to do some shipping business through that subsidiary.
Moderator: The next question is from Darshan Patel, an individual investor. The first question is, since the tender for the offshore rig stands cancelled at the onset of monsoon season, how will it affect the operation of that particular rig? And the second question is where do you project the price of bunker oil for the next few quarters as compared to the previous few quarters?
G. Shivakumar : Yes, the operation of the rig continues as before. The current contract continues.
Rahul Sheth : So, generally we have seen that ONGC tends to extend the rig during the monsoon. We will know that in some time, whether they're going to redeliver it in the early part or the end of the monsoon. Of course, we have to work on the next contract for the rig. And on the bunker prices we actually do not do a forecast of where the prices are going to land up over the next few quarters.
Moderator: We will take the live questions now. We have a question from Devesh Jhawar, an individual investor. Please go ahead.
Devesh Jhawar: My question is regarding the rates and decision of fixing the vessel on the time charter. So, the rates currently as we are speaking, I think they are probably higher than the last quarter's average. So, would the management take a call on placing some product tankers on time charter, some part of the fleet on time charter? And secondly is in the presentation you pointed out that we are trading at a significant discount to our NA V . So, our cash earning yields are close to 19% and we have a lo t of treasury lying idle. So, would we like to do a buyback, after buyback tax also it makes sense to do a part play as a capital allocation measure to do a small buyback, that would yield better in t

he future.
Rahul Sheth : So, on the product tanker fleet or at least in the group tanker fleet, so our preferences are generally to remain on the spot market. We have seen that often it is better to be in the spot than to take time charter cover and our balance sheet is generally very conservatively leveraged so that we can always take advantage of the spot market because that comes with its own risk. Having said that, we have taken some cover on a few of our product tankers as a general call on the market.
G. Shivakumar : Where we were getting very good rates , we have fixed out a couple of our ships. And we look at these transactions all the time ; it depends on what opportunities come out. Now coming to the issue of the buyback, etc., you pointed out correctly that there is a significant tax leakage there. The cash yield is very tempting, yes. The concern is about what can happen if the prices come down, which is the prices of ships. So, it's not yet. We don't believe that including the cost of the buyback tax, etc., it's very tempting for us to do. We will wait for an opportunity. We believe

that at some point we will get an opportunity to invest in ships at the prices that we like. So, we will wait for those opportunities for now.
Devesh Jhawar: And sir, lastly, not regarding the business of company, but as a sectoral question is, how are ship repair rates going forward, is the ship repair cost significantly higher from pre -COVID levels or no, they are just the pre -COVID cost plus some inflation?
Rahul Sheth : Yes, it's broadly pre -COVID cost plus some inflation.
Moderator: We will move on to the next question from Rajesh Agarwal from Moneyore. Please go ahead.
Rajesh Agarwal: My question is, after the reprising of 12 offshore vessels which is coming now, what can the EBITDA go up incrementally from the last year?
G. Shivakumar : Again, I mentioned we don't give any guidance.
Rajesh Agarwal: I am not asking for the EBITDA guidance. Just because of repricing because we are already in the verge of repricing na, that is -
G. Shivakumar : We just don't have a practice of giving earnings guidance.
Rajesh Agarwal: I am not asking for the guidance. If it is repricing because it is difficult to understand, last year the EBITDA was 200 crores in offshore, after repricing it can be 300 or 400 crores, what?
G. Shivakumar : We believe that the EBITDA will be significantly higher because of the repricing happening at significantly higher rates.
Anjali Kumar: So, thank you everybody for joining in. And as usual, the transcript of this call will be up on our website very shortly. And of course, please feel free to reach out to our corp comm team for any other clarifications or details that you may want and thank you once again for joining.
Moderator: Ladies and gentlemen, that concludes this conference call. Thank you for joining us and you may now exit the meeting.

Call: Aug 2024

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Sub: Transcripts of Earnings call conducted on August 01, 2024

Dear Sir/Madam,

Further to our letters dated July 24, 2024 and August 01, 2024, please find enclosed transcripts of the earnings call held on August 01, 2024.

We request you to take the same on record.

Thanking You,
Yours faithfully,
For The Great Eastern Shipping Company Limited

Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

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August 01, 2024
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MANAGEMENT: MR. G. SHIVAKUMAR - EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER - THE GREAT EASTERN
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MR. RAHUL SHETH - MANAGER - THE GREAT
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SHIPPING CO. LTD.
Moderator:
G. Shivakumar: The Great Eastern Shipping Limited
August 01, 2024
Good evening ladies and gentlemen. Thank you for standing by. Welcome to GE Shipping Earnings Call on declaration of its financial results for the quarter ended June 30, 2024. At this moment all participant are in listen-only mode, later we will conduct a question and answer session.
I now hand over the conference to Mr. G. Shivakumar, Executive Director and Chief Financial

Officer at The Great Eastern Shipping Company Limited to start the proceedings. Over to you, sir.
Thank you, Yashashri. Good afternoon, everyone, and thank you for joining us for this conference call to discuss our Q1 results and the markets. So let's go through the presentation first, and then we'll be happy to answer questions. I have Mr. Rahul Sheth here with me, who works with the MD very closely, and we will be happy to answer your questions. First disclaimer, the usual one, we are not giving projections, projections of earnings. We do not intend to give projections of earnings, so please don't take these as earnings guidance.
So let's go through the highlights. First of all, we had a net profit of 1NR812 crores on a consolidated basis, significant improvement from Q1 of FY '24. Our consolidated net asset value moved up to INR1,464 per share as on 30th of June and we declared an interim dividend of 1NR9 per share. This is our tenth consecutive quarterly dividend. We have now paid about INR1,100 crores in dividends over the last 2.5 years.
The reported results, I won't go into it much. You would have seen these results and if you have any questions on that, we'll be happy to take them. We had a net profit on a stand-alone basis of INR668 crores and on a consolidated basis of INR812 crores. We show usually the normalized financials, which is after stripping out the effect of the derivatives and the currency impact because that used to have a very significant impact on our results. So the net profit after tax for stand-alone was INR677 crores and consolidated was INR817 crores.
We mentioned below our net asset value per share on a stand-alone basis, our NAV per share is INR1,181, up from INR1,127 in March, so within the 3-month period. We won't go through these ratios, that's the EPS history. This is broadly how the markets have done -- how our ships have performed. Crude tankers were slightly weaker than Q4 and then Ql of the previous year. So $46,000 versus about $53,000 in Q4 and Q1 last year. Product tankers were around the same levels as in Q4 and much stronger than in Q1 of last year. Again, this is because mainly due to the Red Sea effect, where the ton mile increase for product tankers was very significant because of the rerouting around the Cape of Good book rather than through the Red Sea.
LPG carriers were around the same levels as in the previous quarter. but significantly higher than in Ql of last year. Again, all of our vessels are on time charter. They have got fixed on new time charters at significantly higher levels than they were earlier. And dry bulk, again, was higher than it was in both the previous quarter and the corresponding quarter of last year. This is reconciliation of the change in net asset value between June '23 and June '24, we had a cash profit of INR200 per share. And so most of our accrual in net asset value has come from cash flows. And we emphasize this every quarter. because the understanding of net asset value is that

it is a mark-to-market gain. In this case, the INR200 increase has come from actual cash profit, some of which has, of course, gone out as dividends already to the shareholders. But the mark-to-market portion of this gain is very minimal. It's only 1NR19 per share. In -- over the last years 5 years -- 5 years and 1 quarter, the NAV has gone up from INR374 to INR1,181, which is a CAGR of 24%.
On a consolidated basis, also there is a significant amount of cash profit. So the accrual has been about INR260 per share, of which INR248 has come from cash profits. And about INR50 has come from change in fleet value, and this is on the offshore side.
Let's look at the shipping markets. What's been happening with shipping markets. We've already discussed the TCY that our ships earned. This is what the broad market data is. So this is not what our ships earned, but this is based on broker reports on market earnings. So you can see that the Suezmax, which is crude tankers have earned somewhat less than in the same quarter of the previous year, about 11% lower, while the MR tankers have earned about 26% higher than they earned in the same period last year.
Now let's look at why this happened? Crude tanker earnings were softer year-on-year. And the big factor was Chinese crude imports, which has dropped by close to 1 million barrels a day. This is, again, April to June over April to June last year. Refinery margins have been weak, and that continues till today. So that was probably the reason for the crude tanker earnings being softer year-on-year. Product tanker earnings, as I mentioned, got a tonne-mile boost from the conflict in the Red Sea. And so while both seaborne crude trade and product trade declined by 2% and 1%, respectively, the product trade had the advantage of having a tonne-mile boost. And so the market actually tightened versus a year ago. Supply hasn't been much. There's not been much deliveries either last year or this year. So the fleet growth was only about 1% to 2%.
Asset prices continue to be strong as a result of the strong earnings. The order book has been building up in the last 6 months or so. So crude tankers, we have seen the order book bottoming

out at about 3% to 4%. That's now at 8% -- a little over 8% and product tankers, which were in the low -- in the mid- to high single digits are now at 17% of the fleet.
In dry bulk, we saw the markets being stronger than they were in the last year. both for Capesizes and for the smaller sizes. Here, we have taken the Supramax as an indicator. And what led to the strength, basically, we had Chinese iron ore imports going up. we had Chinese coal imports going up as well. While Chinese steel consumption apparently has not been going up much. Iron ore imports have gone into inventories, inventories at ports which, of course, is borrowing from future demand potentially.
And we've also had strong steel exports from China to compensate for the lack of demand domestically. Coal imports have gone up because they had a hydropower issue, but this is now starting to reverse. Red Sea disruption continued to support the drybulk market in a small way. Again, the biggest impact of the Red Sea disruption was in the product tanker sector, and the other sectors had only small impact. In fact, in crude, it might have had a small negative effect as well. The bulk fleet grew by about 3%, and the order book is just under 10%.

Looking at LPG, the trade declined marginally -- but still U.S. exports continue to gain market share. The spot rates have come off very significantly. So in the same quarter of last year, they were at $75,000 a day for a VLGC while they've come down to just over $50,000 a day. again, very healthy levels even at these numbers. But again, our ships are not on the spot market. We are operating on time charters. Fleet growth has been very, very strong, 12% year-on-year for the VLGC fleet.
The one factor which gave a boost to VLGC earnings about 6 months ago was the Panama Canal disruption, where due to a shortage of water, the Panama Canal restricted ships going through to -- they went down, I think, to 20 ships per day passing through the Panama Canal from the peak, which was about 32 to 34. They have come back now to 34 ships. They propose to take it back up to 36 ships. So that has entirely reversed now. VLGC asset prices continue to be at record levels. These are even higher than we had seen in the super cycle of 2004 to '08. And the VLGC order book, of course, is very high. It's at 25%.
Looking at the fleet supply situation, the order book, I've mentioned the order book already, and you see the gas carriers at almost 25% order book. but it's good to keep these numbers in perspective as well. A large part of the order book is tail ended, the deliveries are tail ended, so there's very little delivery actually happening in 2024 and '25. So if you see the crude tanker order book, which is at a little over 8%, only about 2% is being delivered in the next 18 months. In the product tanker order book, which is about 17% plus, about 7% is being delivered within the next 18 months. And if you look at the dry bulk order book, about half the order book, which is about 4.8% is being delivered within the next 18 months.
LPG, 20% is being delivered in 2026 or later and only 5% within the next 18 months. Scrapping, of course, with the strong freight markets, scrapping continues to be very low to non-existent, and this is resulting in a build-up of a scrapping overhang. That is ships which under normal circumstances or under weaker markets would be scrapped but are not being scrapped and because the earnings are so high. So if you just look at -- we made a grid on 2 axis. The y-axis is the ageing fleet where we have defined the ageing fleet has 25 years and above for LPG ships and 20 years and above for the other kinds of ships.
And you just have to compare that. So if you look at crude tankers, for instance, the ageing fleet is more than 15%, which is aged more than 20 years, while the order book is at only about 8%. In dry bulk carriers, it's about 10% old ships versus 10% order book. In product tankers, also it's about 15% old ships versus about 17% order book. In LPG, of course, the order book is very high, and the percentage of old ships is much lower at only around 9%.
Looking at asset price movements, as one would expect, asset prices are high because of the strong markets. In fact, dry bulk asset prices have been going up despite the markets being nowhere near as strong as in tankers, but money is chasing good ships. Looking at the business in great ship, there's a gradual improvement in utilization internationally. We, of course, had the event with Saudi Aramco a few months ago, where they did a few cancellations. Now this is a fleet supply, and we've had this old fleet for a long time now, which constitutes about 1/3 of the rig fleet and about 1/5 of the PSV and AHTSV fleet.

Let's look at our own contracting. We have 2 rigs coming off contract in the second half of FY '25, which is -- both of which are working on 3-year contracts and will come off after the monsoon. So somewhere around October and November, we will have them coming off contracts. We had bid both of these into tenders in India for 3-year contracts. Those tenders seem to have been kept in abeyance and you could even say they have been cancelled. So we await further news on new tenders coming out. In the meantime, we are also looking at other options, including short-term contracts with other customers.
In terms of vessels, we have 5 vessels coming up for repricing in the next 3 months itself. And we will see -- typically, repricing have been happening at higher rates than the previous contracts. The debt repayment schedule for great ship is that they have a very steady repayment schedule. Now they have done a refinancing of their debtt, and this is to be paid over the next 3 to 4 years.
Looking at the financials, and this is again one of our standard slides. This is Great Eastern's stand-alone. We went up to $360 million of net debt. We are now down to net cash of $350 million. There is a $700 million swing in the last 5 years. So we peaked in March 2019. And so in the last 5 years, we've had this $700 million swing. And remember that this is after paying out dividends over this period of about $160 million to $170 million.
And this is, again, a chart of share price to consolidated net asset value. We have now moved close to the consolidated net asset value. This is the details of our CSR activity. We have partnered with 53 NGOs since 2015 -- mainly in the areas of education, health and livelihoods and we are proud of the activities that we have done here. One of them is somewhat in the newss these days, Olympic GoldQuest, with whom we've been associated for quite some time.
That brings me to the end of the presentation, and we welcome questions from you.
Moderator: We have a first question from Rajesh Khattar, an individual investor.
Rajesh Khattar: You had formed a subsidiary in Gift City, I think, a quarter ago. So what business do you intend to do in this subsidiary? Can you give some details on that?
G. Shivakumar: Yes, I'll ask Rahul to take that. Rahul?
Rahul Sheth: Yes. So we just set up this subsidiary. The purpose of this was as everyone is aware that the government has given a lot of benefits to set up companies in Gift City and the main intention of that company is to conduct in-chartering activities at the moment. We currently have 2 ships in-chartered.
Rajesh Khattar: Okay. So you plan to expand into this line of business significantly over the next few years?
Rahul Sheth: So we will have to see how this develops. At the moment, we've just made a small start by taking 2 ships in. And this is a direct derivative of our existing business because when you are buying ships to just give an example, if I buy a ship, which is 15 years old and she has 5 years of life left. If I in-charter a ship for 5 years, I've created the same exposure in the market for 5 years

because I've got a fixed rate, and then I may play the spot market. I can also fix it out. But if I play the spot market, then you make the spread over and above the in-charter rate and the spot market or if I buy a ship, I make the spread between the spot rate and the breakeven rate of that asset..
Rajesh Khattar: Okay. So that's great to know. I mean, I think it's after several years that GE ship is venturing into a new line of business, even if it's an adjacent line, so that's great to know.
Rahul Sheth: I can't really call it a new line of business, and we have done in-chartering activities in the past as well. At times, we have also won a contract with an oil PSU, where we've had a COA, where basically we make a commitment to conduct a few spot voyages for which we, at times, in-charter vessels for 1 voyage at a time to facilitate that COA. It's just a different way of serving our customers. You can either own a ship and provide those services or you can charter in a ship for a longer period and use those to provide those services to the customers. So again, it's not new. We've been doing it. We used to do it sometimes through overseas subsidiaries sometimes directly. And so it's not a new line of business for us. That's the only thing that we want to plan.
Rajesh Khattar: All right. But do you have any plans to expand into any adjacent businesses? Do you have any such thing on the drawing board?
Rahul Sheth: No, not at the moment.
Rajesh Khattar:
Rahul Sheth:
G. Shivakumar: Okay, fine. My next question is last quarter, in response to your question, you had said that it is

difficult for you to find business with old ships and that is why you are swapping them for relatively less old ships. But I just wanted to understand then how does the buyer of your old ships employ them?
So what happens is that you have a large international market where let's just take the oil trade, right? You've got a lot of oil majors such as Exxon, Chevron, Shell. You've got many prominent ports in the Middle East and East Africa and India. For a large percentage of the trade you will find that they have age restrictions on the vessels they are willing to take.. That does not mean that there are not any section of ship owners who are willing to take older ships.
If we like say, for example, on the coast of China, there is more leeway you can get. So say, a 20-year-old tanker may be difficult to apply on the international trade. But on the coast of China or certain other trades, you may be able to run them for a few more years. So the buyers that buy from us will take those ships and apply them on those trades. But those trades are not available to players like us.
And it's also that we have decided what our market segment is. Our market segment is that we want to be able to operate our ships internationally without restriction. And we don't want to have a significant part of the fleet facing these restrictions due to age. And therefore, we all say that we are out of there. Other players may feel -- that they feel happy operating under those circumstances. And that's each individual company strategy. It's possible to run them. It's just that we don't want to be in that market or we can have access to the market as Rahul said.

Rajesh Khattar:
Rahul Sheth:
Rajesh Khattar:
Rahul Sheth:
G. Shivakumar:
Rajesh Khattar:
G. Shivakumar:
Okay. And my last question is, what are the triggers for further NAV increase from here? So do you see earnings remaining firm across all types of ships, at least in the foreseeable future? Can you give some guidance on that?
See, we don't give guidance because we frankly don't know. There are so many events that can actually bring down the market or take up the market. So at this moment, earnings by and large, are quite strong, but we can't really say much more than that because frankly, we don't know.
Okay. But your offshore business, I mean as soon as the rigs and vessels are repriced, they should contribute significantly to your console earnings, isn't it?
So the offshore vessels, we have repriced many vessels at substantially higher rates compared to the previous, meaning the outgoing rate. They're all up 80% to 100%, and the market is holding quite firm. We have gotten coverage of approximately 70-ish percentage for this financial year. And we hope that the remaining coverage that we still have to get remain at the same rate. On the rigs, like Shiv just mentioned, we've got 2 rigs to price. So it depends on what pricing we get for those rigs.
Message is that they will start contributing much more to the profitability than they have in the last 4 to 5 years because they've been going through a bad patch, and the market is turning around.
The vessels that you have already repriced. If I were to take them as a factor or as a percentage of your console earnings for the year that has went by, how much of that would be? Will it be like 10%, 20% or less normally?
No, it's small. So their contribution because the numbers in the shipping business are so high, so let me just give you one set of numbers just to illustrate. The average earned by the shipping fleet over the last year is probably $30,000 a day, something there, okay, close to $30,000 a day. over 40-plus ships. And when we're talking about the repricing of the offshore vessels, we are talking about a fairly low base. And they were talking of repricing of $4,000 to $5,000 a day and across a total of 19 vessels. So it's not a huge amount, too. In the context of the overall. It's just a contribution on the margin, and it will be a significant contribution. But if you look at it in the context of today's earnings of the shipping business, it's not very high.
Moderator: We have a next question from Shantanu Pawar, an individual investor.
Shantanu Pawar: My first question was about what kind of incentives are you expecting the government to provide for local shipping companies? And do you think these incentives could be structured towards creating a national champion as mentioned in the newspapers a while back?
Rahul Sheth: I think at the moment, all of this is not very clearly defined. So I think we should just wait for the government to come out with something more cconcrete before we comment on anything.

Shantanu Pawar: Right. And my second question is about the freight rates and our PSU clientele. So given that the freight rate...

Rahul Sheth:
Shantanu Pawar: The Great Eastern Shipping Limited
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Could you just speak was up slightly because it's a bit faint for us.
Sorry, yes. So my next question is about freight rates and our PSU clientele. So given that the freight rates have been quite buoyant lately, do you think our PSU clientele will agree for any long-term contracts after their current contracts have ended at these current prices?
Rahul Sheth: So are you talking about the shipping business?
Shantanu Pawar: Yes.
Rahul Sheth: So all our ships are -- or most of our ships are on the spot market and our business model isn't to rely on PSUs coming up with long-term contracts to keep our utilization up. So at the moment, we're not relying on them. So if they come out with the tender for a longer-term contract, that's up to them. As of now, we have not seen them coming up with many tenders.
Shantanu Pawar: Just a quick follow-up.
Rahul Sheth: And the long term in this business is generally a year or 2, so not looking for something where there is fixed coverage for the next 5 or 10 years. . And from Great Eastern's perspective, it's not necessary that we may even participate in those. We will look at what comes across.
Shantanu Pawar: So currently, the 1- to 2-year time frame is something that our company is looking at?
Rahul Sheth: No. I'm saying that if in our business, whenever oil PSUs or any other company comes up with contracts. They are generally 1 year or 2 years. At the moment, there is no active tender that we are participating.
Moderator: We have next question from Himanshu Upadhyay from Bugle Rock PMS.
Himanshu Upadhyay: I have a question. It means a few data points from the presentation itself, okay? We see order book is low and it is all backended. Secondly, scrapping potential and order book are at similar level. How do you look at spot versus period charter, okay? And at what point of time would you like to move to more period charter, let's say, even 1 year or 1.5 year type of contracts on the crude, product and dry bulk or what would be the metrics which you will like to use to move to more period charters? Any thoughts on that?
G. Shivakumar: Again, this will be dependent on the view that we take at the time. We have fixed a couple of our product tankers over the last 6 to 8 months on 1- to 2-year charters. So we had fixed out a few ships. Again, this will be again, opportunistic. You'll find some rates to be tempting and fix them. So there is no particular metric that we are looking for saying that, okay, if this number is crossed, we will look at it.
Rahul Sheth: Because one thing you have to remember that the spot market is very volatile, right? So just to give an example, if the spot market is at 100, you may get a rate to fix out for 1 year at 70. so

then your whole call becomes that, do you want to take that backwardation and the rate to fix out and give up the 30. And then sometimes maybe for a 2-year contract, it's at 60.
So it may not be as stark as I'm giving, but just to illustrate the example. What exactly happens is that there is always a push and pull on what is the time charter rate that oil companies or dry bulk companies are willing to offer you. And at points in time, if their view is negative, they may drop the rate, and therefore, the temptation is to still to take up. So we always take a bit of a call between spot and TC to take, but we are completely comfortable even if we remain very close to 100% spot..
Himanshu Upadhyay: Even if, let's say, the order book comes and it becomes much more forward we like to be in spot only this hypocritical case. Currently, it is all later dated. But if such a scenario happens, how will we react?
Rahul Sheth: So see, we'll have to see it at that point in time because you have to also put in context the demand side and see how we are looking at that. If we believe that even the demand side may not hold up and if the order book is at 30%, - even the oil charterers are going to see the same order book. They may cut the rate even further. So there will be a bit of a give and take over there. And then at that point, we'll have to see what rates also we're getting. And then based on

that, we will decide whether or not it's worth taking cover. Although we are seeing historically you are better off in the spot market, over the time charter market. So we are always evaluating. And like Shiv mentioned, we have taken some cover, but we do prefer to remain on the spot market.

Himanshu Upadhyay: And one more thing. We have stated that we want to replace our 20-year-old ships, okay? But it looks fine currently, based on demand supply and order book, the only place where valuations will keep unattractive. But at what point of time or thought process will we think about not of replacing our old ships or, let's say, only selling, not buying. So any thoughts on that?

Rahul Sheth: Sony, did you mean of a growing...

Himanshu Upadhyay: No, no, no. I'm saying that currently, the prices are high, and we see the order book is not very high. And again, it is backended , it is much later '26 onwards, okay? But what would be the situation when you would like to not replace the old ship only, you would like to only sell the ships, okay? Like in crude, we only sold. We did not add much of it. So what would be the thought process when you think only of selling not buying? What would be the thought process or metrics, which you would like to use?

Rahul Sheth: So firstly, on capacity, we have already shrunk. I think we peaked at about 48, 49 ships now, we're down to 42 to 43. So we have -- as of now, we've taken a call not to go much below this. So we have started some replacements. But you have to remember one thing that when you're doing a replacement, you're selling an older ship at a relatively high price and you're then buying a ship, which is also at a high price. So therefore, you're paying a premium, a spread between the younger and the older share.

If that spread increases beyond the point we think it makes sense we may decide to be a net seller. At the moment, at least for the deals that we've already concluded, clearly, we wanted -- we thought that the pricing makes sense to do the switch. But before we do any deal, we look at the premium people are asking for a newer ship vis-a-vis the older ship.

Himanshu Upadhyay: Okay. And can you repeat it to the premium, what you -- how did you judge means -- the newer versus old?

Rahul Sheth: Yes. So for example, let us take that the older ship, right? I'm just simplifying the numbers. But let's just say the older ship is at 100, right? Now the ship is close to the end of its economic life, right, at least in the international market. So as time progresses, maybe the 100 doesn't really go up, maybe it goes to 100-105. but the younger ship, which is say at 200, the spread may have increased, whereby instead of paying 200, it may have gone up to 250. So now I have to put in an incremental 150 to get a younger ship versus the envisaged INR100.

Now at INR100 of incremental capital, I may be happy to go and do the switch. But at INR150, I may think that its price is high. So we always have to look at what that spread is to modernize and then decide whether it is better to shrink or to modernize. Because there will be a price point that we should match for the older ship and then we may say it may not make sense on paper at least to do the deal.

Himanshu Upadhyay: Okay.

Rahul Sheth: Shiv covered the chart on asset prices. So if you look at the last 6 months, there has been a greater increase in the younger ships in the prices of the younger ships and not so much for the older ships. So the spreads have increased.

Moderator: We have a next question from Jeet Gala from Centra Insights LLB.

Jeet Gala: So, again, I would want to ask you again on fixation. I mean, like you clearly explained, remaining on the spot market still makes a lot of sense given we have backwardation to the extent of 30%-40% discount over a 2-year long contracts. But the same situation was, again, the same payback 3-4 years back when we used to do, say, INR1,200 crores, INR1,400 crores of EBITDA.

Now that our EBITDA has jumped to, say, INR3,000 crores only for shipping business. I mean, does it now at least make sense to have our proportion more -- I mean, to start fixing more of our ships because earlier we used to operate at 15% to 20% fixed versus 80% on spot market. So when is the time then we really start switching -- start fixing more of our ships onto long-term contracts and start giving away your spot markets because the backwardation is always going to be there, right, in the market. So I mean so how do you really think about this particular thing? Because like you said, backwardation, again, INR100 earnings is available for INR70, if you start talking about, say, 1- to 2-year contracts.

But at least you get this visibility for the next 2 years. So INR70 for 1 year, INR70 for another year, at least you have a INR140 visibility versus very poor visibility of the INR100 for the first year and absolutely no visibility for the second year. So of course, I mean, when we were in a bad market, you guys have done a lot of back testing, which used to give a lot of evidence saying that spot market makes a lot of sense. But at least at the top of the market, I mean, what is that inflection point that will really make you guys go to, say, 60%, 70%, 80% fixed?
Rahul Sheth: So actually, it's quite interesting that even in the back testing, it shows that the higher the spot markets go, it's probably worse to fix out because what happens is, let us just take if we are fixed out in Jan '23 when the rates were probably the highest we have seen in about 10, 15 years. Had we done those deals in Jan '23? We would have been significantly underwater on all those time charter rates as of today. So then the call becomes that, okay, I'll fix today and then what happens over the next 2 years. The thing is that if you see from back testing, on those deals also you end up -- maybe you do 10 deals, right, at what we call relatively high points in the cycle.
And you lose money on 8 deals, but you make up probably in the last 2 or 3 deals before the market comes off. And so what one needs to keep in mind is that are you willing to -- for the -- just for the security of cash flow, which we don't really need considering our debt is very low, we are net cash. We have the ability to take this operationg leverage.
The data and our own views say that it is probably best to remain on the spot market, predominantly at least on the spot market, not to say we will not take some cover. And so therefore, to take a view that we will -- at some point, there is a market level we are seeing to go 80% fixed, and we're just waiting for that moment to be hit before we do those kind of transactions. That's not really in our DNA.
Yes, it's not -- it's unlikely that we will do that. And again, it is not in our planning. So it's one of those things where I can't tell you what is it that you need to see to do that? It's just that we'll know it when we see it. At that point, based on what the market is doing and if we take a certain market view, even then I don't see a scenario where we go to a majority fixed. So it's -- yes, again, it's a hypothetical, but it's unlikely to happen.
Okay. And sir, even from a mental mapping, I mean it will give you kind of a hedge, right? I mean, of course, if the market keeps going up, then it's a loss to our company. But whenever the market comes off, at least you will have a good 2- to 3-year visibility on your earnings and then you have a lot of cash to do the next capex cycle, whenever the market comes off.
You're right, what Rahul mentioned that rates were already high in in Jan '23. And you would have lost a significant amount of money if you had fixed out any of your tankers in Jan '23. This is what happened that the -- and what is it the hedge against. We already are underexposed to the market in the sense that 50% of our balance sheet is ships and 50% is cash.
So we are underexposed to the market. And to then say that I'm going to reduce the exposure even further exposure to the spot market to a smaller part of the balance sheet your P&L gets a

little restricted.Our objective is not to smooth profits. We recognize and our shareholders recognize our investors recognize that our P&L will be volatile.
And so long as over a significant period of time, this model outperforms just fixing a large part of the fleet I think our shareholders will be better so, and we will be able to produce more profitability. It's tough to call the market in the short term and -- that's why we will not try to do it to say that, okay, we think the market is going to drop now let's fix 50% of our fleet or 60%. That's a tough call to make.
And we don't really think that we have the capability to do that either because the market is just -- and again, Rahul mentioned, it's driven so much by small events that are happening. And so it doesn't make sense to try to second-guess the market.
Mr. Gala, may I request you to join back the queue please, as we have other -- will read the next question from Prathamesh Dever from Tiger Assets. The question is by when our vessels are getting repricing. Will it be in Q2 FY '25? Second question is how much increase in price will the repricing have? And third question is how much increase in realization and margins will come after getting repricing?

Rahul Sheth: So the first question...
Rahul Sheth: Right. Yes, they are broadly in between Q2 and Q3 FY'25. And how much of the increase -- so if you look at -- compared to the previous rates, probably at similar levels. But if you see what the kind of rates these vessels are being fixed at a few years ago, like I mentioned earlier, they are all up 70% to about 80%. We do know this.
G. Shivakumar: What pricing we will get. Again, a lot of these are competitive tenders. So we don't know what pricing we will be able to get here.
Rahul Sheth: Yes.
Moderator: We'll take a live question from Rajakumar Vaidyanathan, an Individual Investor.
Rajakumar Vaidyanathan: Sir, I have asked 2 text question also, so maybe you can answer that later. So I have 2 more questions. The first one is, given the repricing of vessels and rigs expected in the second half of FY'25. So can we expect about 30% to 40% increase in top line of the offshore segment? Is that a reasonable expectation?
Rahul Sheth: We cannot comment on that. We have to see how the next 2 rig contracts get priced and when they get priced. And then we will see how that plays out.
Rajakumar Vaidyanathan: Okay. Okay. And also, the second question is on the container market. So given that, that segment is also doing well. So is there any plans of entering that segment at some point of time given the good amount of cash on the balance sheet?
Rahul Sheth: So we will evaluate the container space. It's clearly on our radar, but not at the moment.

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So just on a slightly lighter note, we are more likely to enter the market when it's not doing well, and that is our track record. So we are countercyclical investors typically. So we would tend to buy when the market is weak, not when it is strong.
Rajakumar Vaidyanathan: Okay. No, because you just now commented that we are looking at entering that market. So do you think the market is going to give you some opportunity in the near short term?
Rahul Sheth: So at least at the immediate moment, the market is very hot because of the Red Sea crisis, I think the container space is probably the one shipping sector that's benefited the most even more than the product end. So -- and you don't know how that red sea crisis will play out. If it reverses, there could be a change in the earnings of that sector. But like Shiv mentioned, we are countercyclical players. And right now, the cycle is very high. So we probably be cautious to any decision we take towards this sector.
Rajakumar Vaidyanathan: Okay. Okay. Sir, lastly, I just want to know if you see -- if you foresee a cliffhanger kind of a situation, so will you folks be willing to go 100% in cash by selling all of the ships? Or you rather face the storm and stay put in the market?
G. Shivakumar: Sony, what kind of situation right I missed that.
Rajakumar Vaidyanathan: No, if you see a kind of a cliff hanger kind of a situation, where do you see that the bar kind of gets over and the markets are not going to be volatile, and the kind of shipping market is kind of going to become more...
Rahul Sheth: We're not going to take a position of going 100% in cash and having new ships eventually, we are a shipping company. And also too, we have 40-odd ships on the water to actually replace to have all 40 ships out and recreate that position again in the market is not that easy. And there are a lot of softer issues also one needs to keep in mind when you're running a business. So I think that's ruled out.
Rajakumar Vaidyanathan: Okay. Sir, this Q&A, the question that you will answer later or should I ask that also now?
Rahul Sheth: You can ask it now.
G. Shivakumar: I see it, I saw the question. One is on the drilling in the U.S. Again, this is -- we don't know whether the drilling will be offshore or onshore. So that's speculative. The second is we don't give any guidance on whether because -- as we have mentioned earlier, a large part of our fleet is spot, and we don't know what rates they'll earn. And therefore, we don't know our profitability. So we don't know what kind of ROEs we will be able to do. So both of those I think we...
Rajakumar Vaidyanathan: But what would be -- you would have some kind of a target ROE.
G. Shivakumar: So we would like to make a significant return on equity, and that is what we believe we need to do with our shareholders. But if the market collapses next year, we would welcome it even if it means that our ROE dropped significantly because we are looking for opportunities to invest.

And so we do have targets, but we don't forecast what these could be because it could happen
next year or it could happen 5 years from now.
Rajakumar Vaidyanathan: Yes. Shiv, maybe I would put my question differently. So if I'm an investor, if you want to stay
invested in GE Shipping for the next, say, 5 to 7 years, so I would be -- I would comfortable if
this company makes over a 7-year period, a return on equity of, say, average about 15%. So from
that standpoint, I'm asking you, is that a reasonable expectation and the investor wants to stay
put for 7 years. Can you expect an ROE of around 15% from this company?
G. Shivakumar: Yes. Sorry, I just can't do that because we don't know those numbers yet. We would target to...
Rajakumar Vaidyanathan: No, I'm asking average, Shiv. It's not -- I can understand...
G. Shivakumar:
Rahul Sheth: No, no. I -- the question is I don't know what next -- next quarter or next year's numbers are
going to be. So the average is a guess. Now if I say next 5 years, then it's even more of a guess.
Rahul?
How will we price it if we had gone back a few years, whether the Russian war would have
happened and taken up the market? How are we going to price in, whether the Israel crisis is
going to lead 2 vessels being diverted around the Red Sea. How are we going to make these
forecasts to predict what exactly is going to transpire in November with the elections and what
Trump is going to do with those 2 wars.
Rajakumar Vaidyanathan: Yes. I completely understand that. See you can't forecast the short term but...
Rahul Sheth: So how -- one is the return expectation. Frankly, I find it complicated of how anyone in any
business will give minimum average return target over 5 years.
Moderator: We'll take a next question from Amit Khetan from Laburnum Capital. First question is we used
to have VLCCs many years back. Any reason we currently don't operate in this segment now?
Is it because these vessels are less flexible in terms of routes? And second question is, what
would be the remaining average useful life of our rigs?
Rahul Sheth: So there is no particular reason why we are not in the VLCC segment. When we are in the market
to invest and let's say, we decide to invest into crude, we are agnostic to running VLCC
Suezmaxes or Aframaxes. It depends on which type of ship is offered at what price and what we
see as the best deal. And no, there is no flexibility constraint on the VLCC that prevents us from
entering that segment or rather reentering that segment. And what is the average useful life of
our rigs. So we depreciate over 30 years. But we have seen, I think, like Shiv mentioned earlier,
about I think 1/3 of the fleet is over the age of 25, and we are seeing rigs operate even to the age
of 40, 50 old. So it eventually just depends on how the charters are willing to take in the rigs.
G. Shivakumar: And the average age of our rig fleet is about 12.5 years.
Moderator: We have a live question from Anuj Sharma from M3 Investment.

Anuj Sharma:
Rahul Sheth:
Anuj Sharma:
Rahul Sheth:
G. Shivakumar:
Anuj Sharma:
Shiv, just a question. So there was a rig tender, which was cancelled in H1 that I think got rolled
up in H2. And that again has been cancelled, along with a fresh tender. So 2 tenders both are
cancelled now?
So the first tender didn't get rolled up into the second tender, but that's right. 2 tenders were not
awarded by ONGC.
Okay. Now what is the reason for these sort of cancellations or deferment? And historically,
have there been similar precedent as to how these have evolved?
So we can only speculate on why ONGC was unwilling to...
Yes. So there's nothing -- we don't know why they were cancelled. So we will wait and see.It is
expected that they will come out with a replacement tender. So we will wait and see now because
we assume they still have a requirement for rigs. Most of the rigs which were to be taken under
these new contracts would have gone into contracts only in 2025 except for our 2 rigs. So I think
they will come out with tenders soon enough. But we don't know because they haven't
communicated the reasons to us.
No, I'm just trying to understand in terms of implications, these were generally back-to-back
contracts. And we are also now exploring overseas contract, but we've always said there is
mobilization time and charges which may...

G. Shivakumar: I'll just stop you there for a moment. I mentioned other options, not necessarily -- these are not necessarily overseas contracts. They could be in India as well.
Anuj Sharma: All right. All right. But just one last point. Does it increase the competition for us. So maybe there will be other rigs which will be open and pricing in the same build. So does that increase competition when it opens for retendering or rebidding? That's...
Rahul Sheth: It depends -- it depends also in the ONGC contract or even for the other contracts that we may bid into about the specifications they want because sometimes ONGC wants modem, more high-specification rigs for which there are fewer rigs that can compete. So it again depends on the type of tender that comes out.
Moderator: We'll read the next question from Prince Chaudhry from Bank Wealth. How was the demand for LPG gas from China?
G. Shivakumar:
Moderator: I think the demand is going fine. It is -- these are typically used in petrochemicals in the propane dehydrogenation plants. So the demand is going fine. So there is no issue in demand for LPG in China..
Next question is from Vikash Kumar, an individual investor. Mr. Vikash Kumar, can you please unmute yourself? Since there is no response, I'll take the next question from Rajesh Khattar, an individual investor. What are some factors that can lead to an increase in the trade for different types of ships that you have? And consequently, freight earnings increase as a result of the trade

increase. And second question is, what are the products that you carry in your product tankers? What are the kind of grains that you carry?
So there are a lot of factors which go into increase in trade. The first one, and at a very macro level is global economic growth, which results in an increase in demand for various commodities. And on the second question, we carry all kinds of products. These are refined petroleum products to be clear. So naphtha gas oil, which is like diesel and gasoline are typically the cargoes that are carried in the product tankers. And the kind of grains that we carry, whatever the customer requires. So we have soybean which we've carried off and not gone.
Moderator: We have a next question from Surinder Singh. What is expected growth till year-end in terms of GE shipping valuation?
G. Shivakumar: Yes. Sorry, we can't comment on that on valuation..
Moderator: We have Rajesh Khattar, an individual investor.
Rajesh Khattar: So in your back testing, and you always continue to -- you always do back testing for all kinds of scenarios. So in your back testing, after such a buoyant market that has been over the last 1, 2 years, when the downturn does start in your model, like how severe it can be? And how long can it last? I mean do you -- in your back to see what impressions you have got?
G. Shivakumar:
Rajesh Khattar:
G. Shivakumar: So in the back testing, typically, we have seen that strong markets don't last for more than 12 to 24 months in most strong markets. There has been one outlier in the last 30 years, which is the super cycle period from 2004 to 2008, which lasted for more than 4 years. So it depends on how long the upcycle last because sometimes then the -- when you talk -- freight rates can drop off very quickly.
For instance, Capesize rates in the super cycle that's in May -- in the peak in May 2008 went to $200,000 a day. By November 2008, they were down to $3,000. So that's how fast they can drop. And again, you can have these events, and that potentially was triggered by what happened with Lehman triggering the global fmancial crisis in September 2008. So each cycle is different and much like in the stock market. Each time it happens, it's different in the way that it plays out. So it's not easy to tell. And the only thing is that it's rare to have a 2-year plus strong market. The last time we had a strong tanker market for more than a year, that was in 2015 and rates dropped off within the next 12 months. So by end of 2016, rates were pretty weak, and prices had also dropped significantly. That doesn't mean it will happen this time.
Okay. I just have 2 more questions. One is a very short question on the share price valuation. So what is the historically highest price to NAV in the listing history of GE, Shiv?
This is about -- it's about here. We were around 1 or marginally above 1 in 2007 -- yes, in price to NAV, we are probably 2007 was I think we were around marginally above net asset value. We are around that. Now we're just a little below. But we have in the past been at NAV on rare occasions.

Yes. Okay. And so when you do decide to expand your fleet, as you said that you will -- you are a contrarian buyers, so you will obviously buy during a downturn. So if you do expand during a downturn, isn't it likely to be a few years of pain before the gains start following in?

This happened, in fact, you don't even have to speculate on it. 2018, '19, we declared a loss after we did a fantastic expansion, which has paid off phenomenally in the later period. But in 2018 and -- FY '18 and FY '19, after we did some purchases at very, very cheap levels. We were just about breaking even in the shipping business. Well, that happens.

But today, you're reaping the benefit of all those investments you did 5 years ago because you have the capacity for this. And this is part and parcel of the business, where you will invest at the lower point, maybe you get a pain for a few years. And then hopefully, you've invested at the correct time to take advantage of when the rates have gone higher.

So long as you can hold out to your investment, you make your investment at the right price and you have the strength to hold on through a bad market. Eventually, the market will turn and you will make money on those. And just as a reminder, and I used to mention this in the past, those investments we did in 2017, '18, all of them are doing better than 20% IRRs in dollar terms without taking leverage into account.

Rajesh Khattar: Okay. Can I ask one more question?

Rahul Sheth: Sure.

G. Shivakumar: Sure.

Rajesh Khattar: So I had asked about that increase in trade in the text chat and you had replied on that. I just wanted to understand that how does the increase in trade correlate with freight earnings increase because your ships are almost 100% occupied, right, irrespective of from whichever segment you get the business? So is it right to correlate that the increase in trade will increase -- will result in an increase in your earnings? Or there is no such correlation?

G. Shivakumar: Typically an increase in trade. So you'll have to see it. This is the demand side that you are talking about. All else being equal, an increase in trade with the same number of ships, it's a simple demand supply curve. If the demand goes up, the supply cannot go up because the supply is inelastic in the short term. And therefore, the price will go up. And that is what can happen.

However, that is an oversimplification of our market because it's not just an increase in trade. And you can see that we said that the product trade has actually dropped 1% from the year ago period. That's Q1 FY '25, over Q1 FY '24. So the trade has actually come down. However, the tonne miles went up because of what is happening in the Red Sea and therefore, rates are significantly higher than they were a year ago. So it's a complicated picture. But in general, an increase in trade is good for ship owners and for earnings. There is no formula there, however.

Rahul Sheth: Because India bought oil from either the Middle East or the U.S. Clearly, you need more ships because it takes much longer to bring oil from the U.S. to India than from the Middle East to

India. So even if you had a slight reduction in trade in oil import from the Middle East, but that was compensated by the U.S., you can actually have an increase in the rates.

We'll read the next question from Shivan Sarvaiya from Humiviction Investment Advisers LLB. First question is, would the rigs require retrofitting or upgradation to be eligible for the new short-term tenders that the company is looking to bid for? If yes, what is the cost for the same? And second question is, could you please provide the dry docking schedule for the shipping and the rigs business for F '25 and the cost for it?

Yes. For the first one, they will require some upgradation.Every contract requires some upgradation and has some very specific requirements. Even when you're going with the same customer from one contract to the next, there's always some work which needs to be done, okay? So it depends on each individual contract, and we're not going to get into the cost for that. It's a couple of million dollars usually -- now with regard to the dry-docking schedule, sometimes it's -- typically, you should assume that 1/4 of the fleet will get dry-docked in any given year. And some years, it can be a little bit more, some years it can be a little bit less. And it would typically cost maybe $2 million on average for a dry dock.

Moderator: We'll take our next question from Himanshu Upadhyay from Buglerock Pms.
Himanshu Upadhyay: My question is on Jack-up rig market. You also stated that Saudi Arabia has cancelled certain orders. What impact is it having in the markets or prices? Are we seeing the rates having come off in the market or the rates have continue to grow?
Rahul Sheth: If you actually see the global drilling market, the rates at least some of the contracts that have been awarded in the last 6 months, there's been no material negative impact on the rates. In fact, we saw some rigs being sold also in the month of April. There was a block deal of 3 slightly modem rigs and 1 sale that has been announced a few weeks ago -- actually a few days ago. And even on asset prices, it looks like the asset prices have been holding.
Himanshu Upadhyay: And one more thing. In terms of logistics, offshore logistics, how far would we be from the peak rates or which we saw last time?
Rahul Sheth: The ultimate peak, it's 30%.
G. Shivakumar: Yes, probably still 30% below those numbers. 20% to 30% -- depending on the vessel.
Rahul Sheth: Yes.
G. Shivakumar: So the PSV is probably not so -- from the peak maybe 30%.
Rahul Sheth: Just take as an average 30%, yes.
Moderator: We have a next question from Jeet Gala from Centra Insights LLB.

Jeet Gala:
Rahul Sheth:
G. Shivakumar:
Rahul Sheth: The Great Eastern Shipping Limited
August 01, 2024
Yes. Sir, in ordering, I mean we are seeing an increase in the order book. So for example, in product tankers, the order book has reached to 17%. Most of it is back ended after a couple of years versus our scrapping potential is also close to 15% to 20%. I mean what is the order levels that probably GE shipping would be scared and probably start looking at fixing at least the product tankers, if I'm talking about product tankers right now. Because 17%, does it -- do you think it's a euphoric levels? Or you would still wait for some -- again, some frenzy ordering to happen? I mean, so at what levels will you be starting to get scared or probably start fixing.
Order book in context of the fleet aging profile. So if you see, Shiv can we just move into that slide, I hope you can see it on broad -- so if you see on this slide, you're right, the product tanker order book, as you can see, is 17%. But even the fleet, which is above the age of 20 is also close to 17%. It's actually about 15%, right? And...
As you remember that vessels are ageing as we speak to deliver this full 17%.s. So that also is -- vessels are aging because you had a lot of new building happening in 2004, '05, '06, '07. So you have to see the order book in the context of the fleet age, it's the age profile.
And the other point is also you have to keep in mind the demand because just to draw a parallel from the LPG sector, if you analyze the order book over probably the last 10 years, I think almost at any point in time, the order book would have looked high. And there was very minimal scrapping because the fleet was very young, and those vessels also run until older age. Despite that, you've had a very -- relatively very strong 10-year period for the LPG sector. So you can't just look at the order book alone to guide all your decisions on when to fix.
Jeet Gala: Okay. And if this order book were to jump to a particular number, what that number would be for you guys to be a bit scared. I mean everything else remaining the same.
Rahul Sheth: It's actually impossible to give you an answer because everything else is not the same. And so therefore, you have to always evaluate that in context of what else is happening because it will not be a binary outcome that if the order book hits x percentage, you're just going to start fixing out. It doesn't work like that.
Jeet Gala: Okay. Okay. But at least you're comfortable right now with a 17% order book, at least for product tankers.
Rahul Sheth:
Jeet Gala:
Rahul Sheth:
Moderator: Yes, At least as of now. .
And sir, my second question is, I mean, are we exploring any demerger of our offshore businesses into a separate entity? I mean anything on that front is on cards, at least in the next 1 or 2 years?
No, not at the moment.
We'll read a next question from Vikash Kumar, an individual investor. First question is could the management comment on the refinance in Greatship India Limited. The INR800 crores loan

G. Shivakumar:
Moderator:
Rahul Sheth: The Great Eastern Shipping Limited
August 01, 2024
from foreign bank was backed by letter of comfort and INR65 crores of loan from GE Shipping. What was the reason for these related party transactions?

So this is -- just to clarify, Greatship India Limited is a wholly owned subsidiary, and we stand by our wholly owned subsidiary. One of the requirements of the refinancing, which helped us to reduce the cost of the borrowing was to give a letter of comfort from the parent company, which has obviously a much stronger balance sheet. And therefore, we provided it. It's a standard part of what we can do to reduce the cost. It comes at no cost to Great Eastern Shipping. And therefore, we provided those.

With regard to the INR65 crores of loan, we -- it was a short term financing to meet a specific requirement and that will be repaid in the normal course of business over the next couple of years.

We have a next question from Rajayakumar Vaidyanathan, an individual investor. Any plans for buyback in the near term? What are the levers the company has to improve its profitability other than higher freight rates?

Yes. We are -- there are no plans for a buyback. And you may be aware that there are some changes in the tax treatment, which make it even more expensive to do a buyback potentially. So there are no plans for a buyback. And we have no levers to improve profitability apart from earning better rates on our ships, improving the utilizations in terms of not having any unplanned downtimes, that's what we look for, for improving the profitability. And hopefully, we earn better rates.

Moderator: We have a live question from Rajesh Khattar, an individual investor.

Rajesh Khattar:

G. Shivakumar: Yes, sir, just a valuation question. So in the shipping sector, a lot of market participants say that shipping companies are valued at price to NAV, and you also use that metric frequently in your presentation. So can you throw some light why it is not valued at PE? I mean being from the industry, maybe you can throw some light on that. Why PE is not the right metric?

No, we don't have an opinion really on whether PE is the right metric or not, and we are not saying it's not the right metric. It's part of our disclosures that we make to say that this is the intrinsic value of the company, which is the bare minimum value. Again, this is the NAV is a bare minimum value of the company, which is the value of the fleet at current levels. So if you want to buy this fleet, this is what you have to pay per share.

You want to buy the exact same balance sheet fleet, et cetera, at current prices. Yes, it is a commonly used metric in the international markets, and that is why we also started disclosing the net asset value. So we have no view on whether it's better than price earnings ratio. But this is a number that we give. Again, to reiterate -- in our mind, this should be the bare minimum value because it is the value of the steel in the company. It does not take into account everything else that goes into running a shipping company.

Rajesh Khattar:
G. Shivakumar:
Rahul Sheth:
Rajesh Khattar:
G. Shivakumar:
Moderator: The Great Eastern Shipping Limited
August 01, 2024
It is also -- and let me point out -- as Rahul did in an answer to an earlier question about whether we would sell our entire fleet, if the prices are very high, it is not easy to create a fleet like this or an operation like this. It's not just shifts. First of all, you just have to buy the ships and it's not just ships and we run a very good ships. It's not just ships, it's the people and the skills that go into running these ships and running this business. and enabling this company to earn a superior return.

And you can see it in our results and since you said international shipping companies, and you can see it in relation to how our results have done vis-a-vis the international shipping companies

in terms of the return on capital, return on equity that we have done. So NAV is a number which is merely an indicator of what the current value of the fleet is.
Okay. And since you track the entire sector, what are the price to NAV that is a benchmark for other international -- the top international shipping company? Is it at 1.2 or like is it even higher than that? The range.
Currently trading at a small premium to net asset value. I think they probably it depends on the company. some are trading at a significant discount also. And again, this varies with the specific company, right? Some of them...
And it also varies depending on which company you analyze because some of the companies in the listed space either pure tanker companies or pure dry bulkr companies. We are diversified across different sectors. So it's difficult to even compare.
Okay. But just like 1.2, 1.3, I mean, you cannot give any number.
No, typically, they -- currently, they are trading at a slight premium to net asset value. And again, as I said, it is -- I can't even say that it is for a sector because there are tanker companies which trade at a little below net asset value, some trading significantly above net asset value. Depending on how the individual circumstances of that company. It's like getting into a stock valuation. So you shouldn't get into this.
We have a text question from Surinder Singh. In government budget presented by Finance Minister ownership, leasing and flagging reforms and shipping industry does these reforms helpful in business growth of GE shipping?
Rahul Sheth: So like I mentioned earlier on this call, we need to just wait for some of these policies are reformed to come up with more detail before we can comment.
Moderator: Next question is from Harsh C, an Individual Investor. In FY '24, console balance sheet, we see current investment of INR350 crores is in listed equity investments, primarily in NYSE, OSE.
Is this a departure for the past stated position of investing surplus cash in safest instrument? How are these investments faring on IRR target of 10% to 15%?
G. Shivakumar: Yes. So the past stated position of investing surplus cash in the safest instrument is with regard to Great Eastern Shipping itself, we continue to hold that position or investment in Great Eastern

Rahul Sheth:
G. Shivakumar:
Moderator:
G. Shivakumar:
Moderator:
G. Shivakumar:
Rahul Sheth:

Shipping, which has the predominant -- the largest amount of cash currently at about $650 million to $700 million, all of which continues to be invested in debt instruments only without even taking any credit risk.
These investments were made by our overseas subsidiary, which had made significant profit from chartering and hedge surpluses could not fmd an opportunity for investment or fmd opportunity for chartering in vessels and therefore, decided to do these investments using their expertise in this area. These investments have done significantly better than the 10% to 15% IRR target.
Moderator: Next is from Pritesh Chheda from Lucky. Did you guys say that rig rates are down 30% from recent peak?
Rahul Sheth: No, we did not say that. We answered the question, which asked us that what are the rates today as compared to the peak rates we have seen in this business. And compared to that, it's 30% lower. And also, it was referring to the offshore vessels, not the offshore rigs. But it would be broadly applying to the offshore.
G. Shivakumar: Yes. But I think I get where Pritesh is coming from. He's wondering whether from last year's rates were down 30%, no, there have been no repricings.
We're talking about rates probably before 2014.
That's correct. Yes.
And the next question is from Vikesh Kumar, an individual investor. Despite GE Shipping being a net cash company with ROA, ROIC in mid-teens and significant operational history. What was the reason for CRISIL not awarding AAA rating? Is any portion of GE shipping debt rate sensitive in nature and would benefit from reduction in cost from AAA rating?
First, I'll take the last bit first. None of our existing debt would have benefited if the rating has changed because that has already been issued. Now coming to why our rating is at a particular

level that is a question best put to the rating agency rather than us.
That was the last question for today, sir. Over to you.
Thank you, everyone. Thank you for a very interesting call. As always, the transcript and the recording will be up within a few days. We welcome any other opportunities to interact, and we are always happy to take questions from you. Yes. Thank you.
Thank you.
Thank you. Ladies and gentlemen, you may now exit the meeting. Thank you for joining for the call today.

Call: Nov 2024

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Dalal Street, Bandra Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051
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Yours faithfully,
For The Great Eastern Shipping Company Limited
A
nand Punde
Company Secretary
Email ID: anand_punde@greatship.com
Page 1 of 19 “The Great Eastern Shipping Company Limited Q2 &
H1 FY25 Earnings Conference Call ”
November 11, 2024
MANAGEMENT : MR. G. SHIVAKUMAR - EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER , THE GREAT EASTERN
SHIPPING COMPANY LIMITED
MR. RAHUL SHETH - THE GREAT EASTERN SHIPPING
COMPANY LIMITED

Moderator: Good evening ladies and gentlemen. Thank you for standing by. Welcome to GE Shipping Earnings Call on declaration of its Financial Results for the Quarter Ended September 30, 2024.
At this moment all participant s’ are in listen -only mode, later we will conduct a question and answer session.
I now hand over the conference to Mr. G. Shivakumar, Executive Director and CFO at The Great Eastern Shipping Company Limited to start the proceedings. Over to you, sir.
G. Shivakumar : Thank you, Yashas hri. Good afternoon, everyone, and welcome to the results call for Q2 & H1 FY25.
We will do a quick run through the presentation. I am joined by Mr. Rahul Sheth and we will be happy to take Q&A after that. usual disclaimers, we are not forecasting earnings. We have a large exposure to the spot market, so we are also not giving any guidance on our earnings.
We had a net profit of Rs. 576 crores on a consolidated basis for Q2, higher than the Q2 of last year, but slightly lower than Q1 of this year. The consolidated NAV is at 1 ,463 per share at the midpoint of valuations. And we have had the 11th consecutive quarterly dividend of Rs. 7. 20 per share for Q2 F Y25. With this , now we have paid out about Rs. 80 in dividend over the last 2.5 years and if you consider that our stock price was about Rs. 340, we have paid out almost a quarter of that in dividends in a period of 2.5 years .
You have seen the results. I won't go too much through the results. And we will go through the markets really rather than what the numbers are looking like for the results. Of course, you can always ask questions in the Q&A.
We continue to be significantly net cash. We are about $400 million net cash as of 30th September and after that we have become even more net cash. The net asset value is around the same levels as it was in June , so we are at 1 ,184 per share standalone and as I mentioned earlier about 1 ,463 per share on a consolidated bas is. N ot going to go through these numbers.

Profitability continues to be very strong. This is what has happened to TCY s and why we see the difference in performance. While we had crude tankers dropping off versus Q2 last year and versus Q1 of this year, we had product tankers slightly better than Q2 of last year , but significantly below Q1 of this year. A lot of it was made up by LPG, where all our four vessels were repriced during the last year or so, and have got repriced at significantly higher rates than their previous contracts. So, that compensated significantly for the drop in earnings from last year for the crude tanker. And dry bulk also was significantly better than in the year -ago period.
Changes in standalone NAV :

We had about a little less than Rs. 200 increase and Rs. 200 came from the cash profits that we made during the 12 -month period and of course we paid out a significant dividend in this period as well. Over the last five years, we have seen our NAV move up very steadily and with a CAGR of 23% over the last 5.5 years from March '19 to September '2 4.

On a consolidated basis also, it's a similar story. The increase in the NAV in the year is due to the cash profit and not due to the fleet value and the drop, if any, is due to the dividend and a minor change in fleet value.

Coming to what happened in the market which led to the results you saw. We saw Suezmax earnings around the same levels as last year. We also saw product tanker earnings significantly lower than the year -ago period. This is for the 6-month period that I am talking about.

And what were the fundamentals like? Of course , in Q2 of the financial year, you typically have a seasonal softness, the summer season in the Western Hemisphere. Crude trade itself declined by about 3%. Refining ma

rgins were very weak through the quarter. They have now started recovering a little bit in th e last couple of weeks. In Singapore, refining margins are back to their 10-year averages. So, hopefully that should have some impact on rates going forward. A significant factor again was Chinese crude im ports falling 8% year -on-year. For the first nine months of 2024, we are seeing a drop of 0.9 million barrels a day in crude oil imports into China. And that's a significant factor. While of course, the crude tanker fleet hasn't grown, it's more or less flat compared to the year -on-year levels. Product tanker earnings were also weak as I mentioned and seaborn e product trade did decline, again, the same factors , refining margins . While the product tanker fleet saw a small growth of 2% year -on-year.

What has also happened and interestingly we have seen this happening in the last couple of quarters, is that while the conflict in the Red Sea contributed to ton -mile growth for the larger product tankers LR2s which typically carry diesel from the Middle East or from West Coast of India to Europe. And they had to divert all the way around the Cape, around Africa. We saw now VLCCs and Suezmaxes cannibalizing some of those cargoes, which resulted in weakness in the product tanker rates.

What we are also seeing is that as crude tanker rates move up, and these have moved up a little bit, not very sharply, you should hopefully see VLCCs going back to the crude trade and therefore freeing up those cargoes for the product tankers. Asset prices have remained firm. Order books have increased, and we now have almost 10% order book for crude tankers and 21% for product tankers as the order book. We will see the delivery profile of those towards the end of this presentation.

On dry bulk, we saw the rates for Cape sizes doing significantly better than in the previous year. So, you are 60% better in the 6-month period than in the previous year. I think the Q -on-Q was even more spectacular in the difference. While the subcapes were not doing that well, they also did a little bit better than the previous year. So, the main factor driving dry bulk earnings and

trade was strong b auxite imports into China, which grew at 15% year -on-year in Q2. Iron ore imports also were steady. While not seeing spectacular growth, they grew by 2% during the quarter. Coal did not contribute much and grain trade also was flat. While dry bulk hasn't had much of an impact from the Red Sea disruption, that whatever small disruption, which was estimated about 2%, continued as vessels traveled around the Cape of Good Hope . The fleet grew by 3% year -on-year. The order book continues to be fairly subdued at about 10%. Asset prices for the smaller vessels declined by about 10 % to 15% during the quarter. But capes remain steady because their earnings have been supporting asset prices.

LPG, all our ships, as I mentioned, are fixed on the time chart er. The spot market has come off significantly. So , you can see that difference , in the first 6-months of last financial year, the average spot rate was almost $90,000 and now it's dropped to below $45,000 a day. So, that's more than a 50% drop. Asset prices continue to stay at all time high levels and the order book is

also very high at about 25%. Here the Panama Canal disruption which took rates up towards the end of last year and early 2025 h as now completely normalized and so that is no longer a factor.
Coming to fleet supply, we already spoke about the order book here , so I won't go into that. But the significant factor is this. The most of the order book is rear ended , so there are not too many ships while you order book, for instance, for product tankers at 21% looks quite heavy. Most of those are coming in 2026 and beyond. The growth in calendar 2025 is fairly subdued. It's

about
6% for product tankers and less than 2% for crude tankers. For dry bulk , again it's about 2% to 3% percent while rest is for 2026 and later, it's about 6%. LPG also in the first year, which is in calendar 25, it's less than 5% delivering during the year. Most of it is delivering in 2026 and 2027 .
Scrapping continues to be very low. All the sectors are making reasonable earnings and therefore scrapping continues to be extremely low .
We showed this earlier, so just to give some sense of perspective on the order books versus the old fleet, the old fleet continues to be pretty high, especially in crude tankers. And if you just balance that versus the fleet which is to be delivered, then you'll see that the order book is not too much of a concern.
Looking at asset price movements, asset prices continue to be strong but they've come off marginally in the case of crude and product tankers . These are marginal changes in the prices, not significant. In dry bulk, they came off a little bit in the last quarter. In the slightly older and in the smaller dry bulk ship, that is the sub capes.
Coming to Greatship, the oil field services subsidiary, jack up utilization globally continues to be okay, though you had a small shock happening in the middle of the year. You can see that downward turn it took in the middle of 2024, after those rigs were all fired by Saudi Aramco. But it stabilized from there. We of course, in the last two quarters had those unfortunate situations where two of the rigs we had bid into tenders in India, those tenders were cancelled.

So, we have the rigs coming off contract. So , one rig has come off our earlier three -year contract, but she has now obtained the business. It's a short -term business with a minimum of 4.5 months going up to approximately a year. This is in India itself. So, that's one rig. The second rig will probably come off sometime in the next three months or so and we will be looking for work for her.
There are a couple of businesses that are out. One is a short -term business and one is a three - year business. We will be, these are both in India, we will be bidding for those businesses. In the meantime, we are also looking outside, but there are not too many prospects as of date that we can talk about that are anywhere close to getting awarded. We also have five vessels coming up for repricing in this 6-month period.
Our CSR Foundation continues to do a great work. We have affected the lives of many, many people through these NGOs that we partner with. For more details, please visit our website.
Thank you. That brings me to the end of the presentation. Now we are happy to take any questions.
Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. We will take our first question from Nirvana Laha from Badrinath Holdings. Please go ahead.
Nirvana Laha: Sir, actually my questions are all regarding Great ship. So, the first question is regarding the two rigs which could not be bid in with ONGC. The first rig that you said that had already obtained work, if you could give us an indication of the day rates there ? And for the second one, the three - year contract that you are evaluating, if you can let us know whether that is with ONGC or with somebody else ?
G. Shivakumar: The day rate , on the second one, we won't get into too much detail, but it's around the rate that we last got a three -year contract from ONGC, the last awarded rate for a 3-year contract with ONGC. That's the day rate at which we are working in this short -term contract as well. Now your question on the other 3-year contract was, sorry, I didn't quite get that.
Nirvana Laha: The question was, was it again ONGC who was taking out the tender or is it some other client?
G. Shivakumar: Yes, that is correct.
Nirvana Laha: Actuall

y , I just wanted to understand what you think is happening with respect to ONGC because as with regards to the global market for jack ups, I think the market continues to remain tight and there's no absolutely no new builds happening. That is my understanding. So, what do you think is happening with ONGC in the Indian market and how do you see utilization of your rig assets especially going ahead and would you be exploring international waters as well , if you

feel that ONGC is not, for some reason, not working out ? So, just want to understand your views on the overall jack up market and what's happening with respect to ONGC in India ?
G. Shivakumar: We don't know. We are not privy to the thoughts as to what's happening with these tenders and why they got canceled, etc. So, we won't get into that because that would be speculation. They do require rigs for doing their work. They have quite a few rigs coming off contract apart from ours. They will have quite a few rigs coming off contract within the next 12 months. So, presumably if they want to retain that drilling capacity, they will need to come out with tenders shortly. So, that's one. With regard to the international market, yes, in principle we would like to go international, but it takes time to get pre -qualified in any of these regions. You mentioned that the market is tight. It's not that tight. There are still quite a few rigs that were suspended from Saudi Aramco contracts, which are there in the Middle East, while some of them have got alternate contracts. There are a few which are st ill looking for work. So, there is some capacity out there. Some rigs are available out there and always, somebody who's always in the region, a rig which is in the region already , is of course in the front runner position to land a contract in that region because of the cost of moving and setting up in a new region.
Nirvana Laha: The final follow up on that, those rigs which were in the Saudi area which are available, they have the necessary fit outs to start work with ONGC or you think that that's a long process? So, just trying to understand the supply that can come in.
G. Shivakumar: Typically they wouldn't have the fit outs required. But the spec of the rig itself might be not compatible with what ONGC requires. So, typically, every contract requires different equipment. And these are the little nuances of each contract. And so, but that can be procured. So, that is not the constraint really. It's more on the design of the rig itself. ONGC has a specific requirement when working on the West Coast on Padma which is a footprint of the rig and if the rigs are not able to meet those then they will not be able to bid into ONGC typically.
Moderator: Thank you. We will take a next question from Shantanu Pawar, an individual investor. Please go ahead.
Shantanu Pawar: My question is regarding this recent news article that had come out which was stating a rule requiring international container line operators operating on Indian sea routes to allocate at least 5% of their volumes for domestic operators. So, is GE Shipping entering into the container shipping business and if yes how feasible is it to acquire secondhand container ships at current prices in terms of profitability . And lastly, do you think there is any preferential treatment that PSUs could get while getting allocated those 5% volumes?
G. Shivakumar: One is , I'm not sure how this 5% works. I've seen that article as well. We are not quite sure how that 5% will work. But coming to your question on what we can do, it's not difficult to acquire a ship. Ships are always transacted . It's not difficult to acquire. Ship prices are pretty elevated now because the markets are quite strong. Container ship markets are quite strong. And therefore, we will wait for the right opportunity fo

r an entry into the container ship business . But

on the 5% thing, we don't know how it will work and how it can affect someone who's operating container ships.
Shantanu Pawar: And what about the preferential treatment? Do you think the government could perhaps allocate more towards the PSUs?
G. Shivakumar: Again, we just don't understand that business enough to comment on how that could work. So, I won't get into it .
Moderator: Thank you. We will take our next question from Mohammed Faro oq from Pearl Capital. Please go ahead.
Mohammed Farooq: Our Company has consistently delivered the quarterly average profit exceeding Rs. 600 crores for the past 10 quarters. And with over 70 years of experience and solid management and the cash reserve exceeding Rs. 6,000 crores. Now the Company operates in a sector that has experienced a turnover in the last four years . However, despite all the strong fundamentals, Company ’s valuation remains notably low with the PE just of 6. Now given this, I would like to understand whether the management views the current valuation is a concern or it is not a priority at this stage. Would you please outline the steps being taken?
G. Shivakumar: We don't put targets on the valuation. We are not experts in stock market valuation. We have some views on what ships should be priced at and at what levels one can buy ships. So, we focus on that. As far as taking steps on the valuation is concerned, because we don't have necessarily a view on that, we are not going to say that this is, to push saying that this is the price at which it should be. However, we will, and this is what we endeavor to do i n our communication with any investors, is to put our record, as you mentioned it so well, put our record of delivering the

results and let the inve stors judge for themselves.
Moderator: Thank you. We will take our next question from Surendra Yadav, an individual investor. Please go ahead.
Surendra Yadav: I have some question on the financials. So, I could see a quarter -on-quarter drop in other income. And this is on back of increased cash and bank balance. If you could provide a breakup of this and the reason for decline in that ? I'm speaking of console financials.
G. Shivakumar: So, yes. You are talking about drop in other income from Q1 or Q2 of last year?
Surendra Yadav: From Q1, so Rs. 127 crore in Q1 and 97 ...
G. Shivakumar: This is a contribution which comes from our overseas subsidiary which does investment in various instruments, basically equity shares of listed shipping companies overseas. This is our chartering subsidiary and investment subsidy which is based in UAE. There the prices came down and therefore their contribution to the results came to the other income came down.

Surendra Yadav: So, I mean, this is kind of a chunky income. It is recognized whenever the investments are kind of liquidated ?
G. Shivakumar: This is recognized on a fair value to P &L basis. So, mark -to-market is also recognized.
Surendra Yadav: And just a couple of questions on the P &L as well. I could see that quarter -on-quarter increase in finance cost despite again, a decrease in debt. So, has there be any repricing in the debt that we were doing ?
G. Shivakumar: Yes, this is consolidated you are talking about, I presume ?
Surendra Yadav: On the standa lone basis, it seems quite flat.
G. Shivakumar: So, in the offshore business, that's Great ship, we refinanced a loan, which is about $100 million in March of this year. The earlier loan had been partially swapped into fixed rates when rates were low, and therefore that interest cost was lower. Now the entire loan is exposed to floating rates, which are obviously higher than the swap rates at which we had swapped

earlier. And
that's why the interest cost is higher versus the last year. So, for instance, just to give you an example, it may have been swapped at 1.5% LIBOR or the equivalent benchmark. And that part is gone now. And the current spot benchmark rate is 5%. So, therefore, the interest cost is higher.
Surendra Yadav: Can I assume the logic would be that we are expecting a decrease in benchmark rates, so probably that would help us going forward?
G. Shivakumar: Yes.
Surendra Yadav: And just one last question on the other expenses line item , again this saw jump of Rs. 20 odd crores . So, was any dry docking or something like that which came during the quarter?
G. Shivakumar: No, dry docking doesn't come into other expenses . What happens in other expenses is , when you in charter a vessel that goes into other expenses. When we take in ships on charter, that goes into other expenses. So, w e took in a ship on charter during the quarter, and that resulted in an increase in the other expenses line.
Surendra Yadav: And just one last question, and I will join back the queue after that. I could see some investment in subsidiary loan to subsidiary in the standalone cash flows from Rs. 90 odd crores. So, could you please provide the details on the nature of the investment and to which subsidiary this was given?
G. Shivakumar: We set up this subsidiary in the GIFT C ity. The government has come out with a scheme for ship finance and leasing in the Gandhinagar G ift City, under which we set up a subsidiary, which has started operations in the last 4-5 months. So, some of this capital has gone towards capitalizing that subsidy. There was some equity capital and over and above that, we also put in

some debt. Now, what is the business of this subsidy? I just mentioned to you that we in - chartered a ship. This subsidiary is in-chartering ships. So , it is taken in one product tanker on a 4.5-year charter and one crude tanker on a 3-year charter. So, that is the business of this subsidiary and this fund which has gone into the subsidiary from Great Eastern Shipping Mumbai , is to fund the working capital. One is equity and then there is a loan to fund the working capital.
Surendra Yadav: If you could just say the benefit of doing it via subsidiary and not through the main entities ?
G. Shivakumar: It is a beneficial tax and regulatory regime, which has been set up in the Gift City in Gandhinagar . So, that's the benefit of doing it through the subsidiary. We were actually doing this activity through our chartering subsidiaries in Sharjah and Singapore earlier. And now that thes e benefits are being given in the Gift City in Gandhi nagar We decided instead of doing it from the overseas subsidies , to do this activity from Gandhi nagar.
Moderator: Thank you. We will take our next question from Shivan Sarvaiya from Humiviction Investment

Advis ers LLP. Please go ahead.
Shivan Sarvaiya : I had a couple of questions. One was on slide number 12, where you have shown the revenue days that are done in Q2 versus Q2 FY24. So, there has been a reduction in the offshore logistics segment. So, just wanted to know the reason for that. And in continuation to that, on slide number 17, you also shown the MPS VV offshore vessel having a coverage of only 14% for this quarter. So, if you could just clarify on that ?
G. Shivakumar: The revenue days, there are two factors there. We ha d several dry docks during the quarter, which is a reduction in the revenue days. The two MPS SVs, one of them underwent a dry dock for a significant part of the quarter. The other MPS SV and typically these MPS SVs have worked on short -term contracts because that's where we get maximum value. They are extremely marketable in the international market and we get best value from short -term contracts there. So, therefore we hav

e those vessels typi cally will have very limited coverage at any point in time.
However, also this time, one of these vessels is operating on a very short -term contract. And the other one is waiting for a business.
Shivan Sarvaiya: Sir, if you could kind of say what has been the average coverage over the last few quarters and is this little lower than your that, but if you could ….
G. Shivakumar: This is a little lower than that. O f all our ship types in the offshore business , this always has the lowest coverage. But this is lower than the normal. This is lower than it used to be before. Again, because one of them is sitting without business. So, it has 0% coverage.
Shivan Sarvaiya: Sir, are we expecting anything? Hasn't done some bidding or?

G. Shivakumar: We are bidding into contracts all the time. So, it's just a question of time. The thing with the offshore businesses, the business only comes when there is an offshore asset in operation and you require the support from the MP SSV. So, it's like a project -based business for these high - end vessels. And that's why you have these gaps in between.
Shivan Sarvaiya: And there aren't any dry docks in this particular quarter and maybe the next quarter, right? Or are we expecting some more dry docks?
G. Shivakumar: No, we actually have some dry docks coming up now also i n the offshore business . This is going to be a fairly busy period.
Shivan Sarvaiya: So, basically we can expect a better revenue day moving ahead right?
G. Shivakumar: In the vessels , hopefully yes.
Shivan Sarvaiya: So, then in the one rig that is going to be coming for re pricing in this current half ar e we expecting any idling or it's going to be a straight away shift to the next one?
G. Shivakumar: We don't know because we still have to bid in that tender and we don't know when it will be awarded also. So, it's anybody's guess.
Shivan Sarvaiya: So, the difference between the time in which it is awarded and the time when the current rate goes off of charter , do you all get an extension? Are you expecting an extension?
G. Shivakumar: Not between the time. Sorry, I didn't get that.
Rahul Sheth: Just keep in mind that even if we bid and we win in ONGC, the two contracts are separate. So, it's not like ONGC is going to take the previous contract, extend it, and roll it into the second. Secondly, between contracts, when the rigs finish their work, when they've taken off contract, we generally have to spend a certain amount of time repairing, upgrading those rigs. It's like similar to dry docking. So, you have to have a gap between the two contracts, especially when they're long -term contracts.
Shivan Sarvaiya: I had another question. We have seen like the asset prices as you all have covered in the presentation that they have come off a bit in certain categories of business and for certain categories they have kind of plateaued. So, if you could give some understanding in terms of how far are we or are we in that 15% IRR return that we keep targeting for in terms of asset acquisition? A nd how close are we from that?
G. Shivakumar: If you look at the other aspect , you have to remember one thing. When you are looking at what kind of return you can get, it's a function of what you pay for the ship and what you expect to earn. And your earning expectations will keep changing from time -to-time. So, it's not a static number that helps one buys ships. However, having said that, the tanker prices have only fallen

a few percentage points. So, it's a very marginal dro p. So, there's quite a long way to go. But on dry bulk, we have seen a more steeper fall of 10 % to 15% depending on which asset class it is. For example, o n the capsizes , which are the largest asset cl

ass, it's even less than 10% fall. But
on the subcapes, it could be starting to get a bit interesting on the pricing we can see.
Shivan Sarvaiya: Are we looking at assets currently as we speak?
G. Shivakumar: We are always evaluating, but at the moment, there is nothing that we can really comment on.
Shivan Sarvaiya: And one more question, we sold Jag Rani , the Supramax . Now the vintage of that ship was like 13 years around. It was built in 2011. But we already have an older ship called Jag Radha . So, why was that not sold? And why was a younger vessel sold? Any particular reason for that?
Rahul Sheth : One is that we felt like the 2009 just the yard from which that ship is built is a better quality yard, so we thought it would be better off to hold on to the 2009 versus the 2011 . Two years is not a very big difference in age. So , we prefer to hold on to the ship with a better quality construction.
Shivan Sarvaiya: Just one more question, if I may. This was regarding the other expenses. So, if I kind of just consolidated minus standalone, I see a rise in the other expenses in the rig basically that would majorly be the offshore business in this quarter , so what was the reason for that? Was there any kind of one -off refurbishment expenditure that were taken in this quarter?
G. Shivakumar: So, it's not in the offshore business, it's in the shipping business itself. I was mentioning to the earlier person that we have inchartered two vessels. So, that charter hire that we are paying out comes under other expenses and that's the increase in other expenses that you are seeing.
Moderator: Thank you. We will take some text questions. We have the next one from Priyam S hrivastava from D K Capital. What is average long -term return on NAV at an industry level?
Rahul Sheth: We don't know what the return is at an industrial level. It's not like the sector is only with the publicly listed companies. A large percentage of this business is privately owned, and we just don't have access to that information.
Moderator: Thank you. We will take the next text question from Himanshu Upadhyay from Buglerock PMS. We have seen spot rates for LPG carriers have fallen. Are the period charter rates also falling? And do we have any contracts which is getting over in this FY for LPG carriers?
Rahul Sheth: So, firstly, we don't have any LPG carriers coming off in this financial year. And yes, the spot rates have come off and the period charter rates have corrected, but not to a similar extent. We will have to see over the course of the year what happens to the period charter rates.

Moderator: Thank you. The next text question is from Ajay G awri, an individual investor. If further investments in assets don't make sense at the moment because of the market cycle, has the Company thought of buyback given the value it can unlock for shareholders?
Rahul Sheth: We do constantly evaluate whether a buyback would make sense or whether it would make more sense to wait on the cash for the asset prices. Our preference is always to invest more in building, renewing the fleet and having more ships. So, we do evaluate it, but at the moment we have no such plan .
Moderator: Thank you. We will take the next question from J inesh Shah from RSPN Ventures. Please go ahead.
Jinesh Shah: My first question was with respect to the fleet number. I can see that we had sold out two fleets in the current quarter and like we are expected to sell more fleets in H2 FY25. So, I wanted to ask that, are we like replacing this with younger fleets or what is the management planning about it?
G. Shivakumar: Yes, so for most of the ships that we have sold, we have replaced them with younger ships, either through purchase or in charter. I think only on the Supra max vessel we have not bought a ship against that sale, but tha

t doesn't mean we won't buy one in the future.
Jinesh Shah: So, by the end of the year, what is the number of fleets that we can expect?
G. Shivakumar: We can't put a number to that, but we keep evaluating because as you can imagine, it takes a bit of time to figure out and negotiate a transaction. So, again, it will depend on the price that we are getting, whether we buy more or sell more. But we expect to be around these numbers in any case, not a significant variation downward. If we get great opportunities to buy, we may go up with that.
Jinesh Shah: So, my next question would be with respect to offshore business. So, I don't want a formal guidance, but since we can see that in H2 FY25, we have like four vessels and one rig that are re-pricing, so can we expect a better performance and much better performance than H1 in the next half of the year in offshore business segment?
G. Shivakumar: As it stands, it is somewhat unlikely. Just let me tell you why . In the first quarter, so the first quarter was a very good quarter for the offshore business. All the rigs were working, and all the vessels were working also. In the second half of the year, you have one rig, which is currently between two contracts and therefore will have around 60 days or higher , which means no revenue is being earned in that period. The next rig will come off in the next 2 to 3 months. That rig will also have significant off hire. Even if she gets a contract, she will have off hire as Rahul describe d earlier. Between contracts, you typically have an off hire period. And you also have to spend the

money on the rig to upgrade for the next contract. So , all of those make the profitability a little
subdued for during that period because it makes a big difference. Sixty days of a rig not earning

is a significant amount of impact. But what happens is , as soon as you get the contract, then you
go back into, then you get the revenues and everything else.
Jinesh Shah: So, we might see a little bit of subdued environment in this offshore business segment in the
next half of the year, right?
G. Shivakumar: That is correct .
Jinesh Shah: Just one last question from my side , since I was newly evaluating this Company , I was just
understanding the technical jargon of the order book Whether my understanding with respect to
that is correct or not that , can you just explain that whether it is like the ship that is to be delivered
in next 2 to 3 years or that is the percentage of it or how is it?
G. Shivakumar: The order book refers to all the ships that are placed on order depending on how full the yards
are depends on when the ships get delivere d. So, typically we have seen that yards may take up
orders up to maybe three years in advance or you know owners may not want to also build 4-5-
6 years in advance right even if slots are technically available. So, generally, one can assume
that this order book is to be delivered within 3 to 4 years. And thanks for asking the question,
because we'd like to clarify. The order book is, in some companies, the order book is what is
their revenue backlog. When we talk of order book, it is of the global fleet. If the global fleet of
a particular type of ship is at 100, how many ships have been ordered, which will join the fleet
in the next few years? So, when we say the bulk arrear order book is at 10 %, that means if your
bulk carrier fleet is a billion tons carrying capacity , you have about a hundred million tons of
carrying capacity that has been ordered for delivery over the next over the next 3 to 4 years .
Moderator: Thank you We will take our next question from Surendra Yadav , an individual investor. Please
go ahead
Surendra Yadav: My next question was with regarding the presentation Slide #14, the changes in standalone
NAV? I just wanted to understand whenever y

our transaction for a sale of asset is done, how
exactly does it affect these values ? Is it recognized as a profit or like a decrease in fleet value , if
that could b e clarified ?
G. Shivakumar: Good question. It goes into the profit so that profit goes there. So, you moved it from the MTM
which is in the fleet value to the realized which is the cash profit. So, all the cash profit that we
have recognized in the last 12 months, between September ‘2 3 and September ‘2 4, has gone into
cash profit. And it has gone out of fleet value .
Surendra Yadav: And the MTM changes in the fleet value, which has not been sold, that is captured in the fleet
value changes ?

G. Shivakumar: So, let's just take one example. Let's say you had Rs. 10 per share of profit sitting in one vessel,
one ship. You sold that ship at that price, that 10 gets transferred from fleet value. Fleet value
goes down by 10 which is a gain, and it goes to cash profit.
Surendra Yadav: So, the fleet value that we are seeing here it is a mix of the transaction of ships that have been
done and the changes in the value of the ships .
G. Shivakumar: That’s correct. But in general, versus a year ago, asset prices are up . That's a broad message, but
this has happened because it has got transferred from one to the other. So, you have to take a
negative entry on the ship which has been sold. So, it's moved from mark -to-market gain to
realize gain. So, your mark -to-market gain comes down. That's what it means.
Surendra Yadav: Just one request, if a similar breakdown on a quarter -on-quarter basis can also be provided. I
think that would provide a clearer picture of what has happened in the quarter .
G. Shivakumar: Fair enough. We will keep that in mind.
Surendra Yadav: And my second question was that, generally I think the preferenc e, at least in the crude and
product segment has been to operate the fleet on spot as much as possible. But what I've been
seeing is that same strategy is not being followed on the gas carrier segment. So, is it inherently
due to a different market of gas carrier or just that the values were so high that we thought it
would be good rate to fix in longer term charters?
G. Shivakumar: No, it was just because we thought it was good to take the opportunity and fix up the fleet. But
if we believe that the charter rates are not sufficiently good, then we have no problem running
them on the spot market. The one MGC that we have is different, that is the smaller gas carrier.
That one inherently needs to be fixed out because the spot market is very limited. But the three
VLCC s, the larger ones, they can be easily run on the spot market.
Moderator: Thank you. We will take our next question from Amit Khetan from Lab urnum Capital. Please

go ahead.
Amit Khetan: Sorry, I joined a little late, so maybe you've already addressed this question. If I look at the offshore earnings for this quarter, they look a little subdued compared to the last couple of quarters. Is there any one -off element here?
Rahul Sheth: Not a one -off. The two big vessels, the MPS SV, both had low utilization. One of them actually had a commercial utilization issue, which is she didn't have a contract. She was available, but didn't have a contract. The other one had a combination of a commercial utilization issue and a dry dock . So, therefore, the revenue was low. That was a big difference really in the quarter. And these two are the high earning, very high spec value .

Amit Khetan: Second question was, in the past, you've talked about possibly evaluating the container segment. Now, given the new administration in the US and the commentary around how that's going to negatively impact the container shipping segment, plus when you juxtapose tha

t with the
massive order book on the container segment in the next few years, it looks lik e the asset prices there could get very interesting. So, have we accelerated our thinking or process in this step?
Rahul Sheth: The point that you make is quite relevant. The fundamentals do line up to say that maybe the container market could come down. But you should just remember one thing that when COVID hit, every single report and every single analyst thought the entire contai ner market has gone for the next few years. And then you had probably the largest boom ever seen in the container space in like 60 years. Then again, the container market started coming off because of the order book and then you had the Red S ea attack and again the container market took off. So, while what you are saying is logical, one can't assume that that's what's going to happen. Secondly, we did see this round of tariffs that Trump did in his first term and there is a way of water always finding its own level. So, you found that while a lot of goods didn't directly land up at US, we went to Mexico, we went to Canada, we went to other areas . We have trans-shipped, repackaged, and moved into the US because eventually, the US needs those goods. If they increase the tariffs to a rate where US just starts consuming a lot less, then yes, that's negative for demand. But if it gets rerouted, repackaged, and sent back to US, you may actually need more ships to do that. So, it's very difficult to say exactly the way it would pan out. But the point that you are making is correct that i f the market comes off, then we could get good opportunities to buy. In any case, we are ready to move whenever the opportunity comes. You don't have to do too much preparation for that.
Amit Khetan: So, we are prepared to take advantage in the container, because this is a new segment for us or at least we have not been in this segment for probably maybe 20, 25 years or so ?
Rahul Sheth: That's right. We have not been in this sector, b ut we have the capabilities of running different segments of shipping, so that won't stop us if we find the opportunity .
Amit Khetan: And is there a scale requirement here in the sense that it's not enough to just buy 1 or 2 containers, and you need to buy a bunch of container ships?
Rahul Sheth: No, you can have a smaller fleet as well. That's fine. The scale requirement is for the liner operator, which is a completely different business. So, we should not discuss that.
Moderator: Thank you. We will take our next question from Ajay G awri, an individual investor. Please go ahead. Thank you.
Ajay Gawri: I had a question regarding the buyback . I think it has been answered by the manager.
Rahul Sheth : Yes. I t has been.

Moderator: Thank you. We will take the next question from Anuj Sharma from M3 Investments. Please go ahead.
Anuj Sharma: Just on the Greatship, you said the short -term contract is contingent between 4.5 months to one year. So, is that contingency based on operators ’ choice or is it our choice?
Rahul Sheth: No, it is their choice. It is their choice because typically when you drill a well , it depends on what is achieved during the drilling program.
Anuj Sharma: And post the scrapping of first tender , has the operator had any long -term contracts in in the rigs or it's been this way for all the contracts in then on ?
Rahul Sheth: So, they've not come out with a new tender. They have just recently like Shiv mentioned at the beginning of this call that they've recently come out with a tender , a long term tender.
Anuj Sharma: And we are participating in that ?
Rahul Sheth: Yes, we will.
Anuj Sharma: And one question on the reduction in number of ships. So, we have replaced some of them with new buys and in charter . But assume that the asset prices continue to ris

e . do we or have we ever
thought of hedging that through a new build contract? And what would be the typical arbitrage between a new build and a short term, relatively new age fleet or a ship?
Rahul Sheth: One thing to remember, that there could be an arbitrage between the new building and the second hand. But the reason that exists is because if you order a new building ship today, you are not going to get delivery until end 27 -28. And you are going to be paying a relatively high price for that. Now, you don't know the market you are going to have 3-years forward, which is why the arbitrage exists. So, it's not a free lunch . It's not a good strategy to play on that.
Anuj Sharma: I completely agree on that logic. Just the small point is , out of the 41 ships , in each of the categories, if we had 1 or 2 as a hedge, would that still not be a logical strategy? Because we are really, if we are in charting, and the asset prices continue to rise, we might actually.at the end of third year when the in -charters go, we might have a scenario that the asset prices continue to rise, just a scenario, a hypothetical scenario. We don't have ships at that point of time. I am saying that we have always done long -term modeling 20 -25 years in the past. Is that a scenario which we think about? Thanks.
Rahul Sheth: What you are saying is very relevant. Now we have to also put probabilities to these events happening. For a cycle to be that long, do we need to hedge ourselves against that? So, we are switching our assets, right? So, our shifts that are older, we are replacing them and making sure that a certain amount of capacity does exist. That in effect is a hedge to ensure that if the market does last longer than we expect, we at least have sufficient exposure to take advantage. On your

second point that new building, is that a hedge? If you did want to take a hedge, it's better to buy ships today. Pay the slightly higher price from the arbitrage price of a new building and take advantage of the higher spot market. And thirdly, if we do the in -chartering, and maybe an in -chartering last 3-5 years, you always have the option that if the market remains strong at that point in time, you can take in a second in -chartering at that time. So, we have multiple ways to play if the market does surprise us on the upside. And we do keep this in mind, you know, about the amount of cash that we have, because you don't want to take a one -sided bet at any point in time, right?
Moderator: Thank you. We will take our next question from Priyam S hrivastava from DK Capital. Please go ahead.
Priyam Shrivastava: What is the difference between GE and other shipping companies in terms of how we operate? Aren't like most companies trying to be value buyers?
G. Shivakumar: Every Company have different strategies. So, there are companies which have a strategy of high leverage and high time charter coverage. There are companies which have zero leverage and full spot. The value buying strategy, at least in the listed space, is not really the preferred one. And we have seen this because there are not too many shipping companies listed in India, but we have seen companies overseas. A lot of companies try to grow on a year -on-year basis. And so I think we are different in that way. What is also different is between us and international listed shipping companies again because there are not many listed in India , is that we operate in different sectors which is crude tankers, prod uct tankers, LPG and dry bulk and also offshore and therefore we can play these cycles and do our value buying at different points in the cycle of these different sectors and I think that advantage shows up in the results that we have done over long periods of time.
Priyam Shrivastava: Is it not preferred on what's preventing others fro

m attempting like doing the same similar thing?
Rahul Sheth: So, it's like in the equity markets, what stops everybody from being a value investor. Everybody just has a different investing style that works for them.
G. Shivakumar: Everyone has a different definition of what is value, right? You are buying stocks, stock market, every single day shares are being transacted. So, clearly there are opposing views for the transaction to take place. The same in shipping or any other business, I assume.
Priyam Shrivastava: Sir, and my second question was, how do you assess if the price of an asset is right? Like, do you base it on current yield projections and predictions?
Rahul Sheth: So, we don't do it on current yield, but you have to always keep in mind of the current state of the market, because not all markets are the same. So, you can always look at history. But history just gives you an indication. It doesn't necessarily mean that's exactly what ’s going to pan out in the future.

Moderator: Thank you. We will take the next question from Surendra Yadav, an individual investor. Please go ahead.
Surendra Yadav: A couple of questions. On the dividend payout, like if you could give clarity until we are in a

position to make investment, can shareholders expect similar level of dividend payout s?
Rahul Sheth: You mean payout ratio or absolute amount of money?
Surendra Yadav: Yes.
Rahul Sheth: We don't have a hard and fast ratio, eventually that's decided by the board of how much dividend we should pay. And we have to also keep in mind the amount of money we keep aside because it's a function of how much you earn, how much you need to keep aside for fleet renewal and expansion. So, there are a multitude of factors that go into it. There is not one single rule.
Surendra Yadav: But given that the existing cash balances are kind of enough to serve those requirements given that we keep three years odd of risk capital. Because I saw a couple of other listed players outside India heavily increasing their dividend payouts. So, is that something that's a policy out there or we can see with each quarter that comes by?
G. Shivakumar: So, I won't get into individual names. Typically, these companies which have dividend payouts are very high dividend payouts, and we know a couple of companies which are doing 70% to 100% dividend payouts . I will remind you that the last time we did an equity issuance was 30 years ago. We don't issue equity, and we don't take it as an option at all. However, that is not true for a lot of the other companies that operate internationally in the market. And therefore , I would not compare. What a lso happens is paying dividend and raising capital is not an efficient way of operating in India. You know as an investor that dividends suffer significant taxation here and therefore, it's not really a great way to operate if you intend to just take the money back at some point.
Surendra Yadav: Just one last question , any plans on listing of Greatship India Limited in future given that it is a substantial entity and there's quite some demand in market for the paper as such ? So, any plans regarding that , that would definitely unlock some values for both the Company and the shareholders ?
G. Shivakumar: Now at the moment we have no such plan .
Moderator: Thank you. We will take a text question from Shivan Sarvaiya from Humiviction Investment Advis ers LLP. Could you provide the current fleet positioning between TC and spot?
G. Shivakumar: So, the crude tanker fleet is 100% on spot. The product tanker fleet is about 20%, 25% on charter. The gas carrier is fully fixed down . And dry bulk is on the spot market.

So, I can see a couple of questions in the text. There is a question fro

m Amit Khetan, it's not been answered. The question was, how are we thinking about capital allocation? I will just read it out , in the offshore segment has there been a change in thought process. No, there is no change as of now. So, let me see how the market goes. As of now, there is no change in thoughts on that. There is a question from Dhruv Jain of Ambit which is on asset prices. Asset prices have softened from the peak. The question is whether we are looking to reduce our absol ute exposure to crude and product market. No , each of the ships that we have sold has been replaced one way or another. And Rahul mentioned either we replace with a purchase or with an in-chart er. So, within the group, we still have that exposure. There's one more question. The last question is on guidance. There is no guidance on margins. And so we are not going to discuss that. The final question is on the insured value of the fleet. The fleet is insured around the current market value of the fleet.
I think that's all . Thank you for your questions. I don't think we have any further comments that we have to make. Thank you, everyone. Anjali, you want to have a couple of words?
Anjali Kumar: Yes, thank you everybody for joining and we will be putting up the transcripts of this call shortly. The audio will be available by end of today and the scripted one will be there in a couple of days. So, you may please feel free to reach out to us or our whole team is here to answer any queries that you may have. Thank you again for joining today.
Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of GE Shipping, this concludes the call for today. Thank you all for joining today. You may now exit the meeting .

Call: Jan 2025

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Mumbai – 400 001
BSE Scri p code: 500620 Trading Symbol – GESHIP
Sub
: Transcripts of Earnings call conducted on January 28 , 2025
Dear
Sir/Madam,
Fu
rther to our letter s dated January 17 , 2025 and January 28 , 2025 , please find enclosed
transcripts of the earnings call held on January 28, 2025.
We req
uest you to take the same on record.
Tha
nking You,
Yours faithfully,
For The Great Eastern Shipping Company Limited
Anand P
unde
Company Secretary
Email ID: anand_punde@greatship.com

“The Great Eastern Shipping Company Limited Earnings Call
on Declaration of its Financial Results for the Quarter ended
December 31, 2024 ”

January 28, 2025

MANAGEMENT : MR. G. SHIVAKUMAR – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER , THE GREAT EASTERN SHIPPING
COMPANY LIMITED
MR. RAHUL SHETH – THE GREAT EASTERN SHIPPING
COMPANY LIMITED
MS. ANJALI KUMAR – HEAD, CORPORATE
COMMUNICATIONS , THE GREAT EASTERN SHIPPING
COMPANY LIMITED

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Moderator: Good Evening, Ladies and Gentlemen. Thank you for standing by. Welcome to GE Shipping Earnings Call on Declaration of its Financial Results for the Quarter ended December 31, 2024.
At this moment, all participants are in listen -only mode. Later we will conduct a question -and-answer session.
I now hand over the conference to Mr. G. Shivakumar – Executive Director and CFO at The Great Eastern Shipping Company Limited , to start the proceedings. Thank you, and over to you , sir.
G. Shivakumar: Good afternoon , everyone and welcome to the Q3 FY '2 5 Conference Call . Let me run you through the presentation and then we will be very happy to take questions.
I have with me Rahul Sheth , who will also be in the Q&A.
A standard disclaimer, we don't intend to give any earnings forecasts . So, please take it that way.
Our net profit, we had yet another profitable quarter. Our net profits consolidated were Rs. 594 crore. Our consolidated NA V came down slightly during the quarter , and we will look at that a little later. We have declared the third interim dividend for this financial year, making it the 12th consecutive quarter of quarterly dividends.
I won't go much into the results for now. You would have seen the results. Let's go to the normalized numbers. So , the normalized numbers are not very different from the reported numbers, slightly lower. The significant factor, of course, as it has been for the last couple of years is that we are net cash. So , you can see the net debt number at the bottom of the screen, which was 4 ,280 negative. So , we are net cash to the extent of about $500 million on a standalone basis and therefore, well positioned for any market downturn that may come.
On ratios, the return ratios, of course, continue to be good. The significant factor that I wanted to point out is on the net asset value . While it's up year -on-year, so on a standalone basis, we are 1,138 versus 1 ,068 a year ago. We were in September about Rs. 45 higher than this. So , we have had a drop in asset prices. The total fleet value has dropped by about $150 million between September end and December end, which has resulted in this drop, of course, compensated by the earnings that we have had . So, about Rs. 45 got compensated by the earnings themselves.
These are the key ratios and the TCYs. We won't go into them. Later on we look at what are the factors that went into the markets and our earnings .
Here is what happened with the net asset value from a year ago. So, we went up by about Rs. 70 a share between December 23 and December 24, of which 218 came from cash profits. Minus 114 was from the drop in fleet value.

Let me just also clarify here , the drop in fleet value also includes when a ship which had a profit. Let's say you sold a ship at a 100 crore profit, which is Rs. 7 per share. That will show as (-7) in fleet value. And (+7) in the cash profit. So , this (-114) includes when some ship is sold at a profit and moves from one column to the other, from MTM to Realize d.
Then , of course , in the last 12 months we paid out Rs. 33 of dividends. The standalone NA V is, again, significantly higher than what it was in FY '2 0 with a CAGR of 20% plus.
On a consolidated basis, the story is more or less similar. So , we had a cash profit of Rs. 250 a share, and the fleet value has dropped off a little bit.
This is on the debt repayment schedule , and we bring it here because we have been doing some prepayments , and we have done some more prepayments in this month , and we had a scheduled repayment as well. So, our debt is already down to only about $225 million on a gross basis . Of course, we have an excess of $700 million of cash against the debt .
Now, let's lo

ok at what happened in the shipping markets. The shipping markets disappointed .
The tanker markets disappointed in the winter of 2024 -25. And the much expected , awaited winter spike did not come. And you can see that in the dotted line for Suezmax and for the MR. So, earnings were pretty subdued for the quarter even as compared to the summer months and much lower as compared to what they were in the previous financial year.
They continue to be pretty low on both fronts, whether it's the crude tankers or the product tankers. There was some excitement in the market for a couple of weeks when some new sanctions were announced on tankers, but after that it settled down from that flurry of excitement .
Looking at what factors went into the earnings, the general weak sentiment prevailed. The oil demand has not been growing as strongly as was expected. The seaborne crude trade actually went down 2% year -on-year during the quarter, while the tanker fleet, of course, because there was very little addition during the quarter, the crude tanker fleet remained flat.
One thing which affects tanker markets is refinery margins and therefore refinery throughputs. Lower refinery throughputs in Asia and Europe cur b the product trade and also the crude trade

because these are importing regions. S o, seaborn e product trade has been flat year -on-year during the quarter, but the fleet saw growth of about 2%.

Asset prices have, on average, dropped by about 15%, more for the older assets, which had gone up a lot in value and less for the more modern assets. And the order book has been building up . So, it probably doubled in the last 12 months or so.

What happened in dry bulk? The dry bulk market also remained fairly weak. Capesizes were not too bad during the quarter, but the sub -capes have struggled quite a bit in the October to December quarter and continue to struggle even now, mainly because iron ore trade has not been

growing. It didn't grow during the quarter. There has been slowing demand in China and a drop in Brazilian exports because of some port maintenance issues.

The coal trade has grown slightly, but Indian imports during the quarter saw a drop, and that is mainly because of improved hydropower generation in India. Grain trade has seen a sharp decline because of the lack of Chinese demand, because there is improved domestic supply in China. That's for corn, specifically.

The order book for dry bulk is at a little over 10% of the fleet. Even dry bulk values dropped during the quarter , Capesizes by about 5% while the sub-capes on average by about 10% during the quarter.

LPG , all of our ships continue to be on time charters. T he spot earnings were significantly lower and you will recall that last year we had the spike which was caused by the Panama Canal restricting movement through the canal because of shortage of water. That is now normalized. So, we have seen that the rates have come down to more so -called normal levels from the 95,000 plus that we saw in the second half of calendar 2 023.

Despite the drop in freight rates, prices remain at very elevated levels and the order book is very high. Its 28% order book for VLGCs. The order book, as I mentioned earlier, is about 23% for product tankers and a little over 10% for both cr ude carriers and bulk carriers.

The one thing to point out is that the orders are rear -ended. So , not too much joining the fleet in Cal 25 and Cal 26. A lot more happening in Cal 27 for whether it's cr ude tankers or product tankers.

Given the current market and the earnings that we have seen, scrapping has been absolutely minimal, and which makes it the third year in which there has been almost no scrapping. So , except for Calendar ‘21, we saw a little bit of tanker scrapping. We have had very little scrapping now since 2019. That

makes six years of very low scrapping indeed.

This is something that we mentioned earlier. While the order book has been building up, we also have to see it in the context of what the current fleet is like. The aging fleet defined as greater than 20 years for all ships except gas carriers , is much higher than the order book for cr ude tankers. So, you have an old fleet, which is more than 20% of the current fleet, while you have an order book, which is only about 10%.

For dry bulk carriers, it's about the same. So , you have 10% old fleet and 10% order book, while for product tankers, you have an order book of 22% -23%, while the old fleet is about 18%. Here, one must remember that LR2 , the largest product tanker, can switch between carrying crude and refined products. So , if you see the crude tanker market being undersupplied or much tighter, you could see some of the product tankers shifting to the crude tanker trade. And L PG

carriers, of course, the fleet is pretty young. Only 10% of the fleet is 25 plus, but the order book is 28%.

Looking at asset price movements, I mentioned earlier that we have seen prices coming off quite a bit in the last quarter or so , and they continue to be a little bit lower in this month as well.

Coming to Greatship , there has been a gradual improvement in jack -up markets . There was a gradual improvement in jack -up utilization till early 2024 when Saudi Aramco off -hired or suspended contracts on several rigs. So , you can see that graph turning downwards. But let 's look at what's happening with us. So , you will see that we have two rigs for re -pricing in H2 FY '25.

I had mentioned in the last quarter's conference call that Greatdrill Chetna had obtained a short - term contract in India. This has been terminated by the client, citing force majeure , and we have disputed the termination. We are unable to comment further on the matter . So, I would request you not to get too much into that.

Apart from that, we have two vessels which are coming up for re -pricing in the next two months up to end of March, and we have three vessels which are coming up in H1 of FY '2 6. All of the

re-pricings that we have seen over the last six to nine months have been at much higher levels than the earlier contracts. So , the vessel's business continues to deliver good profitability. We also have the Greatdrill Chitra coming off contract, a third rig coming off contract in H2 of next financial year.
Finally, we are not just here to make money. We also see that this has a higher purpose, and these are some of the details of our CSR activity, which we are very proud of.
Thank you. That brings us to the end of the presentation, and we are very happy to take questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from Rajesh Khater , an individual investor. Please go ahead. Since there is no response, we will move on to the next question from Himanshu Upadhyay from BugleRock PMS.
Himanshu Upadhyay: Mr. Shiva kumar , one question was on the product tankers . When we see our Slide #32, it seems the price of product tankers have fallen much sharp ly than crude tankers. When you gave the commentary, so even in case, so that 15% fall in MR would be higher and crude would be lesser fall in prices of assets, would that be the case or?
G. Shivakumar: That's right. This fall has been much more accelerated for the older vessels. Yes, but the product tankers have dropped off more than the crude tankers. That is true.

Himanshu Upadhyay: And any specific reason ? Because last quarter when we gave the commentary, it was something like a large order book is for LR2s, which can move to Aframax also. So , we d

on't know.
Rahul Sheth : The asset value correction which has been more on product is also in line with how the charter rates for the product tankers have also fallen off to less than $20,000/day . So, they are in line with that.
Himanshu Upadhyay: And one thing . What we have seen in the last 3 years, China has shown pretty low growth on the construction activity. What is yielding to good returns on Capesizes ? Because generally, majority of cargos on Capesizes are iron ore and coal. And Supramax and all those categories, which are more wheat and all those things. So, some words on that will be good.
Rahul Sheth : Yes, so the Capesizes, you are right, predominantly it's iron ore. Now, we have seen that the data from China has been weak for a couple of years, on the real estate sector side. So , what has actually happened is, that even though some of the data was weak, basically when China exports, they have to consume a lot of steel in manufacturing, it's packaged into some good and then exported.
So, that was holding up the demand. Because steel manufacturers, in China, they all get quotas from the government and they won't prefer to cut production unless they really need to. So , they were always finding some use for that steel. And the iron ore production in China has also been a bit weak. So , because of that, it gave a little support to iron ore imports for the steel manufacturers.
Also on the flip side, Chinese steel manufacturers kept exporting steel. So , if you see the steel exports from China, they have doubled from 60 million tons to 120 million tons. 120 million tons is larger than the Japanese steel market. Now, what's probably happening is that the amount of steel that one can export may be getting capped out. The amount of manufacturing to other countries like U .S. and Europe may also face an issue with Trump's tariffs. And the amount of iron ore, the production that was lag ging and therefore they required import, that also may be tapering off, which may lead to the current weakness we are seeing on the spot market. But i n the Sub-capes which had less support from iron ore, they started correcting before the Capesizes .
Himanshu Upadhyay: And can you give an idea of the fall in fleet value ? Of that 150 million, how much would be on shipping and offshore ? Are offshore values also coming down or the market ….
G. Shivakumar: No, the 150 million was only shipping.
Himanshu Upadhyay: So, offshore remains constant.
G. Shivakumar: The 150 million I mentioned was only shipping. Offshore, yes, no change in that. We do that valuation only once in six months. So , we didn't get an update, but I don't think there is a change. We haven't seen any transactions recently.

Himanshu Upadhyay: And one last thing . In terms of attractiveness of markets, okay, how are you looking at the crude , product and dry bulk? And any thoughts on that? And we made a transaction recently also on dry bulk. Some thoughts on that will be helpful.
Rahul Sheth: So, even though crude and product prices have corrected, there is still probably a long way to go before it becomes a very attractive buying zone . But what we have seen in the past is that prices

can correct very fast. Now , we don't know whether it's going to correct very fast or not.
I don't know whether you picked up on the news where there have been sanctions from just before Biden left on certain ports in China, on certain ships carrying Russian crude to ports in China. Now that may be a big positive. So , we don't know whether the prices will eventually correct to our levels or not. But today they are still quite elevated.
Dry bulk itself, while the freight rates have corrected, the asset values are still taking time to fall in line. And if you see the LPG market, Shiv did mention that the freight rates are

now closer to
probably the long -term averages. So, the asset values have not yet seen the correction .
So, now it becomes, as of today, all the three sectors, the asset values are quite high, relatively quite high to the earnings. But whether they will correct sufficiently or not in the future , we will have to see. And then we will be able to say which one is the most attractive to take a call.
Himanshu Upadhyay: See, interesting commentary, but what will be the plan B if you say we don 't know they will fall to our levels or not? So, it may fall, it may not fall, but then if it does not fall, any thoughts on that? And how do you look at the markets? What can be your plan B? And are we increasing to hire more ships on, let's say, period charters, what I would say ?
Rahul Sheth : Yes. So, you don't see there are multiple options that there is. So , if the freight rates are high, and the current yields are good, we already have a certain exposure. And as you have seen in the last few years, the profits have been quite good, right? So , you always have an opportunity to get that. If the freight rates have come off and the asset value still remain high, right , it will take time, but they will end up correcting.
Now one will then have to decide on the outlook , whether one wants to wait exactly for those prices that make it very attractive or there is somewhere in between you can enter. And also, and you did mention that, we also always evaluate whether we should in-charter , because like I mentioned, the freight rates are corrected, right, versus buying a ship. Eventually you end up taking exposure to the market. But instead of putting in the capital at a price at which you may not get the return that you want, if you in-charter it and you get exposure in the market, you may be able to generate the returns from there.
Himanshu Upadhyay: So, currently , we will have only two ships in-charter or there are more?
Rahul Sheth : No, as of today there are two in-charter .

Moderator: Thank you. We will take our next question from Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.
Vaibhav Badjatya: So, on the recent sanctions that have been imposed, if you can help us, firstly quantifying it in terms of as a percentage of the total fleet, how many crude and product tankers have been sanctioned ? And secondly, whatever these sanctioned tankers are, I mean, where they can be put to use ? And do you see a case where these tankers will not be able to put to use and that's why it might create some tightness in the market , or how this overall thing is going to impact in your assessment?
Rahul Sheth: So, good question. So , about 180 odd tankers have been sanctioned. Predominantly they are in the crude space. There are some ships out of the sanction list that can carry both crude and product.
But what we are seeing is, and it becomes difficult to know whether they were carrying crude or product at the time, but if you look at the fleet that has been sanctioned, they have predominantly carried Russian crude, and they totally carry about half the exports from Russia. So , Russia exports roughly 3.5 million barrels of crude. Half of that is carried on these newly sanctioned ships.
We have seen the U .S. sanction ships in the past after the war was declared. And all those ships that were sanctioned eventually ended up not carrying any car go. And at least that's the data that we have. So , of course, if they are unable to find any alternate trade, it becomes difficult, right? I mean, the market will become very tight. So , how they will eventually do something else is difficult to s ay.
Having said that, I think it's a bit too early to see how the market develops. And I think the market somewhere feels that maybe Russia will manage something. We have seen some am

ount
of crude going to a very nearby port in China, which is outside the Shandong province. And they are importing crude from Russia on these sanction ed ship s. They are a fraction of what Shandong will import, but they have gone there.
Now, will it be possible for all the vessels to carry all the crude that they were carrying and go to other places? You know, this is a trade where a lot of things are obscured and therefore it's very difficult to say exactly this or that will happen. But the number of ships that have bee n sanctioned are quite large.

Soon after the sanctions actually were put in place, we did see the VLCC rates spike up as people get to secure some cargo of crude, especially from the Middle East or other places in west of the Suez. But those rates did start coming off. So , when you start reading from the market, maybe some of the buyers of oil felt that the market may not have a solid shortage as is initially expected.

We should also keep in mind that these sanction ed ships have roughly until the end of February to discharge their cargo . So, I think we will see how the market settles down in the month of March. And this period, it does weigh on the market because it's Chinese New Year. And China being the largest buyer also has refinery maintenance .

So, whether its seasonal or not , but at least for the next couple of weeks, a low period for refinery runs. So, you know, the net demand of crude also comes off . So, maybe the market can absorb a bit less er crude moving. But I think in a couple of months, we will come to know how the market reorients itself to this ban k.

Vaibhav Badjatya: So, I think I might have missed your comment. You said that these ships which were sanctioned in the earlier rounds, not the latest one, they have not been able to put to use broadly.

Rahul Sheth : They have not been able to put to use. That's the data we have.

Vaibhav Badjatya: And is it possible, it might be a very basic question, but is it possible that Russia load the oil in them, and then somewhere in the sea the whole tankers gets empty to another tanker and then get transported somewhere closer to another port? Is it practically possible to do or it 's not?

Rahul Sheth : So, it is possible. But what has happened since the war, and the rules have become tighter over the past few years, whereby they ask where, say, a port in Shandong, would ask for where the crude originated from in Russia and how it reached China. Now , if someone along the supply chain obscures the data flow and incorrect information is p assed , then all of this is maybe possible . We don't know. But if someone shows that a sanctioned vessel carried it from Russia to another ship and then the other ship brought it to China, that would be probably a breach of the U .S. sanctions and therefore that could not be allowed .

G. Shivakumar : Yes, therefore, that becomes a very risky activity now that they know that the U .S. is taking this very seriously .

Vaibhav Badjatya: Yes.

Rahul Sheth: This step of the U .S. is showing that they are taking it very seriously.

Vaibhav Badjatya: So, as a percentage of the crude fleet, how many would these tankers be?

G. Shivakumar : Maybe about 5% .

Vaibhav Badjatya: 5%.

Rahul Sheth : Maybe 3-4%.

Vaibhav Badjatya: Okay, 3 -4%. And the product would be much lesser ? Do you think the product would be much lesser?

Rahul Sheth : Yes, product would be slightly lesser, yes. Like I mentioned, some of the tankers also have the capability to carry products, but the exports of Russia are much larger . So, it has a greater impact there .

So, another data point that we have seen is that Russia has increased the refinery run, which means that they are processing more of their crude, cre

ating it into products. And again, it's too soon, but one would expect that now they will export or try to export more products because the crude fleet is getting lesser . And then one can again presume that maybe they have the product tankers to do that because there is an inflow from the data b ecause it's not all very clear .

Vaibhav Badjatya: And just if we convert this 3-4-5% into probably ton-mile, it might be more because of this trade to India and China, Russia might, there were more, I mean in terms of miles, an average mile on these tankers might be higher than the other tankers and that's why it can be a little more in terms of miles .

Rahul Sheth : Yes, so when the war broke out, so when you have to compare the ton-mile, you have to compare the change. At first Russia was sending it to Europe versus that when it sends it to India, the ton-miles increase . But if India needs crude, we have to determine where that crude is coming from . So, if it is coming from higher distance , compared to the Suez , it's equally the same or more ton-miles.

The other thing you have to keep in mind is that if these vessels truly are out of the system completely, right, that 3 -4% of the trade that those vessels are not doing and therefore there will be a net increase into the legitimate trade. So, there will be actually more volumes. There will be additional volumes through the legitimate trade because the number of tankers doing the

legitimate trade is static, r ight?
Vaibhav Badjatya: Right.
G. Shivakumar : And now there were some trades being done with illicit tankers which will now come to the legitimate trade. So, even if the crude is got from some places like in the Middle East or West, the overall trade will increase. So, you have , just to put this in number, let 's say that the overall trade was 100 and now 4 of that has gone out and those ships doing that 4 have also gone out. Consumption is still a 100. Therefore, now you have to still carry 100 which makes the market and if those 4 ships have gone out , then the market becomes a little tighter. Of course, then you have to adjust for the ton -mile impact of Russia to Middle East to India or wherever else it is. But net -net tightening of sanctions on tankers is a positive for the trade, for the supply -demand balance because it will effectively r emove ships from the supply.

Moderator: Thank you. We will take our next question from Vikram Suryavanshi from Phi llipCapital India. Please go ahead.
Vikram Suryavanshi: Sir, what would be your net cash balance in offshore business?
G. Shivakumar : Net cash meaning net of the debt?
Vikram Suryavanshi: Yes.
G. Shivakumar : No, net cash balance in offshore there is $40 million.
Vikram Suryavanshi: And this set price correction, is it what we discussed as a market fundamental impact or does it also have some impact of dollar strengthening?
G. Shivakumar : Not really, I would not think so. Any factors can go into it , but typically these are linked with, I see where you are coming that dollar strengthening means other things drop in value in dollar terms , but not really. It is probably more to do with the earnings than currency .
Vikram Suryavanshi: And in case of a rigs, how would be opportunity for say mobilizing it into international market or we stick priority will always be a domestic market first ?
Rahul Sheth : No so we continue to explore opportunities everywhere , but currently we have been into two other tenders in India .
Vikram Suryavanshi: So, we will wait for that clarity basically.
Rahul Sheth : That is right.
Vikram Suryavanshi: And last one on Red Sea normalization, how do we see it impacting going forward?
Rahul Sheth : Firstly, maybe too soon to talk about whether it will definitely normalize. Right now, there is only a ceasefire. But if it does normal

ize, let us give you the broad cut . Maybe on crude it is neutral impact and o n product i t's probably a negative impact. On dry bulk , it never had a major impact to begin with .
Vikram Suryavanshi: And historically we used to have some of the data where crude tankers were used for storage purpose and all that. Is that trade look how is that because we have not really looked into that angle for a long time? So, with the sanctions and all that coming up, so probably how these things will play out, or did change the ownership and come back to the system? Just to get some idea on that.
Rahul Sheth : Yes, so I think there were two questions there, but on the storage front, so basically we see this happening when the spot price of oil is relatively lower than the forward price. That's what we

call contango . So, let 's say the spot price is say $80 and the forward price is say $100. It makes sense for traders to buy oil today, fill it up on a ship, pay the charter higher and sell forward in the oil market and capture the spread like an arbitrage spread.
Today the oil price is in backwardation, which means the forward price is lower than the current price . So, that opportunity is not there. If that opportunity does arise, then I am sure the mat h has to work out, then the traders would do that. But today, if the Russian oil is impacted, you will actually have a shortage of oil or a tighter oil market today. So, it 's very unlikely for you to see it in contango in that case. Sorry, did you have the second question?
Vikram Suryavanshi: Second question was on basically changing the ownership of these vessels and can that sanctions removed or?
Rahul Sheth : So, the sanction s typically follow the ship.
Moderator: Thank you. We will take some text questions now . We have a question from Surendra Yadav , an individual investor. What's the strategy for capital allocation for coming year? Given sizeable cash position , will second purchase be the preferred strategy or any new build program also being considered?
Rahul Sheth : So, we don 't give out any capital expansion plans in detail, but generally our preference is always for second -hand ships over new building . Can we go to the next question please?

Moderator: Sure. Next question is from Rajesh Khater , an individual investor. First question is, asset prices dropped by 15% . Are they still not attractive to buy? Second, is the company still not keen to do buyback through market purchase method when the share price has dropped to 900? And the third question is there seem to be no growth triggers for the business at all. Where will the growth come from?
Rahul Sheth: So, on the first question, the asset values have risen quite a bit . So, while it has dropped 15%, there still could be a long way to go.
The second question is on the buyback . So, we always evaluate whether we should go for ships or do a buyback . So, we will evaluate that , but in the immediate future we have no plan.
On the third, on growth, so in this business you have to be patient when the asset values are on what we believe to be on the higher side. But when they do come to the levels we can see, then that is the period to grow substantially . So, even if you see in our last growth phase, which was in 2016 -17, we are taking the fleet from about 30 ships to 50 ships in a very short window. And the benefits of that we have seen over the last five years with the profits that the company has generated.

Of course , the market has been on our side. But when you buy wisely and then you are able to get the market timing right, that is what gives you the outside profits . So, the growth will come , but it will come in a relatively narrow window at some point in the future .
G. Shivakumar:

So, just adding on to that point that Rahul made, we did buy in 2016 -17-18. And we did a significant Capex and we made a, those were very profitable investments. But for a few years before that we did not invest because we did not see those as being very attractive investments. And it turned out to be right because we got the opportunity to make those attractiv e investments. We believe that that is what we do best and that is how we have managed the cycles in the past , and t herefore we will continue to do that .
Moderator: Should I take the next question, sir? The next text question is from Riya Mehta , Aequitas investments . Will we be increasing in-charter ships? What is the time frame for which they are contracted? How do we earn from scrappage , fleet which will go in scrappage in the next 2 years ?
Rahul Sheth : So, again, whenever we are deciding to in-charter ships, we decide between whether we should in-charter or buy a ship. And that is a calculation we have to keep doing at the time of investment. These contracts that you in-charter , they can range from about 2 years to 10 years. Generally, they don't cross 5 years, but we have seen contracts go longer than that.
We don't earn scrappage from these in-charter s because you are not owning the assets. You are basically taking that in for three to four years or some period of tim e, not relating to our fleet. So, we don't earn from, when we scrap ships, we have not scrapped a ship for quite some time. When you scrap ships, basically you sell it for scrapping. You receive whatever is the market price for the steel, for the scrap steel. And very o ften we do sell ships above scrap . So, we end up se lling it to someone else who may trade it for a few more years. Can we go to the next question?
Moderator: Yes. Next question is from Amit Khetan from Laburnum Capital. Does the last quarter's offshore earnings reflect only one rig being employed since one of the contracts was terminated? How should we think of the timeline for the rest of rigs being reflected in revenues?
Rahul Sheth : So, in this quarter, Q3, we had three rigs operational. Only one rig was not employed. And we cannot give anything on the timeline because it depends on how fast the tenders are processed .
G. Shivakumar : So, currently, just to clarify, we have four rigs , of which three continued through Q3 in their contracts and contributed to revenues and profitability. Only the Chetna finished her previous contract in October and then she did her work preparing for the next contract . So, the other three rigs were working. As it stands today, we still have three rigs working. The Greatdrill Chaaya comes off contract sometime soon, in the next couple of weeks. But the other two rigs will continue on their contracts, even in this quarter . So, it's not just one rig being employed. Last

quarter it was only one rig which was not employed. And as it stands, there is one rig which is not employed.
Moderator: Thank you. Next question is from Rajesh K hater, an individual investor. If the war ends (a hypothetical scenario), where do you see the freight rates moving for the different classes of ships? And second question is mail sent to anand_punde@greatship.com remains unanswered till now. To which mail ID should we send questions and can we expect response?
G. Shivakumar: Yes, the war ending is again, as you said, a hypothetical scenario . And there are many different

scenarios which can be drawn there or freight rates with very widely varying outcomes. You can have a very strong market, and you can have a very weak market as well if you have all the ships continuing to be in the trade and the trade patterns reversing to where they were in 2021 . So, there are so many variables here that there is no point getting into forecasting the freight rates in that s

ituat ion.

With regard to the mail, the intention is that we have a quarterly conference call. We are in the month of January, it is quite a sensitive time to be discussing anything with regard to the markets. And since there is a quarterly conference call, which was expected immediately after the Board meeting, we felt that it is better to answer the questions in a conference call.

Moderator: Thank you. Next question is from S hrikant Maniyar , retail investor. Company trades at 4 or 5 P/E and price/ NA V of 0.6 , which is not valuing the company as it should. With substantial cash in hand, are we also looking for acquiring some companies and diversify , or will we wait for ships prices to come down?

Rahul Sheth : No, we are not currently looking to buy any companies and diversify. We will continue to invest in the shipping business.

Moderator: Thank you. Next question is from Dhruv Jain from Ambit Capital. In Cal 25 and Cal 26 , we are seeing increasing product tanker deliveries. Does this mean that rates continue to be weak across Cal 25 given weak crude demand environment ? What could change this equation?

Rahul Sheth : So, yes, on the product tanker side, we are seeing increased deliveries. We have to also keep in mind that the age profile of the tanker fleet is also very old. And how many ships, you know, if scrapping picks up or not, whether terminals will accept the ships or not, and of course the impact of the sanctions. We don't even know whether the sanctions will increase because if Trump wants to put more pressure on Russia, there could be additional sanctions as well. And I think that sanctioning regime has also gotten tighter over the past few years . So, that can also restrict the supply.

Moderator: Thank you. Next question is from Rajesh K hater, an individual investor. 1. Can you explain the profitability metrics of your leasing business? And second question is, if the mail is sent in any other month after the results are already declared, can we expect response?

G. Shivakumar: Yes, so the profitability metrics of the leasing business or the in-charter ing business is that we take in a ship on a long -term contract, maybe 2 years, 3 years, 5 years at a fixed rate , and we run that ship taking the risks and benefits of the spot market and therefore maintaining our capacity and our ability to service the customers.

This one would do in a high market where the worry is about the capital value of the ships falling. And that's where you would, so let's say you take in at $30,000 per day and you earn a spread of maybe, or you earn $33,000 a day on that ship. That $3,000 a day is earned without putting in too much capital except for the working capital which is associated with the ship.

Coming to the next question, yes, so long as the question does not ask for any sensitive information, there will be a response.

Moderator: Thank you. There is a text question from Rajesh Khater , an individual investor . Considering the high order book for fleet supply, even though most of the new fleet will come in CY2027, it seems the best hope case for freight rate increase is this year and next year only. Is the understanding correct?

Rahul Sheth : I think it's impossible to draw this conclusion to say that where the freight rates will land up. I think just seeing one side of the equation of supply is too narrow.

Just to give you an illustration, in the gas market, which is the LPG market, we have seen a very high order book for the last 10 years, and the earnings have been very good even for the last 10 years because the demand has always surprised to the upside. Of course , there have been years of weakness in between, but demand is sometimes very difficult to gauge. And we have to also keep in mind the ton-mile impact .

So, if you see even the impact of the Russian

war, a lot of that has to do with disruption in the trade . So, the demand, the absolute demand numbers may not have changed substantially, but the trading patterns have. And that caused the market to be where it has been for the last three years . So, I think just taking this one point is too narrow.

Moderator: Thank you. We have a question from Riya Mehta from Aequitas investments . Why will we in-charter when asset prices reduce? Should we not buy then? And second question is t he asset prices of Product ships have reduced . how much will this impact us since this was our growth trigger ?

Rahul Sheth: So, when we are balancing between an in-charter and buying a ship, let us just take an example. Let's say we are in-charter ing at, just to take a base here, at $100. Let's say you are paying $100 a day to in-charter a ship for, say, five years. When you are buying a ship, eventually you have a break -even because you are investing capital, and you have to make a return on that . So, you have to value the two and see which one is the better deal.

Of course, at points in time, you may not get sufficient in-charter ing deals, you may not get sufficient or attractive enough purchase deals . So, then you may have to choose the deal you have on the table. But broadly, that's the math one does. The asset prices of product ships have reduced. How much? Sorry, I didn't understand your second question. Shiv, c an you take a look?

G. Shivakumar: So, the asset prices have reduced. This will not really impact us. I mean, if it reduces more, we will have an opportunity to buy.

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Moderator: The next question is from Surendra Yadav, an individual investor. What's the succession planning with reference to promoter famil y?

G. Shivakumar: Yes, in this case, I think this is a very significant question, which I don't think we can answer here. But the fact is that the company is, while there is a promoter group, the company is run by a group of professionals below the promoter level. And all plan s are in place. And these are regularly discussed as well with the Board .

Moderator: Thank you. The next question is from Riya Mehta from Aequitas investments . In the next 5 years , do we have any ship which will be due for scrappage ?

G. Shivakumar : So, there are always ships which will be aging and which may fall. If you just do a forward look at the next 5 years, there will be ships which are aging and which might have to be scrapped. As I mentioned, it is a long time since we scrapped a ship itself because we sell them to other players who continue to run them.

We operate in the international markets, typically, where the age restrictions are much more stringent. But other players can operate in specific niche markets where they can operate for longer periods. We typically sell our ships, older ships there . So, it's unlikely that we will be actually scrapping ships ourselves.

Moderator: Thank you. Next question is from Shrikant Maniyar, retail investor. We are still not interested for bidding on Shipping Corporation of India?

G. Shivakumar: No.

Moderator: Thank you. Next question is from Rajesh K hater, an individual investor. When asset prices eventually drop, they may drop due to drop in freight rates. Can bad times be good times for GE Ship in the sense that that's the only time you will buy ships, but during that time, the freight rates may not be good ?

Rahul Sheth: That's actually probably the best time to buy ships because what happens is the spot market or the freight market may be bad for a certain period of time. If you get the asset value, if you are

able to do a large part of the expansion at that point in time, you will have much lower break evens and your assets will last much longer than the per

iod at which the freight rates are poor .

So, all the ships we bought in CY ‘ 16, ‘17, ‘18, which are the lower end of the cycle, they are all there today and you are benefiting from the earnings that have been generated in the last few years. So, yes, basically you have to place yourself well to take advantage of the low market where you can expand or the high market where you are able to trade in a manner in which you can take benefit of the higher freight market . So, you have to prepare for both types of markets.

G. Shivakumar : And you are absolutely right. The freight rates are not good at that time. Your profitability will be affected and we have seen our shareholders have seen this in the past. After we did that massive expansion in 2016 to 18, we actually had a year where we declared a loss because the rates were not good. But eventually it makes a lot of money and makes good returns for the shareholders. But you are absolutely right. That's the time when we will hopefully be looking to do our CapEx .

Moderator: Thank you. Ladies and gentlemen, I now hand over the call to M r. G. Shivakumar for closing comments. Over to you, sir. Sir, any closing comments from you?

G. Shivakumar: Yes, no closing comments. I can see one more question from Mr. Khat er. Eventually, yes, we plan to have a much larger fleet. We will not put a number to it. It depends on how much we are able to buy and at what prices . So, eventually our plan is to grow. It's just that the business does not lend itself to growing on a linear basis . So, you will have some periods where we will have quick growth as we had in that period, 2016 to 18, and some periods where we will just be consolidating and collecting the cash for the next round of opportunities.

Thank you everyone for joining us on this call. As always, the transcript and the recording will

be up on our website in a couple of days. Thank you. Thank you, Yashashri.
Moderator: Thank you. My pleasure, sir. Ladies and gentlemen, on behalf of GE Shipping, you may now exit the meeting. The call has been concluded for today. Thank you.

Call: May 2025

www.greatship.com

Our Ref.: S/2025/JMT May 13 , 2025

BSE Limited National Stock Exchange of India Limited
1st Floor, Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, Bandra Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip code: 500620 Trading Symbol – GESHIP

Sub: Transcripts of Earnings call conducted on May 12 , 202 5

Dear Sir/Madam,

Further to our letter s dated May 06 , 2025 and May 12 , 202 5, please find enclosed
transcript s of the earnings call held on May 12 , 2025 .

We request you to take the same on record.
Thanking You,
Yours faithfully,
For The Great Eastern Shipping C ompany Limited

Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

 “The Great Eastern Shipping Company Limited
Earnings Call on Declaration of its Financial Results for
the Quarter ended March 31, 2025”
May 12, 2025
MANAGEMENT : M R.G.SHIVAKUMAR –EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER ,THE GREAT EASTERN
SHIPPING COMPANY LIMITED
MR.RAHUL SHETH –GENERAL MANAGER ,MD’ S
OFFICE , THE GREAT EASTERN SHIPPING COMPANY
LIMITED
MS.ANJALI KUMAR –HEAD,CORPORATE
COMMUNICATIONS ,THE GREAT EASTERN SHIPPING
COMPANY LIMITED

Moderator: Good Evening, ladies, and gentlemen. Thank you for standing by. Welcome to GE Shipping Earnings Call on Declaration of its Financial Results for the Quarter ended March 31, 2024.
At this moment, all participants are in listen-only mode. Later we will conduct a question-and-answer session.
I now hand over the conference to Mr. G. Shivakumar, Executive Director and CFO at The Great Eastern Shipping Company Limited, to start the proceedings. Thank you, and over to you, sir.
G. Shivakumar: Thank you. Good afternoon, everyone, and welcome to the conference call to discuss the results for Q4 FY ‘25, and also to discuss the market as we are seeing it. We will go through a presentation, as always. And after that, we will be happy to take questions from you. I have with me Rahul Sheth, who will be also answering your questions.
First disclaimer:
We are not forecasting the markets necessarily, we are just giving our views on how we think it may play out. There are a lot of uncertainties involved in the shipping business, and you should always keep that in mind.
Q4 FY ‘25 highlights. We had a drop in profit versus the previous year, and we will come to the main reasons for that. Our consolidated net asset value is at just over INR 1,400 per share. This is around the same level that we were at the same time last year, that is in March 2024, and we

will come to that as well. We have declared the 13th consecutive quarterly dividend, and this time, it's for INR 5.40 per share.

You have seen the results, I am sure, and you've had time to absorb them. Let me just take you through to the normalized financials. 1 highlight we had was that we had an impairment on 3 of our MR product tankers that we bought in the last 18 months, as part of our switching strategy where we sold our older vessels, and replaced them with the same type of vessel, but more modern ships.

This is because we did not want to lose capacity, but we also did not want to put in a lot of capital in the market, which we felt where the prices were too high. However, the asset prices have gone down in the last 6 months or so. We applied our standard impairment test to the vessels that we bought. Out of the MRs that we bought, 3 of them had some impairment, and we have taken that impairment into our accounts, just short of INR 70 crores.

The other thing that affected the results, and you can see a big drop from Q4 FY '24 to Q4 FY '25 on both a standalone and consolidated basis was the drop in tanker earnings. You may recall that Q4 of the previous FY was when we just started having the Red Sea problem, where the Houthis were attacking ships that were passing by the Bab El-Mandeb. And therefore, ships were getting routed around Africa when they had to go from East to West or West to East. And

that resulted in a significant tightening of the market, and therefore, very good tanker earnings in Jan to March 2024. That effect has now played out some time ago and markets were quite weak.

In fact, we were expecting a reasonable recovery during the winter months of '24, '25. That did not happen. And therefore, we had significantly lower earnings than the same period last year. And that, of course, the impact has filtered through from the standalone results to the consolidated results. So, we have about a INR 400 crores drop from Q4 last year to Q4 this year.

And these are just our standard ratios. And I mentioned this already, you can see what's happened to crude tankers. We dropped from Q4 FY '24 to Q4 FY '25. We dropped by about $22,000 a day. Product tankers also, we dropped by almost about 1/3rd from $37,000 to $24,700. LPG carriers, all 4 of ours are on time charters and those pricings have gone up, and therefore, our rates have gone up from $35,500 to $43,000. Dry bulk also dropped marg

inally. Again, the

big impact has obviously come from the tankers.

Coming to the net asset value:

This is the standalone net asset value. Ship prices, the fleet values dropped between 15% and 20% year-on-year. And that's a negative that you see INR 176 a share, which has got compensated by the cash profit that has been earned, and we have always said this that even when you have a drop in the value of the ship, a significant part of it in a strong market is made up by the cash profits. So, that's what has happened in the last financial year.

We have, of course, also paid out a dividend of INR 35 during this period. So, we have a small drop from INR 11.27 to INR 11.15.

This is the movement in the standalone net asset value over the last 5 years, that's from March '20 to March '25, where we have gone up 2.5x. This does not take into account the dividend, which has been paid over this period, which is in excess of INR 100 a share. Again, on a consolidated basis, it's a similar picture to what we saw on standalone, except that here, the cash profit is a little bit more, and the fleet value drop is not much more than it was on a standalone basis.

Coming to what's been happening in the shipping market:

On the left side, you can see the Suezmax earnings graph, focus on the table at the bottom, where you can see that FY '24 market earnings were about $51,600, and these are not our ship earnings. This is a market benchmark earning, which has come down to about $44,000 a day. The Aframaxes saw an even more dramatic fall. Also crude tankers saw an even more dramatic fall.

MR tankers also moved down by about 20% from just short of $30,000 a day to about $23,400 per day. A large part of this comes from slow growth in demand, unwinding of previous inefficiencies like the Red Sea impact, which I mentioned for Q4 of last financial year.

Global crude oil demand in Q4 grew by about 1%. Chinese crude oil imports also grew slightly. They have been building stocks as far as we can see.

We had some new sanctions from OFAC, that's a U.S. sanctions authority, which tightened the crude tanker capacity. So, that's 1 factor, which we might see playing out. Every week or 2, we are getting a few more ships being added to the sanctions list.

The fleet growth has been 0 year-on-year for the crude tanker fleet. we have been saying this for some time that there are very few new ships being added currently on the crude tanker fleet.

Product tanker fleet saw a growth of about 2% during the year.
Tanker asset prices during the quarter dropped by about 5%. But over a longer period of time from a year ago period, you could see product tankers dropping by about 20%, and we will see that graph and crude tankers by a little less. Order book continues to be reasonably low, especially for crude tankers.
Dry bulk earnings for Capesizes were about the same as they were in the previous financial year, while for Supramaxes, they were slightly better than in the previous financial year. The quarter, of course, was much worse than the same quarter in the previous year.
Iron ore trade has been weak in the first quarter. Again, this is a seasonal disruption that one sees in Australia and Brazil.
Coal trade has dropped significantly. The 2 large importers, which is China and India, both of these economies are producing more coal domestically and leading to lower import demand.
Global grain trade has also dropped off during the quarter. Some of it is lower soybean imports or purchases by China from the U.S., again, pending what happens with the tariffs.
Also, we have had lower wheat production from the Black Sea region, and correspondingly lower demand from China. There are also reports that Chinese grain production has been growing or at least grew last year, and therefore, import demand has been a little lower.
The bulk carrier fleet grew by about 3%,

and bauxite trade has been very strong. It's been one of the few bright spots for the last few years, consistently strong growth in bauxite imports into China, especially from Guinea. The order book continues to be at very low levels, around 10%.
LPG, our ships, of course, are on time charter, so it doesn't matter much. But we have seen a huge drop in spot rates from $85,000 in FY '24 to below $40,000 a day in FY '25. This is because

of a reversal. The previous year, we had the Panama Canal water levels being very low, which meant that the number of transits through the Panama Canal was restricted, which meant longer ton-miles for gas carriers carrying LPG from the U.S. Gulf to Far East. That has got reversed now, and therefore, that impact has got removed from the market. The order book stays pretty solid, and we will come to that in a moment.
Coming to fleet supply:
You have an order book of about 29% for LPG ships, and you have 21% for product tankers, while around 11% for crude tankers and dry bulk.
The good news for even crude is that, that it's a little more rear-ended, especially so in LPG. So, you can see that 29% order book really delivers in 2026 and 2027. So, you can see that big green pillar there of 13.9%, that's delivering in 2027. So it's not an immediate concern. But in product tankers, we see significant deliveries this year and the next couple of years, so 5%, 7% and 7%.
Coming to the scrapping:
Obviously, when the market is this strong, there's very little scrapping going on. And so it continues to be very, very low. And we keep looking at this. There is still a lot of potential for scrapping, which will mainly kick in only when markets are very weak. At these levels, there is no incentive really to scrap ships.
Looking at asset price movements, you can see the top right-hand corner, which is the price movement in an MR tanker, and you can see that it's dropped by about 20% from the peak, which was maybe 6 months to 9 months ago.
Even for crude tankers, we have had some downward movement pressure in prices, but not as much for the product tankers. And for LPG and for dry bulk, prices continue to be reasonably firm.
In dry bulk, the Capesize values have been very firm. For the smaller ships, that's for the Kamsarmaxes and Supramaxes, prices have dropped a little bit more than for capes.
Coming to the offshore business and jack-up utilization:
While it's not gone down, the mood in the market is not very positive with all the Saudi Aramco actions, which have been happening and there is talk of even more renegotiations or cancellations.
This is the fleet supply data, which hasn't changed much. We have a very old fleet internationally, but it's not really changed much because the issue here is more on the demand side.

Coming to our repricing:
We have 2 rigs, which have already come off their previous contracts. Both of them have obtained short-term contracts in India. Both of these contracts will commence, and these contracts are between 4 months and 7 months. Both of these contracts will commence only after the monsoon period on the West Coast of India.

So, we are talking of commencement in October, November of this year. And one of them is scheduled to finish within H2 FY '26. The other one is within H1 FY '27. There are options as well, but that depends on what happens with the drilling campaign that we are part of. If required, then it can be extended.
We have another rig coming off contract sometime around December this year. We have bid into a 3-year contract in India, and we have been awarded that contract as well. So, she will come off the contract in December and do the usual work between 2 contracts and go back on to a 3-year contract, hopefully within Q4 of FY '26. Then after that, the next repricing is requ

ired
only in H2 FY '27.
On the vessels front:
We only have 5 vessels that need to be fixed during this financial year. These are our 2 M-Class vessels and include our 2 M-Class vessels and our 2 150-tonne Bollard Pull anchor handlers, which are the most capable and widely marketable of our vessels, which are typically running on short-term contracts internationally, and we are okay to run them on those short-term contracts. So otherwise, 80% of our vessel capacity for FY '26 has already been locked in at profitable rates.
Coming to our financials:
This is yet another slide that we show. We are still net cash on a standalone basis. So the results of all the CAPEX that we did and the levering up that we did, we are awaiting opportunities to buy while prices have dropped. They have not yet reached our comfort levels, and we will wait for that to happen.
On a consolidated NAV, you can see that we are still trading at a significant discount. We also invite you to go to our website and look at all of these projects and partners that we support on the CSR front. We are very proud of this.
Also, if anybody is interested in Great Eastern's now 76.5-year history, you can look up our coffee table book on our website, which gives you a significant amount of our history.
Thank you. That brings me to the end of this presentation. We are now happy to take questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. (Operator Instructions) We will take our first question from Pritesh Chheda from Lucky Investments.
Please go ahead.
Pritesh Chheda: Sir, can you go to your slide on the rigs because when you are giving out your comments. it was not audible here. Sorry for that.
G. Shivakumar: No problem.
Pritesh Chheda: We cannot see the rig slide.
Pritesh Chheda: So, what I understand here is that you have a repricing lined up for 3 rigs or let's say, 1 rig in the second half of this year.
G. Shivakumar: So, okay, let me just put it slightly differently.
Pritesh Chheda: How many rigs are deployed today? How many are idle for you? And what is the repricing?
G. Shivakumar: Yes. So we have a total of 4 rigs. So 2 of them continue to be on their long-term contracts currently, okay? Two of them have come off their previous long-term contracts. Of these 2, 1 is idling. Both of them technically are idling. 1 of them is receiving a small standby rate while idling.
Pritesh Chheda: Okay. 1 is receiving a small standby contract small rate or a small tenure, what is it receiving?
G. Shivakumar: No, no. Through this period, we received a minor rate, a very low rate, which compensates for basic expenses. So technically, you can just make some costs.
Pritesh Chheda: So basically, 2 rigs are deployed on long term. Another rig got deployed at a lower rate right away. And 1 rig is idle, right?
Rahul Sheth: Yes. Sorry, just let me clarify. So, we own 4 rigs. 1 rig is fully employed for the full financial year. The second rig is employed for the greater part of the financial year. She will come off sometime in the month of January and February. And she has already won a new contract with ONGC.
The other 2 rigs, those 2 rigs are on shorter contracts. They will begin their contract in the month of November. But because they are short-term contracts, generally, when we price those contracts, we price in the fact that there is some idleness until the contract begins.
So in 1 of these 2 contracts, which are short term, right, there is a standby rate during the monsoon period, which is what she was referring to. The other 1 does not have that. But when

we price the contracts with the charterer, we eventually factor in for the fact that the contracts are starting with a bit of delay, month of October, November.
Pritesh Chheda: Actually, I a

m more confused than what you started to answer.
G. Shivakumar: But just take that 2 are idling currently. Both of these rigs, they have received contracts, which will start only after the monsoons are over. So, they should go on hire between October and November this year. And these contracts are short-term contracts between 4 months and 7 months. 1 of them will get over in Q4 FY '26. 1 of them is scheduled to get over if there are no further extensions in Q1 FY '27.
Pritesh Chheda: Now, this is very simple. Another question here is, in the recent round of ONGC tender, why do we see a significant change in the rates?
G. Shivakumar: So, market participants take a view on, this is a tender process, right? So the number that you put in is important in deciding on whether you are successful in landing employment for your rig or not. And market participants take that into account and their keenness on landing a contract goes into the pricing, which is put into the tender. And sometimes it reflects a view of the market and the risk as well.
Pritesh Chheda: So, this is that contract, which is a 6-month or shorter duration contract?
G. Shivakumar: No, no, no. The short-term contracts are with other players.
Pritesh Chheda: Okay. So this recent win that you have, what is the duration of that contract?
G. Shivakumar: The ONGC tenders are 3-year contracts.
Pritesh Chheda: Okay. So basically...
Moderator: Pritesh, I am sorry to interrupt. May I request you to join back the queue, please, as we have other participants waiting for their turn?
Anjali Kumar: It's okay. Let him clarify first.
Pritesh Chheda: I'm yet to clarify. I am actually stuck on the first question. This is my only question. So just to recap, you will have another 2 rigs post this, which will come for repricing, which is H2, half of this year and H1 of next. So next 1.5 years, you will have another 2 rigs for repricing to be done for the longer tenures, correct?
G. Shivakumar: That's 3 rigs, Pritesh. 3 rigs. In the next 2 years, sorry, I included H2 FY '27. If you don't include that, it's in the next 1.5 years, yes.

Pritesh Chheda: Okay done. Thank you very much.
Moderator: Thank you. We will take our next question from Mohammed Farooq from Pearl Capital. Please go ahead.
Mohammed Farooq: Thank you. Good afternoon. Thank you for the opportunity. With the recent imposition of U.S. tariff on Chinese goods, there is growing uncertainty in the global trade flows, particularly in commodity movement and supply chain realignment. Could you elaborate on how these development might impact the shipping tankers and dry bulk segment, either in terms of trade patterns, fleet deployment or charter rates?
Rahul Sheth: So, you may have seen the recent announcement which just happened today declaring the lowering of these tariffs. Of course, it's for a 90-day period, and we don't know whether those rates will again change in the future. And as the tariff rate change, the way trading patterns in general will get affected and which commodities get covered in these tariffs will change. But just to have a very broad view because you mentioned crude, you mentioned oil and dry bulk. So, what we have seen is 2 things you have to keep in mind.
You have to keep in mind the tariff rates between the 2 countries on the commodity in question. So, oil has been largely exempted from this tariff. China imposed a tariff previously on crude exports from U.S. to China. But the amount of trade that happens between these 2 countries on crude is very minimal. And that's why China could very easily find alternate buyers for that crude. China would be able to buy from other countries, and U.S. would also find alternate places to sell that. So, there is close to minimal to 0 impact on crude.
On product trade, there is barely any product trade, if any. So, that did not get affected by the t

ariffs. On dry bulk also the volume between the 2 countries is very minimal. The major commodity that gets affected is soybean. We had seen that in Trump's first term.
And basically, what happened was to just oversimplify, U.S.' exports of soybean to China basically went more to Europe. And Brazil, Argentina, which sends a certain amount to Europe, sent it to China. So, you had a realignment of the trade. And basically, the 2 countries were able to more or less evade the imposition of these tariffs. Now of course, today, we just saw the announcement before the meeting that the tariff rates have changed. And so this impact may not be there.
Have I answered your question? Or was there a second part to it?
Mohammed Farooq: Yes. The main part is that shipping impact won't be huge, with these tariffs in this case.
Rahul Sheth: Yes. No, not at all because I gave you an implication of the general market, and second thing is one of many shipping companies that, yes.

Mohammed Farooq: Fine. Second 1 is, we understand the operating margin in shipping industry can be highly volatile, moving sharply in either direction depending on the market condition. Based on the past experience, what measures does GE Shipping have in place to protect or maximize operating profit margin in the event of an unfavorable market environment?
Rahul Sheth: So see, what you said was right that markets are very volatile. On the revenue front, the only thing you can really do is to take a time charter cover. We don't actively pursue a strategy whereby we decide that we must protect the top line by fixing out a certain number of ships. If we believe that it's a favorable decision to take a time charter cover, which means fixing out the ship for a year or 2 or 3, we may take those decisions. However, because the market can be very volatile, we do ensure that the balance sheet is strong enough to weather a market where the rates are low. And we have underinvested in this space over the last few years. So if the market does come off and the asset values do come off, we are fully prepared to invest more into this business to renew the fleet and expand the fleet.
Mohammed Farooq: Yes. Okay. Last question, sir. GE Shipping has consistently demonstrated strong margins, maintained robust cash position, and brings over 70 years of operational track record. However, the stock continues to trade at a significant discount over 40% to its net asset value and at a valuation well below peers.
While we appreciate the Management focusing on operating performance rather than the share price, could you share your perspective on why investor confidence remains muted despite these fundamentals? And are there any steps the company is considering to help narrow this valuation gap?
G. Shivakumar: So as a company, we do our best by explaining the business, either on the investor call or through our investor meetings. Eventually, it is up to the market to decide the valuation it gives any company. The stock market is full of companies, which are either overly priced or underpriced. That's how our market works. Eventually, it's up to market participants to decide what the fair valuation that they believe the company should be valued at.
Mohammed Farooq: I understand that. But GE Shipping is 1 of the lowest in the market. Is there any reason for that?
G. Shivakumar: I think you'll have to ask your fellow investors, that you can take that offline. We are not experts on that area probably.
Mohammed Farooq: Okay. Okay. Thank you. Thank you, sir.
Moderator: Thank you. We will take one text question from Jeet Gala from Centra Insights LLP.
Order book for dry bulk and product tankers are now more than the aging fleet. does it mean that if scrapping does not happen in the next 1 or 1.5 years, supply side tightening thesis for these 2 segments will be over? Because order books are

catching up fast for deliveries post Cal 2026.

Rahul Sheth: Yes, no. So, you have to also keep in mind the demand side, because you have to see how that also pans out.
G. Shivakumar: Yes. And the other thing to keep in mind here is that the order book is catching up fast for deliveries. Actually, the pace of ordering has slowed down in the last 3 months to 4 months, at least for dry bulk. So, that's been a very low number for the first 4 months of calendar '25. What also happens is that you have building and deliveries of ships happening in clusters.
So the next 5 years, we will see a lot of bulk carriers turning 20 years old, because we had a big building boom in bulk carriers between 2006 and 2020. So, all of those will happen. But finally, it comes down, as Rahul mentioned, to the demand side. You still do need demand. Supply can only help you a little bit. You still need demand to be fairly positive in order to enable markets to be strong.
Rahul Sheth: And if you see on 1 of the slides that we have provided that the balance between the order book and the average age of the fleet, right, which is old, it's still skewed. I think, Shiv, you can just pull up that slide.
G. Shivakumar: Yes. This is what you have mentioned.
Rahul Sheth: Yes. We can always share that picture also. we have seen it over different time periods over the last 20 years, 25 years. We still are at a position where the order book as a percentage of fleet and the age of the fleet is still skewed, which means that this is 1 of the oldest fleets we have seen in the last 20 years, 25 years. And the order book, while rising is not still at the highest we have seen. So the 2 ends are not fully matching, especially on the tanker side.
G. Shivakumar: Yes. This is the historically high order book. Yes. So, you can see how high the order book has been in the past. But 1 more thing I'd just like to clarify here, the product tanker order book includes what are called LR2, long-range 2 tankers, which technically can trade both crude oil and refined products. So, they are the largest product tanker and the smallest crude tanker. If you find that the crude tanker market is stronger, a lot of these ships could easily move over to the crude tanker side. And therefore, they can switch between the products and crude sectors.
Moderator: Thank you. We will take the next question from Shivam Mittal from Care PMS. Please go ahead.
Shivam Mittal: Thank you so much for providing the opportunity. So, my first question is regarding the

regulations like IMO 2030 and 2050. So, any update on that part? How that will impact the industry dynamics in terms of supply?

Rahul Sheth: So, I think looking at 2030, 2050 is too far out. A lot of the rules have also not been crystallized. There is 1 of the new fuel or emission rules, which are coming up in 2028, but they still need to be ratified at the IMO. So until that happens, we prefer not to speculate on that.

Shivam Mittal: Okay. So how it will impact in terms of supply shaping?

Rahul Sheth: So again, let's just see exactly how the rule gets crystallized. But the broad idea is that there will be certain costs for emissions. Eventually, it just depends again on supply and demand, right? So if, for example, just to oversimplify, let's say, there is a very highly polluting ship, right, the cost of that ship will be more than a ship which is polluting less carbon dioxide.

And if the market is very weak, and the cost of the high-polluting ship are prohibitively high enough so that the person is not generating sufficient EBITDA to keep that ship, and the ship is very old, then the person may end up scrapping that ship. But to speculate on something that will come up few years from now, I think it is too far down the line. We even need to see whether the

rules change, and in what fashion the rules come, then we will be in a better position to exactly know what happens.

Shivam Mittal: Okay. So the second question is in terms of aging of rigs and vessels in industry, so any idea on that aspect?

Rahul Sheth: Sorry, could you just clarify that question?

Shivam Mittal: So what will be the overall aging in terms of rigs and vessels in overall industry level?

G. Shivakumar: So it is a pretty old fleet and that's there. But the thing is, yes, we have that. So, you have the percentage of the rig fleet, which is more than 30 years old is 1/3rd of the fleet. So it's a very old fleet in any case, but these rigs are continuing to work. So, this thesis has not really worked out.

Rahul Sheth: Yes, the rig fleet has been old. We have seen this data point for the past 10 years, 15 years, 20 years. And the rig fleet has been old and as long as charters are willing to take those rigs and then they will find the market.

Shivam Mittal: All right. Thank you so much.

Moderator: Thank you. We will take our next question from Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Thank you so much for giving me this opportunity. So, Shiv and team, my question is on crude and product carriers, right? If I look at your age of fleet is somewhere close to 15, 16-odd years, right? The heuristic that 1 uses is that after 20 years, there is a significant decline in day rates, right, in some sense.

Now, what I am saying is that in the past, you have mentioned that the peaks and troughs in asset prices have probably span 3.5 years, 4 years, right? That's the cycle that 1 has observed in the past. Now, that has not played out in the last 5-odd years, and there have been multiple disruption

in trade routes or changing in trade routes, which in a way have only aided, let's say, a longer supply or longer trade route site in some sense.

So, where I am coming from is that how do we make this age of this fleet much more younger, in some sense in an environment where the asset prices are not seeing the decline where we will probably go ahead and buy the vessels. So is there any structural change in the industry in terms of the number of years of peak and trough in asset prices?

And does that structural change lead us to change our strategy of how we look at asset prices? And once we acquire the asset, we prefer to put it on not on the long-term contract, but shorter-term contract, right, in some sense. So, any change in our strategy based on how the shipping cycle has been playing out in the last 5 years?

GS: Yes. So good question and a lot of things to unpack there. So let's look at it here. So, your main thing was if I get it correctly, what if you don't get the prices that you are looking for, is there some paradigm shift, which prevents you getting the prices that you are looking for, the ships from dropping in price? I assume something like that is what you were asking.

Prolin Nandu: Correct.

G.Shivakumar: Okay. So 1 is, let's take that thing. What you said is correct. Beyond a certain age, ships are not able to trade as freely, tankers, especially, are not able to trade as freely as when they are younger. And therefore, the earnings could suffer under some markets. So that's one. It's correct. Yes, we would like to have a younger fleet. We would like to have more ships in our fleet.

What we have done over the last 18 months or so is that we have the ships, which were getting over age and which we could not trade in the international market, and which we could not deploy elsewhere, we opted to sell them and replace them with ships, which are a little younger, and therefore, improving the age profile of our fleet and improving the number of ships that we could trade internationally. However, ship prices were very high. And therefore, we did not want to commit too mu

ch capital towards CAPEX at the time. So, we restricted ourselves to only doing those switches, just to maintain our capacity in the market.

So coming to the next question, which is, is there a paradigm shift in asset prices? Are they at a permanently high plateau, so to speak? And that's a prophetically bad phrase because I think that's a phrase which was used in 1928, 1929 in the U.S. for stock prices. But it is possible that they are at significantly higher prices than they've been in the past. Our preference is to wait to get the prices.

There is a lot of uncertainty with regard to the demand side. The global economy, especially with all this tariff stuff, which might be getting sorted out even as we speak. But there is a significant amount of uncertainty. We still believe that we will get the opportunities to buy the ships that we need to buy for meeting our targets for replacement and growth.

If we don't, then that is a risk for us, but we will wait and see whether we get those ships. So, we don't know whether there is a paradigm change in the way people think about pricing of ships, but we would rather wait to acquire ships at the prices that are comfortable for us.

Rahul Sheth: And you mentioned that at some point, we shared that the average cycle time is 3 years, but that's an average. It's not like we have not seen cycle times being longer. 1 that you may remember or may be aware of is during the pre-Lehman period, where you saw cycle times of 5 years, 6 years, depending on which sector it is. And even if you go back and if you do some analysis during that period of time, asset values had gone even higher, rates were even higher. And when you look back then and you say that, okay, was it wise to have bought at those prices? It wasn't. It was much wiser to have waited patiently for the appropriate time to have invested. And so, yes, having very long cycles in shipping is not very common, but we have seen it and we have studied it. And so therefore, we are able to at least from history, take a few lessons and be able to prepare for that.

Prolin Nandu: Thank you so much for that. Just one follow-up on the same aspect? So you mentioned that in 18 months, you have changed the age? But I am looking at the presentation of October '23, which is right there in front of me. And in every aspect, right, in terms of fleet profile, every aspect, for all your 4 products, the ages have, on an average, went up, from 14.9 to 15.3. So see, the larger question is that are we probably willing to cut down the capacity, cut down the number of fleet that we have 38 right now on our books, because they are aging first and then when we get an opportunity, we will buy? So is it fair that, we are open to downsize first our scale of operation before we get an opportunity? Is that a fair way to probably think about it?

Rahul Sheth: So, just 2 things to keep in mind is, 1 is that had we not done any of these switches, what would have been the age, which would have been older than the number you mentioned. So, we have arrested some of that aging.

Secondly, the number of ships we own today are 38, but we have 2 in charters. So effectively, the capacity is 40. And from October, I don't have that number in front of me, but I think you should be seeing a number of 42 ships at that point in time.

So from 42 to 40, we have dropped, which is 2 mainly on dry bulk, but on tankers, we have remained the same. Now whether it's 40, 41, 42, I think that's at a very marginal level where we are drawing a line. The idea is not to really drop much capacity from here. Although there will be a gap, because on our call on the market, you will sometimes maybe sell first, then buy, buy first, then sell, which means that in the last 1 or 2 ships, the exact numbers may not match. But broadly, the idea is not to drop significantly from here.

Prolin Nandu:

Great team. That's it from my side. Thanks a lot for these answers.

Rahul Sheth: Thank you.

Moderator: Thank you. We will take a text question from Surendra Yadav, an Individual Investor. Please go ahead.

Referring to the notes to consolidated financials for FY '25, point 7, sub-point b, c – DSCR, the asterisk remark mentions...

G. Shivakumar: Yes. So the question is on where the point on DSCR includes effect of prepayment of borrowings and wanting to know details of the prepayment done, because there was a stock exchange filing informing that the NCD prepayment was canceled.

Yes, the NCD prepayment was canceled. The prepayments were with regard to a loan that we had taken from a bank, and we prepaid the loan. And that's the prepayment, which is mentioned in this point.

We can move to the next question.
Moderator: Next question is from Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.
On crude tanker, what has resulted in drop in rates this quarter, while ARB trade between West and East has grown and several tankers have been sanctioned?
G. Shivakumar: Yes. So the drop is, again, because of the base. The Q4 of FY '24, as I mentioned, was very strong, because we had the Red Sea disruption and ships having to take the long route, and that set a very high base from which we have dropped. So, we are still at reasonably strong levels.
I think our crude tankers averaged 30,000 plus. But we also have the pressure of low-ish oil demand growth, and while we look at Q4 versus Q4, there is some growth, but in general, oil demand growth has been weak. And that's why we have had a general drop-off in tanker earnings between FY '25 and FY '24.
Rahul Sheth: And we have also seen that the demand in China has been a bit weak, so because the 2 points you've raised are relevant that the West, East trade is there and tankers that have been sanctioned.
But we have seen some weakness in demand from the refineries in China.
We've seen some weakness in the demand in refineries in Europe as well. There is a very major refinery that has even opened up in West Africa, which used to import a lot of cargo, but they've been consuming a bit of domestic crude. So it did add a bit of weakness in this quarter.
The second point also on the sanctioning of the tankers. Yes, initially in the month of January, when a lot of sanctions did come in, it did affect the market. Now, of course, as you can imagine, this data is not absolutely clear. But from what you can gather, it shows that the sanctioned ships while initially had some impact, it seems that the crude is still moving, because there's not really been much deliveries of new tankers.

So it has given some support because we have seen in the month of April and May, the crude market becoming strong over the last few months. However, it seems that the sanctioned tankers some way or the other, the oil is able to move. So it's not like those ships have completely gone out of the market.
Moderator: Thank you. We will take a live question from Vikram Suryavanshi from PhillipCapital India Private Limited. Please go ahead. Vikram can you please unmute your microphone and go ahead with your question please.
Vikram Suryavanshi: Thank you, sir. Sir, you said that 2 ships are on in-charter. Which are the categories of these ships? And second is that since now we have limited or reduced the fleet, the in-chartering would be like a structural decision to add some of the capacity? Or these are taken just to complete a few of the voyages?
Rahul Sheth: No. So, 1 is an MR tanker. 1 is a Suezmax tanker. So, that's 1 product and 1 crude. But it's not like a structural decision. It just depends on the pricing. So whenever say, for example, if you sold a ship, and you were looking to get some more capacity, at some point

, you may weigh the
option between whether it is beneficial to buy a ship or in-charter a ship.
So when you are in-chartering a ship, let's say, for an example, let's say, if you are chartering a ship for 5 years or you are buying a 15-year-old tanker, which has 5 years of life left, effectively, you are getting 5 years of exposure to the market. So, then it just depends on relative pricing where the company decides is the best place to take the deal.
Vikram Suryavanshi: Okay. So, what would be the duration of these contracts?
G. Shivakumar: One was originally about 5 years. So, that has about 3.5 years to go. That's for the MR tanker.
The crude tanker has about 2 years to go.
Vikram Suryavanshi: And NAV calculation, what would be the gross value in million dollar for our offshore assets?
GS: Yes, that should be between $500 million and $600 million. $550 million and $600-odd million.
Yes, $500 million to $600 million.
Vikram Suryavanshi: Okay. And would it be possible to share what approximately share would be for rigs?
GS: Rigs will probably be about 60% plus of the value. 60% to 70% of the value.
Vikram Suryavanshi: Okay. That was it from my side. Thank you very much, sir.
Moderator: Thank you. We will take our next question from Rajesh Khater, an Individual Investor. Please go ahead.

Rajesh Khater: I wanted to understand, which are your most common routes, source, and distinction points? So basically, in case of any geopolitical developments, when will you get positively impacted and when you can get negatively impacted? I just wanted to get a sense of that. Which are your most common routes?
Rahul Sheth: So basically, you should not look at it like that. You should look at the shipping market as 1 big market because eventually what happens is ships move around and markets rebalance. So let's say, for example, if 1 of the routes because of tariffs or sanctions or whatever or demand collapse

or whatever it may be, let's say, it comes down, right, the ships will get redeployed on the other routes. So eventually, the balancing happens fairly quickly. And so you should look at the market at large rather than focusing on specific routes. And shipping companies generally are not dependent on 1 route or another route. It's at the market at large.

G. Shivakumar: Just to give you an example here. 3 years ago, this Russia-Ukraine conflict started. And because of that, that disruption happened. Even though we were not participating in the trade of Russian exports to India or China, the market goes up, because of the impact of that trade and we get the benefit of that, even if we are not participants in that particular route. And that's why it doesn't matter what our routes are. And we can't even tell you what our routes are because we don't know what voyage we will do next. So, we don't have any standard routes that we fly. We are not like a liner service where we have a schedule that we would like to do. We go where we believe the rates will be best.

Rajesh Khater: But historically, like, in which country you have seen the maximum source or destination, it would have been more or less constant, right, for example in China.?

Rahul Sheth: It can vary quite a bit. But like, if you want to just take a general, like an idea, firstly, our routes will keep changing. But if you are like in the dry bulk trade, right, large part of the dry bulk trade, something like 30%, 40% of the cargoes go to China. So, depending on where they are loaded and that's a variety of countries like Brazil is very big, Australia is very big, again, for different commodities. But China is very large.

Or if you are talking about the oil trade, the Middle East, as you can imagine, is a very big exporter of oil and products, and U.S. is also a very big exporter of crude. So like that, you've got certain countries which are very large. And effective

ly, at some point or the other, you will have to trade in those markets. But we know shipping companies that do the oil trade and they very limited go to Middle East, because they are mainly in the Western area. But like Shiv mentioned, eventually, you don't need to do a particular trade, because the market at large will change based on how tight the market is.

G. Shivakumar: And rates will tend to equalize in different zones.

Rahul Sheth: Yes.

Rajesh Khater: Okay. So when you were responding about asset prices to a previous question, you mentioned that you are reasonably confident of acquiring assets for your growth targets. So, what exactly are your growth targets? Can you articulate them?

Rahul Sheth: So eventually, it's depending on the price levels you get in the different asset classes. So, depending on when you get the price levels that we are happy with, right, the idea is to eventually deploy all the capital into the business. It just depends on which asset comes down to the price levels we are happy with and when. And then it depends on what assets you get in the second-hand market.

Rajesh Khater: No, I understand that because that has been the same stance you have been carrying for last many calls. But I just heard the word growth target, which is something which I have not heard before.

G. Shivakumar: So if your question is how many ships do you want to be? We don't have a number specifically for that. We wish to grow. We wish to deploy our capital as much as we can into the business. So, that is our target really. So if we can grow the fleet to 50% higher than it is today, deploying all our capital, we will be happy to do so. But it's a question of having as much capital as possible employed into ships at good prices.

Rahul Sheth: Because ship prices, depending on what you buy, they can vary from $10 million, $15 million to $50 million, $60 million. So, that's why the number of units that you have in the water can vary widely depending on which asset class you end up buying.

Rajesh Khater: But have you pondered...

Moderator: I request you to join back the queue, please, as we have other participants waiting for their turn.

Rajesh Khater: Yes, I can, just on this point, and I am not asking a new question. So, have you pondered that whatever savings you have made in waiting for lower asset prices, and you have been waiting for more than 3 years now. So, have you not given up equivalent or more profits by selling your assets quite early in the cycle, and by being very low in your assets for the last 3 years or 4 years?

Rahul Sheth: See, if you look at the last probably 18 months, right, any asset that we would have bought would have probably been between a 0 to negative return if we had bought incremental assets. So, you've actually been much better off waiting on the sidelines than investing it.

Rajesh Khater: Even considering the earnings that you would have generated?

Rahul Sheth: Yes. If you have seen in the NAV calculation for this year, you've seen that you've generated a lot of cash, but you've also had a correction in asset values.

G. Shivakumar: Which is a zero return.

GS: Which is broadly even-Steven. That's at a macro level, but then you can boil it down to individual asset classes as well. Yes, your point is valid that if you had bought 3 years ago, with hindsight, if you had bought 3 years ago, we would have been better off. With the same hindsight, buying 1 year ago would not have been a great decision. So it's tough, tricky to know where you are in the cycle at any point in time.
Okay. Fine I will come back in the queue. Yes, thank you.
Moderator: Thank you. We will take our next question from Himanshu Upadhyay from BugleRock PMS. Please go ahead.
Himanshu Upadhyay: First question was on MR tanker side, where

on the 3 tankers, we have taken a write-off. What would be the amount of write-off in percentage terms on the overall fleet? And after this write-off means the ships would be now at the current market prices. How are you looking at the segment now? Because from whatever we have purchased, there has been a significant or, let's say, 10% to 12% type of write-off. Is now the market more interesting? Or it still remains far off from where we decided to have a replacement of the older vessels?
G. Shivakumar: Yes. First, just to clarify, you wanted the impairment amount as a proportion of the total of these 3 ships or proportion of the total? It's less than 10%? First, it's less than 10% of the original cost, okay? So that's one. The second is it is not necessarily written down to market value. It is written down to the higher of market value or the value in use, which is basically the NPV of the future cash flows, where you do an assessment based on certain assumptions, et cetera. So it's written down to whichever is the higher of the 2. So, that's on the impairment calculation.
And then you had something on the values of today. What was that?
Himanshu Upadhyay: No. So my question was, we decided at those price points that we wanted to replace the older fleet, okay?
G. Shivakumar: That's correct.
Himanshu Upadhyay: And with the 10% type of correction, approximately, okay, is the market much more attractive? And does the market sense still to replace only or you would like to even go for expansion now after this is corrected.
Rahul Sheth: One thing to just note is the market has risen a lot. So and actually, the correction from the peak is a little bit more than 10%. Depending on the asset class, it's between 10% to 30%, depending whether you look at dry bulk or crude tankers or product tankers. But still, the prices are still very high from a historical context. The other thing also to keep in mind is that just to clarify on the impairment, right, is that we did sell a ship against this purchase.

So what happens is when you sell a ship, had we not sold that ship, that ship also would have come off in the price. So while the ships that we bought have come off in price, you basically saved the money on the ship that you sold today. So they somewhat balance out. But today, we still feel like the prices are relatively quite high.
Himanshu Upadhyay: But can we continue with the replacement strategy? Or do you think that is done for now what we were doing?
Rahul Sheth: No, I think we largely still would like to follow the replacement strategy, because like I mentioned earlier on the call, we don't want to drop capacity substantially from here. The timing may vary a bit between when you sell first or buy and then so there could be a gap for a few months. But broadly, we do not want to drop capacity.
G. Shivakumar: And just to clarify, replacements could come from long-term in-charters as well.
Himanshu Upadhyay: Okay. And historically, the thought process was the level of assets cheapness or expensiveness will decide on the basis of what the historical average charter rates have been in the last 10, 15 years. Are we still following a similar thought process or there has been some change in thought process?
G. Shivakumar: Himanshu, no, it was not based on the average charter rates. It was based on how we see the asset prices in a historical context, just asset prices themselves in a historical context.
Himanshu Upadhyay: Okay. Okay. And in terms of the 3 segments, how are you looking at the market now? Attractiveness or still you find all the 3 categories...
G. Shivakumar: You mean in terms of attractiveness for investment?
Himanshu Upadhyay: Yes.
G. Shivakumar: On a historical context, dry bulk is probably lower than the others. LPG is off the charts still in values. And dry bulk is a little lower than product tanker

s and crude tankers in historical terms.
Rahul Sheth: But asset values are still expensive basically across the board.
Himanshu Upadhyay: Okay. And 1 thing...
Moderator: Himanshu, can I request you to join back the queue, please. Thank you. We will take a text question from Amit Khetan from Laburnum Capital. First question is, how much further would prices need to correct for us to be comfortable to take fresh capital allocation call between the

various segments, where are we closest to pulling the trigger?

And the second question is the offshore earnings in Q4 were quite strong. How many rigs were operational in the quarter gone by?

Rahul Sheth: So firstly, we don't give an exact number on when at the price level at which we will invest. But like Shiv just mentioned, the dry bulk is historically cheaper than the tankers. So maybe it's the closest to our purchase prices, although not there yet. And then offshore...

G. Shivakumar: Yes, so the rigs which were operational, so 2 rigs were fully operational during the quarter. 1 of them was operational for part of the time. And the fourth one, we had a contract cancellation that we mentioned last time for which we received a compensation in Q4. And therefore, the earnings were reasonably strong. So in effect, we got income on even the vessel, which had its contract canceled. And that's why the offshore earnings were quite strong.

Moderator: Thank you. We will take the next text question from Surendra Yadav, an individual investor. Has the redemption of preferred shares issued by Great Ship India to GESCO started, understanding this would happen over 4 years starting this FY?

G. Shivakumar: Yes, it has started from this year. So we have already had that first installment last month.

Moderator: Thank you. We will take our next live question from Srikar Sai, an individual investor. Please go ahead. Srikar, please unmute your microphone and please go ahead.

Srikar Sai: Yes, sir. It's regarding our offshore drilling contracts. So if we look at the day rates like 1 year back and now, they have come down substantially, all the way from like $80,000, $85,000. They are now hovering around $35,000, sir. So what has changed so much in this 1 year that the day rates have fallen so much, sir?

G. Shivakumar: Yes. The big factor which happened was the Saudi Aramco actions of about a year ago where they canceled contracts. I think the latest count is for some 24 or 25 jack-up rigs, which obviously had a big impact on the availability. It had an impact on the market psyche as well.

Till then the markets were in recovery mode and going at very profitable rates similar to those that you mentioned. So once that happened, then there has been obviously some concern about the direction of rates. And therefore, the keenness to get contracts has affected the day rates which are being earned by jack-up rigs.

Srikar Sai: Sir, my second question is regarding like last 3 to 4 months, we have seen like India Energy Week and also we have seen Indian government passing our oilfield amendment bills have had an impact. So do we see any enthusiasm from like the government players like ONGC, Oil India to drill more like in the coming future, like not now, but maybe like 6 months or 1 year down the line, going back to the drawing board and trying to do the seismic data for whatever the fields they got in the OALP Round 9, and also Round 10 has been launched recently. So are we seeing any enthusiasm from that side, sir?

G. Shivakumar: Yes. So we will come to know significantly later. We think there is enthusiasm. We have actually landed contracts for 2 players and this is not ONGC. The 2 short-term contracts which we have got for our 2 rigs, the Chetna and the Chaaya are both for non-ONGC contracts. So hopefully, it means that t

he market is widening with more players coming in. Let's see how.

Rahul Sheth: And just generally for your understanding, when they do these rounds of auctions for the blocks, a lot of these surveys get done, then they map out where to drill, how viable is it to drill. And then based on that, they come out with a plan of how many rigs 1 would need to employ. Now that will all take a bit of time. So as of today, we will not know exactly how the demand picture will pick up, based on all these auctions of all these blocks.

Srikar Sai: Got it. Thank you, sir. That's it from my side.

Moderator: Thank you. We have a text question from Kirtan Mehta from Baroda BNP Paribas Mutual Fund. One more follow-up. How do you see crude supply changing over this year and consequent impact on crude tanker rate? Do we expect West to East trade grow as tariff discussion progress? And we will see more ships getting sanctioned as well as gets locked in shadow trade on Iran and Venezuela.

G. Shivakumar: Yes. So crude supply already OPEC has announced that they're going to push up quotas by about 400,000 barrels a day in June, 2 months in a row, which means that's 800,000 barrels a day more of supply coming into the market. Also, we are seeing Atlantic Basin supplies coming in U.S. and Guyana and Brazil. So there is a significant amount of supply coming into the market, which is great for crude tankers. It's very positive for crude tankers, because the more oil there is to carry, the more business there is for crude tankers. Rahul had mentioned earlier on this tariff discussion, there is not that much of trade between U.S. and China on crude oil.

However, the 1 thing that you could have is that U.S. exports more crude oil to Asia, which might include India as well as part of a trade deal. But again, this is all in the realm of speculation.

But in any case, the growth in demand was coming from the East. The growth in supply ex-OPEC was coming from the Atlantic Basin. And therefore, it was always likely that there would be a West to East trade growing.

Coming to the final question, which is on more ships getting sanctioned and getting locked into the shadow fleet. Yes, one of the effect you could have of these renewed OPEC sanctions and various, yesterday, U.K. also announced some sanctions on some ships, is that those ships are unable to trade or at least unable to trade efficiently, and therefore, need to be replaced by other vessels, which are currently not the subject of sanctions, and that could be a positive.

So you could see more vessels going into those trades from the currently legitimate fleet, which is not sanctioned. So that's a possibility and including in the Russian trade as well, not just Iran and Venezuela.

Moderator: Thank you. We will take a live question from Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Hi. Thank you again for giving me this opportunity. My question again is on the capacity addition right that I previously discussed. Now traditionally, our view always have been to probably rent out more of our vessels on a spot market, because we want to capitalize on changes in geopolitical things or any supply disruptions.

Now again, , how much does our preference for spot market influence the price at which we want to buy any new ship? Hypothetically, in case if we decide that we want to probably change the strategy from spot to more of a contractual freight of an agreement going forward, does it up the value that we have in mind for any vessel to be added in our fleet? Is the relation that I am thinking about, is it valid? Is it how you guys also think about adding any new vessel in your kitty?

Rahul Sheth: So our base position, like you said, is to prefer the spot market versus the time charter market. 1 thing you should know is that time charter market, generally you are fixi

ng for maybe a year, 2,
3 years. The ship may have a life of 10, 15 years, right? So it's not like you are covering up all your case.

And basically, the simple answer is that the price level at which we buy the ship and the decision to whether to remain on spot or time charter are not linked. So it's not like as if we follow time charter market, we could up the price and start buying at a completely different level.

Prolin Nandu: Understood. Thank you so much. Sorry, sorry, go on. I am sorry, please.

G. Shivakumar: Yes. So what happens here typically is that you could put out on time charter and say, and I think the point you are making is that you can go to a higher price when buying because you are able to lay off some of that risk by chartering out at a higher level. What tends to happen is that extrapolation of rates happen for much longer than the time charter period.

And so you are paying much more. Let's say, you are paying just as a number, you may be paying a $10 million premium, but only recovering $5 million of that in the charter period. So you are still open for the remaining part of the excess that you have paid for the ship. So that's not something really that we do, which is to buy at a high price and try to fix out. It's something that you can do in a small way.

Prolin Nandu: Understood. Very clear. Thank you so much.

Moderator: Thank you. We will take our next question from Gaurav Jha, an individual investor. Please go ahead.

Gaurav Jha: First, thanks for the opportunity. First, I would like to make a suggestion. Sir, can you please provide a few account on the upcoming quarters so we can analyze them in more depth. And second is...

G. Shivakumar: Sorry, I didn't get your question. We lost you in between. Could you please provide what?

Gaurav Jha: Sir, can you please (Audio Distortion)) (1:14:08) to account from the upcoming quarters?

Moderator: I'm sorry, Gaurav, you...

Rahul Sheth: Gaurav, I am sorry. That is very unclear. We can't hear the question. Maybe you can put it in the text in the...

Gaurav Jha: Okay. Okay, sir.

Rahul Sheth: Okay. Thank you.

Moderator: Gaurav, you can post your text question on the Q&A tag. Yes. Thank you.

We will take a text question from Vinay, an individual investor. Can you please provide a breakup of the cash and cash equivalents by instrument and currency?

G. Shivakumar: Yes. So about a little over 50%, about 55% of our cash is in U.S. dollars, the rest is in rupees. U.S. dollars are just in bank deposits. They just sit in our bank. The rupees are typically about 1/3rd of it is in bank deposits, the rest is in mutual funds, typically debt mutual funds.

Moderator: Thank you. We will take a text question from Surendra Yadav. What's the breakup of spot versus time charter across 4 shipping segments, inclusive of in-chartering done via IFSC? Also, please share the tentative breakeven rates for each segment.
G. Shivakumar: Yes. We don't share breakeven numbers for each segment, but we can look at the spot versus time charter. The 1 outlier in this is that our LPG carriers, we have 4 of them, all of them are on time charter. The other 3 sectors of shipping, that is crude products and dry bulk, crude and products tend to be much more on the spot. So you would have typically 90% of the capacity in crude on spot, maybe 80% of the capacity in products on spot. And in dry bulk, maybe it will be a little bit lower at maybe 60% to 70%. So that's the breakup.
Moderator: We will take a live question from Rajesh Khater, an individual investor. Please go ahead.
Rajesh Khater: Yes. Sir, just wanted to understand the valuation metrics in the shipping industry. I don't want to talk about the stock prices, but theoretically, if you have to sell your company today, would you be happy if you get the NAV price? Or if you have to acquire another shipping company,

would you be okay to buy the target company at its NAV price? So how do you think about valuation when you are making a deal of another company or of your own company?
G. Shivakumar: Yes. We have never done a deal for a company so far. We only know how to buy and sell ships. So we have never looked at how companies are valued really. So it's tough to say. As I said, we are not stock market experts. What little capabilities we have are in the shipping space of buying and selling ships. So we really don't know how valuation is done in the stock market.
Rajesh Khater: No, no. So I am not even talking about the stock market, but if a big investor comes and offers you the NAV of your company, would you take it?
G. Shivakumar: It's a hypothetical question, which we haven't thought about, frankly.
Rajesh Khater: Okay. Okay. And what has been your company's insurance policy? So in case of any adverse situation, will you have to take any hits in your P&L?
G. Shivakumar: No. Our insurance covers us for various, so we have a few different types of insurance. 1 is Hull and Machinery, which covers the ships themselves. And P&I is Protection and Indemnity, which is like a third-party insurance, including for the people. So between these, they cover pretty much most eventualities that can happen for a ship.
Rajesh Khater: Okay. So, you have some uncovered risk when you say most?
G. Shivakumar: Typically, deductibles, things like deductibles.
Rahul Sheth: Yes. Others, we have covered.
G. Shivakumar: Yes, we have covered.
Rajesh Khater: Okay. Okay. And I missed the opening commentary. So can you repeat whether the rigs getting fresh contracts are at higher rates or lower rates? I put it in the text question also, so you can just answer it here.
G. Shivakumar: Yes. The long-term contracts are at lower rates. That is the 3-year contracts are at lower rates than the previous contracts, which are awarded maybe a year ago. So the short-term contracts are about the same level as they were maybe a year ago. Yes.
Rajesh Khater: Were you not positive about the rigs getting repriced at a higher rate in your commentary a few quarters ago?
Anjali Kumar: Mr. Khater, if I may interrupt. You can have a look at when we put up the transcript on the website so that we can save time for other questions.

G. Shivakumar: Yes. So just...
Moderator: This question has already been answered, yes.
G. Shivakumar: Yes. So we just had this thing a few quarters ago, the markets were looking positive till around this time last year, till we had those significant cancellations by Saudi Aramco. So that's the simple thing. We changed the nature of the market.
Rajesh Khater: Okay. Fine. Thank you.
Moderator: We will read the text from Gaurav Jha, an individual investor. Sir, firstly, thanks for the opportunity. I would like to make a suggestion regarding notes to accounts. Kindly add the same from next quarter results since it will corroborate us. Inventory turn days are increased by 16 days. Any specific reason? And third is in cash flow, what is WTDL from bank and deposit in bank?
G. Shivakumar: Sorry, WTDL from banks, are we talking of working capital loans? We have no working capital lines. I don't know what WTDL is. I assume it's something to do with working capital lines. We don't have any working capital lines. We only take long-term debt. Or rather if we have working capital lines, it's only for, say, currency or derivatives contracts. Inventory turn days is not a metric that we track at all. So I can't comment on that. And notes to accounts, we have the notes which come always. And in any case, we will have them in the annual report as well. We will

see if it adds value, and we will see if we can. But I have not fully understood that. Maybe we can take a look at that.

Moderator: We will take a text question from Surendra Yadav. Are the AHTSV capable of being deployed in other territories like North Sea, where demand is much higher than supply currently?
Rahul Sheth: Firstly, I don’t think the demand is much higher than supply in the North Sea. In the North Sea, what happens is you get shorter-term contracts. The market is very volatile there. So sometimes you may see that the rates are higher. But what happens is the utilizations are lower because the contracts are shorter duration. So then you have to equalize it on 100% utilization for the year. So we do, do that calculation across different markets. And our AHTSVs are deployable not only in the North Sea, but in other markets as well, but the...
G. Shivakumar: The typical North Sea AHTSV is larger than ours. Ours are 150-ton Bollard Pull. Typically, the requirement there is at least 180 to 200. There is a market probably for the 150s, but the most common AHTSVs in the North Sea are larger than ours.
Rahul Sheth: Yes. But we have vessels which are deployed outside India as well. So we do look at other markets as well.

Moderator: Thank you. We will take a live question from Shivam Shah from Impact Wealth Advisors. Please go ahead. Shivam can you please unmute your microphone and go ahead with your question, please.
Since there is no response, we will take the text question from Vinay. Is there cross-usage potential of product tankers into crude tanker market and vice versa? Product tanker order book is increasing faster than crude tanker order book. Also, how to do propose to play this demand-supply dynamic?
Rahul Sheth: So this is possible. So Shiv had earlier mentioned also on the call that the LR2 vessels, which make a large part of the order book, basically, they’re just quoted Aframax tankers and Aframax tankers carry crude. So you can basically take a product tanker and load crude, and then the supply of the crude tankers increases. It can happen on the other side as well. But crude is a dirtier cargo than products. So you often entail some waiting time and cleaning costs of the tanks, so that they are in a condition to carry products, because the cleaning standards are higher.
We have certain ships that can actually switch between the 2 segments. And depending on our views on the market, we have at time switched between the 2. We have the ships that are capable of doing so. And basically, what happens is that the market at large. So if say, for example, you see the product space being significantly stronger than the crude tanker space, you will see many ships cleaning up and trying to carry products and vice versa, and then eventually, markets do end up somewhat balancing out.
Moderator: We will take a live question from Shivam Shah from Impact Wealth Advisors. Shivam, kindly unmute your microphone and go ahead with your question, please.
Shivam Shah: So regarding the new asset acquisition, you mentioned that you are waiting for the correct price to come. So what are the fundamental reasons that are keeping the asset price this high and what are the reasons that will cause the price to correct?
G. Shivakumar: So earnings have been quite high, and that is what is keeping prices high for now. So along with earnings being high, there are people who are wanting to buy also, and that is keeping prices from dropping a lot. So that’s what is keeping prices high now.
What can bring these down, there are typically 2 things that stop hot markets or strong markets. 1 is demand not keeping up, and the other is too much of supply of vessels. The order book is building up. It’s not a big amount, but it is building up, especially for LPG, maybe a little more for product tankers as well. And that can cause some imbalance in demand supply, and therefore, bring the markets down. If earnings come down, the next thing which happens i

s that, that also
pulls down asset prices. So that is what we are waiting for.

On the demand side, you have significant uncertainty on economic growth happening. And if that continues, then you could have lower earnings, and therefore, lower asset prices, which will give us an opportunity to buy.
Shivam Shah: Okay. Just a follow-up question to this. Is there any target return on asset that you to wish for before acquiring any particular ship?
G. Shivakumar: We would like to make at least a 10% IRR on the ships that we buy in U.S dollar terms. Yes.
Shivam Shah: Thanks.
Moderator: Thank you. There is a text question from Rajesh Khater. Why are you not following the spot policy for LPG carriers? How is the LPG market fundamentally different in this aspect?

Rahul Sheth: No, it's not that it is fundamentally different. But basically, we took a call on the levels at which the repricings were at. And actually, if you look at it, we priced all these contracts in the first half of Cal 2024. And if you see how the spot market has actually behaved versus the contracts we fixed at, they've been substantially lower. So eventually, it just comes down to the pricing of the contracts that you get.

G. Shivakumar: It was a market call that we took. Yes.

Rahul Sheth: Yes.

Moderator: Thank you. We will take a last text question from Karan, an individual investor. What is the reason for so much fall in crude carrier and dry bulk spot prices? Will it improve in near future?

G. Shivakumar: Again, as Anjali had mentioned earlier, we have discussed this in our presentation, and we have given the reasons for the drop in rates. So if you could just go back through those, then you will have the answers to the question.

Moderator: Thank you. As there are no further questions, I now hand over the call to Ms. Anjali Kumar for closing comments. Over to you, ma'am.

G. Shivakumar: Sorry. I can see a text question there, which has just come up. What's the basis of assumption of ship revenue rate in NAV calculation?

We don't assume a revenue in the NAV calculation. The NAV calculation just replaces the book value of the ship with the market value of the ship, and that's it. So if we had to sell the entire fleet today, what is the amount that we can realize divided by the number of shares.

Moderator: And sir, we have one more text question. It is from Surendra Yadav. What has been company's experience with Chinese carriers? Are the operational costs higher than similar ships from Korean or Japanese yards?

Rahul Sheth: So you should just know that now China has become like the largest builder in the world by a substantial margin. In China, you've got very high-quality yards with the operational costs will not really differ. But the lower quality yards in China could have more operational cost than the Korean Japanese yards. And of course, our company, if we buy Chinese carriers, Chinese built ships, they will tend to be always at the best of the yards.

Moderator: Thank you. There's one text question from Rajesh Khater. Have you lowered your IRR expectation to 10%? Earlier, you used to mention 15%, if I am not wrong.

G. Shivakumar: Yes, that's correct. We have not lowered our expectations, but we realize that 15% is a very high bar. And therefore, we have kept this as a bare minimum that we would like to see as they are.

Moderator: There are no more text questions, sir, or live questions.

G. Shivakumar: Yes. Thank you.

Rahul Sheth: Thank you.

Anjali Kumar: Thank you, everybody, for joining in today and asking all your queries. In case any of you have any further questions or you feel your questions were not answered today, do feel free to reach out to us, and we will be happy to help you with them. And the transcripts of this particular call will be uploaded very, very shortly. So thank you all again for joining.

Moderator: Thank you, members of the Management team. Ladies and gentlemen, on behalf of GE Shipping, you may now exit the meeting. Thank you for joining the call today. Thank you.

Call: Aug 2025

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Our Ref.: S/2025/JMT August 06 , 2025

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Mumbai – 400 001 Mumbai – 400 051

BSE Scrip code: 500620 Trading Symbol – GESHIP

Sub: Transcripts of Earnings call conducted on August 01 , 202 5

Dear Sir/Madam,

Further to our letter s dated July 25 , 202 5 and August 01 , 202 5, please find enclosed transcript s of the earnings call held on August 01 , 2025 .

We request you to take the same on record.
Thanking You,
Yours faithfully,
For The Great Eastern Shipping C ompany Limited

Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

 “The Great Eastern Shipping Company Limited Q1 FY 2026 Earnings Conference Call”
August 01, 2025
MANAGEMENT : M R.G.SHIVAKUMAR –EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER ,THE GREAT EASTERN SHIPPING COMPANY LIMITED
MR.RAHUL SHETH –GENERAL MANAGER , MANAGING DIRECTOR ’S OFFICE ,THE GREAT EASTERN SHIPPING COMPANY LIMITED
MS.ANJALI KUMAR –HEAD (CORPORATE COMMUNICATIONS),THE GREAT EASTERN SHIPPING COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Great Eastern Shipping Company Limited Q1 FY ’26 Earnings Conference Call.
As a reminder, all participants’ lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*,” then “0” on your touch-tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Shivakumar, Executive Director and CFO. Thank you and over to you sir.
G. Shivakumar: Thank you. Good afternoon, everyone, and welcome to the Quarterly Earnings Call for Q1 FY '25-'26.
I trust you had a good look at the results which came out last evening. So, we will do a quick run through of the Results and what led to those Results and after that we can have Q&A.
Mr. Rahul Sheth is here with me, and we will be happy to take questions after that. Customary disclaimers apply.
Our consolidated net asset value is up slightly quarter-on-quarter as a result of the earnings accrual to the cash balance. The net profit while down significantly versus a year ago is up versus Q4 FY '25. And we have declared the 14th consecutive interim dividend this time at Rs. 7.20

per share, representing a payout of about 27% on standalone earnings.
I am not going to go through the numbers here because I am sure you had time to go through them since yesterday. Just here we have the standalone net asset value at the bottom, which is at Rs. 1,120 per share, down from Rs. 1,181 a year ago, which is of course due to the drop in the values of assets, but up from March, up slightly from the March number.
This is what happened and this is what resulted in those numbers. So, you see, Q1 FY '25 we had the crude tankers averaging $46,000 a day, which is down to $33,800 in Q1 FY '26. The product tankers averaging $37,000 versus just under $25,000. So, that's a huge impact that we had. Of course, our LPG ships got repriced upwards and therefore there's an improvement from $36,700 to $43,800. The bulk carriers as well went down from about $18,000 to just under $15,000.
But versus the immediate preceding quarter, we had some slight improvement, $31,000 on the crude tankers went to $33,000. The product tankers were about the same. LPG again continuing on charter and therefore the same. And dry bulk improving slightly as well. Along with the rates

coming off, we also sold a few ships last year, so that also resulted in some reduction, not in the rates but in the earnings on an absolute basis.
Standalone net asset value, of course, has been going up, though since March last year it's now been stagnant. So, we had mentioned this earlier that while asset prices can drop and therefore interrupt the growth in net asset value, earnings are quite strong and the earnings growth and the cash accrual due to earnings sometimes compensate for the drop in the value of the ships themselves. This is the factors that led to the change in the net asset value. Similarly, for the consolidated NAV, where you have a small drop in the consolidated NAV.
Let's look at what happened in the shipping market:
So, you had the Suezmax earnings coming off from last year. And this is market earnings and this is the market benchmarks are not necessarily reflective of exactly what the ships are doing. You also have the MR earnings coming up about 40% year-on-year.
Now what led to this? The dirty trade, which is a crude tanker trade, was flat year-on-year in the 1st Quarter. And which means that demand basically has plateaued. And while you did not have too much of any addition of fleet, it still made the markets a little softer. You would remember that last year, we had the impact o

f the Red Sea closure, which happened in December '23, so
those effects lingered through the first half of Calendar '24. And that is why the rates were exceptionally high in Q1 of FY '25, which is normally, Q1 is normally not a strong quarter for tankers. And therefore, that was an unusual quarter, and we came off from those numbers.
The product trade also was flat year-on-year, but mainly the long-haul trade, which is from East to West, the Eastern refineries exporting to the European Union remained flat. And therefore, you had weak demand, while you had the fleet growing by about 3%. Again therefore, the rates remained quite poor.
Asset prices remained flat during the quarter, maybe about 5% down for older product tankers. But on a year-on-year basis, we are talking of 30% plus drops in product tanker values, especially at the slightly older end. The order books have been building up in the last couple of years. It’s still currently at 12% and 20% for crude and product tankers, respectively.
Coming to dry bulk:
We had a slightly weaker quarter than the corresponding quarter in both the capes and the sub-capes. And basically, we have the coal trade declining that was a major, major reason for the weak dry bulk trade demand and therefore rates. Iron Ore trade picked up slightly but that was not enough to offset the global grain trade decline which affects the smaller vessels more, that is the sub-capes. And bauxite continued its strength through the 1st Quarter and that grew 19% year-on-year. The bulk carrier fleet year-on-year grew about 3% and the order book still remains only at about 10% to 11% of the fleet.

LPG:
Our four ships of course are on the time charter market. Earnings were down but still at pretty strong levels. So, we are still looking at $40,000 at the end of the spot market. The trade grew and this is one trade that has been growing very strongly, but you also have the fleet growing and you have a very, very significant order book at 30%.
Looking at fleet supply:
As I mentioned, the order book hit bottom in 2023 or so for tankers and it has been picking up since then. So, you are now at 20% for product tankers and 12% for crude tankers.
Looking at scrapping:
Of course, with these earnings and the earnings even in dry bulk have been pretty decent. It more

than covers operating expenses and even if you have to do a dry dock in that year, and therefore the scrapping has been very minimal. And you can see that in the numbers for the last four or five years we have seen basically no scrapping at all.
Looking at asset prices:
As I mentioned they have been sort of range bound, a little bit of movement in the last three months, maybe 5%, up to a 5% drop in product tankers and bulk carriers for the slightly older and smaller vessels.
Coming to the oil field services business:
We have the standard data and we have our rigs. All of them have got contracts, which is what we had reported in the last quarter. Two of our rigs, that is the Chetna and the Chaaya, have got short-term contracts, a four-month contract and a seven-month contract, both of which will start after the monsoon, so we are talking of October, November, December. And they will do the short-term contracts in India.
We have got another rig coming off contract that is Chitra, coming off contract around December. She has already landed the next three-year contract and after doing the work between the contracts, she will go back on to a new contract. Currently, the Chetna and the Chaaya are waiting for their contracts to start. We have a very small standby rate on the Chetna and we are idling and not receiving any payment for the Chaaya.
On the vessels front:
All our vessels are more or less fixed through the year. Out of our 19 vessels, four are operating in the spot market on short contracts. And these are the most capable vessels

which we have

decided to operate on the spot market or on short-term contracts. And those vessels will continue to operate typically on the spot market unless we get a contract which we believe compensates us at a reasonable level. So, we have the vessels essentially fixed through most of the year and the rigs also fixed. But we will have repricings starting in early 2026.
This is the standard slide on debt equity. We have now net cash of about $600 million on a standalone basis. In the group, we have net cash of about $700 million, including the subsidiaries. And the share price to consolidated net asset value remains at just about two-thirds, so we have a one-third discount.
And finally, something that we are proud of which is the foundation which works in the CSR, social sector. We are partnered with many NGOs, and we have hopefully helped to transform many lives.
Thank you and now we are happy to take questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Mohammed Farooq from Pearl Capital. Please go ahead.
Mohammed Farooq: Thank you. Good afternoon. Congratulations on the solid set of numbers this quarter. Given the improving spot rates as seen in the dry bulk index, the evolving tariff environment under Trump and the expected trade rerouting due to both tariffs and ongoing Russian sanctions, how do you see Q2 shaping up? Do you anticipate this next quarter's performance to be stronger than Q1 or broadly in line based on these developments?
G. Shivakumar: We can tell you what rates are like today. We do not make a forecast, but this is what is happening currently. Currently, rates for bulk carriers are better than they were in the last quarter, let's say, in Q1. For tankers, it is more or less the same as where it was in the last quarter, maybe marginally higher. So, that is where we are today. Again, to be clear, we have only finished a month of the quarter. So, this could easily change. You know the nature of our markets; there are very big swings that happen on a daily and weekly basis. So, we will not hazard a guess as to whether the quarter will be better or worse.
Mohammed Farooq: So, what about the demands regarding the trade issues in re-routing because of these tariffs, is there a demand increase on that because of that?
G. Shivakumar: No, not really. There is no trade re-routing because of the tariffs. None of the commodities really are affected by these. On a very marginal basis they may be affected, but there is no re-routing happening really and no significant re-routing.
Rahul Sheth: So, if you want to just break it up sector by sector, the oil trade is not really affected by the tariffs because it is broadly out of it. If you look at LPG, China has a 10% tariff on exports from the U.S. So, we have seen some of the U.S. exports of LPG go to certain other Southeast Asian

countries, including India as well. And then we have seen China pick up more cargoes from the Middle East. So, there has been some change. On the tonne-mile basis, there is a slight improvement on this re-routing.
And then on dry bulk, the U.S. is not a major contributor to the dry bulk trade except for the

grain trade. And we have seen, and this happened even in the last time in 2018 or so when Trump had put on those tariffs, we saw some of the grain exports from U.S. get sent instead of China to certain other Southeast Asian countries. But the Latin American countries picked up the volume to send it to China. So, we have seen some of that change as well. But on an overall basis, on the dry bulk trade, it has not had a very big impact.

Mohammed Farooq: Okay. Great. Sir again, as a long-term investor, our key objective is wealth creation. The company has posted strong

results and maintained robust cash reserves. At its evaluation, especially in terms of price-to-earnings remains amongst the lowest in Indian market. Has the Board discussed the possibility of a share buyback as a way to unlock value? Also, what other strategic measures are being considered or implemented to enhance shareholder wealth and improve the market perception of the company's true value?

G. Shivakumar: Yes. No, there has been no discussion around buyback at the board level and when we do that there will be all appropriate disclosures. With regard to improving the shareholder value of the stock price, we are not experts in that. All we do is run our business to provide maximum returns from the business. And we hope that someday that will be recognized and translate into the appropriate valuation for the stock. And we communicate what we are doing as well as transparently as we can. And hopefully that will have an impact some time.

Mohammed Farooq: Thank you sir, and all the best.

G. Shivakumar: Thank you.

Moderator: Thank you. Our next question comes from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Yes. Namaskar sir. Thank you for this opportunity. Sir, firstly in terms of our offshore segment, for this quarter, although the revenue has been down Q-on-Q, the profitability has moved up from Rs. 82 crores to Rs. 126 crores. So, what has contributed to this?

G. Shivakumar: Yes. So, the main factor is that, so while the revenue has gone down, the contributions of the vessels business and the rig business have been moved in separate directions. The vessels business has given a much higher contribution in the revenue. And while the rig business, because two of our rigs are effectively idling, the revenue dropped. Now what has happened because of that is that the rigs when they are idling, we bring down the operating expenses to the bare minimum and therefore we save a lot of costs there. That is what has happened. While for earning the additional revenue in the vessels business, we did not need to spend more. So,

for the same revenue, basically you had lower costs and that is why we have had a better result despite having a very similar revenue number.

Saket Kapoor: Can you provide the split between the vessels and the rig revenue for this quarter and also for the preceding quarter?

G. Shivakumar: We do not give out the numbers, it one segment, which is the offshore segment, but I can tell you that they are compensated for each other more or less.

Saket Kapoor: So, you mentioned that since the rig were idle and there is lower cost attributed to the same, and the vessels revenue and the profitability being higher, so even the lower revenue has compensated for the same, this is what the understanding is?

G. Shivakumar: That's correct.

Saket Kapoor: For the rig segment, I think so, ONGC came out with a tender one quarter ago, I think so maybe four months ago, wherein previously there were some cancellations also which happened because of the higher charter rate. But the rate at which the tender happened was way below than the previous rate, I am just referring to the last rate where it was tendered out in the vicinity of $38,000 to $45,000, whereas the preceding were in upward of $70,000. So, what has exactly changed in the rig market? If you could just give us some more color how the rig charter rates have moved. And also the CAPEX outlined by the PSUs, have they curtailed their CAPEX and because of this, our asset being idle, we have lowered the rates just to offer not to keep the assets idle, what is the thought process, sir?

G. Shivakumar: And this question had come up in the last quarter's call as well and we had addressed it there but let me give you the short summary of it. So, the market was on an uptrend from 2021 all the way up to end of '23. In end of '23, wa

s when we had the pricing where we were around $80,000 a day, I think it probably went up close to $90,000 a day.

What happened in early 2024 is that Saudi Aramco, which is the largest hirer of rigs, customer for jack-up rigs, suspended contracts for between 20 and 25 rigs in April, May 2024, that resulted in a change in the market. And therefore, the market sentiment went down and rates went down as well.

In our case, we decided that we would like to have the employment, while two rigs have got short term employment, the third rig, we decided that we would like to take that contract and keep the rig employed, even though the rates were likely to be much lower and that is why we dropped the price and took that contract. So, we wanted to avoid idling on that rig. So, we decided it is better to take a low rate, which gives an EBITDA contribution rather than keep the rig idling.

Saket Kapoor: So, currently, what is the status in terms of the current charter rates? And are there further contracts for deployment of rigs pending wherein we will be participating with the two idle ones or what is the updates are currently?
G. Shivakumar: Sorry, the two idle rigs have received contracts, short-term contracts. They are currently not working. However, both of the rigs have received contracts, one for four months and one for seven months. Both of them will go on to those contracts by the end of 2025. And therefore, we do not currently need to look for work for them. Of course, they will come off contract in the first half of 2026. At that time, we will require to find some work for them. So, currently they are not marketing any rigs.
Saket Kapoor: And can you give some color on where the charter rates are since the Aramco fiasco or the Aramco providing a lot of supply?
G. Shivakumar: You had the correct number, you are in the ballpark for the ONGC rates.
Saket Kapoor: Okay. And sir, the last point. Sorry sir, I interrupted you. What were you telling?
G. Shivakumar: I think you mentioned a number of below $40,000. That was the correct range of contracts.
Saket Kapoor: And lastly sir, from the government PSU, CAPEX front, any understanding that we get in terms of the curtailment or?
G. Shivakumar: Yes. This is not, yes, you had asked this question as well. This is not public information. We do not know what is happening there. All we know is that some contract tenders have got cancelled. So, actually the number of rigs with the largest customer in India have got reduced. But we do not know what their long term plans are really or what are the plans for the next 6 to 12 months, whether they are going to come out with more tenders or not.
Saket Kapoor: Right sir. And currently sir, what portion of our business is from the government and how much is private?
G. Shivakumar: Sorry. You mean on the offshore business?
Saket Kapoor: Total pie also and offshore also.
G. Shivakumar: In the shipping business, it is a small part. When you say government, I am including PSUs, it is a small part of the business. Maybe less than 15% of our fleet is engaged in PSU business, in shipping. And in the offshore business, two rigs are operating with the largest customer, who is PSU. And one of the short-term contracts is also with PSU. Of the vessels which are operating in India, a majority are operating with the end client as ONGC, whether directly or indirectly, they are working with ONGC.

Saket Kapoor: Okay sir. And lastly sir, on the shipping aspect, how do we book our order book? If investors look at the visibility part, standing today in the month of July, what is the visibility we have in terms of the total fleet? What kind of revenue have we booked, the charter rates? And how do we go on building the order book going ahead? How much is the spot?
G. Shivakumar:

The spot is, we have may be 20% of our fleet operating on charters, less than 20% are operating on charters. Typically, these are one to two years charters. And we take calls on these depending on the view we are taking on the markets, if we get offered good rate for time charter we would take it. Our default mode would be to operate in the spot market.
Saket Kapoor: And, what are the current market conditions?
G. Shivakumar: Current market conditions are the same as what they were in the previous quarter, dry bulk is slightly stronger, and tanker is more or less the same.
Saket Kapoor: Okay. And on raw --
Moderator: Saket sir, may I request you to return the queue.
Saket Kapoor: I will do that, sir. Thank you.
Moderator: Ladies and gentlemen, request the participants to limit their questions to three each per participant and rejoin the queue for follow-up questions. Our next question comes from the line of Isha Shah from Nirzar Enterprise. Please go ahead.
Isha Shah: Good afternoon, sir. Sir, I just have one question. I wanted to understand how is the shipping cycle across all our assets, okay, in face of the tariff that has recently been going on?
G. Shivakumar: Yes. So, spot markets have been reasonably strong for tankers though they are down from a year ago Q1 over Q1, but they are still historically at fairly strong levels. Dry bulk are maybe around market averages at current spot rates, they are probably above long-term averages as well. And LPG of course are very, very high in the long-term historical context. So, that's where we are in rates compared to the long-term numbers that we have seen.

Isha Shah: Okay. So, sir, how do you see the cycle? Is it like do we see it going upwards or how do we see the cycle now?
G. Shivakumar: The market's been strong. So, it's tough to see what can drive it upwards. For the market to get stronger, you need either end user demand to go up or you need some logistical disruption which makes the fleet less efficient. On the disruption, one never knows what can happen. But on the demand side it doesn't appear that economies are doing very well. So, there is not going to be a big demand upside really, whether it is in oil or dry commodities. So, the general outlook would be, either you hold at this level or it gets weaker rather than having any upswing from here. Then

of course you could have say seasonal improvements in oil demand etc. But otherwise, the cycle is already pretty strong.
Isha Shah: Okay. Thank you so much sir.
G. Shivakumar: Thank you.
Moderator: Thank you. Our next question comes from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.
Himanshu Upadhyay: Hello. Good afternoon.
G. Shivakumar: Hi, Himanshu.
Himanshu Upadhyay: Yes. Hi. So, my first question was on regarding this loan we are giving from Great Eastern Shipping to GIL of Rs. 450 crores. When we look at the consolidated balance sheet numbers, what we give in the presentation and standalone, the difference between the net cash is around Rs. 1,000 crores. And one of the largest subsidiaries or working subsidiaries for us is GIL. So, would this majority of Rs. 1,000 crores would be in GIL only? Or it is across various subsidiaries and hence we are giving this loan? Or there is some CAPEX plan on GIL and hence?
G. Shivakumar: There is no CAPEX plan. Yes, I got the question. There is no CAPEX plan. About 50% to 60% of the cash that is there is sitting in GIL itself. The issue that is there is that the loan is in India and a lot of the cash is in overseas subsidiaries. There is some inefficiency in bringing the cash from the subsidiaries as of now, and therefore it was felt better to do this transaction.
Himanshu Upadhyay: Okay. And one more question, just to understand your thoughts. Nearly one year back and one and half years back it seemed we were much more eager to have a replac

ement of older ships
with newer ships, okay. And as of today, when we see the product tankers and dry bulk, which is five to 10 years age, is down by 10% to 15% or whatever those percentages. That eagerness seems to be much lesser, okay, to renew the feed though we have done one transaction, but it is after a very long period of time. So, any thoughts on that why at the one year back we were it seems we were much more eager to replace the things and right now we are going much slower when the prices are down nearly 15%.
Rahul Sheth: So, Himanshu, there has been no change in strategy on that front. We are as eager, as earlier, to continue with the switch strategy. You should just keep in mind that if asset values have come down 20%-30%. Basically they come out for the ships we are going to buy, and the ships are going to replace them with. The delta, the extra capital that you will end up investing to conduct the switch strategy broadly remains the same. So, there has been no change of thought on that. It's just that we also look at when the ships are reaching those age profiles at which to conduct the switch, that's all.

Himanshu Upadhyay: But per se you still find the markets to be expensive, and you are not thinking about expanding the fleet, your focus is just replacement currently?
Rahul Sheth: Yes. At the moment it is to replace.
Himanshu Upadhyay: And one more thing, on the offshore side you stated that besides jack-up, the other segment has done pretty well, hence the numbers are much better. Is there any dry docking which is pending? Because before the jack-up goes for these two orders even if it is short term or you think this is the status quo for now?
Rahul Sheth: Can you just explain last statement; I could not hear it clearly.
Himanshu Upadhyay: I was saying that we had stated that the offshore segment did well because of vessels which did pretty much better. I was just asking that is there any dry-docking expenses pending before the jack-up rigs go for tenders?
Rahul Sheth: Before every jack-up tender that we deploy our rigs, there is some amount of work that gets done on the rigs. So, that's a part and parcel of the business, that is a certain amount of expenses you will expect in every year. Of course, in this year, like Shiv had mentioned previously, we have got three rigs going on to contract. There are years where if all the rigs are fixed out then you may not have a rig coming off contract being repriced. But generally, before a rig goes on to contract, there's always a little bit of expenses that we have to incur.
G. Shivakumar: If you are looking for whether there is lumpy expenditure, yes there is lumpy expenditure when

you go on to a new contract.
Rahul Sheth: We expect that in the third and 4th Quarter.
Himanshu Upadhyay: Yes, I was just trying to understand, there is a larger, lumpy CAPEX on dry docking which is pending.
Rahul Sheth: Yes, not quite dry dock.
G. Shivakumar: Yes. Not quite dry dock, but preparation for this contract.
Himanshu Upadhyay: And some of our ships are Chinese built, okay, how has that settlement happened? Because many of the ships are generally trading between U.S. and Europe and all those routes. So, any port penalties or all those? And is the market settled or there are still some disruptions happening for the Chinese made ships, which end up going to USA?
Rahul Sheth: We have very few Chinese ships, I think it is four or five. But you should also keep in mind that when the USDR, which is, let's call it a tariff or a tax which came on these Chinese built or Chinese owned ships, eventually they diluted the rules quite a bit. So, if you are trading within

2,000 nautical miles of U.S., they are exempted. If you are below 81,000 tonnes, they are exempted. So, we have done a calculati

on to see what is the impact of the Chinese owned, Chinese built and it only comes to about a few percentages meaning like 2% or 3% of the entire world trade that would get liable for this tax or tariff.
And that's too minor to have a big impact because it is very easy for ship owners to reroute those vessels and not put those vessels on the U.S. trade because the tariff that they have discussed for those 2% of the fleet is prohibitive to call U.S. But the market has also already taken it into account and there has been no real impact of that.
G.Shivakumar: And it is not going to come into force as well
Rahul Sheth: Yes. But it will not --
Himanshu Upadhyay: And how significant can these be? Because in what we understand even in EU they are increasing the number of sanctioned ships and any impact of that and what U.S. Chinese made ships higher tariff will have? And the sanctions also for Russian ships.
Rahul Sheth: We saw some sanctions coming out of Biden Administration at the end of January. We saw temporarily, there was a sanction on, in China there is a very big refining region called Shandong which takes a lot of these ships. And temporarily in the month of February, maybe early part of March, there was a bit of uncertainty in the market of how these ships will ply. But somehow the market finds a way to rebalance.
We have seen that, the data that we can track, it shows that the exports out of Russia have not really changed. And they somehow find a way to eventually reach their destinations. We have not seen any materially impact on these sanctions. Although recently there's been an EU sanction where they have, it's not coming to effect yet, but they have lowered the price cap. They basically said that if the price is below $60, international legitimate owners can lift cargo from Russia and transport them. And a lot of Greek owners were doing that. So, maybe 30%, 40% of the Russian exports were carried on legitimate trade, non-sanctioned trade.
Now that they have put in a cap of $45, which is much lower, we will have to see how that pans out, because that's a big change. That's coming into effect in the month of September. Right now, they have given some time for the previous contracts to wind down. We will have to see how that comes out, because that's a big change. That's the first big change on the pricing broadly from the start of the war, which was three years ago.
Himanshu Upadhyay: Okay. Good. Thank you.
G. Shivakumar: Thank you.

Moderator: Thank you. Our next question comes from the line of Karan Bhatelia from MAIQ Capital. Please go ahead.
Karan Bhatelia: Yes. Good evening, sir. Sir, congratulations on acquiring the Kamsarmax vessel. Sir, the company is engaged in substantial divestment of crude carriers over the period, so what's the major reason for this? If you could just throw some light on it.
Rahul Sheth: So, basically, we had a few ships which hit an overage limit, and therefore they had to exit the fleet. This happened a few years ago. At that point in time, when the Russian war took place, asset values rose, and we did not basically switch those asset classes out. So, they just naturally ended their tradable life. There was no conscious call to reduce exposure to the crude segment.
Ideally, we would like to increase the number of crude tankers again.
Karan Bhatelia: Yes. Correct, sir. So, actually my question was, I mean, I understand the reason of selling it off, but there was no replacement for that, for you to acquire new vessels. So, is the demand lacking, or is it because of the heightened geopolitical tensions?
Rahul Sheth: No. Our intention is actually to increase the crude fleet again. So, what happened was, and

another participant asked us on this call on our switching strategy. So, what happened is, in 2022, once the Russian war took place, of course, the market increased s

ubstantially along with the asset prices increased as well. Some of those crude tankers exited at the early part of that cycle. The Russian war, of course, has lasted a much longer period than we thought. We then had the Red Sea disruption which kept the markets higher.

Sometime in the end of Calendar '23, we decided that because we had lost, we had peaked at 48, 49 ships some time ago, we were at about 41, 42 ships in the end of '23. At that point in time, we decided that not to let the fleet come down in size any further, and so to start a switch strategy and to maintain a certain amount of exposure to the market. It just so happened that we had already lost some of the crude tankers by then. And then since then, we are just holding around to whatever free capacity we had at that time.

And just to be clear on the switch strategy. The switch strategy, according to us works because you are selling an older ship at a high point in the cycle and then reinvesting that into a newer ship at the high point of the cycle. Now that we do not have those older ships which have exited the fleet a few years ago, you cannot really switch them because the sale has happened too far back.

Karan Bhatelia: Got it, sir. So, any plans in like, is the pricing levels too high for the vessel to buy the ship or maybe we could lease them?

Rahul Sheth: So, we have actually in-charted one of the ships in our subsidiary in Gift City, which is a Suezmax tanker, one of the largest crude tankers. So, we have done that. But at the moment, we are not looking for any incremental purchases.

Karan Bhatelia: Got it, sir. Thank you. I will get back in queue.

Moderator: Thank you. Ladies and gentlemen, we will move on to the text questions. The first text question we have is from the line of Surendra Yadav. And the question is, what's the rationale for ECB refinancing and GIL? Similar arrangement could have been done during the last refinancing, which I believe was due in Q4 FY '24. What changed from then to now? Why are we deploying cash at 7.5% ROI when IRR benchmarks are 10% to 15%?

G.Shivakumar: Yes. So, the loan which has been given to the subsidiary is over a period of two and a half years. What we felt now is that the amount of cash which is sitting with Great Eastern Shipping is not something that we can deploy within this period. And therefore, this is effectively surplus cash at least for the next two and a half years, and we decided to do it now. To measure this versus the ship IRR, which is over a much longer period of time, would not be correct.

Moderator: Thank you. Our next text question comes from the line of Amit Khetan from Laburnum Capital. And the question is, a shipping segment has seen very low normalized OpEx of Rs. 270 crores this quarter compared to last few quarters' run rate of Rs. 300 crores to Rs. 330 crores. Is this just a function of operating a lower number of ships or is there some one-off element here?

G.Shivakumar: Yes. Both of those are factors. One is the lower number of ships that we are operating as compared to, we have a 10% lower fleet versus Q1 of last year. The other thing is that we have actually had some reduction in costs, we have been focused on seeing how we can do some cost reductions, so that is one minor thing. What has also happened is that Q1 we had significantly higher costs in Q4, that is the immediate preceding quarter, as a result of which Q1 expenditure was less. So, that is the other impact that we had. So, to sum it up, one is lower number of ships, second is actually lower cost per day per ship as a result of some efforts that we have put in.

Moderator: Thank you. Our next text question comes from the line of Zahara Sherif. And the question is, with the Rio Tinto's Simandou iron ore mine expected to start production in November this year, is it true that up to 170 dedicated capesize vess

els will be required for shipments to China. Can the dry bulk market absorb this new demand? If not, what could be the shortfall, and could it impact rates?

Rahul Sheth: I am not sure whether it will require so many capesize vessels.

G. Shivakumar: The streams are also rerouting.

Rahul Sheth: But the mine is coming up, you should also keep in mind there is actually a lot of export also coming from Guinea, West Africa on bauxite, that will also absorb a lot of capesize vessels, that is actually a longer haul. So, you are going to get a lot of demand for capesizes from there. But you do have a certain amount of fleet growth and iron ore trade, let's say, at least up till now this year has been negative. So, sometimes there is a rebalancing. So, whether there is going to be, I

think the question is leading on whether there is going to be some massive shortfall and a massive demand for capesizes, it's difficult to predict the market, but this I think seems a bit of a stretch.

Moderator: Thank you. Our next text question comes from the line of Kuldeep Singh, an investor. And the question is, what will be the catalyst of offshore utilization and rates? Will it be an increase in oil prices or more countries planning for exploration and investment in their respective geography to avoid energy dependence?

Rahul Sheth: Yes. This is true. The utilization rates for the offshore rigs and the vessels have come off since the early part of cal '24, but they still remain decently strong. And yes, eventually it just boils down to the oil companies' confidence in their drilling activities.

Moderator: Thank you. We have a text question from the line of Surendra Yadav. And the question is, in continuation with previous question of GIL ECB refinancing, can shareholders expect higher dividends payouts in case of similar markets, given that the management feels deployment of CAPEX is constrained?

G. Shivakumar: Yes. So, you could see that the dividend payout, which was running at around the 20% mark in the last three years, has already gone up in this quarter at 27% payout ratio. So, that is one indicator. We are not saying that this is a change which is being done permanently, but there has been an increase in the dividend payout ratio. Again, it will be a function of whether we feel we can deploy the capital or not.

Remember, I mentioned that this money comes back to Great Eastern within the next two and a half years. And therefore, it is still available for deployment in CAPEX. So, it is not that the money has gone permanently from Great Eastern Shipping. So, it will be coming back. All we felt was that we do not require it for the next two and a half years, because we already have a significant amount of capital. So, out of the cash balance, which is there in Great Eastern Shipping, this is the amount that we are talking about, is less than 7% or 8%. So, it is a small part of the cash balance of Great Eastern Shipping.

Moderator: We have a follow-up question from the line of Mr. Saket Kapoor. Please go ahead, sir.

Saket Kapoor: Sir, firstly in terms of the profit from sale of ship, what have we outlined currently in terms of profitability and the number of ships or the vessels which are up for sale? And secondly sir, for investors what should we be considering in terms of the revenue profile for us for the current financial year taking into account the current business environment?

And third point sir, you were answering to one of the text questions about the capesize vessels requirement not moving up even when there will be a mine for iron ore from New Guinea getting upstream. So, can you explain what you were trying to allude to that reply once again?

G. Shivakumar: Let me take that last question first. What we meant was the question said, we said that there would be demand for 170 capesizes. That seems a little bit of a stretch. Basically, this is unless you have end user demand going up by the same amount of iron ore, then that demand cannot happen because then you are just going to have a rerouting, which is either you take some Brazilian cargoes, you replace some Brazilian cargoes with cargoes from Africa or you replace some Australian cargoes. So, then it's only on the margin and it will have a significant impact but maybe not a full 170 ships. That was the only point. It will have a positive impact. Just we do not know how much that positive impact will be.

Saket Kapoor: You were telling that it depends. Sir, one second. Sir, it depends that how the ramp up is there and how much demand is there for the steam producing nation. That depends on how the demand will shape up. This is what you are trying to allude to.

Rahul Sheth: That is correct from the importers. So, we have looked at it from the exporter point of view. Yes, the cargo is available. The question is whether the importer wants that much more cargo. So, that's where you have it. Is there an end user demand for that iron ore? So, it's just that. That's all. Your other question was on profit on sale. We do not plan for profit on sale. We do not budget for it. If we see an opportunity to do a good transaction of a sale and a profit happens from that, then so be it.

We are not planning and budgeting saying that I want to take X crores of profit on sale in this year or this quarter. So, that is something that we do not do. And finally, on the revenue profile for this year, as I have mentioned before, the market is extremely volatile and 80% of our capacity is open to the spot market. And therefore, it is very difficult to predict what earnings could be. And that's why we do not do earnings forecast at all.

Saket Kapoor: And sir, correct me here, there is one haulage tax that is there for the other geographies that is not there for our institution or for the taxation part, for the shipping industries, we are at par with the international fleet.

G. Shivakumar: On income tax from profit from operating ships, that's on freight and charter hire income of ships. We have something called tonnage tax, which is very common across the world. So, that is more or less at par, we may be very marginally higher than some jurisdictions which have zero tax, but we are more or less on par with regard to shipping income, that is profit from earning freight or charter hire from running ships.

Saket Kapoor: Right, sir. And if I may add just last point, how are the consumption of spares and stores and the

fuel part of the story, how are those line items, the cost shaping up and how are we aligned to
mitigate any adverse impact of the same sir? If you take the Q-on-Q number for the spares and
stores, that has gone down significantly. So, what does this lowering of spares and stores
explains in terms of a Q-on-Q basis?

G. Shivakumar: Just on that, I would not read too much into it. One is it might be just on account of having fewer ships. The second thing is we expense these spares cost when the spares reach the ship. It could just happen that we were not able to deliver the spares on board the ship during the quarter and therefore it's got postponed to maybe July or August. So, do not read too much into it. These things can happen just due to logistical reasons. Yes, we have made an attempt to bring down the costs of running the ships, but do not read too much into one quarter's data.
Saket Kapoor: What is then the key raw material for running that is the fuel only I think so that is needed. So, for that we have long-term.
G.Shivakumar: No. In a voyage charter, fuel is the largest cost, but that's only for vessels which are on voyage charter, which is a very small proportion of our fleet. The rest of the vessels typic

ally are on
contracts, in which we do not take the fuel cost on our account. So, our exposure to fuel price changes directly, direct exposure to fuel price changes is very minimal.
Saket Kapoor: So, lastly to conclude, the fixed cost component for running the entire fleet is what and what are the variable costs?
G. Shivakumar: So, the largest fixed cost component for running a ship is crew expenses, which works out to around $3,000 a day. So, that's the largest, $3,000 to $3,500 a day, that's the largest fixed cost expense.
Saket Kapoor: Others are all variables?
G. Shivakumar: Others are all smaller costs. So, you might have maintenance costs, which may, including lots of things, may work out to about $2,000. So, those are all much smaller costs. Again, in the context of the revenues, these are pretty small, and these are fixed costs and they do not change that much on a year-to-year basis.
Saket Kapoor: Thank you. Thank you, sir, for elaborating all the answers. I hope to join again. Thank you.
G. Shivakumar: Thank you.
Moderator: Thank you. We have text questions and the next text question comes from the line of Gaurav Jha. And the question is, what is GE shipping dividend policy and how is it, calculated?
Rahul Sheth: Yes. So, the dividend, when we consider the dividend, the dividend policy says that we will take into account whatever other capital requirements may be there for the business while calculating the amount of dividend that can be paid. So, when the board takes, has a discussion on how much dividend is to be paid, we also say how much would we like to retain for the modernizing of the fleet for the expansion of the fleet. So, that's how it is calculated.

Moderator: Thank you. Our next text question is from Surendra Yadav. And the question is, for Q1, what was the spot and time charter split for the three shipping segments, excluding gas? The Israel-Iran conflict in May-June led to jump in rates of Suezmax and LR2s. Was management able to lock in some contracts during the heightened spot rates?
G. Shivakumar: Yes. So, the spot exposure in crude tankers is 100%. Spot exposure for dry bulk is probably around 80% to 90%. And when I say spot exposure, that means contracts of less than six months and for product tankers is probably around 85%, sorry for product tankers is about 70% spot exposure. So, we did not lock in any contracts that spike happened for a very short period, and we did not lock in any contracts at the time. It was a very short period of spike.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Anjali Kumar – Head of Corporate Communications, for closing comments.
Anjali Kumar: Thank you everyone for joining in to our call today and for engaging with all your deep dive questions. The transcript of this call will be on our website and all of you are free to reach out to our IR team as well and we will be happy to have a meeting or a call with you. Thank you so much.
G. Shivakumar: Thank you, everyone.
Moderator: Thank you. On behalf of The Great Eastern Shipping, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2025

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Sub: Transcripts of Earnings call conducted on November 10 , 2025

Dear Sir/Madam,

Further to our letter s dated October 29 , 202 5 and November 10 , 202 5, please find
enclosed transcript s of the earnings call held on November 10, 2025.

We request you to take the same on record.
Thanking You,
Yours faithfully,
For The Great Eastern Shipping C ompany Limited

Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

"The Great Eastern Shipping Company Limited Q2 FY26
Earnings Conference Call ”

November 10 , 2025

M
ANAGEMENT : MR. G. SHIVAKUMAR – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER , THE GREAT EASTERN SHIPPING
COMPANY LIMITED
MR. RAHUL SHETH – GENERAL MANAGER , MANAGING
DIRECTOR ’S OFFICE , THE GREAT EASTERN SHIPPING
COMPANY LIMITED

The Great Eastern Shipping Company Limited
November 10, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Great Eastern Shipping Company Limited
Q2 FY26 Earnings Conference Call .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shiva kumar – Executive Director and CFO. Thank you and over to you, sir.

G Shivakumar: Thank you. Good Afternoon, Everyone and Welcome to the Results Presentation for Q2 & H1 FY26. Thank you for joining us.

Standard disclaimers apply.

I take it you have had a chance to go through our numbers. These are the highlights. We have a net profit of Rs.581 crores on a consolidated basis. Our NAV has moved up by about Rs. 60 rupees from the last quarter , and we have declared another interim dividend of Rs.7.20 paisa.

I would not go too much into the results themselves, but let us go to the “Normalized Highlights”:

So, our profit is more or less the same on a standalone basis as what it was in the previous quarter, that is Q1 FY26 ; it is significantly lower than in Q2 FY25, which is a corresponding quarter. Couple of impacts, significant profit on sale in the previous year and a drop in the capacity corresponding to the sale of those ships and that is one of the significant reasons for the profits coming down. Also, we have had slightly lower rates than we had in the corresponding quarter of last year.

The offshore business continues to contribute to profitability . The vessels are all fixed at very good levels . We have most of the vessels fixed. Four vessels continue to operate on short -term contracts and have also had a good run this year.

This is the movement in the standalone net asset value. In March '20, we were at Rs. 450 per ship , we are now up more than 2.5x over the last five and a half years .

And just to remind you where the change in the net asset value comes, it is not just a notional change in the market value of the vessels. There is a change in the market value, but the accretion stayed at the same level as a year ago. The cash profit contr ibution has been Rs.165 and while the fleet value has dropped; this drop in the fleet value is again partly due to some sale of vessels and partly due to drop in the value of tankers. So, we are more or less at the same level as we were a year ago.

A similar story for the consolidated. We have Rs. 200 crores of cash profit , of which Rs. 28 crores has been paid out, but we have had a drop in the fleet value.

We have most of our tankers operating in the spot market. Our LPG carriers are fully fixed and the dry bulk as well is operating mainly in the spot market.

Jack-up rigs have a lot of their days covered for the rest of the financial year and vessels are, as I mentioned, a lot of them are on long -term contracts.

We have $ 186 million effectively of debt. This is a repayment schedule for that. We can not prepay these because these are all the NCDs which have been floated and which are listed. So, we are not able to prepay them, but wherever loans could be prepaid, we have prepaid those because we do not want to have the negative carry of having debt.

Looking at the fleet profile, currently at 41 vessels ; however, we have committed for a crew of our 20-year-old tankers , one is a crew carrier Jag Lok and the other is the product tanker Jag Pooja, both of which will be delivered in this quarter.

We have also purchased our first Ultramax bulk carrier which will be delivered by Q4 FY26. So, with th ese, the commitments, we will be at 40 vessels. There is no change in the offshore fleet.

Coming to the “Shipping Markets” :

Markets have been somewhat similar. So, Suezmax have been slightl

y higher, and this is I am talking about the market averages. Suezmax have been slightly higher than they were in the previous year, while product tankers , MRs have been significantly lower. We saw very strong Q1 in FY25, which then tapered off towards the end of the first half. So , the levels have remained about the same since this time last year. So, you can see this line, which is the yellow line and then the red line after that ; it is in a very narrow range around the $20,000 mark.

I will not go into all of these details, but basically the big factor in influencing the crude tanker flows is the OPEC unwinding of the OPEC production cuts and that has resulted in demand for crude tankers , because there is more commodity coming into the market. Along with that, we also have some new Brazilian supply coming into the market. So, these resulted in significant demand increase for crude tankers.

Also, on the consumption side, China has been doing stock building and adding to their oil inventories, while the fleet did not grow compared to the previous year.

Product tankers, product trade also has been growing and there has been strong drill cracks in the Western markets, which have been supporting some of the flows.

There has been a lot of disruption to Russian supplies of products because of refinery outages caused by drone attacks. So, that market has been facing some uncertainty and some substitution has been

happening of Russian supply.
Asset prices have been stable for crude tankers. MR product tankers have been up slightly. They had gone down quite a lot between July-September last year and June this year and now they have started recovering a little bit.
The order book has been picking up. So, we now have a crude order book of about 13% while the product tanker order book is at 18%.
In recent times, we have seen sanctions on Rosneft and Lukoil, the two largest Russian oil producers and exporters and it is already starting to have some impact. So, we have seen a flurry of fixings out of US and out of South America to possibly meet the shortfall which can be caused by this.
We have also had a lot of ships getting sanctioned. So, we have between 10% and 15% of the tanker fleet currently under sanctions. So, some of those vessels are having some difficulty trading.
So, the current crude tanker market has shown significant tightening, especially for the VLCC and Suezmax sectors.
Dry bulk were more or less the same as last year, slightly lower, but not too different and let us look at those reasons. While they were slightly lower than the previous year, they were better than they were in the first half of calendar ' 25.
Iron ore trade has been growing. While coal dropped in Q1, it has been recovering , Chinese production declined marginally. The highlight really was the grain trade and this is a tariff impact. China ramped up its soybean exports from South America in advance of the grain season from the US because of fear of the tariffs continuing on US trade into China , and therefore, we had some front - ended grain trade which normally does not happen, and that helped the Panamax , Kamsarm ax market mainly. Both side of cours e, trade is strong , China's import appetite stays very strong. So, that was up 14 % year-on-year. Bulker asset prices are also firmer during the quarter. The order book still is at around 10% to 11 %, not a very high number.
Looking at LPG, this is another commodity that was potentially affected by worries on counter tariffs by China , because there was a 10 % tariff on LPG from the US , and therefore, the trade got a little disrupted. So, US LPG had to find other buyers , while the Chinese had to import from elsewhere,

mainly from the Middle East. This made the trade a little bit less efficient which

saw rates spiking a
little bit , again, not to the highs we have seen in the past , which is about 100,000 but going at least about $60,000 a day on occasion. Now, this is reversing. We are seeing potentially that there could be more cargoes going to China.
The order book stays very elevated at 29%, while asset prices were corrected marginally , this is from very, very high levels.
Looking at “Fleet Supply”:
I have already mentioned what the order book is. So, we have 29% for LPG, we have 18 % for products, 13 % for crude tankers and under 11% for dry bulk.
Scrapping again, as one would expect with such strong markets, scrapping is extremely low.
Looking at “Asset Price Movements”:
Both sectors of tankers have seen an uptick. Bulk carriers also have seen an uptick in the last few months , while LPG is more or less where it was maybe marginally down , but again, you do not get too many transactions here for assessing them .
Looking at “Great Ship”:
This is the picture which has been in place for many, many years. This is a global supply of rigs and OSVs. There are many old rigs and offshore vessels which are in the fleet which we expect will need to be removed from the fleet sometime. Against that, there is very little on order and you can see we are looking at about 2.5% order book -to-fleet ratio.
Coming to the “Repricings of the V essels, ” we have the green bar which is the vessels to be repriced in the second half of FY26. Of these , four are the most capable vessels, these are the large anchor handlers and the two MPSSVs which we have consciously operated on short -term contracts internationally to maximize their revenues , while the other vessels which are more India-suitable , are fixed into longer -term charters in India. So, these vessels will have to be repriced every few months. So, that is four of them and we have one of our PSVs coming off contract in this period as well.
We have three of our rigs working currently. The fourth rig is going to go into a short -term contract. It is just being mobilized for a short -term contract off the coast of India, that should hopefully go on higher by end of November. That is a seven -month contract. However, one of the rigs which is working is on a four -month contract which ends in February, so, we will need to reprice, find a work for that rig. Again, we have another rig coming up in H1 FY27 and we have a third rig coming up in

H2 FY27 which is around January 2027. Apart from that, we have some vessels coming off from time-to-time.

Coming to "Financials" and you have seen this, we are currently net cash of about $550 million. On a share price to consolidated NAV, we are at about 0.73. Thank you. That brings me to the end of the presentation and we are happy to take questions.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and -answer session. We will take our first question from the line of Krishna raj V from A gathi s Investments.

Krishnaraj V : Hi Shiv, thank you for taking my question. My question is not for the current quarter results but largely on financing. I wanted to better understand the benefits of converting the INR debentures into synthetic fixed rate USD loans. The reason I was drawn to this analysis was that broadly we know that the INR debentures are fixed costing around 8.5% and the synthetic USD loans come at, I reckon, around 6%. But if I take the amortized cost of rupee depreciation on the principa l until now, the Rs.300 crores t hat you were carrying till the end of March '25 and about 3.4% depreciation of the rupee for this fiscal , it adds to about 3.8% to 4% with still about four years to go. And then there is an increase in the rupee equivalent of the interest expense which is about 25% or about 1.5% on the 6% at the midpoint of this typically 10- year term. So, all

in all, it appears to me that this synthetic conversion gives you an finance cost of about 11.3 % to 11.5% versus 8.5% if you had just left it without doing the conver sions and of course there were bank charges. So, I just want to understand how you think about this and what are the benefits you get ?

G Shivakumar: Yes, so a couple of things and thanks for that question, i t is an interesting one. So, a couple of things ; one is fundamentally we are trying to create a match between our currency of our assets and inflows and the liabilities. So , we are trying to create a dollar liability which offsets the dollar assets which are on our balance sheet , our ships are dollar assets, which earn dollar revenues. So, one is we are trying to match that. So, our fundamental position is that we want to borrow dollars rather than rupees because we do not want that currency mismatch , we try not to take that view. But coming to the specific case of our current debentures that we have, so you are right about the approximate Indian rupee coupon, it is about 8.5%. The issue is with the swap rate for the dollars. We do these debentures when we can get a better rate by doing these synthetic structures to get the dollar debt than by doing straight dollar debt. So, effectively, our fixed rate in dollars on these is less than 4% ... it is about 3.5%. So, if we look at it and the standard depreciation over a long period of time is approximately 3% of rupee versus dollar. So, we have got a 5% spread in the interest cost and where you could lose 3% due to depreciation, so you are better off by 2%. However, it is not our objective to save interest cost. We are not taking a view on whether the rupee is going to depreciate faster than 3% or slower than 3%. We are just doing it as part of managing our risk because we have dollar inflows and dollar assets and we are funding the dollar assets with a dollar liability.

Krishnaraj V: Got it. So, essentially, if the spread is very attractive enough, that is when you go for these structures , otherwise, you do not , that is my key takeaway.

G Shivakumar: No, sorry, I did not mean to put that. It so happened that the spread was very attractive. However, when we compare the NCD, it is our intention to swap into dollars.

Krishnaraj V: Got it.

G Shivakumar: And the only comparison that we do is, if I do a straight dollar loan, I get effectively benchmark, whatever LIBOR, SOFR plus some spread in a dollar loan. Can I get below that cost by doing an NCD and swapping it into dollars? That is all we are looking a t, not whether it is better to keep it in rupees or swap into dollars.

Krishnaraj V: Okay. Principally, I understand that. I mean, of course, I do recall a similar exercise that you had done just after the GFC when I think you had about 2,500-odd and then I know the hedging loss reserves were sitting at about Rs. 1,000 crores in FY16. So, that makes me wonder whether the benefits are worth the expenses a nd obviously, it is a principa l call. But as we sit right now, versus an Indian debt, just as an academic exercise, are we better off or worse off?

G Shivakumar: We are better off by about 2%. So, what happens is, if we take the first point and the first principle that we will borrow in dollars, we will always have some MTM loss sitting in our books, because if based on a regular depreciation of the rupee, because that has to come into the P&L in any case when it depreciates . You do not have a corresponding revaluation of the asset of the ship that you purchased. And that is why we do this normalized results slide, because we are trying to strip out that saying that that is not something that you need to take into account.

Krishnaraj V: Okay, got it. Okay, sure. Thanks. I mean, every time I want to feel excited that the rupee is depreciated, I have to hold it back be

cause of this , but anyway, go ahead. Ye s, thank you.

G Shivakumar: We are a net dollar long company, because our debt will always be significantly lower than the value of the assets and the dollar balance is put together. So, in fact, Rs. 30 of our last quarter improvement in any way has come from the depreciation of the rupee.

Krishnaraj V: Yes, I saw that. Sure. Thank you. Thank you so much. Thanks a lot. That is all I have here. Thank you.

Moderator: We will take our next question from the line of Harsh C, an individual investor. Please go ahead.
Harsh C: Shiv, can you go to the slide on normalized financials?

G Shivakumar: Yes, sure.
Harsh C: Are there some changes in –
G Shivakumar: No, no, I think there was an error in the titles of the columns.
Harsh C: Because some of the consolidated figures were some like around Rs.2,700 crores , so, I just wanted to understand -
G Shivakumar: Sorry, it is Rs.2,700 crores, right? For H1?
Harsh C: No, for Q2 in the filing, it is mentioned as -
G Shivakumar: No, that is fine. So, the columns got interchanged. So, you will see that the Q2 was showing a higher number than H1, because the column heads were interchanged.
Harsh C: Oh, okay, okay. And just one thing on the NAV slide, I just wanted to understand, given the asset prices have largely remained same, why do we see a decrease in the fleet value?
G Shivakumar: You will see a decrease in fleet value when we sell ships. So, when that goes from the ship into profit - on-sale, then you will see a decrease in the fleet value. Are you referring to where the bridge that we did for the NAV?
Harsh C: Yes, yes, that one, because largely from the last quarter, the prices have remained same or in fact improved, but we see a decrease in the fleet value.
G Shivakumar: No, this is not from the last quarter ; this is from a year ago , this is from September.
Harsh C: So, it is like the entire year's changes.
G Shivakumar: That is correct. And July, September ' 24 was when product anchor prices were pretty high, and it came off a lot by June this year.
Harsh C: Understood. And also, there would be some amount of natural decrease because of the aging of fleet.
G Shivakumar: That is correct. Yes, absolutely right.
Harsh C: Understood. Ye s, thanks. Thanks a lot.

G Shivakumar: So, in this quarter, actually, we have had an improvement of Rs. 60 or so in the NAV, where the fleet value is more or less the same, very marginal difference. But the Rs. 60 rupees is broken up into Rs. 30 approximately of cash earnings and Rs. 30 of rupee depreciation impact.
Harsh C: Understood, understood. Okay, okay. Thanks a lot.
G Shivakumar: Thank you.
Moderator: We will take our next question from the line of Amit Khetan from Laburnum Capital. Please go ahead.
Amit Khetan: Thank you for taking my question. So, I had a couple of questions on capital allocation. So, if I look at, we have some Rs. 7,000 crores in net cash and even at the current rate of paying dividends, we are accruing at something like Rs. 2,000 crores per annum, right , and add to that, we have like significant debt capacity a nd one could argue that some moderate level of debt is even good for the business. Now, if I look at our cash flow statement, we have deployed some Rs. 5,500 crores over the last decade on a net basis , and this includes the period of 2016 to ' 18, when we were quite active in buying vessels, right ? So, my question is, first, how confident are we that we can deploy this scale of capital when markets are weak? And second, is there a limit to this cash accumulation , because where we take a call that we have more than sufficient capital to which we can intelligently deploy, and therefore, it makes sense to largely dividend it out. Would love to get

your thoughts on how the
management and the board thinks about this ?
G Shivakumar: Yes, thanks, Amit. I have got Rahul here with me and he will take that question.
Rahul Sheth: So, that is a good question that you have posed. And as you can imagine, we do our own internal assessment of that. So, of course, our fleet has aged over this period of time considering we have not significantly invested in new ships. Of course, we continue to follow a switch strategy, which we did ment ion in the past that we would not like to ideally drop below this 40- odd ships , and therefore, in this quarter, we have actually bought a few ships, sold some of the older ships, and that does t ake in a certain amount of capital. Looking in the future, let us say, even if the markets do not come off for some time, we will still continue to do the switch strategy. Of course, every time we continue or we evaluate such a deal, we do look at how the spreads work. The spread meaning selling an older ship and buying a newer ship and whether it makes sense or not. But assuming it does, we have got ships aging in the next couple calendar years, and that will take in a certain amount of capital. The second , but a large part of the capital, like you mentioned, is being kept aside as of now for more favorable prices. And we have done historical calculations and assessments of how liquid the shipping market is in both the second hand as well as in new building. Of course, in 2016 -18, the business was smaller, the last few years have been very profitable , and therefore, the amount of cash we have, the amount of debt we can raise has significantly increased , so the potential CAPEX we can do in the future has

also increased. In 2016- 18, we solely focused on the second hand market. But in the new building market, you can absorb a significant amount of money. So, just to give you an example, today, if you build a Suezmax tanker, right, it costs about $80 million to build. So, if you place an order for two, three or four of those, it will absorb a significant amount of money. Now, do the yards have that kind of capability? They easily do. We have seen companies much larger than ourselves, being able to deploy much larger amounts of capital. So, we do keep this in mind. And as long as we believe that we can invest this intelligently in the future, we believe that it is worth holding on to the cash.

Amit Khetan: Fair enough. I know you have talked about this in the past where we have looked at the container segment . Has there been any progress there in terms of new segments that we are looking at?

Rahul Sheth: : So, in the container segment, we do watch it closely. We do not cover it here because of course, we are not invested in it, b ut I can just give you a very brief overview. So, our decision to hold back on the sector as of now has been all right. So, there are two things. The nature of the container business is different from the tanker business, because in the tanker business or the dry bulk or LPG business, we deal directly with the end customer. So, for example, an ExxonMobil, Reliance, Chevr on, companies like that. In the lining business, what we would do is, ideally, we would be a tonnage provider. So, we would buy a container ship, we would give it to the likes of Maersk, and Maersk has the responsibility to fill up the ship with container boxes, which means Maersk charges a box rate, right, per box to the end customer. So, there is an in -between layout. Now, the box rates have significantly come off over the last few years. As you may be aware, the container market had probably a once in a lifetime kind of boom over the last few years. But those rates have come off significantly. The order books are very strong in the container space. And it is very difficult to call these markets and know when all these things will h

appen. But we do expect that there can be a correction in the freight rates that a tonnage provider could earn in the future, along with the asset values of those ships. And if we get those opportunities, we would seriously look at the container space as well. Also, just for your knowledge, ships in the container business does absorb a lot of capital.

Amit Khetan: Got it. Got it. Just a last follow-up to the capital allocation. Now, when the markets turn weak, given that we would be looking at multiple vessels at the same time, and each transaction, my guess is, takes a few months to close, do we have the team in place to sort of for an increased level of activity should that happen?

Rahul Sheth: : Yes. So, again, that is a very good question to ask. Of course, we have also again done an assessment to know that when we do need to act quick, do we have the capability to act quick, both in evaluation and being able to take over a significant number of ships. So, again, to draw to your example of 2016-18, at that time, we were about 30 ships, and we scaled up to 50 ships. And we have our own internal discipline of the amount of leverage we needed to take. At that point in time, we were capp ed out on

what we believed would be the investable surplus that we wish to deploy that time. But had it been that we had more money available, we could have executed more; we could have gone up to 55, 60, that is a bit of speculation, b ut I am quite confident we could have executed it from an operational angle and that is a doubling of the size. Right? So, now today, of course, we are starting off on a bigger base a nd therefore, if we a re unable to execute that, then after waiting for so long, that would be unforgiva ble. So, clearly, we keep that in mind, and we have prepared ourselves for that eventuality.

Amit Khetan: Got it. So, we have the bandwidth for that?

Rahul Sheth: : Yes, of course.

Amit Khetan: Yes, yes. Okay, perfect. Thank you.

Rahul Sheth: : All right. Thank you.

Moderator: Next question is from the line of Rajakumar Vaidyanathan from RK Invest. Please go ahead.

Rajakumar Vaidyanathan: Yes, good evening. Thanks for the opportunity. So, my question is to Shiv. On the FX line item , sorry for a long question, so I see that the FX line item is appearing under three line items in P&L. There is an Item E and F and then there is also one on the other comprehensive income line where you are showing a gain of Rs. 54 crores to be reclassified to P&L at a later stage. So , I would like to know what are the major buckets sitting in each of these categories? Because first one you said you are repricing the loan, but that will not show up on the asset side because of the gap reasons , so the asset repricing is sitting off balance sheet , so you will only show the loss in P&L , that part I understood. So, Rs.59 crores that you are showing is that that is what you are referring to the loss?

G Shivakumar: You are referring to standalone results, right?

Rajakumar Vaidyanathan: No, I am looking at the consol.

G Shivakumar: There are three. First is 4E. That is change in fair value or settlement of derivative contracts. That is a loss in this case , the derivative which converts our rupee debt to dollar debt because the rupee has depreciated has now gone, is now worse , the MTM is worse. Okay? T he second one, which is 'F ' is the revaluation of our cash balances. Our dollar cash balances are significant. So, those are the two items.

Rajakumar Vaidyanathan: The third one ? I am looking at 8C, items that will be reclassified to P&L.

G Shivakumar: Yes, this is, I think referring to our investment in the overseas subsidiaries, where that investment has get revalued , because you have invested in dollars, right ,

you have capital in certain dollars and that has got revalued.

Rajakumar Vaidyanathan: But this has got nothing to do with your cash flow hedges. This is not, I thought the MTM.

G Shivakumar: No. That is nothing to do with the cash flow hedges, because that gets classified to P&L immediately.

Rajakumar Vaidyanathan: Okay. But how about the future hedges , I mean, the one, the contracts that you are not fulfilling, for which you are taking a forward ?

G Shivakumar: When you are talking about cash flow hedges, you are talking about general dollar sales?

Rajakumar Vaidyanathan: Based on your future, you could have sold your –

G Shivakumar: No, no, no, that is not there at all. So, we do very little of dollar sales forward.

Rajakumar Vaidyanathan: Okay, okay. Shiv, sorry to labor on the same point. The reason for this question is in one of the, I think, previous calls when we saw the rupee depreciation, you mentioned that do not expect to see a positive impact on the P&L because of the loan repricing. So, net-net, we will be losing on the P&L, but factually we will be gaining, but from a P&L standpoint, we will be losing. That is what you mentioned in one of the calls.

G Shivakumar: No, that is absolutely correct. The reason why depreciation is a positive for a P&L currently is because we have more dollar current assets, which is mainly cash than dollar liabilities, which is the loans. So, we have $180 million of loans and close to $400 million of cash. And that is why on a net basis, we are benefiting on $200 million. That is not a normal situation. Under the normal circumstances, we would have $700 or $800 million of debt. And this would have been the case four years ag o, you would have had $700 million of dollar debt, and maybe $300 million or $200 million of cash, which meant that if there was a depreciation, you would have had a negative impact on the P&L, which is also the comment that when we explained the normalized.

Rajakumar Vaidyanathan: Okay, got it. So, what ever the statement you mentioned earlier, it holds good, just subject to the cash holdings.

G Shivakumar: That is correct.

Rajakumar Vaidyanathan: Got it, Shiv. Thanks for the clarification. So, the second question is, there has been an uptick on the VLCC, crude carriers of late. So, I just want to give any color, is there a talk about floating storage

back in Vogue , and is that what is driving the prices , and what is the current scenario , and also any color on the future as well?

Rahul Sheth: So, right now, the economics are not floating storage. You need to have a steep contango especially at these V LCC rates. W hen markets go up, you can put some reasons, of course, the extent to which it has rallied. Whenever market goes up, you can not pinpoint A , B, C reason and say exactly this is why the market should be exactly at this level. Of course, it currently seems to be at a very strong level. But we did see that there were a lot of sanctions to Russian refineries and oil producers , and there has been a bit of a scramble for cargoes. A nd as Shiv mentioned it earlier in the presentation, when you go for these Atlantic basin crudes, places like Brazil, Guyana, or even from the Middle East, because the Middle East has unwound some of their OPEC cuts, which they had. So, the extra crude that countries like China and India would need to replace the Russian barrels would come from these nations. And in these nations, generally, they pick them up on VLCCs , while main Russian exports have been on Aframax and Suez max. So, there has been a bit of a switch. Of course, the scramble for cargoes, along with extra sanctioning to not only the Russian crude producers, but also there have been additional sanctions on a bunch of vessels that have carried Russian cargoes, which has reduced some of the sup

ply from the market, led to people wanting more, needing ships from the international trading fleet , and so we saw a rebound in the rate, along with the fact that China has also been stocking up and that also added to the demand for ships.

Rajakumar Vaidyanathan: So, how much of that benefit has come to us , because I think we do not own any VLCCs, right?

Rahul Sheth: : No, we do not. But we own the Suezmax s and Aframax s and they have also strengthened. Of course, the VLCC saw a big jump. We do not have that. But all our crude tankers are in the spot market. So,

to the extent that Suezmax s and Aframaxs are strengthened, we get all the benefits.
Rajakumar Vaidyanathan: Okay. And do you expect this benefit to last for at least a couple of quarters, if not more?
Rahul Sheth: : We do not make a forecast on the rates because genuinely, you do not know which factors will come to either pull up the market or pull down the market , so we will refrain from that.
Rajakumar Vaidyanathan: Oh, okay. Ye s. The last question is on the rig part. So, in the previous call, you mentioned that there
will be a lumpy expenditure whenever the rigs go for a contract. So, I just want to know, have you taken any hit in this quarter or the hit will come in the coming quarter , because you mentioned a couple of your rigs are going to go for work in the Q3?
Rahul Sheth: : It will mainly come in the coming two quarters.
Rajakumar Vaidyanathan: Okay. So, there will be a hit in the bottom line or the bottom line will be taken care of?

Rahul Sheth: : Yes, there will be an extra amount of expenses to prepare the rigs for the new contract.
Rajakumar Vaidyanathan: No, my question is incrementally w e gain or you will not see that benefit in Q3, Q4?
G Shivakumar: Yes. So, the initial period of any contract tends to be loaded with these expenditures a nd then later on, it gets sort of free because it is only OPEX then . So, we would not expect too much contribution from the rigs in this period .
Rajakumar Vaidyanathan: Shiv, the last question, so on the forecast, you have mentioned for the rigs, the visibility is only 75%
for Q3 , in Q2 also you mentioned the same 75%. So, I mean, given that you already have a visibility of these rigs going into contract, why we have not changed the percentage?
G Shivakumar: That will be because those rigs will be off higher for some time preparing for those contracts. So, we do not count the off higher time as part of the coverage.
Rajakumar Vaidyanathan: Okay. Got it. Thank you so much.
G Shivakumar: Yes. Thank you.
Moderator: We will take our next question from Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.
Kirtan Mehta: Thank you so much for the opportunity. One question in terms of sort of some of the rates have been a bit tighter than and persistent through the tightness. You have mentioned that some of the contracts will keep on either a short -term contract or a new short contract to sort of continue to maximize the earnings from this tightness. So, could you sort of summarize at the portfolio level how much of short -term -?
G Shivakumar: Sorry, the line is really unclear. We are not able to get your question. You could maybe put it up in the text.
Kirtan Mehta: Sure. I will do that. Thank you.
Moderator: We will take our next question from Karan B hatelia from MAIQ Capital. Please go ahead.
Karan Bhatelia: Hi, sir. Good evening. Congratulations for the re sult. I am sorry I joined late, sir, if I am just repeating the question. Just going through an article regarding US -China trade, so I have been seeing that there has been a massive drop in the containers as well. So, how does it affect our -

G Shivakumar: The line is gone … So, just on a very rough thing, the container

s, of course, since we are not there, it
does not affect us. The only two commodities which are really affected by the US -China trade war are grains and LPG. So , those are the only two commodities. We are not affected by what happens on the container front.
Karan Bhatelia: I get it, sir, but just to understand, basically those containers are being transported via maybe a Kamsar max or whatever some sort of –
G Shivakumar: Those container ships are different from all our ships. We do not have any container ships.
Karan Bhatelia: Okay, sir, got it. Thank you.
Moderator: We have one text question. I will just read it out. So, this is from Himanshu Padhyay. The asset prices have increased in the last few months despite the charter rates not improving that much on product and dry bulk carriers. Can you tell what is happening and why asset prices have moved up?
Rahul Sheth: That is a good observation. So, on crude, the charter rates have moved up, but on dry bulk also, I would say the charter rates have moved up in the last couple of months. Shiv mentioned that there has been some forward buying. So, you can see some link between the asset prices and dry bulk. Of course, if you try to draw exact relationships just to oversimplify it, rates have moved up 10%, asset value should move up exactly by 10% , that never happens in any market. But let us say the broad direction has been upward for both. There is some positive expectation on dry bulk, mainly on the cape-sized vessels, where we see the asset prices holding up much stronger than the sub -capes, mainly because there are many more mines coming up in West Africa, both for iron ore and bauxite.
On product tankers, yes, I agree that we have seen the prices strengthen a bit despite the charter rates not moving up as much. There is a bit of a de -link over there. But eventually, it is dependent on

people's ability to procure vessels in the second-han d market. And the last few transactions set the price. But I am not forecasting it very much, maybe possible that maybe starting of next year, maybe some of that extra increase in the price comes off if the charter rates do not improve.
Moderator: What is the current outlook on dry bulk market with respect to coal and iron ore? Has the market picked up in the rates?
Rahul Sheth: So, again, I am not going in getting into a forecast of the market, but I can just tell you roughly where we are today. The coal market has been a bit weak. But firstly, dry bulk rates move as a totality of all the dry bulk commodities. You have only focused on coal and iron ore. Iron ore, while there are months where it is strong and months where it is weak, overall coal and iron ore trade has been a bit weak. In iron ore, if you see the major demand area is China, you are maybe reading in the news that the amount the government wants to spend on infrastructure is a bit topped out. We are also seeing the real estate market facing a lot of issues. Iron ore is also consumed in export markets. So, when

China is producing a variety of goods that are sold to America, Europe and other kind of countries, there is a consumption of steel and therefore consumption of iron ore. All of the steel production in China has been down this year, even in the last couple of years by a few percentage points each year. However, the iron ore production in China sometimes remains weak, mainly because the iron content in that iron ore is on the lower side. Because iron ore prices today are roughly on the lower side, sometimes steel mills find it more economical to import higher iron content from countries like Australia and Brazil instead of using domestic ore. And then it is on the margin of whether they import a little bit more or import a little bit less. And that is kind of at least somewhat holding up the iron ore imports. Coal has been on the weake

r side. We are seeing power generation increase in both India and Europe, at maybe just or 2-3 %, and renewable energy growth has been strong, hydropower production has been decent. And because of that, coal imports have been a bit weak. But we are seeing minor bulks, mainly driven by bauxite, fertilizer, other agricultural products holding up very well. And that is why we are seeing the strength in this dry bulk market, despite the main two commodities actually being on the weaker side. I hope that answered your question.
Moderator: Let us take one live question and then we will go on. We have a question from Harsh C, an individual investor. Please go ahead.
Harsh C: Shiv, I am just looking at the standalone cash flow statement and there is some Rs. 425 crores of loan to subsidiaries. So, I believe this is to GIL, correct?
G Shivakumar: That is correct.
Harsh C: And this is the sum total of all the payment, like all the debt has been retired from GIL or -
G Shivakumar: That is correct. So, there is no other debt now in the group apart from the Great Eastern d ebt itself, apart from RM.
Harsh C: Understood. And I am just looking at the financing activity as well , I mean, just comparing from the last H1, there was some Rs. 282 crores of dividend and this year it has come down to almost Rs. 180, so, any reason for that given that we are better off compared to last year from a cash availability point of view, the reason for this reduction in dividends?
Rahul Sheth: This might be that we did something as a final instead of an interim. So, there was just a timing difference because last year we made a total of Rs. 424 crores. It cannot be all, but we will just see this.
Harsh C: Okay, but like as a principle, ideally it should match or in fact improve, right?
G Shivakumar: No, the profits are not higher than in the previous year. H1 was lower than the previous year.

Harsh C: Understood. But what is the management's thought process while declaring the dividends the current quarter of profitability primarily?
G Shivakumar: One is to look at the current quarter of profitability, so , current quarter six months. In this case, because it is a quarterly dividend, current quarter of profitability. Ye s, that is what we are looking at usually and whatever requirements are there. So, then you decide a rate depending on how much we want to retain.
Harsh C: Understood.
Moderator: We have a question from Krishnaraj V from Agathis Investments. Please go ahead.
Krishnaraj V: Yes, I thought I will just educate myself with another question. When I look at your business, it seems to me that for the classes of ship that you trade in, the supply side is more foreseeable than the demand side because you know the order book and the scrapping, etc. , So, that is the case. One does see that scrapping has not been intense at all, although the order book as a percentage of supply keeps growing. So, it appears to me that the market has to crack to give you some opportunities , the scrapping has to intensify. I do not know if my line of thinking is correct and if you can throw some insights around at least? Thank you.
Rahul Sheth: So, firstly, in the order book, what you are saying is broadly correct. So, let us take today's position,

right? The market has been fairly strong. You have to just remember one thing that when you look at yard capacity, yards have the ability to build ships in our sectors but also in other sectors. As of today, and if you just take, maybe Cal 2026, '27, '28, most of the yards are full with LNG and container ship orders. Those ships are generally more profitable than building tankers and bulker s and considering that those markets were very strong, people went and placed orders and filled up all the slots. Had those slots not been filled, then ship yards could build ships much f

aster and they would
have had space for us to order tankers and bulke rs. Considering that today you know that the yards are generally full, they are only taking orders for end '28, Cal '29, and therefore, we do broadly know what the fleet supply is going to be over the next three years. But to build a ship, let us say, this is just for your general knowledge, but let us say LNG and container ship orders had not filled up all these yard slots, then it generally takes about 12- 18 months to build a ship, which means that people could have gone and placed orders and you would ha ve seen ships coming in Cal 2027 and then the lead time to increase the order book is much shorter. But in today's situation, at least you know what it is going to look like for the next three years. Now, scrapping is a more complicated forecas t.
Generally , we have seen periods in the past where markets have been weak but owners have held on to their ships, either because they are still able to trade them or their balance sheets are strong enough for them to hold it on a bit more. So, sometimes we have seen scrapping ages reduce, sometimes we see scrapping ages hold on. So, that is a bit of a guess. What was your last question I think you asked?

Krishnaraj V: My question was that, I think you have answered most of it. I just want to educate myself , I mean, there is nothing specific. I think from what I am hearing from you is that order book, more or less, yards are full. So, fleet supply, not many ships are going to be coming into the water. What can happen is that there are a lot of ships that are older, especially, other than the product, the product is quite old. So, scrapping can intensify and if scrapping intensifies, then there can be supply-related spikes in the charter rates and so forth, that I was trying to just understand that ?
Rahul Sheth: Yes, th is can happen. But if let us just only because you are asking it as a general question, let us say if the market is very poor and a lot of ships got scrapped and let us say the market prices, the charter rates increase as a result of that scrapping, then own ers, as long as charters are willing to take those ships, may hold back on further scrapping. Because what happens is for the ship owner is if the debt is paid off and the ship is fairly old and as long as they can make up the operating costs, generally the tendency is to continue to run those ships. And if you are in a world where fleet supply that is
coming online is not very strong, maybe charters release some of the age norms that they have for those kind of ships. It is all a matter of supply demand because you have to move the cargo eventually.
Krishnaraj V: Got it. You do not see any regulatory changes in the horizon that would accelerate scrapping?
Rahul Sheth: So, as of today, generally internationally traded tankers do not really cross the age of 20, 21. There is, of course, a market for ships above 21, but, it is very far in few. So, and maybe the carbon -related regulations that are coming up are multiple years away. We see some delays from IMO as well. So, we do not even know when those are coming in. So, in the near future, I would not think of any
regulations coming in to accelerate scrapping.
Krishnaraj V: Got it. Ye s, thanks a lot.
Moderator: Thank you. Sir, would you like to take the t ext question? will just do that. So, the first set is from Kirtan Mehta. Three questions, how much percentage of our fleet is geared to capture persistent higher rate either through spot or short -term contract exposure?
Rahul Sheth: So, broadly, we maintain most of our fleet on the spot market. The LPG fleet is generally fixed out.
We have four of those ships out of our 40, so we will call that 10%. Out of the remaining ships, 36, maybe three, four at any given point in time are on time charter. W e have no fixed r

ule of fixing any
ships on a time charter. So, we are always willing to be in a position to take advantage of the spot market. The second question ?
G Shivakumar: (Reading question from Kirtan Mehta) We are seeing continued strength in diesel crack and recent rise in gasoline crack. Will these likely to ease over November as refineries return?

Rahul Sheth: That is a tough one. It will be very difficult for us to speculate on how these cracks are going to change.
Moderator: The next question is from Ojas Singh. With the government Sagar Mala project program aiming to boost coastal shipping, how is Great Eastern positioned to benefit from these initiatives - are we actively taking advantage of the opportunities arising from Sagar Mala to expand our business or improve efficiency?
G Shivakumar: So, we have always participated in the coastal trade and we have been participants in the coastal trade for a long time , and we will continue to participate whenever there are opportunities for us to deploy

our ships here.
Moderator: Next question is from Snigdha Tibrewala. The investor presentation says that the NAV per share is 1,484. Is the NAV calculated as the equity shareholders' funds in the balance sheet or any other method?
G Shivakumar: So, the way we calculate net asset value is that we just replace the net block of the fleet with a market value of the fleet and then we calculate what is left over as the shareholders' funds. So, if the net block is say Rs. 8,100 crores, which let us call it $900 million, but a fleet is valued at $ 1.6 billion, which is say let us say Rs. 13,000 to 14,000 crores, then we replace it with that number , and then we calculate the net asset value minus the net debt and divided by number of shares gives the net asset value per share. So, this is basically shareholders' funds, but with the ships mark- to-market.
(Reading question from Rajakumar Vaidyanathan) And the last of the text questions we see here, from Mr. Raj akumar Vaidyanathan. Many foreign vessels are converting their registration to India location. Our government recently has put an ambitious target for ship building and ship repair. Your comments. Lastly, my humble pranams to Shri K.M. Sheth ji for an illustrious career. May the God bless him, good health and peace.
G Shivakumar: Thank you for that. We will convey it to Mr. Sheth. So, yes, shipping seem to ha ve become very big in the government's consciousness. We are very happy about that and we are very happy with the development of a shipping ecosystem in India. So, we welcome all of these initiatives from the government.
Moderator: Thank you, sir. There are no further questions, sir. Any closing comments from you?
G Shivakumar: No, nothing, no closing comments. The transcript and the audio will be put up on our website shortly. We are always available to speak with investors. So, please reach out to our team, our contact details are given , so, please reach out to our team if you have any further questions. Thank you.
The Great Eastern Shipping Company Limited
November 10, 2025

Moderator: Thank you, members of the management team. On behalf of The Great Eastern Shipping, that concludes this conference. Thank you for joining us and you may now exit the meeting.

Call: Feb 2026

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Sub: Transcripts of Earnings call conducted on January 30 , 2026

Dear Sir/Madam,

Further to our letter s dated January 21 , 202 6 and January 30 , 202 6, please find enclosed transcript s of the earnings call held on January 30, 2026 .

We request you to take the same on record.
Thanking You,
Yours faithfully,
For The Great Eastern Shipping C ompany Limited

Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

 “The Great Eastern Shipping Company Limited
Q3 FY26 Earnings Conference Call”
January 30, 2026
MANAGEMENT : M R.G.SHIVAKUMAR –EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER ,THE GREAT EASTERN
SHIPPING COMPANY LIMITED
MR.RAHUL SHETH –GENERAL MANAGER ,MD’ S
OFFICE ,THE GREAT EASTERN SHIPPING COMPANY
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Great Eastern Shipping Company Limited Q3 FY '26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shivakumar – Executive Director and CFO. Thank you and over to you, sir.
G. Shivakumar: Thank you, Yashashri. Good afternoon, everyone, and welcome to the conference call to go through Great Eastern Shipping's results for the 3rd Quarter and for the 9 Months of FY '26.
I have with me Rahul Sheth. We will go through a presentation quickly first, and then we will be happy to take questions. I will run through the presentation quickly. I am sure you all would have seen it. It was uploaded yesterday, so that we can have a maximum time for Q&A.
You would have seen the financial highlights. We had a net profit of INR 813 crores on a consolidated basis, standalone INR 650 crores. The net asset value has gone up again, and this has mainly gone up because of the operating earnings.
There has been no significant change in values of ships between September end and December end. So, this is all operating cash flows, which have helped to improve the net asset value. And we have yet again declared a dividend. This is the 16th consecutive quarterly dividend that we are declaring.
I won't go too much into the P&L. You would have seen this. We can go through it later if you have any questions. On a normalized basis, it is not too different from the reported numbers. Just

to remind you, this is to take out the effect of the exchange rates and the derivatives that we do, and the derivatives are basically for converting our rupee debt into dollar debt, so that we match our debt and our assets.

Return ratios continue to be good. As I mentioned, NAV has gone up in the quarter, and it has gone up in the 9 and 12 months as well. This is the industry format. Basically, for shipping analysts, it helps to know what were the voyage expenses, and therefore what is the time charter equivalent rate. Because voyage expenses, or what are called direct operating expenses, are a pass-through. They are part of executing the voyage. We start our discussions from what is here, marked as A, which is time charter equivalent. So when we talk of $ per day, that is at this level, that is the time charter equivalent level.

Business overview, there are a lot of details here. Basically, the headline news is OPEC opened the taps again, which meant that there was more cargo to be carried around, more crude cargoes

to be carried around, and this was known before because they had a schedule which was laid out.

Apart from OPEC, which was a move which was known since the middle of last year, there was also South America, which produced a lot of oil. Guyana and Brazil produced about 1 million barrels a day more than in the same period last year. I am talking of Q3 FY '26 versus Q3 FY '25. This oil is not necessarily getting consumed. It is going into inventory. Some of it is in floating storage as well, while it looks for a buyer.

But the net effect is that markets were strong. Crude tanker markets were strong. Product tanker markets also recovered in the quarter from where they were the previous couple of quarters. Asset prices were about 5% up, but when you adjust for age, etc., it is not too different.

The order book currently has been creeping up as the markets continue to be strong, and ship prices have been strong as well. So, the order book for crude tankers is currently at about 17% for crude and 19% for product tankers.

Coming to dry bulk, again, this is a sector which saw some streng

th, especially in the Capesize sector. This sector has also continued to be strong in January. We had a small dip, and then it's picked up steam again, which is unusual because seasonally this is the worst quarter of the year, but markets have been reasonably strong for the last week or two.

Again, iron ore trade did see substantial growth in Q3, about 40 million more of imports into China. Again, there is a lot of it is going into inventory at ports in China. So, there seems to be some stocking up.

Also, grain trade grew in Q3, and so bulk carrier asset prices were marginally higher during the quarter. And the order book is at around 12.5%.

LPG spot earnings were strong. Trade volumes were down. However, ton miles helped a little bit because U.S. exports were going to Southeast Asia instead of going to China through the Panama Canal, which means more miles. So, as earnings were pretty strong, asset prices were flat, but at very high levels.

The order book continues to be very high at 29%. I have already spoken about the asset price movement. The order book also I have mentioned. Again, it is creeping up. It was very low in 2023-24 for the crude and product tanker sectors. It has now gone up significantly since then. Still at pretty low levels compared to what it has been in previous highs.

And just to compare the order book with the old fleet, you can see the orange bar is what we would define as the old fleet, which is 20+ for all categories except LPG, and LPG is 25+. So, in LPG, only 11% of the fleet is old, but the order book is 29%. In dry bulk and product tankers,

they are more or less even, the old fleet and the order book. In crude tankers, the order book is at 16% to 17%, while the old fleet is 24% of the fleet.

Scrapping has been very minimal for the last 10 years. So, we are talking of only about between 8% and 12% of the fleet getting scrapped in an entire 10-year period, which is very low. And that is a scrapping overhang which is there in the market, which is why you have such a high proportion of old fleet.

Coming to the jack-up market, this is the international market scenario. Markets are showing some recovery. Saudi Aramco has come back into the market. Two years ago, almost two years ago, they had off-hired about 24 or 25 jack-up rigs, or they had suspended contracts for those rigs. A lot of those are going back, are being called back by Saudi Aramco, and that again is starting to tighten the market a little bit. And this is a slide, of course, of how many old rigs are there in the market, old rigs and old vessels. And the order book is extremely low because very few assets have been ordered in the last 10 years.

For Greatship, because that is predominantly a time charter business, these are the repricings.

We have one rig which is on a short-term contract in India itself. As it stands, her contract gets over in end of February. So, we will need to find work for her. We are in discussions and bidding for contracts.
The second rig, which is also on a short-term contract, comes off contract sometime in May, June, and we will see what to do about the future business for her.
The vessels, there is only one which is up for pricing in this quarter, and there are four which are up for pricing in the next quarter. So, we have a lot of coverage for the vessels.
This is on the breakup on the revenue days and the TC wise. I won't go too much into it. The net asset value, the growth over the last 5 years, we have seen this going up with a CAGR of 20% plus on both a standalone and a consolidated basis.
And just to look at what happened between December '24 and December '25, you will see that the net asset value has actually gone up, even though we have paid out a dividend. You can see the fleet value reduction is INR 44 per share, and we paid out INR 28 per share in this period. However, the

NAV has gone up, and that is because of the green bar, which is a cash profit which has been produced.
I have mentioned in the past that the net asset value converts into cash, and that helps to cushion it from a fall in the asset prices. Similarly for the consolidated NAV as well. Again, the stock price to consolidated net asset value, we are trading at about a 25% to 30% discount currently.
Again, showing that, we focus on timing the market. Last time we levered up in FY '17, '18, and '19, from 0 net leverage, in the shipping business, we went up to $360 million of net leverage.

And we have been net cash ever since middle of FY '23, and now we are more than $500 million+ net cash.
I won't go through these details. These are the governance details and what we are doing on CSR and ESG. So, that brings me to the end of the presentation, and we are happy to take questions now.
Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from Deven Sangoi from Tej Investments. Please go ahead. Sorry, since there is no response, we will move on to the next question from Rahil Dasani from MAPL. Please go ahead.
Rahil Dasani: First of all, congratulations on a good set of numbers. My list of questions was more around our offshore vessel segment particularly. I wanted to understand if you can share more about the OSV charter rate cycle that we are in right now. The understanding that I am getting is that there is a demand-supply gap, and the shipbuilding is slow, as well as the age of vessels in use already is high, which is even deepening that gap. So, if you can explain, where are we in this cycle currently?
Rahul Sheth: I will have to just give you a bit of background to this space. So, if you look at the offshore vessel sector, there are a large number of ships. There are about 3,000-odd ships. There are 500-700 ships in what we call cold layup. So, they have not been operated for a long time because, as you know, the offshore space had gone through a downturn. These vessels, we don't count as part of the operational fleet because someone will have to spend a lot of money to get them back into operations. As of today, we have seen no movement on that.
When you remove those ships from the fleet supply, we then calculate what is the utilization of the industry. The utilization of the ships currently are at about 65%-66%. It is called marketed utilization. Now, while that, in an absolute terms, may seem a bit low, for our industry, that is actually quite good. It doesn't mean that ships are not being used, but what happens is that offshore vessels are generally fixed for long-term contracts, and therefore, between contracts, there is a gap, right? While business is being negotiated or vessels are in dry dock being serviced.
Also, in this business, there are many pockets of the market. So, unlike mainline shipping, the ships don't necessarily always move from one market to the other all the time because there is a cost of positioning. So, 65% is generally relatively healthy.
The highest we have ever seen, and this goes back before 2015, probably 2012-2014, when the markets were the strongest, this utilization number would have been closer to maybe 70-72, something like that, right? So, if you look at it from where we have been at the peak levels, that is actually relatively on the higher side.

Secondly, we have seen some small amount of ordering that has taken place in the last couple of years, but on an overall fleet, it is still very small. Technically, when you look at the order book, there is a published order book that has been, but it has been there for a very long period of time, and those ships have not really gotten delivered.
So, we assume that, sometimes what happens is, p

eople had ordered ships, but then the market
had turned. People probably could not afford to take delivery of those ships. So, they are lying there somewhere. Many of these are orders sitting in China. So, it is quite opaque to know what is happening to those ships, whether those ships really exist.

And as you can imagine, no ship-owners are really going to touch a ship probably lying half-built somewhere 5 years later, right? Again, you need to be very confident in the market to spend that money to take for delivery. So, even the order book is very, very low, and because the order book is very low and has been low for the last multiple years, even the fleet age has crept up over the period of time.

So, from a supply perspective, it is relatively constrained. We don't know what will happen on those 500-odd ships which are in cold storage. Like I said, they are unlikely to come back. Also, they will be relatively old. And as of now, the demand is holding, and so the utilization levels are quite strong, and that is reflected in the earnings.

Rahil Dasani: And if I were to just get more specific on this, post-'21, 2022, we saw charter rates doubling. Is that sort of growth still continuing, or has it slowed down, or even we are seeing a dip in growth somewhat in the charter rates?

Rahul Sheth: No. So, see, firstly, just to clarify on that growth, the charter rates were very low for a long period of time, right? Generally, you would have seen it in the results of Greatship.

Rahil Dasani: Yes.

Rahul Sheth: So, the doubling happens because the base was so low. Okay? Now, from these levels, it is not like as if these rates we can keep saying that, okay, they have doubled over five years, so they will double again and double again. That is not going to happen unless the numbers would be astronomical.

All I can tell you is that over the last calendar year, about a year, year-and-a-half at least, since the rates have gone up a lot, they have broadly held up at these levels, and we have seen no dip. Again, pockets of the market reduce a bit, a little bit in utilization here and there, but broad story, they have held up.

Rahil Dasani: That is very clear. So, last one question before I get back to the queue. ONGC, Reliance, and Cairn have a lot of incoming projects. For example, ONGC has planned 10 development wells, as well as the PRP-9 project. Reliance has the KG-D6 block, plus the general offshore wind and

the port construction demand. So, what sort of offshore vessels demand are we seeing across our set of vessels, like the PSV, MPV, OSV? If you can quantify it in number of vessels that we can expect from these few pockets of demand.

Rahul Sheth: Firstly, offshore wind, there is not much activity here. Secondly, on all these other oil projects, you have to remember that it takes a lot of time to develop all these projects out. Even we do not have any knowledge of how many more additional vessels will come up. All we can say is that the market is relatively well-balanced, and how it pans out over the next few years, frankly, is anyone's guess.

You have to remember, even when they start drilling and when they start looking at these fields, a lot of the oil companies have to see how those fields develop, what potentials they see, or how much money they are willing to put in. I don't think those companies would also be in a position to give you a firm number of how many more additional ships will be required.

Rahil Dasani: And just to get a more general understanding, for example, the KG-D6 block of Reliance came in 2024. So, how long does it usually take for the demand for our sort of vessels to come in?

Rahul Sheth: We won't be able to comment on that. We won't have sufficient knowledge to comment on this.

Rahil Dasani: That was helpful. I have a few more questions. I will get back in the queue.

Moderator: We will

take our next question from Rajakumar Vaidyanathan from RK Invest. Please go ahead.

Rajakumar Vaidyanathan: I have two questions. The first question is for Shiv. Shiv, I am looking at your Slide 7, where you have given this return of capital employed, and so on and so forth. So, just allow me, just give me two minutes to explain the question. So, Shiv, if I look at your three drivers of your bottom line or the profitability, they are your core freight earnings, profit on sale of ships, and then your other income comprising of your interest income and then the FX gains, right?

G. Shivakumar: Yes.

Rajakumar Vaidyanathan: So, for a moment, if I back out your profit on sale of ships and the other income as well as the FX gain, your PBT comes to approximately INR 520 crores for the quarter, as against whatever INR 840 crores you have reported. So, if I take that as the numerator and then I am using your equity as your replacement cost, because you are giving the number based on the book value, which is whatever INR 1,000 approx. So, if you have to replace it with your NAV of 1,566, which is working out to almost INR 22,000 crores, so if I annualize, you guys are close to, you are making around 10% pre-tax return.

G. Shivakumar: Yes, see, the only thing is, in the INR 22,000 crores, then you will have to...

Rajakumar Vaidyanathan: This is one part. So, I am looking at this way. Second thing, I know all your segments are firing well, crude, dry bulk, gas, all the freight earnings are doing really well based on whatever you have put out. So, even in this scenario, if you guys are making only 10% return on whatever the replacement cost basis, that is my thing.
And my only worry is if all these tailwinds that you have in terms of a better asset market compared to your book values, then the rupee depreciation. Currently, it is a tailwind for you because you are holding more cash than loan. So, if that were to kind of negate, because rupee is already depreciated quite a bit, so you may not have this tailwind go forward. So, the question is, have we seen the best of earnings for Greatship as of now unless you guys really do something about the business in terms of acquiring more ships, and also you are dependent on the freight market? That is my question.
G. Shivakumar: So, couple of things. So, first of all, one adjustment I would make to the calculation. Fundamentally, I don't have a disagreement with the way you have approached it. But I would make one adjustment there. If you have taken out the other income, then you have to take out what results in other income, right? What you are trying to find out is, how much-
Rajakumar Vaidyanathan: Yes, I did that also, Shiv. So, basically, I removed the cash because I didn't have the cash number. Now that you told, it is about INR 500 million, so it is about INR 4,500 crores. So, if I back that out, your denominator is about INR 18,000 crores. So, even then your pre-tax is about 11%. From 10%, it moves to probably 11%.
G. Shivakumar: On a consolidated basis, we have INR 7,000 crores of net cash, which has to be taken out of there, which is INR 500 on the NAV. So, we are talking about INR 15,000 crores. Again, here and there, we can have 1% or 2%. We are talking of INR 15,000 crores, which is the market value of the sort of business, okay? Which is about where it is. It is about INR 14,000 crores if you just take the fleet values of shipping and offshore.
And so what we are saying is that you are making, and the number you put, and let's just say that we annualize the INR 500 crores, which is about INR 2,000 crores. And you are somewhere. It is not 10%. It is maybe 12%-13%. Okay? But yes, it is true, because the prices are so high, you are not going to make a current yield on those, on the current high prices, which is also the reason why we are not investing today. If y

ou are making significantly more, current yield on the ships at today's prices, we would be looking at investing more.
So, the point you made is correct, and it is also showing why we are not really that keen to invest at today's prices. What can also happen, of course, is that INR 15,000 crores can drop off. If the market drops, that market value of that fleet can drop off. But yes, cash is a drag on the returns.
And now let's look at the whole thing, right, including the cash. So, you look at INR 800 crores on the INR 22,000 crores number. And that is now bringing you closer to something which is not a very great return, which is being dragged down by cash.

Eventually, we hope that this cash will go from earning 3% in dollars, which is what we earn, to earning to a ship which earns more than 10% in dollars. And that is what we are waiting for. We are waiting for that opportunity. And yes, it is not a great situation to have so much of our balance sheet in cash, but hopefully it is temporary.
Rajakumar Vaidyanathan: So, in terms of the drivers, so I am just laboring on the same question, Shiv. Sorry about that.
G. Shivakumar: No, problem.
Rajakumar Vaidyanathan: So, I think, since the rupee depreciation is almost kind of close to its peak, so it would be kind of pertinent that you folks look at the cash, deploying the cash quickly so that the return ratios don't fall further. And again, it again depends on your core earnings as well because given the volatile markets, the shipping market is doing well today. So, if the markets have to turn for some reason, things stabilize, which everyone is hoping for, which everyone wants either way, but what I am saying is, you will lose all the tailwinds that you have currently today, all the three levers which is firing for you today, then if all of them have to turn down, then it will kind of suppress the earnings go forward. So, that is my only humble submission here.
G. Shivakumar: Yes. See, on a current yield, ships make a decent return. So, if we buy a ship today and earn today's earning at today's freight rates, you would probably make a 10% return on that $1 invested. The worry is that five years ago, before this market went up, especially for the tankers, the ship, equivalent ship value was 40% to 50% below where it is today.
Now, the question is whether you risk that drop in the asset price in the hope of making this 10% in current yield. That is the approach. That is the thing that we have decided that we will not do. So, in fact, we tend to buy when the current yield is very poor, because that is what gives you the capital appreciation later on. When the markets are weak, earnings are weak.
You will remember that in 2018-19, we actually declared a loss, and that was because we bought ships when the market was very low, and we went out and bought even more. We levered up and bought. So, while it is tempting to convert some cash into an asset which is earning 10%+

return, that is not something that we are looking to do currently.
Moderator: Rajakumar, may I request you to join back the queue, please, as we have other participants waiting for their turn?
Rajakumar Vaidyanathan: Yes.
Moderator: We will take our next question from Siddharth Chauhan from 360 ONE Capital. Please go ahead.
Siddharth Chauhan: I have two questions. Firstly, now we have net cash of INR 7,000 crores. And at what levels of cash, and obviously at these prices that you, as you rightly mentioned, you are not going to buy an asset. You are just going to replace an older asset with a newer one. So, then my question is

that, what levels of cash would you start increasing, increase your dividend distribution to investors? That is my first question.
G. Shivakumar: So, we have increased our dividend distribution. Be

tween last year and this year, we were at about 17%-18%. We are now little about 20%, probably closer to 25% for this year. So, that is one.
The second is, actually, we have also dropped off a little bit in cash since then, because you would have seen we have done several transactions in the recent past. We have done some of these modernization transactions. So, we have actually dropped our net cash position in the last month or so in December. We are deploying some cash. And now whether Rs 7,000 cr is a threshold, or8,000, or 5,000, it is a matter of opinion. We believe that we can deploy this cash well in the next market downturn, and that is why we are retaining it. In the meantime, we are paying out what we think are very decent dividends.
Siddharth Chauhan: So, that means, in case if this cycle continues for, let's say, for the next two years, then we will actually build up our cash balances. This is what I understand. Is it right?
G.Shivakumar: Yes, build up our cash balances to the extent of what we are not able to invest in our modernization. We have been modernizing our fleet while we have not done capacity expansion. We have been selling our older vessels and buying some more modern vessels. So, yes, cash balances will build up to, till such time we believe that we may not be able to deploy the money profitably at a future cycle. But we are not close to that, not anywhere close to that.
Siddharth Chauhan: And secondly, any plans to invest in LNG fleet? Because you see a lot of LNG ships which are under shipbuilding and coming, and there is a huge supply which is going to come up in the next few years. What is your thought on that?
Rahul Sheth : So, see, the LNG business is very different. What happens is, a lot of these LNG ships, firstly, they are very expensive. So, you can't just buy one ship. They are right now currently for $250 million a piece. You can't buy in the secondhand market. You have to buy new building. If you go for a couple, you are going to spend a substantial amount of your investable surplus just to do this business, which will take away from other businesses, right?
Secondly, in LNG, what we have seen is the contracts are longer duration. They don't have the spot market as our traditional businesses. So, what happens is, when you buy such an expensive ship and you get 10-year contracts, generally they become project financing kind of returns. So, what at least as of now, we see that that building will provide sub-optimal returns from tanker, bulker, LPG. So, at the moment at least we are not going to even consider that business.

Siddharth Chauhan: Very well. Thanks a lot. And all the best.
Moderator: We will take our next question from Deven Sangoi from Tej Investments. Please go ahead. Deven?
Deven Sangoi: I have one question, that there has been a lot of news of late on the dark fleet on the crude tanker side, and various Europe, Russia-Ukraine, America, all are seizing this dark fleet. What is the impact on the freight rates, when such, this has been the problem for crude market for a long and large part of this crude, which was sanctioned, was moving through this fleet. So, how does it change the outlook in near and medium term, sir?
Rahul Sheth: So, we can at least tell you what has happened up until now. So, since the war, which has been about now almost four years, whenever the U.S. or Europe or the U.K. have sanctioned these ships, they have gone out of the international trading fleet. But at the same time, a large amount of the Russian trade has gone out. So, you have got something gone out from the demand side, you have got something gone out from the supply side. And so the sanctions, of course, has had an impact, but for us, the denominator, numerator have more or less moved together.
Of course, there is a disruption of the Russian trade, where the inefficiencie

s of the trade, which we have explained before, has been a very large reason for the rise in the market. Now, the difference that we have seen over the last six months is that the sanctions have become a lot

tighter, and because these sanctions have gone off not only on the vessels, but have also gone on people, have gone on refineries, you have got Nayara, which has been affected. You have got pressure coming from the U.S., even on India taking in more Russian oil. That has had a very big difference.
And the main difference has been that earlier Russian crude was still moving. They used to export 3.5-odd million barrels before the war. They were doing that even during the war. However, in the last six months, we have seen that maybe 500,000-750,000 barrels per day of Russian crude is not being able to find a destination, largely because India is not taking that much crude. And because of that, eventually, oil needs to be, the refineries need to be, their demand needs to be met.
So that 750,000-odd barrels has been met from the international trading fleet. And so there has been an increased demand from countries like Middle East, South America, which is largely Brazil and Guyana and those kind of countries, and that has lifted the market. So, if you have seen the last quarter, which is this quarter, October to December, and even as of January, the crude market has significantly risen based on this tightness. Now, how this all pans out over the next six months, nine months, is anyone's guess.
We saw somewhere in the news, of course we don't have data on that, but we saw somewhere in the news that even Reliance is going to take another 150,000 of Russian barrels. So, how that is all working, frankly, we are not aware.

Deven Sangoi: And sir, today, VLCC new build and the second-hand price of less than five years, the difference is only 5% or less than 10%. And a lot of smart guys or smart operators globally are switching the second-hand or the older ship for the newer one. Do you plan to do anything as far as the crude is concerned?
Rahul Sheth: You mean switching? So, it just depends on what age you are switching from, right? So, if you are selling a 15-year-old tanker and you are buying a 10-year-old, 5-year-old, it is just based on the mathematics that we are doing.
The view that we take also is that, if you buy a ship today, I think, I am not sure exactly how, the data point that you are referring to, but there are a lot of large owners that have done a lot of new building, right? And that new building comes over across multiple years, right?
Now, they may be getting a new building because some of the older ship is going out, or they may be net expanding. Largely as an industry, there has not been a major expansion over the last few years. So, one would assume a lot of the older ships were coming off. But it is just a matter of choice, whether you would like to, like, say today, if you have got a ship that is old and we buy a new building ship, then that ship comes three years from now, right?
Now, if that ship is coming three years from now, what will the charter rates be three years from now? If the bull cycle is currently present, and we don't know whether it will last six months, one year, two years, or three years, but the expectation is that if the market is strong now, better to get the earnings now, and therefore, the second-hand prices tend to rise disproportionately to the new building prices in a strong market and it tends to work the other way around in a weak market. Has that answered your question, or?
Deven Sangoi: Yes. Sir, last question, why is the scrapping, despite of more than 18 years fleet, both on all the sides, whether you take it dry bulk, wet bulk, or even crude, it is pretty high percentage what we have seen in last three decades, but the scrapping doesn't happen. What's your

plan?
Rahul Sheth: So, basically what happens is, so see, whenever shipowner is coming to a survey, which, at the older end, it is every three years. You have to put in a lot of money to do pass the surveys. If you can make up the operating costs and the dry dock costs, and the markets are substantially stronger than that, then owners tend to pass the survey.
There are certain protected trades, like, say, in the dry bulk trade, where you can sell. Maybe those trades are not available to people like us, but we can sell an old ship, players like us, to another player who has a protected trade and run a very old ship. The dry bulk fleet is not as old as the tanker fleet. In the tanker fleet, we have seen a large number of tankers land up in the sanction trades.

So, if you see the vessels that are carrying the Russian oil, a large percentage of them are the older tankers, you know? So, the market has to be conducive to support it. Eventually, products have to move, right?
Deven Sangoi: Right.
G. Shivakumar: And typically, people tend not to scrap. So, that is the main thing. When rates, if rates drop, then you will see ships getting taken out.
Rahul Sheth: See, because scrapping can happen for two reasons, right? One is that, ships do reach a particular

life where beyond which it is difficult to trade. But we don't see 18-year-old ships really being scrapped. Now, between 21, 22, 23, you can play on the margin a bit. If the market is strong, the oil majors, the terminals, everyone will take the ship because no one wants a shortage of the ships.

Moderator: We will take our next question from Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.

Kirtan Mehta: I just wanted to understand your perspective in terms of the crude price has sort of jumped to around $70 level, indicating a potential sort of the risk on the Iranian barrels, as well as some of the disruptions in the U.S. From the shipping side or ship-crude ship tanker rate, are you also seeing similar risk getting priced into the shipping tanker market?

G. Shivakumar: Nothing has happened on freight rates related to this. So, this hasn't had an impact on freight rates. Obviously, it will be a big event for tanker markets, but nothing has happened.

Rahul Sheth: No, we have not seen really any correlation between the two.

G. Shivakumar: Or Iran risk. If Iran risk is getting priced into freight rate. Not yet.

Rahul Sheth: No, no, not yet.

Kirtan Mehta: Another question was about the cash that we have been managing. Are we seeing any signs of some of the markets opening up during FY '27? Any green shoots, early green shoots?

Rahul Sheth: Honestly, it is very difficult. As of today, the prices are not at our levels. But to make a forecast in FY '27, what those price levels will be is anyone's guess.

Kirtan Mehta: Probably the last question was about basically the way we show is that at a consol level, our stock price is probably around 25% discount to the underlying NAV. But if we adjust the cash from the NAV, which you mentioned it, around INR 500 per share, then, actually, the discount is much wider on the ship prices, which is a variable which could be probably of the order of

40%-50%. So, is this more sort of reflecting the mid-cycle value of your shipping asset in your view? Or is it a discount to even the mid-cycle shipping value at this point?

Rahul Sheth: If it is 40% below, is that number correct?

G. Shivakumar: Yes, it is below the mid-cycle value. It is probably mid-cycle.

Rahul Sheth: Yes, it is probably mid-cycle. If it is 40%, then yes, then probably.

Kirtan Mehta: That's all from my side.

Moderator: We will take a follow-up question from Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: I wanted to pick up one of the points from your introduction.

If you can share more into what you said about Saudi Aramco, them giving back the rigs two years back, and now they are procuring it again. It wasn't really clear for me. If you can explain it more better, is it only rigs or all offshore procurement had stopped two years back and now it is coming back again? If you can share more into that.

Rahul Sheth: Offshore procurement will be a very large topic. Calculating that entire data and as for share, that would be impossible.

Rahil Dasani: No, of course, what I mean is our set of vessels, AHTS or PSV.

Rahul Sheth: So, I mentioned to you earlier on the offshore utilization, right? Vessel utilization. So, I can share with you a similar statistic on the jack-up rigs, right? Again, on the market and without using the cold layup jack-up rigs, right? The utilization is about 85%, 84%, something like that, right? And the peak that we have seen historically is about 90%. So, that 5%-6% is the gap between where we are today and the top of the market in terms of the utilization. Now, that 5%-6% on 440 rigs is only about 20-30 rigs, right? Thereabouts.

So, we saw that Saudi Aramco had taken a large number of rigs pre-2024, and then there was some internal discussion, and they had a capacity, they had declared, that they would like to increase their max capacity of production from 12 million to 13 million barrels, which is why they have taken a large number of rigs. Then in Jan 2024, they said, "We are going to reduce this 13 to 12 million." That is why they released some of those rigs. I think they released about 30-35 rigs, something like that.

Now, what they have declared is that 12 million barrels and this, we have to remember, Saudi declares a max production capability. But in history, they have generally not produced, for a sustained period of time, more than about 10, 10.5 million barrels per day, okay? As of today, they have still kept their target of 12 million barrels. They have not increased it to 13. But the difference is that two years ago, they were physically producing 9 million barrels per day, okay?

Today, they are producing 10-10.5 million barrels per day. One of the impacts of that has been on the crude tanker market because they are exporting a lot more oil.

So, if you see how much Saudi Aramco has actually produced and exported over the last, frankly, 15, 20 years, it is now close to its peak, which is 10-10.5 million. Now, maybe they could

increase it a little bit more for short periods of time, but not sustainably. So, we are seeing the first green shoots in their change of policy, where they are saying, let us take 9 more additional jack-up rigs, which are going to be taken across the Calendar 2026. The exact timelines, as you can imagine, they don't declare it.
But what happened to some of those rigs that they let off, they have this clause where they can suspend the rigs, but they don't eventually, they are not redelivering it to you, to the owner. The rates may be zero, but they are, like, on standby. They are waiting there. And they have given some notices to those owners to come back. So, 9 of those rigs are coming back, which increases the utilization by 2%.
So, there are some green shoots in that market tightening further, but again, as you can imagine, how Saudi Aramco decides how to change its CapEx plans, that can change, those internal discussions, we can't be privy to.
Rahil Dasani: Of course. But in line to the procurement of the rigs, are we also seeing a proportionate procurement of other sort of vessels excluding the rigs in the offshore segment from Aramco?
Rahul Sheth: We didn't see the utilization of the offshore vessels actually coming off in the last two years. And that is mainly because the number of rigs you have, you need to have a proportionate number of vessels. That clearly is there. But even though the rig count ca

me down, we didn't see the vessel count coming down, mainly because the vessels are also used for additional activities. They are already used on producing wells. They are also used to lay construction cables, pipelines, etc. There are a lot more activities happening in the sea. So, because of that, we didn't actually see those utilizations come off.
Rahil Dasani: And another thing is, how easy is it for a new incoming competitor or peer to buy these vessels and just start competing in tenders? Or is there some long approval process from the side of our customers, like ONGC or Reliance or Cairn, or some other complexities to enter this offshore segment and compete with us?
Rahul Sheth: The private charters, see, firstly, we have to depend on how much liquidity is there in the market to actually buy these ships. As we mentioned earlier, the order book has not been a lot. So, for the last 7-8 years, it is very difficult to get modern assets, right? So, the liquidity would be relatively low if you wanted to buy a lot of second-hand ships. Maybe you have to pay up the price.

And secondly, a lot of the private charters, yes, in tender-driven businesses, generally, more peer participants can participate. But with private charters, there is a level at which operators prefer to work with owners who they know about, and there are sufficient owners with a long history where they don't have to maybe go to a new player because there is a shortage of supply, and the new owner has the vessels. And so, if that kind of situation arose, then it would be easier for the oil companies to say, "Okay, I don't have the ship. Let me go to new incumbent players." But of course, new incumbent players can always come into the business. No one can stop them from that. It is not like as if there is such a barrier that they could not bid for those contracts at all.
Rahil Dasani: Of course. No, but from what I understand…
Moderator: Rahil, I request you to join back the queue, please.
Rahul Sheth: It is fine. Let him just finish this question. I think he just had a leading question.
Rahil Dasani: So, the understanding that I got from the marine insurance industry is that usually to enter these sort of customers, like ONGC, like Cairn, like Reliance, the tender requirements, the tender requires a time limit or contract period of experience of a similar contract of maybe 3 to 4 years. Is that the right understanding? Or is that…
Rahul Sheth: That is right. You need certain amount of experience. Correct. That is correct.
G. Shivakumar: Or you need a partner who will provide that experience. If you are completely new, you need a partner who will…
Rahul Sheth: Tie up with you to give you that experience. But even on the jack-up rigs, right? Even if you are tendering into the ONGC contract or even if you are tendering into some other place in the world, it is not as simple because what happens is, those rigs have to sit on the seabed, and there are a lot of additional equipment, the design of the rig, etc., etc. Those adjustments need to be made. They can happen, but they happen at a cost and a time.
So, there are certain barriers to moving. And therefore, someone who's already in that region could be slightly more competitive than a new person who wants to enter. And if you go to countries like Malaysia, Kuwait, or these other countries, then they have local partner rules. So, you have to look at those also aspects. Nothing is impossible, but they all come up with its own risk, its own cost.
Rahil Dasani: Perfect, sir, this helps me out a lot.
Moderator: We will take some text questions. There is a question from Harsh C, an individual investor: What's the spot versus time charter breakdown for shipping segments? What were segment-wise TCE, and how do they compare to average/bench segment earnings during the quarter? Basis

last quarter's call, understand short-term contract for one rig was ending in Q4 FY '26, has a new contract been arranged for same?
G. Shivakumar: Typically on the shipping segments, we have about between 15% and 20% of the capacity on time charter. This is a normal situation in each of the sectors, which is products and dry bulk. In crude, we are 100% on spot currently. In LPG, we are 100%. In the last quarter, we were 100% on time charter. The segment-wise TC compares well with the benchmarks.
We are in line with what most of our peers in international markets are earning, because these are pretty transparent markets. Sometimes you get the advantage of good timing, and sometimes you are unlucky. But we are more or less in line with the international peers.
And yes, the short-term contract of the Greatdrill Chetna is scheduled to get over in end February. We are in discussions with customers and potential customers on the next contract, but we have not yet tied up anything yet. So, hopefully we will tie up something on that soon.
Moderator: Next question is from Amit Khetan from Laburnum Capital. The question is, the strength in the crude tanker markets is not yet reflected in the product tanker markets going by our realized rates. If the crude segment continues to be strong, will there be increased switching of vessels from product to crude thereby tightening the market for the former?
G. Shivakumar: Yes. The answer is yes, there will be increased switching. We have already seen switching in LR2s, which are the most common vessels to move between crude and product trade. So, there has been a significant amount of switching from LR2s to Aframax trade, which has now pushed up the LR2 rates as well, because then the LR2 market has tightened. The MRs don't switch so much, therefore that impact has not yet come on the MR tankers. But on the LR2, certainly the impact has come after the switching has happened.
Moderator: The next text question is from Rajakumar Vaidyanathan from RK Invest. The question is to Mr. Rahul. As the Financial Year '25-'26 comes to an end, what are the areas which has actually done ahead of your expectations? What are the areas/strategies that have gone behind or below your expectations? What are the plans regarding foraying into container segment?
Rahul Sheth: For FY '26, clearly the outperformance has been in the crude sector. You know, LPG has also surprised us to the upside, but we have been fixed on contracts. The charter rates that we fixed out have been very good, but the spot market continues to remain strong.
Dry bulk, on the other hand, in the last quarter has been much stronger. We have been in the spot market, so we have been able to take advantage of that. Some of the data points, at least as of the beginning of the year, were pointing to a slightly weaker market, but the market has remained quite strong across the board for the Capes and the Sub-Capes.

On the container space, so as of now, we have no plans. The container markets, we can just share one interesting point, which we have not actually seen for a long period of time, is that the freight box rates, and that is the rate. So, the container business is slightly different from the traditional shipping businesses that we are in, where you have got liners. You have got the companies like MSC, Maersk, etc. And then you have got potential players like us. We are called tonnage providers. We give our ships to people like MSC and Maersk, and Maersk, MSC sell the box rates to companies like Amazon, et cetera, that want to move goods all across the world.
So, we have seen those box rates come down substantially over the last year and the year before that. But we have seen that the rates that they are willing to pay the tonnage providers staying unusually strong, and

that difference is probably at the highest differential we have seen over a long period of time.
Now, whether the box rates will come up or whether the charter rates will come down again is anyone's guess. The fleet supply on the container side is very strong going forward. So, maybe, maybe, the tonnage rates come down and maybe the asset values of the tonnage, sectors come down. But yes, and yes, I think that's it.
Moderator: We have a live question from Vikram Suryavanshi from PhillipCapital. Mr. Suryavanshi, please go ahead with your question.
Vikram Suryavanshi: So, I am not sure whether you answered it, because my internet was on and off. So, particularly on offshore support vessel, we have seen good improvement and utilization of MPSSVs now I think is fully. Is that like a long-term contract we have got, and how is the outlook on this, I think, offshore vessel side, if you can give outlook?
G. Shivakumar: Yes. So, the MPSSVs are both fixed on short-term contracts. These are 6 to 9-month contracts. So, they have got that employment. The outlook, so Rahul mentioned earlier, the rates have gone up significantly from where they were, say, 3 years ago, and they continue to stay at those levels.

They are pretty profitable.

Again, this is not like a homogeneous market where you can say, "This is the rate for a mid-sized PSV." It depends on the kind of business, which you are doing and the specific requirements of that job. So, the same vessel in two different businesses could earn as much as $3,000 a day more in earnings. But the market continues to be strong, and it continues to provide good profitability.

Vikram Suryavanshi: And how would be the renewals in gas segment coming up?

G. Shivakumar: So, we have one vessel. So, we have contracted to sell the Jag Vishnu. So, she's come off her contract. She is operating on, currently she is doing a spot voyage, and we will deliver her in the next month or two to the buyers. We have purchased a modern LPG ship, which has come with a contract attached, which goes till about a year from now.

We have two vessels, the Vasant and Virat, which come off contract within the next 6 months. We will see at that time whether we want to put them on time charters or whether we want to run them on the spot market. So, we haven't had any recent pricings, if that is what you are asking.

Moderator: We have a follow-up question from Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: Sir, considering the shortage, the supply-demand gap that we are seeing in the offshore segment, are we looking to aggressively expand in this segment? Or do you think that in the current market situation, it is not a good strategy to add offshore vessels?

Rahul Sheth: Offshore vessels, we will look at ships to buy. It does not necessarily mean we may go ahead with it, because in the offshore space, you have to be a bit careful of the type of ship. You know, one of the concerns, like I mentioned, that not many ships have really come and delivered between 2016 and today. So, by definition, you are going to buy a 10-year-old ship.

Now, offshore vessels have also an age limit all across the world. In certain places, 15 years, in certain places, 21 years, mainly because they do vary. They are may be smaller ships than mainline shipping, but they have got more equipment on board, because the kind of activities they perform are far more complex. And because of those complex activities, and in the sensitive areas in which they operate, you cannot have any issues going wrong. Because the impact of that, from a safety angle, from a fire angle, from a damage angle, is very, very high.

So, when we are looking at ships, and like I told you, the liquidity is not very high in this space. So, if we do look for ships, it has to be the correct price, it has to be the correct age, it has to be the correct specification, and it has to also be in the correct region. Because let's say someone is selling a ship in a region where the demand may be a bit lower, and I have to pay a lot of money to move it all the way to an area where the demand is better, that also adds up a lot to the costs. And in this business, it is not necessarily, in mainline shipping, ships are naturally moving from one place to the other. They are actually moving all across the world. In this business, in offshore, it is much less so. And so you need a lot of tick boxes to happen. But if we do see the opportunity, of course, we may look to buy a ship or two. But a lot has to be signed off.

Rahil Dasani: Makes sense. And just one last question from my side. I am a bit new to this industry, but I know that the last cycle peaked out in 2015-16. So, if I were to compare that cycle to our current cycle, where again, the rates have spiked, and I know the charter rates as of date are not close to what they were in 2014-15. But what led to that drop post 2015? Was it new ship building, or what was that reason? And how is the current timeline different to that, if at all it is?

Rahul Sheth: So, in 2014, offshore vessels are not too far off from those levels. But on the rigs, there is a bigger gap. Compared to that, in those days, the rig rates were substantially higher. But what exactly happened was that from, just to give you a bit of history, right? All the oil originally was

onshore, and then over the years, onshore oil started plateauing. And so everyone moved offshore, and that is why we saw in the beginning of the 2000s, actually late 90s, 2000s, a lot of activity started building up for the offshore space because all the incremental oil, to meet the incremental demand, had to come from the offshore fields.

But then there was another development, which was shale oil, and shale oil got produced in America. There was 0 barrels, broadly 0 barrels of oil being produced in America in 2000. And by 2014, there was 8 million barrels of oil being produced from those shale regions.

Now, like I mentioned earlier, Saudi Aramco produces 10 million barrels. So, this was like a full Saudi Arabia coming up, all from onshore oil. Because they had so much more oil, the break-evens were lower, it was easier to produce, right? A large part of the incremental demand from 2014 till now came from onshore shale oil.

And now what we are seeing is that a lot of shale oil is peaking out. And there was a theory that all the shale oil can come up in other countries, like UK, which was a failure, China, which was

largely a failure, Argentina is largely a failure. We are seeing some barrels coming from
Argentina, but it is like 100,000-200,000 barrels, nothing major.
But over the last 10 years, they have not been able to produce that onshore oil. So, people have started realizing that you need now, meaning oil demand. Then there was again, a worry that oil demand will peak, which has clearly not happened, and we don't see that happening in the foreseeable future. And so, therefore, to meet this gap, you need oil again, and that oil is again coming back to offshore.
Rahil Dasani: A very broad question, but are we worried about the cycle fizzling out in the next two, three years, or this is a much more stable place that we believe we are in right now?
Rahul Sheth: Again, difficult to say. The way in 2014, Saudi Aramco changed its view, it happened overnight. So, these kind of events do tend to happen. Our business is dependent on a few major players in the world and how they look at demand. But at least on the offshore vessel front, I can tell you in FY '27, we are largely fixed out at these rates, at about 80% is our coverage. And most of our rigs also are covered for FY '28.
Rahil Dasani: Fair enough. That would be all from my end.
Rahul Sheth: The coverage is not as high as th

e offshore vessels, but we have got decent cover.
Moderator: We have a text question from Rajakumar Vaidyanathan from RK Invest. With the recent developments in Venezuela, do you see any upside for the Rigs market due to increased deployment or demand?

Rahul Sheth: This will take very long to assess. We don't know the condition of, this, Venezuela used to produce 3.5 million barrels. They are now producing, like, under 1 million barrels. All those wells, what conditions they are in, whether they are investable or not.
Exxon actually made a statement saying that a lot of those fields are uninvestable. Because when you leave those kind of fields for long periods of time without taking care of them, there is a change of the geology below where you could have more gas and therefore it is more difficult to extract the oil out.
And so, frankly, this, people have to go in the country, assess it, then see whether it is viable, and then only if they feel like it is viable, then only will they start asking for rigs. So, this could be a very long time away.
Moderator: There is one more text question from Harsh C, an individual investor. With increased geopolitical uncertainties, does the management plan to move from current 100% Indian-flagged fleet to a mixture of Indian plus other flags? Same for largely Korean, Japanese build vessels to more Chinese build in the tanker segment.
G. Shivakumar: Actually, it has nothing to do with geopolitical uncertainties. Sometimes for operational reasons, we have flown different flags. Our base fleet will continue to be Indian flag. So, for operational reasons, we may do other flags for a small part of our fleet.
When it comes to where the ships are built, if it is a good quality ship built in a good quality yard, we have no preference specifically for any country or of country of build of the ship. So, what we are looking for is good quality ships at good quality prices, and we don't think of all of these other factors really.
Moderator: We have a live question from Shreyans Gathani from SG Securities. Please go ahead.
Shreyans Gathani: So, I had a question on how, just trying to understand how you take a decision between going on time charter or doing a spot rate on a ship, and is there a threshold IRR above which you just go time charter or just trying to understand the strategy?
Rahul Sheth: Honestly, it is quite complex. From our historical understanding, we have seen that you are better off in the spot market than the time charter market. Because what tends to happen is, let's just take Suezmaxes, right? You could fix out a vessel at $40,000 per day, and then the market does $60,000 even for a quarter, and it affects your breakevens for the charter rate for the entire period.
And now, in a market, it is like the stock market, right? You don't know what the price is going to be tomorrow. You can take a view over a period of time, but on day-to-day fluctuations, prices can be up 10%, down 10%. It is difficult to say.

But historically, it says that you are better off being spot, and that is the strategy we largely keep in mind. From a risk management perspective, and a bit of it is based on our own analysis, market view, etc., we do take time charter decisions, but we keep it on the margin.
And as a business overall, you can take more time charter fixtures and be more financially leveraged, or you can be more spot market, and then take the volatility of the freight rates and financially be more conservative on the financial leverage, and that is the option we tend to prefer.
Shreyans Gathani: So, I am asking because as this cycle, as maybe it is coming to a very long period of a super

cycle, maybe not as big, but if there is certain prices that we can just lock in at good rates, is that something that

you look at or no?

Rahul Sheth: We do look at it, but remember, if, let's say, the spot market on Suezmaxes could do $60,000 or $70,000 and you are fixing for a year, you have to take a much lower rate to get that. So, the cover that you are getting is not coming free of risk, right? So, it may look good on paper that I have taken a cover for a year, but I have given up a lot of upfront earnings. And the longer I go, the more steeper backwardation I need to take. So, sometimes it is actually better not to take the cover, earn the earnings upfront, and take the volatility of the market when it comes.

Shreyans Gathani: That's helpful. That's all from my end.

Moderator: We will take a follow-up question from Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: I really hope this is my last question. I just wanted to get some understanding on the stimulation vessel. As of last year, the demand of these vessels were very high, and what the customers of these vessels have been doing is they are procuring PSVs and OSVs and upgrading them to the stimulation vessels. So, how are we looking at this market?

Because I believe India, as of date, has only five of these, and two are not in a functioning state, if I can say that. So, are we trying to focus on this segment? Because I believe the charter rates here are very healthy, and so is the demand.

Rahul Sheth: So, we have got two vessels that are doing well stimulation work. But you remember, the well stimulation, like I said, the offshore market is very different from shipping. Because these vessels are very specific, you have to get into negotiation with companies like Schlumberger, Halliburton and those kind of companies. Then they work on a project. Sometimes the equipment for this well stimulation that they put on the ship, the equipment is theirs, it is not ours. But the equipment can cost more than the value of the ship, you know? And it takes like months for them to install it where your ship is being paid and they are not earning on that. So, they have to have the project. Then they will talk to players like us or others, who they value to be partners with. And then those projects come to fruition. It is not as simple to say, "Okay, there are two ships less, so the demand is not being met, therefore we have to get them."

G. Shivakumar: So, we have been operating one of our vessels as a well stimulation vessel for the last 10 years plus. So, we have been in this market for quite some time. Another vessel went into this business last year. So, we are very much there when and because we are talking with these high-quality customers all the time, and of course, they are happy to deal with us as a high-quality service provider as well. When these opportunities come up, they are speaking with us as well.

Rahil Dasani: That's helpful. And sir, like you said in the earlier response, that vessels with the age of more than 15 years are being less preferred due to several reasons. And based on our fleet age that we have shared in our presentation, I guess the anchor holding tugs as well as the PSVs, as well as the MPVs, are aged north of 15 years. So, how is it affecting our ability to win contract from the likes of ONGC, Cairn, Reliance, et cetera? Or is it not as much of an issue for us?

Rahul Sheth: As of now, it is not an issue. You have seen it from the earnings, we have been able to suitably employ them. Charters will also take a view given that the market is aging, right? It is not like only we are aging and everyone else is not. If that was the case, then okay, fine, there could be a problem.

But considering the whole industry is aging together, right, and we have very good relationships with all, ONGC, of course, government, but even some of the international private charters who can take any owner, we have very good relationships with them, even if our vesse

ls are slightly
on the older side.

Rahil Dasani: So, I guess it is more of a supply issue, and the preference would of course be more towards the younger vessels, if at all they are available.

Rahul Sheth: That is right.

Rahil Dasani: And on an average, considering the age of your offshore fleet, what is the optimum utilization you can achieve of the 365 days in a year? How many days does our fleet operate, and does it need more repairing or more docking time, or how does that work?

Rahul Sheth: No, the amount of extra repair time that it requires to a newer ship is on the margin. We keep our ships very well maintained, and we spend a lot of time and effort to make sure that we limit the downtime. And whenever the statutory surveys are taken, are undertaken, from an older, newer ship, there is very marginal difference in time, but we do spend a lot of money to ensure they are kept in good nick, so that during the period where they are operating, we have very, very limited downtime.

Rahil Dasani: That's the final last question for me.

Moderator: We have a text question from Vinay M. Significant free cash flow has been generated since your last share buyback. Why did you choose to issue dividends rather than create additional value for shareholders by more pursuing aggressive buybacks? This especially when buyback price could have easily been way below the NAV.

G. Shivakumar: So, we have chosen dividends because this is something that goes to every shareholder. Buybacks go to the shareholders who tender in the buyback. We have also had this issue in the last few years, where the tax treatment of the buyback has made it somewhat unviable as an option.

So, it is something that is there in our minds at an appropriate price, just as we would like to buy ships at an appropriate price. We look at buybacks as a replacement for the capital allocation decision. If we can buy the stock with the underlying ships at a certain price, then that is how we compare buybacks themselves. So, it is not a way for returning cash. If we have to return cash to shareholders, it is by way of dividend.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Shivakumar for closing comments. Over to you, sir.

G. Shivakumar: Thank you, everyone. That was an interesting session. As always, the transcript will be up in a couple of days' time. We will also be posting the recording of this call. Our investor relations and corporate communication contacts are in our presentation. Please reach out if you want to meet to discuss anything further. Thank you very much.

Moderator: Thank you, sir. On behalf of the Great Eastern Shipping Company, that concludes this conference. Thank you for joining us, and you may now exit the meeting.

Call: May 2026

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Sub: Transcripts of Earnings call conducted on May 15 , 202 6

Dear Sir/Madam,

Further to our letter s dated May 08 , 2026 and May 15 , 202 6, please find enclosed
transcripts of the earnings call held on May 15 , 2026 .

We request you to take the same on record.
Thanking You, Yours faithfully,
For The Great Eastern Shipping Company Limited

Anand Punde
Company Secretary
Email ID: anand_punde@greatship.com

“The Great Eastern Shipping Company Limited
Q4 & Full Year FY2 6 Results Conference Call”
May 15, 202 6

MANAGEMENT : MR. G. SHIVAKUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – THE GREAT EASTERN
SHIPPING COMPANY LIMITED
MR. RAHUL SHETH – GENERAL MANAGER , MD’ S
OFFICE – THE GREAT EASTERN SHIPPING COMPANY
LIMITED

Moderator: Ladies and gentlemen, good day, and thank you for standing by. Welcome to the Great Eastern Shipping Company Limited Earnings Call on declaration of its financial results for the quarter ended 31st March 2026. At this moment, all participants are in listen -only mode. Later, we will conduct a question and answer session. I now hand the conference over to Mr. Shivakumar, Executive Director and CFO. Thank you, and over to you, sir.
G. Shivakumar : Thank you, Yashashri. Good afternoon, everyone, and welcome to the conference call for the results of Q4 and full year FY '26. We'll quickly run through the presentation so that -- and try to leave as much time as possible for the Q&A, sorry, customary disclaimers apply. We don't forecast the market. We have a lot of our capacity on the spot market. So we don't give earnings outlook. We are discussing what we are seeing in the market. And so please take it as such.

The highlights, of course, is that this is our best ever quarter in terms of profits. It is also the best ever year in consolidated profits. For the first time, we crossed INR 1,000 crores in consolidated net profit for a year, some of it as a result of the exchange rate movement during the quarter.
Our NAV continues to move higher, moving by about INR 200 between end of December and end of March. And we've also declared our highest ever quarterly dividend of INR 11.70 per share, taking the total dividend for the year to INR35.10 per share.
You've seen the results. I won't go too much into the results. Later on, we can -- if you have any specific questions, we can go to them. Yes. Going to -- I already mentioned the net asset value. So you can see on a stand- alone basis, we were at about just over INR1,100 a share in March last year, and now we're at INR 1,422. That's a INR300 improvement. So we've had significant movement in asset prices. And of course, we have a lot of cash accruals in the group.
Similarly for the consolidated NAV as well. Looking at what's happened with the business, the event -- the big event, of course, which stole the headlines was the Strait of Hormuz issue. We'll
not spend too much time on this. Suffice to say that because of the disruption, trade patterns went -- were all over the place literally and which resulted in a tightness in the tanker markets, which -- and therefore, we saw a spike in rates in March and April for crude and product tankers and also for LPG ships.
However, markets were tight even before that. Tanker markets for the crude tankers were pretty strong from -- all the way from December to February, even before this issue happened. So because of the scramble to source cargoes, oil cargoes from wherever they were available, we saw a lot of long -haul trades replacing the Middle East to Asia trades. So we had sourcing from the Atlantic Basin, which is the swing provider of barrels and which had to then come long haul all the way to Asia. And that resulted in a big spike in demand for ships and therefore, a big spike in the freight rates.
As a result, asset prices also went up. We are looking at about 10% to 20% increase during the quarter. The order book continues to be at around 20%. We've seen the crude tanker order book build up a lot in the last 3 to 6 months. Dry bulk was while not se eing the excitement of the

tanker space in March, was steady and had an unusually strong quarter. If only in the context of Q1 of the calendar year being seasonally, traditionally very weak. So the rates were quite remunerative during the quarter across the board, especially for Capesizes.
Going to LPG. Again, LPG rates have been pretty strong, and they got stronger towards the end of the quarter. Again, the marginal provider of LPG barrels is the United States. And so a lo

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more demand for LPG to move long haul from U.S. to Asia. I already mentioned what happened to asset prices during the quarter, and you can see that in the charts. The order book, I already
mentioned. So we are at around 20% for crude tankers and product tankers plus/minus a couple of percent. LPG continues to be high at 27% and dry bulk is at 13%.
This is just a comparison of the order book to the scrapping potential, which is how many vessels have become overage. And you can see that it's -- for the tankers, it's pretty close, tankers and dry bulk. It's only the LPG where the order book is very hea vy as compared to the old ships.
This is just a year -wise depiction of this. So the supply is actually kicking in for crude tankers and product -- for crude tankers in Cal 2027 and Cal 2028. Now scrapping, again, as one would understand, this is -- nobody scrapping ships really because markets are so strong.
Coming to the drilling business. This is the data on jack-up utilization. The March '26 data includes data of all the rigs which are on contract in the Middle East, where rigs were put on standby, they have been taken as continuing on contract. Also, this is what is called -- this is the
simple utilization. We have another measure called marketed utilization, which is rigs which are being marketed actively for contracts. That utilization continues to be somewhere around the 84% to 85% mark. This is the usual sheet that we show. There is very little new building activity in the rig space.
And therefore, there's a very large old fleet, which is an overhang for the markets. This is the shareholding pattern. I won't go into it too much, also the fleet data and the TCYs. Return on
equity continues to be strong. Return on capital employed continues to be strong. You can see what's happened with the EPS for the last 4 years, so in excess of INR150 per share.
And of course, cash generation has always been strong in our business. Even when the markets are very weak, it's a cash flow generating business. The chart on the bottom left -hand corner
shows the movement in net asset value over the last 5 years, just to depict how much of a contribution has come from cash flows and how much actually from fleet change.
And we keep emphasizing this because when we say NAV, the first thought is this is because of the hot market where it's a mark- to-market gain. And as the market goes down again, all of this can again be lost. However, this is to emphasize that a lot of the NAV change has come from cash profits from cash flows from the ships and not much of it is actually from the fleet value

change. This is on a 5-year basis. Against share prices to net asset value, we were at 0.8 or so on a consolidated basis.
We continue to pay dividends. Even in the weak market, we were paying some dividends, but we have, of course, upped the dividend significantly in the last 4 years. We continue to be heavily

net cash, $500 million stand-alone on a net cash basis. We are doing our switch transactions, and you would have seen that in the S&P transactions. We are selling some of our older ships and replacing them with similar ships of a more newer, similar ships. Those are what we call the switch transactions. We have -- we still have some debt because we can't prepay it, but these are the repayment schedule s for our debt. As of March 31, we had $157 million of debt in the Group, and that will be out within the ne xt 2 years or so.
The repricing of offshore assets and the orange bars are what interests a lot of you. These are our rigs which have to come up for repricing. We have 3 rigs coming up for repricing in this financial year . One of which is already -- has already completed her contract. It was a short -term contract, and she is awaiting her next business. We have 2 which will come off in the second half of the fina

ncial year. So we will have to look for business for those rigs.
On the vessels front, most of our capacity is locked in for this year. We have -- I think 80% of our days for this year have already been locked in on the vessel side. The rest is data for you to look at, at your leisure. This is not specifically related t o this quarter. I'm happy to take questions. I have Rahul Sheth with me, and we are happy to take any questions that you may have. Thank you.
Moderator: Thank you very much. First question is from Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.
Vaibhav Badjatya: Hi. Can you hear me?
G. Shivakumar: Yes, we can hear you.
Moderator: Yes, please go ahead.
Vaibhav Badjatya: Thanks a lot for providing the opportunity. So, firstly, [inaudible 0:11:53] important things that are geopolitically. So, I know the outcome of whatever is happening, nobody can predict. But in both the situations like [inaudible 0:12:08] outcome where everything normalizes whenever it happens . Do you think the markets are likely to pan out in terms of whether these inefficiencies might continue for some time? Or do you think the situation can normalize pretty quickly?
And in the other scenario where things normalize, how do you think the markets will behave?
Because ultimately slowly the inefficiencies will come out in the sense that there will be tankers who will find ways to come out of Strait of Hormuz to be availabl e on the other routes slowly
and steadily. So do you think the rates might behave after some time if the situation continues on the other [inaudible 0:12:57] go down? So what's your assessment in both the scenarios, whatever way it happens?
G. Shivakumar: Okay. So if I can just recap your question so that we've got it correct, because you are not very clear at the start. You want to know what can happen under different scenarios of a reopening of the Strait of Hormuz, right?

Vaibhav Badjatya: Yes. And if it doesn't open also , what's the outlook? How do you judge the outlook? How it's going to pan out?
Rahul Sheth: To provide an outlook on exactly how the markets will behave in either situation is very complicated. As you can imagine, we are also witnessing this probably for the first time since maybe the 1980s.
To just give you a bit of a perspective, the closing of the Strait where a large percentage of especially the oil trade and the LPG trade comes from, has resulted in a lot of disruption in the market because countries that relied on the cargoes coming from that region have to now source cargoes from other regions.
To just to give you a simple example, if India was procuring LPG or oil from the Middle East. Now if they have to procure it from either U.S. or Latin America or some other region, the distances go up significantly, which is what led to a tightening of the market after the Strait had shut.
And even if you look at it, even if you take a scenario where the Strait opens up, then you will have a flurry of Middle Eastern cargoes. A lot of the ships are not in the Middle East anymore because they moved out to get cargoes from elsewhere. So generally, the rates will have to

strengthen to pull ships back into that region. Now all of this is difficult to really forecast because
as you can imagine, there are many, many factors to consider to give such a scenario.
And therefore, we believe that giving this exact scenario analysis and saying, if it remains shut, this will happen, if it opens up, this will happen, is honestly a very difficult game to predict. So I think we will not be able to provide such a -- maybe t he kind of accurate answer or the kind of
outlook that you wish to see.
G. Shivakumar: Yes, it's in the nature of guesswork really and anybody's guess. So you mentioned inefficiencies when you asked your question. Yes, this is going to be ve

ry inefficient. Now how that plays out in terms of rates, it's tough to say.
Rahul Sheth: I can just give you one more perspective. After sourcing a lot of LPG cargoes from the U.S.,
there are so many LPG vessels and not just for India, for many other countries. There were so
many LPG vessels and other category of vessels that were trying to pa ss through the Panama
Canal, that the congestion in the Panama Canal has gone up because now everyone needs to pass
through it to get American cargoes to come to the East because it's a shorter route to go through
the canal.
Now all these factors to forecast which one will play out to what level of strength or negative is
very difficult to actually put down and give you, okay, this is exactly what may happen.
Eventually, like how Shiv mentioned, this is in the area of just gue sswork. And our guess will
probably be as good or bad as yours.
G. Shivakumar: And the way we approach it, while you have not asked the question, the way we approach it in
such a volatile situation is we are prepared for whichever scenario happens. We have a very

large proportion of our fleet in the spot market as always. So we are in a position to take
advantage if there is market strength. And as we have collected so much cash and we are waiting
to invest, if the markets go the other way, we are there to invest a s well as an opportunity.
Vaibhav Badjatya: So connected to this, let me ask you one more specific question. So in terms of the capacity of
crude and product tankers that are stuck in Hormuz and not able to sail, versus the barrels that
has been cut out from the market because of the supply going off. I mean, do they match or there
are larger -- I mean, the cargo that the vessels can carry that are stuck is much larger than the
barrels that are...
G. Shivakumar: So the capacity of crude tankers, which is stuck inside is about 5%. The capacity of product
tankers stuck inside maybe 2% and similar for LPG. The proportion of cargoes which are stuck
because of this closure is much higher than this. So while it reduces the impact slightly, it is not
similar in numbers.
Vaibhav Badjatya: Okay, got it. Understood. Okay. That’s it from my side.
Rahul Sheth: Remember one thing, it's not just on supply/demand, you have to also look at ton- mile impact,
which is what I was alluding to earlier because our ships are sailing much longer distances to
get the cargoes from further away. And remember, because of the cha nging trading patterns, at
least up until now, we've seen a lot of inefficiencies in that, which is what has supported the
market.
Moderator: Thank you. We'll take the next question from the line of Dhruv Jain from AMBIT Capital. Please
go ahead.
Dhruv Jain: Thanks a lot team for the opportunity. I had 2 questions. The first question with respect to
shipyard capacity. So if I'm not wrong, there was news flow around at the start of the war with
respect to shipyard delaying the delivery of ships, which could obviously help on the supply
side.
So a, is that true? And b, how should we look at the shipyard capacity now versus what it was earlier? So this order book could look very high, but to think about the slippages that could
happen, it would be very good to hear your perspectives.
Rahul Sheth: At least as of now, we have not seen any significant data on the slippages. So many yards have
taken a lot of orders, and they're still to be delivered, and it is possible slippages had to happen.
But at least as of now, we don't envisage such big slippage s that it may change the dynamic of
the market. Was there a further question to this or... ?
Dhruv Jain: No, that was -- yes. And the second question that I had was with respect to the oil demand stock
that's there with various countries. So given the fact that we've seen so much cargo actually being stuck in Strait of Hormuz. So

even whenever it opens, right , is it safe to say that because most
of the countries are at the lower end of their inventory of crude, we will see a continued demand
through the year. So whichever the scenario, it's only going to ...

Rahul Sheth: You mean for stock building?
Dhruv Jain: Yes.
Rahul Sheth: So again, we can just guess that countries may want to replenish their stock. Having said that, the U.S. SPR, which has been talked about a lot, it used to be at the 700 million mark had come down to maybe 450 million just before this current war. Now they're drawing down on it, but they never took the 400 million back to 700 million.
But counter to that, countries like China had built up stock. One would have logically expected U.S. to go back up and China not to build more because they already have a lot of stock. But U.S. didn't go back up, but China built a lot more stock. So just t o take it -- just to use common sense, I would assume that countries will go back to stock building, but we'll have to see how they play it.
G. Shivakumar : Yes. When the container squeeze happened in '21, just after COVID, people were saying that consuming countries will move from just in time to just in case. So trying to build resilience, maybe that's something that commodity consuming areas will want to do as well.
Dhruv Jain: Got it. Thanks a lot for this and all the best.
Moderator: Thank you. N ext question is from Amit Khetan from Laburnum Capital . Please go ahead.
Amit Khetan : Hi, thank you for taking my question. S o if I look at your Slide 25, right, where you have the revenue days, that looks about 5% to 6% lower than what it should have been. I'm guessing we've lost some revenue days on account of our ships being stuck in the Strait of Hormuz. Is that correct? And what is the situation currently?
G. Shivakumar : Yes. So we had revenue days also as a function a little bit of a dry dock.
Rahul Sheth: We have similar revenue days. Are you looking at this data? Is this a slide?
Amit Khetan : Yes, I'm talking about this data, the own tonnage number?
G. Shivakumar : Yes. I think this is just fleet changes during the period because the fleet might have changed a little bit during the period. Also, you just have timing differences in dry docks. If you have a couple of extra dry docks this year versus last year, that cou ld be -- I mean, one extra dry dock can easily account for this 20 days because we haven't really grown in capacity, right? So that extent you'll find some changes. You'll find these movements on a quarter-on-quarter basis.
Amit Khetan : Got it. And currently, do we have any ships stuck in the Gulf?
Rahul Sheth: Yes.
G. Shivakumar : We do have two ships that are waiting to come out. One is an owned ship and one is an in-chartered ship that are waiting to come.

Amit Khetan : Okay. And would these be earning revenue or not?
G. Shivakumar : We don't want to -- one of them is on voyage charter, one is on time charter. Some of these are sensitive, so we won't go into that. But typically, time charter ships will continue to earn revenue because it depends on the time. A voyage charter ship, the time is on our account.
Amit Khetan : Okay. Fair enough. Secondly, given the rates that we've seen, especially on the product tanker side in April, have we done any sort of period fixing or the time charter hasn't moved as much as the spot rate?
G. Shivakumar : The time charter rates did move, but we have not done any period fixing because the time charter rates were very different from the spot rates.
Rahul Sheth: So while we've not done it in the month of March and April, our product does have a certain amount of coverage on that.
Amit Khetan : Okay. Got it. And lastly, we have three rig pricings coming up this year.

Given the situation in the oil market where prices have gone up substantially, what is the current day rates in the market looking like? An y recent fixings in the market w hat day rates have they come back?
G. Shivakumar : So we haven't had any recent fixings happening here in our market. Not in since the oil price went up, obviously, because these are long lead tenders. The fixing that we have seen recently in Nigeria seems to indicate that pricing remains firm. We saw a re cent contract of one of the international drilling companies there. So it's -- the rates remain firm. But again, each market is to be seen by itself. So we'll just have to see what happens in the next tender.
Amit Khetan : Got it. Lastly, just one question on the LNG segment. Now we've not operated historically in this segment. But given the destruction in LNG infrastructure that has been seen in Qatar and there could be a potential oversupply of ships when the market sort of normalizes. Is this a segment that we could be looking at?
Rahul Sheth: Meaning, honestly, I don't think we will look at this segment.
Amit Khetan : Is that got to do with the large sort of capital allocation needed to operate in this segment?
Rahul Sheth: Yes. Generally, the ticket size is quite large. And when you get into this business, you'll do a few ships. I think you'll take too much capital from us. I think we've got -- for at least for the

sectors we are looking at, I think we'll be better placed. A nd also, these projects are generally backed with long -term charters. So the returns on these kind of projects tend to become more like project financing.

G. Shivakumar : And it's sort of the other end of the spectrum from what we do in shipping, which is we like to run in the spot market, highly liquid assets operating in the spot market rather than long pipeline type assets, which are long- term contracts, cost of debt -based projects.

Amit Khetan : Got it. And all our LPG tankers are currently on fixed on time charter, right?

Rahul Sheth: Yes, that's right.

Amit Khetan: Okay. Got it. Thank you so much.

Moderator: Thank you. W e'll take our next question from Vikram Suryavanshi from PhillipCapital. Please go ahead. Vikram your line is unmuted. Please go ahead with your question. Since there is no response, we'll move on to the next question from Siddharth Chauhan from 360 ONE Capital.

Siddharth Chauhan: Perfect. First of all, congratulations on good set of numbers. Now two questions I have. Firstly, how are the day rates shaping up currently versus the previous quarter, both in the shipping and dry bulk segment?

Rahul Sheth: So the dry bulk segment remains very strong. On LPG also remains extremely strong. The crude, even if you look at the crude segments, while they've come off a bit at an absolute level, they are still at a very strong level. Products have come off a bit more. But again, the thing is in products, it's very volatile. So I think it will be too much to just draw a conclusion from just looking at today's rate.

G. Shivakumar : But again, everything, while it's come off from very high numbers. So there's a very big spike in March, April. And I think it settled down from that spike, but still at very high numbers.

Rahul Sheth: Yes. Historically, all of these are very, very high.

Siddharth Chauhan: And any sense particularly in dry bulk because it seems that they have firmed up in the last few weeks?

Rahul Sheth: Yes. Now there are multitude of factors. If you just certain buying, there's been more coal trade because certain countries in Southeast Asia have been trying to buy more coal because the Strait is shut and there's less LNG, there's less oil. Iron ore has also been decently strong. Grains have been very, very strong because China has been continuing to buy.
Yes, bauxite. I think all the commodities across the board h

ave just been tightening up. And the Strait has not really affected the dry bulk trade much. It's a very small percentage of the overall trade. We're seeing certain delays also at ports of congest ion has also been built up a bit.

Siddharth Chauhan: Understood. Thanks. And secondly, on the offshore segment, what's your sense on the overall ONGC tender cancellation situation? Because we were also reading reports that ADES Shelf Drilling is evaluating whether they want to keep their assets in India or take it back some pla ce else. What's exactly happening as per you?

Rahul Sheth: On Shelf, that's a different thing because Shelf has now merged with ADES. So they've now become a very large company of jack-up rigs. And so -- and they also do run a fair bit of old rigs. So they're probably looking at it at a corporate level. I wouldn't read into them removing the rigs from India to what ONGC is doing.

I can't comment on their corporate strategy though. But in ONGC, they have not processed a few tenders, but we have seen the number of rigs that they are currently employing come down to one of the lowest levels they've ever had. So we would assume that now at a certain point, they will now process all these tenders. We currently have an active tender going on. And given the world right now, oil is -- to secure your own supplies is quite in focus right now of everyone's radar.

Moderator: Next question is from Himanshu Upadhyay from Steadfort.

Himanshu Upadhyay : Yes. So we have the 2 in -charter ships. If I remember correctly, both are Suezmax. And what is the time?

Rahul Sheth: One is a Suezmax. Himanshu, just to correct you, one is a Suezmax, one is an . MR tanker

Himanshu Upadhyay : Okay. And when does the period end?

Rahul Sheth: We've still got some time, between 1 and 3 years, depending on which charter.

Himanshu Upadhyay: And is the lease rates also increased quite dramatically because at one point of time, the thought was, we will like to have more leased holder tankers where the fleet is pretty low. How is the 1 and 3-year lease rates have moved in the last 3 months or 2 months?

G. Shivakumar : Yes. So it hasn't moved anywhere near as dramatically for these kind of vessels. It hasn't moved anywhere near as dramatically as the spot rates did. So maybe a few thousand dollars a day, while the spot rates probably moved $30,000, $40,000 a day. So it h asn't really moved that much

at all. Maybe in the Suezmax is a little bit more for some time. But in the MRs, certainly not. It hasn't moved much at all.
Himanshu Upadhyay : And one more thing on the LPG, where generally, we have been on the period charters. With spot rates improving, would we like to at some -- whatever repricing or renewals are to happen in this year, would we like to be on spot or we'd like to maintain our LPG focus on period only?
G. Shivakumar : Yes, we would like to run more on spot. We have made a small step in that direction with a floating -- with a floating rate -- part floating rate charter on one of our vessels. That will start this month sometime.
Himanshu Upadhyay : Okay. And one more thing on the offshore space, I mean logistics space. I think we have around 8 ships getting repriced this year. How is that repricing on the offshore support vessels moved? Or is the strength continuing in that market? Or some thoughts on that because that space has done pretty well for us in last 2 years?
Rahul Sheth: Yes. As of now, all the offshore rates are broadly very strong. I think for FY '27, we still have about 80%, 85% of the days covered. So some of those repricings will be more closer to the end of the year.

G. Shivakumar : So what's also happened, and you're right that the space has been pretty strong because that business has shown its best pro

fit since FY 2016. And that's mostly contributed by the offshore vessels business.
Himanshu Upadhyay : And one thing on the jackups, okay? See, one of the liking or preference for us for Indian market was that we get a period charters, okay, and 2 -year, 3 -year type of contracts, okay? But see, on the order cancellations, what ONGC has stated that the price has moved quite high and hence, we are cancelling the orders, okay? So the thought process still remains with that, that -- in last 2 years, we have seen continuous cancellations. 2, 3 years, 4 cancellations have happened, okay? So is it really making sense to be in this market only or we would like now to move outside of India also because -- in good times, we don't have the rates or ONGC does not give long-term rates. And in under spot, we are already losing out. So how does it look -- how are you thinking about that segment now?
Rahul Sheth: See, as of now, out of our 4 rigs, we have not really idled any of the rigs, sometimes between contracts. We actually had 2 out of the 4 rigs with parties other than ONGC. So we still see that the market is going to -- or at least as of now remains strong, and there is a focus on it. So I think it is worth holding on to our expectations.
G. Shivakumar : So we are -- you're right that ONGC cancelling, etcetera, is causing a little bit of -- requires a little bit of change in our strategy of just focusing on getting those 3-year contracts. And that's why last year, we consciously took 2 short -term contracts for 2 of our rigs. And these were in India itself. And we have done very well on those contracts also. So again, these are new relationships that we are building. And if these customers have more work, we are sure that they will come to us because of our track record with them.
Himanshu Upadhyay : And one more thing, the private contractors or private companies, which are giving shorter- term contracts on the jackup rigs, are those pricing near to international spot rates or they remain depressed in India market, the spot rates... ?
G. Shivakumar : No, no, I think they are reasonably good. The international spot rate is difficult to assess because each region is -- has its own cost structure and very different cost structures. These are just not comparable at all, at least for say, a 3 -year contract, you can assess the cost structure and you can make those adjustments. On short -term contracts, it is very difficult to do that comparison. So we won't even try -- all we say is that these are decent rates, and they are quiteemunerat ive, not high, but they are reasonably remunerat ive.
Himanshu Upadhyay : That means would they be nearer to the global rates or something like that or they remain... ?
G. Shivakumar : Yes. Sorry, that's the point you're making, Himanshu, that we can't -- that there is no global rate. So for -- first of all, the liquidity in the short -term contracts is not very high of a number of fixings. Sometimes they don't get reported. So our contra ct itself may not have been reported elsewhere. So -- and the second thing is even if you get a rate reported, it's very difficult to know what is the cost structure in that contract on the mob and de mob, etcetera.

Rahul Sheth: Sometimes in those local markets, you have to share some of the top line rate with local partners. Sometimes there is -- you have to -- when you get on to these contracts globally or even in India, there are certain specific requirements by the charters. S o you have to spend some money upfront to get those rigs ready for those contracts. So every time you get into that, you have to look at that entire process to really understand what does that headline rate lead to a comparable rate for

India.
Himanshu Upadhyay : And one small question. Are all the logistics ship on the offshore side in India only or there are

a few outside India also currently? How are they positioned?
Rahul Sheth: There are a few ships outside India and a few -- but most of them are in India.
G. Shivakumar : So we have 4 -- we had 5. We now have 4 vessels operating outside India, and this is all across the world.
Moderator: Next question is from Vikram Suryavanshi from PhillipCapital.
Vikram Suryavanshi : Sir, what we are seeing is that the order book has now started building up. So how is that shipyard capacity available for further ordering? And probably are we seeing that cycle of order book increasing going again because the kind of money shipping compa nies have made in the last 3 to 4 years and probably the situation what we are looking in terms of continued demand destruction. So if you comment on that in terms of order book and changing capacity would be helpful ?
G. Shivakumar : Yes. So the order book is building up, especially for crude tankers in the last -- and that too, especially for VLCCs in the last few months. The yard capacity has not grown that much. It's just that the slots are getting filled up. The slots were not avai lable for building these ships in this period for, I think, 3 to 4 years because all the slots were -- or the large slots were getting taken up by the big container ships and by LNG ships.
Now that, that ordering is not as extreme, these slots are becoming available. So it's not a huge increase in shipyard capacity. It's just a movement that more of it is available for these large crude tankers. It's -- yes, it is building up. There is -- as we showed, there is still a significant part of the fleet, which is old. So that's something to consider.
But yes, having more of an order book versus 6 months ago makes you maybe a little more concerned about what can happen to the market balance. But this is again '27, '28 kind of deliveries. And now if you probably need in 20 , you will probably get a ship in '29.
Vikram Suryavanshi : Right. And in offshore side, are we seeing like some cold stacking fleet is coming back?
Rahul Sheth: Not really, not cold stack fleet. No, not really. We've not seen any real movement on that.
Vikram Suryavanshi : Okay. And just the last clarification on one of your comments because I think our preference is always to keep capacity more on spot. But however, if you are we open to short the market at

some point in the time or our preference will always be to play through the cycle in a vague market cycle?
G. Shivakumar : Preference always remains, sorry. Could you please continue?
Vikram Suryavanshi : Because I think probably the way we are seeing the super ship cycle, probably asset play could come with a much longer lag. So that's the reason I was asking.
Rahul Sheth So we predominantly remain spot. Of course, opportunistically, we do take time charters. But from what we have seen that even when the markets are very high, generally, when you go for a time charter rate contract, they are in backwardation, which means that just as an example, if the spot market is earning 100 and you want to time charter, say, for 1 or 2 years, the longer you go, the lower the rate becomes.
You may get it for $80 or $70 or some lower number. So upfront, you're giving up something to take that cover. So we generally don't prefer to take that. And as we have mentioned on these calls, the markets, especially in shipping are so volatile that very often, you can believe you can, that maybe 100 will average 60 and so you should take the cover at $70 and eventually, th e market ends up at 120. So when the markets are this volatile, I think sometimes shorting it can maybe do more harm than good.
Moderator: We have a text question from Divy Agrawal from Ficom Family Office.
The first question is, could you help us understand the reason behind it? And also, what is the fleet exposure between s

pot market and time charter contracts? Second question is, should we expect the benefit of higher freight rates to be reflecte d more meaningfully from Q1 FY 27 onwards?
Rahul Sheth: So we are generally , you know we, our time chartering activity will be below 20%. Like I just mentioned, we always prefer to remain spot. And still a long quarter to go. We're not going to forecast the Q1 numbers.
Moderator: Thank you. Nex t question is from Harsh C, an Individual Investor. What parameters does management take into account while doing the switch transactions? The vessel value seems to have increased when compared to last year. Despite that company acquired higher amount of ships. How much impairment would have to be recognized on new vessels as market corrects?
G. Shivakumar : So we look at the timing of the switches is dictated by the ships that need to be sold. When the ship needs to be sold, that is we cannot use it to service our customers in the international market.

We look to sell the ship. If we are looking to sell a shi p, we will also look to replace the ship with a more modern vessel, which can be used to trade in the international market with our customers. So the timing is more decided by the ship that needs to be sold. The price is actually just a function of how many transactions we did last year, and if you're looking at how much we spent in FY25 versus FY 26, it's because 2 bulk carriers, which we sold last year, we did not replace in

FY25. We actually replaced them in FY 26 because it is just a question of timing the purchase of those ships and getting some good ships to buy. So that's one factor which can happen, which is just a timing mismatch between 2 years.
As to the impairment, we don't know whether we will have to recognize any impairment at all because this is a function of what happens to the market price of the ship. It is also measured by the earning capacity of the ships. So there are a lot of factors which get into the impairment into the impairment calculation. And so it's difficult to comment on whether we w ill have at all and how much if we do, how much will have to be recognized.
Moderator: Thank you. We'll tak e our next live question from Rajesh Jain an individual investor. Please go ahead.
Rajesh Jain : Hi sir thanks for the opportunity. So I just joined late. So if the question is already answered, you can let me know. I mean, I can go through the recording again. But I just wanted to know that when the ships got stuck in the Str ait of Hormuz, okay? So did GE S hip lose any revenue for the stuck days? Or was the trip on a per day basis and it continued to earn for the stuck days?
G. Shivakumar : Okay. We have 1 ship which is not on a per day basis and which , and where the time is on our account. So the lost days are on our account. So we lose revenue on that ship.
Rajesh Jain: Okay. So that is on 1 ship, but I believe there were a few other ships which were stuck for a few days.
G. Shivakumar : Yes. All other ships are on time charter, so they continue to earn in that time.
Rajesh Jain: Okay. So they would have continued to earn on a per day basis even for the stuck days for the time charter.
G. Shivakumar : Yes, that's correct.
Rajesh Jain: Okay. And sir, I have a strategic question. So if the company wants to be in spot market, which is your preferred mode, right, and that would be to take advantage of the disruptions or volatility, right? So shouldn't you be more positioned on the longer ha ul routes instead of the regional routes because I think the longer routes give more volatility and more upside and are more prone to disruption, right?
Rahul Sheth: No, there's no pattern between the short and long- haul routes. It all depends on how the trade is evolving. And then based on how the trade is evolving, we evolve our trading patterns accordingly.

G. Shivakumar : And also, it is not that we trade only on short -haul routes, we do long-haul trades as well.
Rahul Sheth: We are agnostic to which route we take. We change it based on our view on what which routes would be better to trade in.

Rajesh Jain: Yes. But I was looking at your fleet composition. So for example, you own, let's say, maybe 2 Capesize, but you own a number of Kamsarmax or the shorter distance type of vehicles, right? So you are positioned more on the shorter routes. By looking at your fleet profile, I got that impression basically.
Rahul Sheth: No, it's , you're seeing the size of the ships, right? Because there's one Kamsarmax, 80,000 and Capes 180,000, but that doesn't mean that they do shorter routes. Kamsarmaxes, for example, do routes from China to Latin America and back, that can be 100 days. Capesiz es can do those routes for different cargoes, but they can also do Australia, China, which is about 30, 40 days. So even Capes can do shorter routes. So there is no linkage between the size of the ship and the route size. If you take on the Suezmaxes, which are large crude tankers, they can do routes from Middle East to Jamnagar. Those round voyages are 20 days, right? So there's no linkage between the size of the ship and the length of the route.
Rajesh Jain: Okay. And sir, in this , I mean, post -Iran war, were the tanker rates attractive enough to , from the clean to dirty switchover? Did it actua lly happen? And if yes, did GE S hip actually do the switchover from clean to dirty? Was it a profitable proposition?
Rahul Sheth: We have seen ships trade. Many shipowners have converted a lot of the LR2s into Aframaxes. Generally, the switching only really happens on this sector where the LR2s and Aframaxes switch between clean and dirty. And we also have switched a couple of vessels to dirty.
Rajesh Jain: Okay. And I believe the time when you want to switch back from dirty to clean, there is some cost of that, right? I mean, so overall, it is very profitable even after accounting for the cost of switching back, right?

Rahul Sheth: Yes, that's right.
Rajesh Jain: Okay. Fine, sir. And just one more question. So now your consol NAV is close to 1,800 and do you feel it is sustainable for the next few quarters? So even if the fleet value drops, okay, but your earnings will keep propping up the NAV, right? So at a very high level, the NAV should not drop significantly even if it doesn't increase, right? I mean the chances are more of increasing the NAV. But even if the cycle turns or these disruptions go away, still the NAV would more or less sustain at lea st the current levels, right?
G. Shivakumar : So let's look at this. It depends on how a drop in value of ships, whether it happens in a short period or a long period. What you are describing is when the drop , let's just say, a drop of $200 million happens in the fleet value. Now you know what our earnings were in the last year, our cash earnings were more than $300 million. And therefore, it can absorb this drop of $200 million in a year. This we are talking a bout a year.
Now if the same $200 million drop happens in 1 quarter, then you cannot absorb that if your run rate is $75 million a quarter. But yes, the advantage in our business is this NAV and the point you've identified is correct. The NAV keeps converting into cash because the ship earns cash. And therefore, a significant portion of the ship price or the NAV will keep coming in as cash

flows, which is a point we made in the presentation that a large part of it is NAV improvement is actual cash earnings.
Rajesh Jain: Okay. Fine. My last question. So, I was going through the con calls of some U.S. listed shipping companies, Scorpio Tankers and there are quite a few more, okay? They are also

trading at a
similar price to NAV, okay, maybe 1.1 or a similar range. But they have announced very large buybacks, okay? So, I think the last quarter, they did buyback of $100 million. And I think this quarter, they have announced $500 million, right, if I'm not wrong. So when they see value in announcing buybacks at a s imilar price to NAV, why does GE ship not see value in announcing buybacks at a similar point? Yes, this is my last question.
G. Shivakumar : So, I won't comment on -- because different companies have different approaches. Our approach is of a value buyer. There are also companies. So first is, I don't know who's done this $100 million and $500 million buyback. I haven't really seen. But different companies have different approaches to investment. Our approach is a fairly conservative investor where we buy at certain levels. This goes for whatever it is, whatever capital allocation we make, we buy only at certain prices, even in ships.
Different companies just -- some companies just will just keep buying irrespective of the market, buying ships, I'm talking about. So, everybody has different investment philosophy, and we really wouldn't like to get into whether ours is better or theirs. This is something which has served us well over many decades, and so we stick with this.
Rajesh Jain: Okay. Can I squeeze in one more question? Or should I...
G. Shivakumar Quick one, yes.
Rajesh Jain: So compared to March ending rates, I mean, we have been hearing or reading in the industry that tanker rates subsequently shot up significantly in April and May. And even the dry bulk -- the entire spectrum of ships across the dry bulk, they have also started participating in this freight movement. So, your comment on that and whether gas -based ships, okay, they are the only ones which have not participated in this freight increase and have all other sectors seen significant increase compared t o the March rates?
Rahul Sheth: No. In fact, actually, LPG has done one of the best. The rates are still extremely high. LPG has done...
G. Shivakumar Yes, close to all -time highs …
Rahul Sheth: Close to all -time highs. No, probably the all -time highs.
Rajesh Jain: That's great. Okay. And the tanker and the dry bulk, they are also at higher levels compared to March and significantly higher levels. Can I say that?
Rahul Sheth: Dry bulk is, crude and products are not as high as the peak we saw in March and April, but they're still very, very strong.

Rajesh Jain: Okay. All right, sir. Okay. Yes, that is very helpful. Thank you.
Mod erator : Thank you. Next question is from Anuj Sharma from SteadFort Investment Managers. Please go ahead.
Anuj Sharma : Am I audible now?

Moderator: Yes.
Anuj Sharma : Yes. So, my question is on the offshore rig. Is there a possibility that ONGC comes out with a tender, but due to our short -term engagement, our rigs are not available for those options?
G. Shivakumar : Yes, it's certainly a possibility. It is not so currently. We have a rig available. And generally, ONGC gives 180 -day period for delivery of the rig into the contract. So that's not something which is likely to arise. I mean it could happen. But because it 's a short -term contract, by definition, it will hopefully get over in 180 days.
Anuj Sharma : My next question is on the jack- up rigs. So, the order book continues to be low. Is it due to uncertainty in demand or the shipyards are not ready with capacities to deliver? What's more of the probability?
Rahul Sheth Maybe a bit of both.
G. Shivakumar Yes, a bit of both. Yard capacity has got completely curtailed.
Rahul Sheth: Because since 2014, we've not really seen any real orders for the jack-up. But having said that, we've always seen in our business that if there was sufficient demand for those jack-ups,
someone will come to build i

t. There could be yards, which we've not heard of, but China does have a lot of other capacity, and I'm sure someone would build it. But at least as of today, we've not seen a lot of interest in trying to even go and ask those yards to build. I think the rates will be substantially higher before that level of optimism comes to go and build more rigs.
Anuj Sharma : All right. And just on ONGC options, any time lines, any new time lines for the options or nothing.
Rahul Sheth: No, they've not given. We have an ongoing tender, but how long it takes to be processed, we are not sure.
Anuj Sharma: Okay thank you so much.
Mod erator : We have a text question from Nirav Sheth from Emkay Global. What is the better option? First, running ships on long-term time charter with debt or second, running ships on spot without debt.
Over the long term, what gives better ROE?
Rahul Sheth: This is a good question. We have actually studied our history and tried to see that which model would work better. We've always found this latter to be better. And it's not without debt, it's with less debt. So, it just depends on your level of debt. We ha ve shipping companies. If you look at

global shipping companies, they -- a lot of companies run largely spot, but the amount of debt they take varies.
And one can always debate what that level of debt should be. If you want to compare that to the first model, what we have seen and what I mentioned earlier on this call that we have seen spot rates tend to outperform the time charter rates for a variety of reasons. And so then to compensate for that, you would have to take a lot more debt. We find that a riskier strategy. And I think we're just better at playing the second option.
Mod erator : Thank you. Next question is from Meet Parikh from Mihir A. Shah Company. Previously, management had guided that the buyback was not tenable due to adverse taxation. Now that the tax norms have changed, why not consider a buyback?
G. Shivakumar : It's a function of the price really. And as with everything, the -- in this capital allocation as well, it's a function of the price. So, you're right that one of the biggest impediments has been removed.
But again, everything is at a price and when appropriate.
Mod erator : Thank you. Next question is from Alok Yadav, He's not mentioned his company name. Can the management confirm the outstanding loan from GESCO to GIL for March '26? As per financials, there was a loan provided from INR 425 crores and repayment of INR 125 crores, but the outstanding loan seems to be more than INR 425 crores, which was the original loan. What's the time line by when GIL plans to become debt -free?
G. Shivakumar : There were 2 loans. One was INR 65 crores and one was INR425 crores. As of 31st March, the loan outstanding was INR 392 crores. There was also an old preference share, which was subscribed by the parent, which is INR 272 crores as of March 2026.
Mod erator : Thank you. We'll take our next question from Rajesh Jain , an individual investor. Please go ahead.
Rajesh Jain : So, any particular reason you have never bought in the last few years since I started tracking your company, you have never purchased a VLCC because we keep hearing in the news a very sharp spike in VLCC sometimes, they are probably the major beneficiary of some freight increases compared to the other vessels. But you have never owned a VLCC till now. Can you comment on that?
Rahul Sheth: We have owned the VLCC in the past, and there is no particular reason that we have chosen not to stay out of that segment. And I'm sure that in the future, we will be in that segment. But if you see from 2022 when the Russian war took place and the market significantly tightened, that was a Suezmax and Aframax story. So, for the first few years, from '22 till maybe '25 end, the Suezmaxes and Aframax

es have outperformed the VLCCs considerably. The VLCCs really
came into their own maybe in the la st 6 to 9 months, yes, something like that. And since then,
those rates have gone up a lot. But if you take over this 4-year period, it has been better served
to be in the other two segments.
G. Shivakumar: But again, this is not to say that we don't want to own VLCCs.

Rahul Sheth: Yes, I'm sure in the future, we'll get into it. But again, it depends on getting the liquidity of the
ship and what you're buying. If you get better deals on the Suezmaxes, we may buy more
Suezmaxes.
Rajesh Jain : Okay. But my note, by not owning a VLCC, don't you lose out on -- I mean, I just wanted to
correct my understanding. So, are there certain routes on which VLCC are more suitable and you lose out on -- or you don't participate in those trips because you don't own a VLCC and no
other ship type can fulfill that trip basically? Is it like that or not?
Rahul Sheth: No, not exactly. Like say, for example, VLCCs do a large amount of trade from the Middle East. But the
Suezmaxes also do trade on the Middle East. So, if you're taking cargoes from the Middle
East to India or somewhere else, the Suezmaxes also, maybe the V LCCs do more of that trade
than the Suezmaxes.
But what you've seen over a long period of time, you have to look at the price at which you've
entered each one of those sectors. That is more relevant than saying, okay, I need to be
participating in one particular trade over the other.
G. Shivakumar: And what also happens in the case of the VLCCs is that they hit the headlines more often. But
Suezmaxes also tend to move in tandem with VLCCs because typically, VLCC carries 2 million
barrels of crude oil, while the Suezmax carries 1 million barrels. If t here is too much of a
differential between the two , customers will tend to -- will try to split the cargo between -- from
1 VLCC to 2 Suezmaxes. So, then the price will become more or less -- the pricing, the freight
rates will become closer then. So, it can't be too dislocated for too long.
Rajesh Jain : Okay. Sir, two more short questions. So, when are the gas carriers coming up for repricing? I
believe all your gas carriers are on time charter, right?
Rahul Sheth: That's right. One I mentioned earlier on this call, we are fixed and she'll be delivered shortly. The other one is in the next few months. So, we have some time to decide.
Rajesh Jain : Okay. And is it safe to say that they will be repriced at least maybe -- I mean, assuming current
rates, they will be repriced at least 50% higher than the earlier time rates?
Rahul Sheth: We can't comment on what rates we will get once she's free.
Rajesh Jain : Okay. So, in other words, are the current time rates today, 50% higher than the time rates they were contracted for earlier?
Rahul Sheth: No.
G. Shivakumar: No.
Rajesh Jain : Okay. They are lesser than 50%.
G. Shivakumar: They were contracted at very good rates.

Rahul Sheth: Very high rates.
Rajesh Jain : Okay. Nice. That's great. Okay. Sir, any detail you can give on your in-chartered ships because
we see that line item, but that's a black box. What are the ships you have in chartered, okay?
What are the categories and what are the tonnages? I mean any det ails on the in -chartered ships?
And do you plan to grow this segment?
G. Shivakumar: So we have two ships on in charter, both are tankers. One is an MR product tanker, one is a
Suezmax crude tanker. There are only 2 vessels on in charter. It was done to -- because there
was a certain opportunity as part of a switching strategy. Instead of buying a ship, we in -
chartered. And yes, we could look at it. We used to have a significant in -chartering operation
15-plus years ago. And if the opportunity arises, certa

inly, we'll look at going more. Everything is subject to price, of course.
Rajesh Jain : So your operating margins on owned ships versus in-chartered ships, obviously, they will be
quite different. But can you give some idea what is the operating margin on in -chartered ships?
G. Shivakumar: There is no number here. So let's say, you in-charter a ship at $30,000 a day. Now the ship could earn
$25,000 or it could earn $35,000 or it could earn $50,000 a day. So, because we don't have
a fixed -- it's not that we have...
Rajesh Jain : I'll rephrase my question. Sorry to interrupt you. I'll rephrase my question. So, I was asking about
the actual operating margins, let's say, for the March quarter ?
G. Shivakumar: It will be much, much lower for an in-chartered ship because in the operating margin of an owned vessel,

basically, you only deduct the operating expenses, correct? when you're looking at the operating margin. When you're looking at an in- chartered ship, y ou have to deduct not just the
operating expenses of the owner, but also his capital recovery, his interest, his depreciation,
maybe his loan repayment cost as well. And therefore, the cost base itself becomes much higher.
So, the quick answer is the operating margin profile of an in-chartered ship is very different. The
operating margins will be much lower than for an owned vessel because by definition, they
would not be chartering to us at operating at opex.
Rajesh Jain : Correct. So, for example, your operating margin for the owned vessels was, let's say, 58% or 60%, something like that. So, for in-charter ships, would it be like 15%, 20%?
G. Shivakumar: Again, it depends on the rate. If you in- chartered it in 1 quarter, it could be in -chartered at
$30,000. One quarter, it could earn $25,000 in the next quarter, it could earn $40,000. So there
is no -- so it is very difficult to put a number to answer your question.
Rajesh Jain : So I'm asking only about the actual numbers of the March quarter, not production or...
G. Shivakumar: So, they are positive. Let's say that you have a Suezmax in our own Suezmaxes. So, let's say, we
have two -- we have an in- chartered Suezmax. We have an owned Suezmax. The owned
Suezmax operating expenses could be maybe between $6,000 and $8,000 a day. The in-charter

rate is not $6,000 to $8,000 a day. They would earn very similar rates. It's not very different.
One is an eco -ship, so there may be a marginal difference in their earnings.
Let's say, both of them earn $60,000 a day. In the case of the owned vessel, the operating margin is $60,000 minus $8,000 a day. In the case of the in-chartered vessel, and I cannot mention the
actual rate at which we have in -chartered the ship, but let's call it $30,000 a day. So your margin
is only $30,000 a day on the in -chartered vessel. So that's the difference between the 2 because
the cost base of an in -chartered vessel by definition is higher than the cost base of an owned
vessel for the operating budget purpose.
Rajesh Jain : Sir, I was going through the cash breakeven level of some of the U.S. companies, U.S. -listed
shipping companies, they disclosed it was close to $11,000 per day for their entire fleet. So can
you disclose your cash breakeven levels for your entire fleet today?
G. Shivakumar : Our book breakeven levels are probably around $12,000 a day between $11,000 and $12,000 a day. Our cash breakeven is probably in the $9, 500 a day, something like that.
Rahul Sheth: Maybe $9,000 a day because we also have a lot of other income from the treasury. Yes.
Rajesh Jain : So anything beyond that $10,000, $11,000, $12,000 a rate, I mean, primarily, it flows to the
bottom line, right? I mean...
G. Shivakumar : This is cash breakeven. It will flow to cash flows. But yes, book breakeven will be maybe
$12,000 a day for the fleet across the fleet.
Rajesh Jain : Oka

y. So beyond $12,000, the entire number flows to the bottom line?
G. Shivakumar : That is correct.
Rajesh Jain : Okay, sir. Okay. And that is across the entire fleet, right?
G. Shivakumar : That is a blended rate for the entire fleet.
Moderator: Next question is from Karan Bhatelia from MAIQ Capital.
Karan Bhatelia : Congratulations for a great set of results. Sir, you have reached a significant cash position this quarter, but we are also seeing the freight rates staying at multiyear highs and which in turn has also increased the vessel prices. Now given the parts of t he fleet are aging, I'm just trying to
understand your philosophy as to whether you are comfortable to buying tonnage at these levels
to capture the current yield or do you feel the IRR is too thin o r if you decide to wait for a
correction, maybe what is the plan for the excess cash which you have generated?
G. Shivakumar : So see, if it is a question of switching, where if we had to sell a ship and replace it, then we will
do it because we have a certain market presence, which we have to maintain. So that is something that we will continue to do. Your question, I take it is on buying an incremental ship that is for

growth. Is that right? Switching, we will do because we have decided not to go below a certain
level.
Karan Bhatelia : Okay. Either way, Shiva, either increasing or maybe replacing it? I mean we hav e been replacing
a lot at least…
G. Shivakumar : Replacing we will continue to do. Increasing we will not do for current yield. Yes.
Rahul Sheth: Because when you're doing a switch, it's a very different thing from doing incremental. When you're switching, you're buying at a high level, but you're also selling at a high level. When
you're buying incremental, you're just buying at a high level. So you have to look at them very,

very differently.
Karan Bhatelia : Correct. But sir, don't you think we also have the opportunity to capture the current yields?
Rahul Sheth: Yes, but current yields can change. You have to look at the business from a more longer-term point of view.
G. Shivakumar : Typically, current yield is a bit of a trap, and we've seen cycles...
Rahul Sheth: So you have to see what best serves you more in the long term.
G. Shivakumar : We've bought -- I think we've done best on the projects where we bought when current yield was close to 0.
Moderator: We'll take one text question from Meet Parikh from Mihir A. Shah & Company. At what level of discount to NAV would the company consider the value of buyback to be attractive? Also, would a lowe r fleet age lead to better TCYs?
Rahul Sheth: We can't comment on the first part of this question. And the second one, would a lower fleet age lead to a better TCY. No, not really. There is something on the fuel economics, but I think the price at which you entered and the segments at which you enter, I think that's the most important.
Moderator: We have Meet on the line. Meet, has your question been answered?
Meet Parikh : Yes, my question has been answered.
Moderator: There's one more text question from Harsh C, an Individual Investor. Would like to understand the management's thought on reasons because of which the spot market outperforms time market over a longer period. Is spot market better suited to be the vessel t o marginal commodities traded, which usually balances demand and supply and hence, have better pricing power?
Rahul Sheth: A bit of a difficult question to know why it outperforms. It's just that in the spot market, because our business is driven by a multitude of events and sometimes those events can take up the market up significantly. So as you can see, when the Russian war took place, the freight rates changed 2x, 3x. So when you can have that kind of change in the underlying market, then when you are generally taking a time charter a

ctivity, they will be within a narrow band.

And if the market moves that dramatically, then you'll be caught short. And so of course, we can't say that every time that happens. But if you look at a longer period of time, when it does happen, because the markets move up that significantly, then over a longer period of time, you see the spot outperform the time chartering market.
G. Shivakumar : So on a slightly more philosophical note, maybe because the person who's fixing out on time charter is taking less -- the charter is helping him to reduce his risk, maybe then that leads to slightly lower returns overall. So we see that in very long-term c harters. Now whether it's true for 1-year charters is a different matter. But the spot market operator typically tends to be taking more risk.
Moderator: As there are no further questions, I now hand the conference over to Ms. Anjali Kumar for closing comments. Over to you.
Anjali Kumar : Thank you, everybody, for joining in and for those very insightful questions and answers. As usual, the transcript of both the audio and the text transcript will be there on our website very shortly. Thank you so much for joining us. And for any future que stions, please feel free to e-mail to us, and we'll be happy to answer them.
G. Shivakumar : Thank you everyone.
Moderator: Thank you. On behalf of The Great Eastern Shipping Company, that concludes this conference. Thank you for joining us, and you may now exit the meeting.